(Free translation from the original in Spanish, in event of discrepancy, the Spanish-language version prevails)

Viscofan *Reshaping food and wellbeing. For many, for long.*

Annual Report

Viscofan, S.A. and subsidiaries

31 December 2023



Viscofan, S.A. and subsidiaries
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Opinión

Hemos auditado las cuentas anuales consolidadas de Viscofan, S.A. (la Sociedad dominante) y sus sociedades dependientes (el Grupo), que comprenden el estado de situación financiera a 31 de diciembre de 2023, la cuenta de resultados, el estado del resultado global, el estado de cambios en el patrimonio neto, el estado de flujos de efectivo y la memoria, todos ellos consolidados, correspondientes al ejercicio terminado en dicha fecha.

En nuestra opinión, las cuentas anuales consolidadas adjuntas expresan, en todos los aspectos significativos, la imagen fiel del patrimonio y de la situación financiera del Grupo a 31 de diciembre de 2023, así como de sus resultados y flujos de efectivo, todos ellos consolidados, correspondientes al ejercicio terminado en dicha fecha, de conformidad con las Normas Internacionales de Información Financiera, adoptadas por la Unión Europea (NIIF-UE), y demás disposiciones del marco normativo de información financiera que resultan de aplicación en España.

Fundamento de la opinión

Hemos llevado a cabo nuestra auditoría de conformidad con la normativa reguladora de la actividad de auditoría de cuentas vigente en España. Nuestras responsabilidades de acuerdo con dichas normas se describen más adelante en la sección *Responsabilidades del auditor en relación con la auditoría de las cuentas anuales consolidadas* de nuestro informe.

Somos independientes del Grupo de conformidad con los requerimientos de ética, incluidos los de independencia, que son aplicables a nuestra auditoría de las cuentas anuales consolidadas en España según lo exigido por la normativa reguladora de la actividad de auditoría de cuentas. En este sentido, no hemos prestado servicios distintos a los de la auditoría de cuentas ni han concurrido situaciones o circunstancias que, de acuerdo con lo establecido en la citada normativa reguladora, hayan afectado a la necesaria independencia de modo que se haya visto comprometida.

Consideramos que la evidencia de auditoría que hemos obtenido proporciona una base suficiente y adecuada para nuestra opinión.

Cuestiones clave de la auditoría

Las cuestiones clave de la auditoría son aquellas cuestiones que, según nuestro juicio profesional, han sido de la mayor significatividad en nuestra auditoría de las cuentas anuales consolidadas del periodo actual. Estas cuestiones han sido tratadas en el contexto de nuestra auditoría de las cuentas anuales consolidadas en su conjunto, y en la formación de nuestra opinión sobre éstas, y no expresamos una opinión por separado sobre esas cuestiones.

R. M. Madrid, hoja M-63.988, folio 75, tomo 9.267, libro 8.054, sección 3ª
Inscrita en el R.O.A.C. con el número S0242 - NIF: B-79 031290

Cuestiones clave de la auditoría	Modo en el que se han tratado en la auditoría

Reconocimiento de ventas de envolturas y films

La partida más significativa de la cuenta de resultados del Grupo es la cifra de ventas que asciende a un importe de 1.226 millones de euros (nota 20.1 de la memoria consolidada adjunta).

Las ventas del Grupo incluyen multitud de transacciones y corresponden, principalmente, a la venta de envolturas y films (negocio principal del Grupo).

Considerando lo anterior, la comprobación de que las ventas se registran de manera adecuada atendiendo a las condiciones de las mismas es una cuestión clave de nuestra auditoría.

Nuestros procedimientos de auditoría han partido del entendimiento y evaluación del diseño e implantación de los procesos relevantes que soportan el registro contable de las operaciones de venta. Hemos identificado los controles existentes y, para los más relevantes, hemos comprobado su adecuado funcionamiento. Por otra parte, hemos realizado, principalmente, los siguientes procedimientos relativos a las operaciones de ventas:

- Realización de pruebas en detalle sobre las ventas verificando, para una muestra, el adecuado registro de las transacciones mediante documentación soporte de terceros o, en su caso, hemos realizado pruebas asistidas por expertos en tecnología y sistemas, comprobando que todas las ventas siguen el flujo estándar de la transacción y que han sido, en su caso, cobradas.

- Selección y comprobación, en su caso, de los asientos contabilizados en el epígrafe de ventas que hemos considerado que pudieran dar lugar a partidas inusuales o irregulares.

- Obtención de confirmaciones de terceros para una muestra de facturas que componen el saldo de clientes a cierre del ejercicio. En los casos en los que no hemos obtenido respuesta, se han realizado procedimientos alternativos con evidencia justificativa de terceros para la comprobación de dichas facturas.

- Comprobación de que las ventas se han reconocido en el periodo correcto en función de las condiciones establecidas para las transacciones más cercanas al cierre de ejercicio.

- Evaluación de la razonabilidad de las fluctuaciones de las ventas del ejercicio 2023 respecto del ejercicio anterior.

Como resultado de nuestras pruebas no tenemos observaciones relevantes sobre esta cuestión.

Otra información: Informe de gestión consolidado

La otra información comprende exclusivamente el informe de gestión consolidado del ejercicio 2023, cuya formulación es responsabilidad de los administradores de la Sociedad dominante y no forma parte integrante de las cuentas anuales consolidadas.

Nuestra opinión de auditoría sobre las cuentas anuales consolidadas no cubre el informe de gestión consolidado. Nuestra responsabilidad sobre el informe de gestión consolidado, de conformidad con lo exigido por la normativa reguladora de la actividad de auditoría de cuentas, consiste en:

a) Comprobar únicamente que el estado de información no financiera consolidado, determinada información incluida en el Informe Anual de Gobierno Corporativo y el Informe Anual de Remuneraciones de los Consejeros, a los que se refiere la Ley de Auditoría de Cuentas, se han facilitado en la forma prevista en la normativa aplicable y, en caso contrario, informar sobre ello.

b) Evaluar e informar sobre la concordancia del resto de la información incluida en el informe de gestión consolidado con las cuentas anuales consolidadas, a partir del conocimiento del Grupo obtenido en la realización de la auditoría de las citadas cuentas, así como evaluar e informar de si el contenido y presentación de esta parte del informe de gestión consolidado son conformes a la normativa que resulta de aplicación. Si, basándonos en el trabajo que hemos realizado, concluimos que existen incorrecciones materiales, estamos obligados a informar de ello.

Sobre la base del trabajo realizado, según lo descrito anteriormente, hemos comprobado que la información mencionada en el apartado a) anterior se facilita en la forma prevista en la normativa aplicable y que el resto de la información que contiene el informe de gestión consolidado concuerda con la de las cuentas anuales consolidadas del ejercicio 2023 y su contenido y presentación son conformes a la normativa que resulta de aplicación.

Responsabilidad de los administradores y de la comisión de auditoría en relación con las cuentas anuales consolidadas

Los administradores de la Sociedad dominante son responsables de formular las cuentas anuales consolidadas adjuntas, de forma que expresen la imagen fiel del patrimonio, de la situación financiera y de los resultados consolidados del Grupo, de conformidad con las NIIF-UE y demás disposiciones del marco normativo de información financiera aplicable al Grupo en España, y del control interno que consideren necesario para permitir la preparación de cuentas anuales consolidadas libres de incorrección material, debida a fraude o error.

En la preparación de las cuentas anuales consolidadas, los administradores de la Sociedad dominante son responsables de la valoración de la capacidad del Grupo para continuar como empresa en funcionamiento, revelando, según corresponda, las cuestiones relacionadas con empresa en funcionamiento y utilizando el principio contable de empresa en funcionamiento excepto si los citados administradores tienen intención de liquidar el Grupo o de cesar sus operaciones, o bien no exista otra alternativa realista.

La comisión de auditoría de la Sociedad dominante es responsable de la supervisión del proceso de elaboración y presentación de las cuentas anuales consolidadas.

Responsabilidades del auditor en relación con la auditoría de las cuentas anuales consolidadas

Nuestros objetivos son obtener una seguridad razonable de que las cuentas anuales consolidadas en su conjunto están libres de incorrección material, debida a fraude o error, y emitir un informe de auditoría que contiene nuestra opinión.

Seguridad razonable es un alto grado de seguridad, pero no garantiza que una auditoría realizada de conformidad con la normativa reguladora de la actividad de auditoría de cuentas vigente en España siempre detecte una incorrección material cuando existe. Las incorrecciones pueden deberse a fraude o error y se consideran materiales si, individualmente o de forma agregada, puede preverse razonablemente que influyan en las decisiones económicas que los usuarios toman basándose en las cuentas anuales consolidadas.

Como parte de una auditoría de conformidad con la normativa reguladora de la actividad de auditoría de cuentas vigente en España, aplicamos nuestro juicio profesional y mantenemos una actitud de escepticismo profesional durante toda la auditoría. También:

- Identificamos y valoramos los riesgos de incorrección material en las cuentas anuales consolidadas, debida a fraude o error, diseñamos y aplicamos procedimientos de auditoría para responder a dichos riesgos y obtenemos evidencia de auditoría suficiente y adecuada para proporcionar una base para nuestra opinión. El riesgo de no detectar una incorrección material debida a fraude es más elevado que en el caso de una incorrección material debida a error, ya que el fraude puede implicar colusión, falsificación, omisiones deliberadas, manifestaciones intencionadamente erróneas, o la elusión del control interno.

- Obtenemos conocimiento del control interno relevante para la auditoría con el fin de diseñar procedimientos de auditoría que sean adecuados en función de las circunstancias, y no con la finalidad de expresar una opinión sobre la eficacia del control interno del Grupo.

- Evaluamos si las políticas contables aplicadas son adecuadas y la razonabilidad de las estimaciones contables y la correspondiente información revelada por los administradores de la Sociedad dominante.

- Concluimos sobre si es adecuada la utilización, por los administradores de la Sociedad dominante, del principio contable de empresa en funcionamiento y, basándonos en la evidencia de auditoría obtenida, concluimos sobre si existe o no una incertidumbre material relacionada con hechos o con condiciones que pueden generar dudas significativas sobre la capacidad del Grupo para continuar como empresa en funcionamiento. Si concluimos que existe una incertidumbre material, se requiere que llamemos la atención en nuestro informe de auditoría sobre la correspondiente información revelada en las cuentas anuales consolidadas o, si dichas revelaciones no son adecuadas, que expresemos una opinión modificada. Nuestras conclusiones se basan en la evidencia de auditoría obtenida hasta la fecha de nuestro informe de auditoría. Sin embargo, los hechos o condiciones futuros pueden ser la causa de que el Grupo deje de ser una empresa en funcionamiento.

- Evaluamos la presentación global, la estructura y el contenido de las cuentas anuales consolidadas, incluida la información revelada, y si las cuentas anuales consolidadas representan las transacciones y hechos subyacentes de un modo que logran expresar la imagen fiel.

- Obtenemos evidencia suficiente y adecuada en relación con la información financiera de las entidades o actividades empresariales dentro del Grupo para expresar una opinión sobre las cuentas anuales consolidadas. Somos responsables de la dirección, supervisión y realización de la auditoría del Grupo. Somos los únicos responsables de nuestra opinión de auditoría.

Nos comunicamos con la comisión de auditoría de la Sociedad dominante en relación con, entre otras cuestiones, el alcance y el momento de realización de la auditoría planificados y los hallazgos significativos de la auditoría, así como cualquier deficiencia significativa del control interno que identificamos en el transcurso de la auditoría.

También proporcionamos a la comisión de auditoría de la Sociedad dominante una declaración de que hemos cumplido los requerimientos de ética aplicables, incluidos los de independencia, y nos hemos comunicado con la misma para informar de aquellas cuestiones que razonablemente puedan suponer una amenaza para nuestra independencia y, en su caso, de las correspondientes salvaguardas.

Entre las cuestiones que han sido objeto de comunicación a la comisión de auditoría de la Sociedad dominante, determinamos las que han sido de la mayor significatividad en la auditoría de las cuentas anuales consolidadas del periodo actual y que son, en consecuencia, las cuestiones clave de la auditoría.

Describimos esas cuestiones en nuestro informe de auditoría salvo que las disposiciones legales o reglamentarias prohíban revelar públicamente la cuestión.

Informe sobre otros requerimientos legales y reglamentarios

Formato electrónico único europeo

Hemos examinado los archivos digitales del formato electrónico único europeo (FEUE) de Viscofan, S.A. y sociedades dependientes del ejercicio 2023 que comprenden el archivo XHTML en el que se incluyen las cuentas anuales consolidadas del ejercicio y los ficheros XBRL con el etiquetado realizado por la entidad, que formarán parte del informe financiero anual.

Los administradores de Viscofan, S.A. son responsables de presentar el informe financiero anual del ejercicio 2023 de conformidad con los requerimientos de formato y marcado establecidos en el Reglamento Delegado UE 2019/815, de 17 de diciembre de 2018, de la Comisión Europea (en adelante Reglamento FEUE).

Nuestra responsabilidad consiste en examinar los archivos digitales preparados por los administradores de la Sociedad dominante, de conformidad con la normativa reguladora de la actividad de auditoría de cuentas en vigor en España. Dicha normativa exige que planifiquemos y ejecutemos nuestros procedimientos de auditoría con el fin de comprobar si el contenido de las cuentas anuales consolidadas incluidas en los citados archivos digitales se corresponde íntegramente con el de las cuentas anuales consolidadas que hemos auditado, y si el formato y marcado de las mismas y de los archivos antes referidos se ha realizado en todos los aspectos significativos, de conformidad con los requerimientos establecidos en el Reglamento FEUE.

En nuestra opinión, los archivos digitales examinados se corresponden íntegramente con las cuentas anuales consolidadas auditadas, y éstas se presentan y han sido marcadas, en todos sus aspectos significativos, de conformidad con los requerimientos establecidos en el Reglamento FEUE.

Informe adicional para la comisión de auditoría de la Sociedad dominante

La opinión expresada en este informe es coherente con lo manifestado en nuestro informe adicional para la comisión de auditoría de la Sociedad dominante de fecha 29 de febrero de 2024.

Periodo de contratación

La Junta General Ordinaria de Accionistas celebrada el 27 de abril de 2023 nos nombró como auditores del Grupo por un periodo de un año para el ejercicio finalizado el 31 de diciembre de 2023.

Con anterioridad, fuimos designados por acuerdo de la Junta General Ordinaria y Extraordinaria de Accionistas para el periodo de 3 años y hemos venido realizando el trabajo de auditoría de cuentas de forma ininterrumpida desde el ejercicio finalizado el 31 de diciembre de 2017.

Servicios prestados

Los servicios, distintos de la auditoría de cuentas, que han sido prestados al Grupo auditado se desglosan en la nota 26 de la memoria de las cuentas anuales consolidadas.

PricewaterhouseCoopers Auditores, S.L. (S0242)

Gabriel Torre Escudero (21647)

29 de febrero de 2024

AUDITORES

PRICEWATERHOUSECOOPERS AUDITORES, S.L.

2024 Núm. 03/24/00916

SELLO CORPORATIVO: 96,00 EUR

Informe de auditoría de cuentas sujeto a la normativa de auditoría de cuentas española o internacional

Deloitte, S.L.
Ercilla, 24
48011 Bilbao
España
Tel: +34 944 44 70 00
www.deloitte.es

INFORME DE VERIFICACIÓN INDEPENDIENTE DEL ESTADO DE INFORMACIÓN NO FINANCIERA (CONSOLIDADO) DE VISCOFAN (Y SOCIEDADES DEPENDIENTES) DEL EJERCICIO 2023

A los accionistas de Viscofan, S.A.:

De acuerdo al artículo 49 del Código de Comercio hemos realizado la verificación con el alcance de seguridad limitada, de la información no financiera identificada en la tabla GRI y en el Estado de Información no Financiera (en adelante EINF) incluidos en el Informe de Gestión Consolidado (en adelante IGC) de Viscofan, S.A., y sociedades dependientes (en adelante Viscofan o el Grupo) correspondiente al ejercicio finalizado el 31 de diciembre de 2023.

El contenido del Informe de Gestión incluye información adicional a la requerida por la normativa mercantil vigente en materia de información no financiera y por los Estándares Global Reporting Initiative para la elaboración de informes de sostenibilidad (en adelante estándares GRI), que no ha sido objeto de nuestro trabajo de verificación. En este sentido, nuestro trabajo se ha limitado exclusivamente a la verificación de la información identificada en la "Taxonomía europea de actividades económicas ambientalmente sostenibles" del capítulo 2.3.6. del EINF, la tabla "Índice de Contenidos Global Reporting Initiative (GRI)" del capítulo 2.6.1. del EINF y la tabla "Índice de contenidos de la Ley 11/2018 de Información No Financiera y de diversidad" del capítulo 2.6.2. del EINF incluidas en el Informe de Gestión Consolidado adjunto.

Responsabilidad de los Administradores

La formulación del EINF incluido en el Informe de Gestión consolidado de Viscofan, así como el contenido del mismo, es responsabilidad de los Administradores de Viscofan. El EINF, incluido en el IGC, se ha preparado de acuerdo con los contenidos recogidos en la normativa mercantil vigente y siguiendo los criterios de los Sustainability Reporting Standards de Global Reporting Initiative (estándares GRI) seleccionados, así como aquellos otros criterios descritos de acuerdo a lo mencionado para cada materia en la tabla 2.6.1 "Índice de contenidos Global Reporting Initiative (GRI)", y la tabla 2.6.2. "Índice de contenidos de la Ley 11/2018 de Información No Financiera y de diversidad".

Esta responsabilidad incluye asimismo el diseño, la implantación y el mantenimiento del control interno que se considere necesario para permitir que el EINF esté libre de incorrección material, debida a fraude o error.

Los administradores de Viscofan son también responsables de definir, implantar, adaptar y mantener los sistemas de gestión de los que se obtiene la información necesaria para la preparación del EINF.

Nuestra independencia y gestión de la calidad

Hemos cumplido los requerimientos de independencia y demás requerimientos de ética del Código Internacional de Ética para Profesionales de la Contabilidad (incluyendo las normas internacionales sobre independencia) emitido por el Consejo de Normas Internacionales de Ética para Profesionales de la Contabilidad (Código del IESBA, por sus siglas en inglés) que está basado en los principios fundamentales de integridad, objetividad, competencia y diligencia profesionales, confidencialidad y comportamiento profesional.

Nuestra firma aplica la Norma Internacional de Gestión de la Calidad (NIGC) 1, que requiere que la firma diseñe, implemente y opere un sistema de gestión de la calidad que incluye políticas o procedimientos relativos al cumplimiento de los requerimientos de ética, normas profesionales y requerimientos legales y reglamentarios aplicables.

El equipo de trabajo ha estado formado por profesionales expertos en revisiones de Información no Financiera y, específicamente, en información de desempeño económico, social y medioambiental.

Nuestra responsabilidad

Nuestra responsabilidad es expresar nuestras conclusiones en un informe de verificación independiente de seguridad limitada basándonos en el trabajo realizado. Hemos llevado a cabo nuestro trabajo de acuerdo con los requisitos establecidos en la Norma Internacional de Encargos de Aseguramiento 3000 Revisada en vigor, "Encargos de Aseguramiento distintos de la Auditoría o de la Revisión de Información Financiera Histórica" (NIEA 3000 Revisada, emitida por el Consejo de Normas Internacionales de Auditoría y Aseguramiento (IAASB) de la Federación Internacional de Contadores (IFAC); y con la Guía de Actuación sobre encargos de verificación del Estado de Información No Financiera emitida por el Instituto de Censores Jurados de Cuentas de España.

En un trabajo de seguridad limitada, los procedimientos llevados a cabo varían en su naturaleza y momento de realización, y tienen una menor extensión, que los realizados en un trabajo de seguridad razonable y, por lo tanto, la seguridad que se obtiene es sustancialmente menor.

Nuestro trabajo ha consistido en la formulación de preguntas a la Dirección, así como a las diversas unidades de Viscofan que han participado en la elaboración del EINF, en la revisión de los procesos para recopilar y validar la información presentada en el EINF y en la aplicación de ciertos procedimientos analíticos y pruebas de revisión por muestreo que se describen a continuación:

- Reuniones con el personal de la entidad para conocer el modelo de negocio, las políticas y los enfoques de gestión aplicados, los principales riesgos relacionados con esas cuestiones y obtener la información necesaria para la revisión externa.

- Análisis del alcance, relevancia e integridad de los contenidos incluidos en el EINF del ejercicio 2023 en función del análisis de materialidad realizado por el Grupo y descrito en el apartado 2.1.1. del EINF "Fundamentos", considerando contenidos requeridos en la normativa mercantil en vigor.
- Análisis de los procesos para recopilar y validar los datos presentados en el EINF del ejercicio 2023.
- Revisión de la información relativa a los riesgos, las políticas y los enfoques de gestión aplicados en relación a los aspectos materiales presentados en el EINF del ejercicio 2023.
- Comprobación, mediante pruebas, en base a la selección de una muestra, de la información relativa a los contenidos incluidos en el EINF del ejercicio 2023 y su adecuada compilación a partir de los datos suministrados por las fuentes de información.
- Obtención de una carta de manifestaciones de los Administradores y la Dirección.

Conclusión

Basándonos en los procedimientos realizados en nuestra verificación y en las evidencias que hemos obtenido no se ha puesto de manifiesto aspecto alguno que nos haga creer que el EINF de Viscofan correspondiente al ejercicio anual finalizado el 31 de diciembre de 2023 no ha sido preparado, en todos sus aspectos significativos, de acuerdo con los contenidos recogidos en la normativa mercantil vigente y siguiendo los criterios de los estándares GRI seleccionados así como aquellos otros criterios descritos de acuerdo a lo mencionado para cada materia en las tablas contenidas en los capítulos 2.6.1. "Índice de contenidos Global Reporting Iniciative (GRI)" y 2.6.2. "Índice de contenidos de la ley 11/2018 de Información No Financiera y de diversidad" del citado Informe.

Párrafo de énfasis

En base al Reglamento (UE) 2020/852 del Parlamento Europeo y del Consejo de 18 de junio de 2020 relativo al establecimiento de un marco para facilitar las inversiones sostenibles, así como en base a los Actos Delegados promulgados de conformidad con lo establecido en dicho Reglamento, se establece la obligación de divulgar información sobre la manera y la medida en que las actividades de la empresa se asocian a actividades económicas elegibles en relación con los objetivos medioambientales de uso sostenible y protección de los recursos hídricos y marinos, transición a una economía circular, prevención y control de la contaminación y protección y restauración de la biodiversidad y ecosistemas (el resto de objetivos medioambientales), y respecto de determinadas nuevas actividades incluidas en los objetivos de mitigación y adaptación al cambio climático, por primera vez para el ejercicio 2023, adicional a la información referida a actividades elegibles y alineadas ya exigida en el ejercicio 2022 en relación con los objetivos de mitigación del cambio climático y de adaptación al cambio climático. En consecuencia, en el EINF adjunto no se ha incluido información comparativa sobre elegibilidad en relación con el resto de los objetivos medioambientales anteriormente indicados ni con las nuevas actividades incluidas en los objetivos de mitigación del cambio climático y de adaptación al cambio climático. Por otra parte, en la

medida en la que la información relativa al ejercicio 2022 no se requería con el mismo nivel de detalle que en el ejercicio 2023, en el EINF adjunto la información desglosada tampoco es estrictamente comparable. Adicionalmente, cabe señalar que los administradores de Viscofan, S.A. han incorporado información sobre los criterios que, en su opinión, permiten dar mejor cumplimiento a las citadas obligaciones y que están definidos en el apartado "2.3.6. Taxonomía europea de actividades económicas ambientalmente sostenibles" del EINF adjunto. Nuestra conclusión no ha sido modificada en relación con esta cuestión.

Uso y distribución

Este informe ha sido preparado en respuesta al requerimiento establecido en la normativa mercantil vigente en España, por lo que podría no ser adecuado para otros propósitos y jurisdicciones.

DELOITTE, S.L.

Iñigo Úrculo

29 de febrero de 2024



Viscofan, S.A.

Informe de auditor
Información relativa al Sistema de Control Interno sobre la Información Financiera (SCIIF)
ejercicio 2023

Informe del auditor sobre la Información relativa al Sistema de Control Interno sobre la Información Financiera (SCIIF)

A los administradores de Viscofan, S.A.:

De acuerdo con la solicitud del consejo de administración de Viscofan, S.A. (en adelante, la Sociedad) y con nuestra carta propuesta de fecha 30 de noviembre de 2023, hemos aplicado determinados procedimientos sobre la "Información relativa al SCIIF" adjunta e incluida en el apartado F del Informe Anual de Gobierno Corporativo de Viscofan, S.A. correspondiente al ejercicio 2023, en el que se resumen los procedimientos de control interno de la Sociedad en relación a la información financiera anual.

Los administradores son responsables de adoptar las medidas oportunas para garantizar razonablemente la implantación, mantenimiento y supervisión de un adecuado sistema de control interno, así como del desarrollo de mejoras de dicho sistema y de la preparación y establecimiento del contenido de la Información relativa al SCIIF adjunta.

En este sentido, hay que tener en cuenta que, con independencia de la calidad del diseño y operatividad del sistema de control interno adoptado por la Sociedad en relación con la información financiera anual, éste sólo puede permitir una seguridad razonable, pero no absoluta, en relación con los objetivos que persigue, debido a las limitaciones inherentes a todo sistema de control interno.

En el curso de nuestro trabajo de auditoría de las cuentas anuales y conforme a las Normas Técnicas de Auditoría, nuestra evaluación del control interno de la Sociedad ha tenido como único propósito el permitirnos establecer el alcance, la naturaleza y el momento de realización de los procedimientos de auditoría de las cuentas anuales de la Sociedad. Por consiguiente, nuestra evaluación del control interno, realizada a efectos de dicha auditoría de cuentas, no ha tenido la extensión suficiente para permitirnos emitir una opinión específica sobre la eficacia de dicho control interno sobre la información financiera anual regulada.

A los efectos de la emisión de este informe, hemos aplicado exclusivamente los procedimientos específicos descritos a continuación e indicados en la *Guía de Actuación sobre el Informe del auditor referido a la Información relativa al Sistema de Control Interno sobre la Información Financiera de las entidades cotizadas*, publicada por la Comisión Nacional del Mercado de Valores en su página web, que establece el trabajo a realizar, el alcance mínimo del mismo, así como el contenido de este informe. Como el trabajo resultante de dichos procedimientos tiene, en cualquier caso, un alcance reducido y sustancialmente menor que el de una auditoría o una revisión sobre el sistema de control interno, no expresamos una opinión sobre la efectividad del mismo, ni sobre su diseño y su eficacia operativa, en relación a la información financiera anual de la Sociedad correspondiente al ejercicio 2023 que se describe en la Información relativa al SCIIF adjunta. En consecuencia, si hubiéramos aplicado procedimientos adicionales a los determinados por la citada Guía o realizado una auditoría o una revisión sobre el sistema de control interno en relación con la información financiera anual regulada, se podrían haber puesto de manifiesto otros hechos o aspectos sobre los que les habríamos informado.

Asimismo, dado que este trabajo especial no constituye una auditoría de cuentas ni se encuentra sometido a la normativa reguladora de la actividad de auditoría de cuentas vigente en España, no expresamos una opinión de auditoría en los términos previstos en la citada normativa.

R. M. Madrid, hoja M-63.988, folio 75, tomo 9.267, libro 8.054, sección 3ª
Inscrita en el R.O.A.C. con el número S0242 - NIF: B-79 031290

Se relacionan a continuación los procedimientos aplicados:

1) Lectura y entendimiento de la información preparada por la Sociedad en relación con el SCIIF - información de desglose incluida en el apartado F del Informe Anual de Gobierno Corporativo - y evaluación de si dicha información aborda la totalidad de la información requerida que seguirá el contenido mínimo descrito en el apartado F, relativo a la descripción del SCIIF, del modelo del IAGC según se establece en la Circular 5/2013 de 12 de junio de 2013 de la Comisión Nacional del Mercado de Valores (CNMV), y modificaciones posteriores, siendo la más reciente la Circular 3/2021, de 28 de septiembre de la CNMV (en adelante, las Circulares de la CNMV).

2) Preguntas al personal encargado de la elaboración de la información detallada en el punto 1 anterior con el fin de: (i) obtener un entendimiento del proceso seguido en su elaboración; (ii) obtener información que permita evaluar si la terminología utilizada se ajusta a las definiciones del marco de referencia; y (iii) obtener información sobre si los procedimientos de control descritos están implantados y en funcionamiento en la Sociedad.

3) Revisión de la documentación explicativa soporte de la información detallada en el punto 1 anterior, y que comprenderá, principalmente, aquella directamente puesta a disposición de los responsables de formular la información descriptiva del SCIIF. En este sentido, dicha documentación incluye informes preparados por la función de auditoría interna, alta dirección y otros especialistas internos o externos en sus funciones de soporte a la comisión de auditoría.

4) Comparación de la información detallada en el punto 1 anterior con el conocimiento del SCIIF de la Sociedad obtenido como resultado de la aplicación de los procedimientos realizados en el marco de los trabajos de auditoría de cuentas anuales.

5) Lectura de actas de reuniones del consejo de administración, comisión de auditoría y otras comisiones de la Sociedad a los efectos de evaluar la consistencia entre los asuntos en ellas abordados en relación con el SCIIF y la información detallada en el punto 1 anterior.

6) Obtención de la carta de manifestaciones relativa al trabajo realizado adecuadamente firmada por los responsables de la preparación y formulación de la información detallada en el punto 1 anterior.

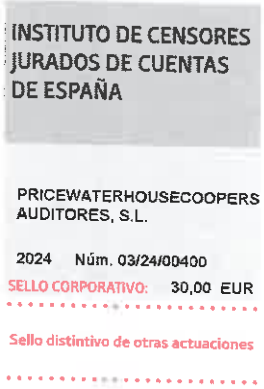
Como resultado de los procedimientos aplicados sobre la Información relativa al SCIIF no se han puesto de manifiesto inconsistencias o incidencias que puedan afectar a la misma.

Este informe ha sido preparado exclusivamente en el marco de los requerimientos establecidos por el artículo 540 del texto refundido de la Ley de Sociedades de Capital y por las Circulares de la CNMV a los efectos de la descripción del SCIIF en el Informe Anual de Gobierno Corporativo.

PricewaterhouseCoopers Auditores, S.L.

Gabriel Torre Escudero

29 de febrero de 2024



Viscofan, S.A. and subsidiaries

Consolidated financial statements at 31 December 2023

31 December 2023

Consolidated statements of financial position

(Thousands of euros)	Notes	Period 2023	2022
Intangible assets other than goodwill	5.1	16,957	17,649
Goodwill	5.2	3,605	3,237
Property, plant, and equipment	6	556,141	561,244
Right-of-use assets	7.1	11,577	10,580
Other non-current financial assets	10	7,561	4,344
Non-current derivatives	17	0	342
Deferred tax assets	18	47,645	29,519
Non-Current Assets		**643,486**	**626,915**
Current stocks	8	442,892	381,788
Trade and other current receivables	9	260,245	276.299
Current tax assets	18	3,649	6,140
Other current financial assets	10	911	1.582
Current derivatives	17	4,330	3,476
Cash and cash equivalents	11	51,996	51.193
Current Assets		**764,023**	**720,478**
Total Assets		**1,407,509**	**1.347,393**

Consolidated statements of financial position

(Thousands of euros)	Notes	Period 2023	2022
Issued capital	12.1	32,550	32,550
Share premium	12.2	12	12
Other reserves	12.3	868,456	813,145
Treasury Shares	12.4	-21,671	-16,181
Profit for the year		140,962	139,430
Interim dividend	12.6	-64,563	-64,644
Valuation adjustments	12.5	2,026	2,558
Equity		**957,772**	**906,870**
Deferred income	13	806	18,102
Non-current provisions for employee benefits	14.1	25,916	22,308
Other non-current provisions	14.2	43	0
Non-current financial liabilities	16	43,979	46,980
Non-current liabilities for right-of-use assets	7.2	6,854	7,512
Non-current derivatives	17	0	3
Deferred tax liabilities	18	32,830	19,879
Non-Current Liabilities		**110,428**	**114,784**
Current financial liabilities	16	178,048	136,919
Current liabilities for right-of-use assets	7.2	4,687	2,978
Current derivatives	17	43	450
Trade and other payables	15	125,520	142,981
Current tax liabilities	18	4,783	16,210
Other current provisions	14.3	26,228	26,201
Current liabilities		**339,309**	**325,739**
Total liabilities		**449,737**	**440,523**
Total equity and liabilities		**1,407,509**	**1,347,393**

Consolidated income statement

(Thousands of euros)	Notes	Period 2023	2022
Sales and rendered services	20.1	1.225,787	1.201,028
Changes in inventory of finished goods and work in progress		53.146	38,723
Consumption of raw materials and consumables		-474.113	-428,030
Other operating income	20.2	15,052	8,564
Staff costs	20.3	-270,086	-262,188
Other operating expenses	20.4	-280,901	-290,966
Amortisation of intangible assets	5.1	-4,792	-4,782
Depreciation expenses on tangible fixed assets	6	-73,628	-68,076
Right-of-use asset depreciation expense	7.1	-5,293	-5,289
Impairment gains (losses) on disposal of non-current assets		-486	42
Operating profit		**184,686**	**189,026**
Finance income	20.5	846	1,194
Finance costs	20.5	-6,900	-1,370
Losses on non-trade receivables	20.5	22	-17
Exchange gains (losses)	20.5	-9,748	-5,044
Profit before taxes		**168,906**	**183,789**
Income tax expense	18	-27,944	-44,359
Profit for the year from continuing operations		**140,962**	**139,430**
Profit for the year		**140,962**	**139,430**

Earnings per share

	Notes	Period 2023	2022
Basic earnings per share		**3.05**	**3.02**
Basic earnings (loss) per share from continuing operations	21	3.05	3.02
Diluted earnings per share		**3.04**	**3.00**
Diluted earnings (loss) per share from continuing operations	21	3.04	3.00

Consolidated statements of other comprehensive income

(Thousands of euros)	Notes	Period 2023	Period 2022
Profit for the year attributable to the parent company		**140,962**	**139,430**
Other comprehensive income			
Other comprehensive income that will not be reclassified to profit or loss in subsequent periods before tax			
Other comprehensive income, before tax, actuarial pension gains and losses	14.1	-992	8,593
Total other comprehensive income not to be reclassified to profit or loss before tax		**-992**	**8,593**
Other comprehensive income that will be reclassified to profit or loss in subsequent periods before tax			
Foreign exchange translation gains (losses)			
Gains or losses on translation differences on foreign transactions before tax	12.3	2,532	32,115
Other comprehensive income, before tax, foreign exchange translation gains (losses)		**2,532**	**32,115**
Cash flow hedges			
Gains (losses) on cash flow hedges, before taxes	12.5	-586	2,757
Other comprehensive income, before taxes, cash flow differences		**-586**	**2,757**
Total other comprehensive income to be reclassified to profit or loss before tax		**1,946**	**34,872**
Total other comprehensive income before tax		**954**	**43,465**
Income tax relating to components of other comprehensive income that will not be reclassified to profit or loss			
Income tax related to remeasurements of defined benefit plans included in other comprehensive income	14.1	693	-1,997
Aggregate income tax relating to components of other comprehensive income not to be reclassified into profit or loss		**693**	**-1,997**
Income taxes related to cash flow hedges included in other comprehensive income	12.5	54	-666
Aggregate income tax relating to components of other comprehensive income to be reclassified into profit or loss		**54**	**-666**
Other comprehensive income		1,701	40,802
Comprehensive income		**142,663**	**180,232**

2023

Consolidated statement of changes in equity

(Thousands of euros)	Equity							
	Share capital (Note 12.1)	Share premium (Note 12.2)	Reserves (Note 12.3)	Treasury shares (Note 12.4)	Profit for the year attributable to parent company	Interim dividend (Note 12.6)	Valuation adjustments (Note 12.5)	
Opening balance as at 1 January 2023	**32,550**	**12**	**813,145**	**-16,181**	**139,430**	**-64,644**	**2,558**	**906,870**
Changes in equity								
Total recognised income and (expense)	0	0	2,233	0	140,962	0	-532	142,663
Dividends paid	0	0	-24,945	0	0	-64,563	0	-89,508
Transfers between equity accounts	0	0	74,786	0	-139,430	64,644	0	0
Movement in treasury shares	0	0	0	-5,490	0	0	0	-5,490
Transactions with non-controlling interests	0	0	0	0	0	0	0	0
Share-based payment expenses	0	0	3,237	0	0	0	0	3,237
Total increase (decrease) in equity	**0**	**0**	**55,311**	**-5,490**	**1,532**	**81**	**-532**	**50,902**
Closing balance as at 31 December 2023	**32,550**	**12**	**868,456**	**-21,671**	**140,962**	**-64,563**	**2,026**	**957,772**

2022

Consolidated statement of changes in equity

(Thousands of euros)	Equity							
	Share capital (Note 12.1)	Share premium (Note 12.2)	Reserves (Note 12.3)	Treasury shares (Note 12.4)	Profit for the year attributable to parent company	Interim dividend (Note 12.6)	Valuation adjustments (Note 12.5)	
Opening balance as at 1 January 2022	**32,550**	**12**	**732,103**	**-10,473**	**132,997**	**-64,880**	**467**	**822,776**
Changes in equity								
Total recognised income and (expense)	0	0	38,711	0	139,430	0	2,091	180,232
Dividends paid	0	0	-19,873	0	0	-64,644	0	-84,517
Transfers between equity accounts	0	0	68,117	0	-132,997	64,880	0	0
Movement in treasury shares	0	0	-7,494	-5,708	0	0	0	-13,202
Transactions with non-controlling interests	0	0	0	0	0	0	0	0
Share-based payment expenses	0	0	1,581	0	0	0	0	1,581
Total increase (decrease) in equity	**0**	**0**	**81,042**	**-5,708**	**6,433**	**236**	**2,091**	**84,094**
Closing balance as at 31 December 2022	**32,550**	**12**	**813,145**	**-16,181**	**139,430**	**-64,644**	**2,558**	**906,870**

Consolidated statement of cash flows

(Thousands of euros)	Notes	Period 2023	2022
Profit for the year after tax		**140,962**	**139,430**
Adjustments for income tax expense	18	27,944	44,360
Adjustment for inventory write-down (increase)		-66,607	-69,069
Adjustment for decrease (increase) in accounts receivable		-5,314	-47,708
Adjustment for (decrease) increases in accounts payable		-18,725	10,674
Adjustment for depreciation expenses		83,713	78,148
Changes in provisions		7,614	4,586
Interest income adjustment	20.5	-846	-1,194
Interest expense adjustment	20.5	6,900	1,370
Exchange gains (losses), net	20.5	9,748	5,044
Share-based payment		2,346	1,581
Other adjustments		-172	-377
Adjustments to reconcile profit before tax to net cash flows		**46,601**	**27,415**
Net cash flows from (used in) operations		**187,563**	**166,845**
Income tax payments	18	-41,223	-44,012
Contributions and other payments, related to pension plans		-630	-2,104
Net cash generated by operating activities		**145,710**	**120,729**
Payments for the acquisition of tangible and intangible fixed assets		-77,126	-115,566
Proceeds from the sale of fixed assets		1,158	423
Interest collected		846	1,194
Net cash from investing activities		**-75,122**	**-113,949**
Provisions of financial debt	12.1	156,365	108,636
Financial debt repayments	12.1	-117,957	-49,734
Acquisition of treasury shares		-6,264	-12,231
Dividends paid to shareholders of the parent company		-89,508	-84,517
Interest paid	12.1	-6,275	-1,569
Payments for right-of-use assets	12.1	-5,296	-5,289
Other financial liabilities (net)		-1,781	-3,751
Net cash from financing activities		**-70,716**	**-48,455**
Net increase (decrease) in cash and cash equivalents before the effect of changes in foreign exchange rates		**-128**	**-41,675**
Effect of exchange rate changes on cash and cash equivalents		931	1,516
Net increase (decrease) in cash and cash equivalents		**803**	**-40,159**
Cash and cash equivalents as of 1 January	11	51,193	91,352
Cash and cash equivalents as at 31 December	**11**	**51,996**	**51,193**

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1. Description and principal activities

Viscofan, S.A. (hereinafter the Company or the Parent) was incorporated in Spain as a limited liability company for an indefinite period on 17 October 1975 under the name Viscofan, Industria Navarra de Envolturas Celulósicas, S.A. At the Annual General Meeting held on 17 June 2002 the shareholders agreed to change the name of the Company to the current one.

Under articles 73 and subsequent, in relation to article 71, of Law 3/2009, of 3 April on the structural amendments of companies, the Board of Directors of Viscofan, S.A. and the Board of Directors of Viscofan España, S.L.U., on 25 February 2021, proceeded to draft and sign a common unbundling project whereby the Company unbundles a part of its assets that constitute an autonomous economic unit and it transfers it en bloc by universal succession to Viscofan España S.L.U.

Until the proposed spin-off and contribution of the business line described above, the core business consisted on the manufacture and commercialization of all types of casings and films for food use; collagen-based products for food use and bioengineering; and the production of electricity for sale to third parties obtained through cogeneration systems. As a consequence of the spin-off project, the main activity corresponds to the acquisition, holding, enjoyment, administration in general and disposal of all kinds of securities.

The head offices and registered office are located in Polígono Industrial Berroa, Calle Berroa, 15 - 4ª Planta, 31192 Tajonar - Navarra (Spain) and its main activity is carried out in the centres of Cáseda and Urdiain (Navarra).

The Company is in turn the parent company of a group of companies (the Viscofan Group or the Group) which are mainly active in the manufacture, distribution and commercialization of all types of casings and films for food use; collagen-based products for food use and bioengineering; and the production of electrical energy for sale to third parties obtained through cogeneration systems.

The entirety of Viscofan S.A.'s shares have been listed since 1986, and are quoted on the Spanish electronic trading platform (continuous market).

The 2022 Consolidated Financial Statements were approved at the Annual General Meeting held on 27 April 2023.

The Parent Company’s Board of Directors expects these 2023 Consolidated Financial Statements, prepared on 29 February 2024, to be approved by the shareholders in Annual General Meeting without modification.

2. Viscofan Group

2.1. Business combinations

- In 2023

On 14 February 2023, the legal liquidation of the company Vector USA Inc. was registered.

The change of name of German subsidiary Naturin Viscofan GmbH to Viscofan DE GmbH is effective as of 16 March 2023.

The change of name of the French subsidiary Supralon France SARL to Viscofan France SARL is effective as of 16 June 2023.

Two capital increases were carried out at Viscofan (Thailand) Co. Ltd. in financial year 2023, amounting to THB 298,975 thousand (EUR 8,209 thousand), to cover approved investments.

A capital increase of USD 21,000 thousand (EUR 19,488 thousand) was carried out by Viscofan USA Inc. in 2023 to strengthen the financial structure of the company after investments made in previous years.

- In 2022

Effective 1 January 2022, Viscofan Collagen USA Inc., domiciled in Bridgewater, New Jersey (USA), was merged into Viscofan USA Inc., domiciled in Montgomery, Alabama (USA), effective 1 January 2022.

On 14 June 2022, the company Supralon International AG with its registered office in Schaan (Liechtenstein) was wound up.

2.2. Details of subsidiaries and associates comprising the Viscofan Group at 31 December 2023

Group companies	% of equity interest		Activity	Registered address
	Direct	Indirect		
Jupiter PTY Ltd	100,00	0	Services rendered	Bankstown (Australia)
Koteks Viscofan, d.o.o.	100,00	0	Manufacture, marketing and distribution of casings and films	Novi Sad (Serbia)
Viscofan DE GmbH	100,00	0	Manufacture, marketing and distribution of casings and films	Weinheim (Germany)
Supralon Verpackungs AG	0	100,00	Rental of industrial machinery (to the group)/Other services	Chur (Switzerland)
Supralon Produktions und Vertriebs GmbH	0	100,00	Manufacture, marketing and distribution of casings and films	Alfhausen (Germany)
Viscofan France SARL	0	100,00	Marketing and distribution of casings and films	Courcouronnes (France)
Vector Europe NV.	100,00	0	Marketing and distribution of casings and films	Hasselt (Belgium)
Vector Packaging Europe NV.	0	100,00	Manufacture, marketing and distribution of casings and films	Hasselt (Belgium)
Viscofan Canada Inc.	0	100,00	Marketing and distribution of casings and films	Quebec (Canada)
Viscofan Centroamérica Comercial, S.A.	99,50	0,50	Marketing and distribution of casings and films	San José (Costa Rica)
Viscofan CZ, s.r.o.	100,00	0	Manufacture, marketing and distribution of casings and films	Ceske Budejovice (Czech Republic)
Viscofan España SLU	100,00	0	Manufacture, marketing and distribution of casings and films	Tajonar, Navarre (Spain)
Viscofan Globus Australia PTY Ltd	100,00	0	Marketing and distribution of casings and films	Bankstown (Australia)
Viscofan Globus New Zealand Ltd	100,00	0	Marketing and distribution of casings and films	Lower Hutt (New Zealand)
Viscofan Japan GK	100,00	0	Marketing and distribution of casings and films	Tokyo (Japan)
Viscofan de México S.R.L. de C.V.	99,99	0,01	Manufacture, marketing and distribution of casings and films	San Luis Potosí (Mexico)
Viscofan do Brasil, soc, Ltda.	100,00	0	Manufacture, marketing and distribution of casings and films	Sao Paulo (Brazil)
Viscofan (Thailand) Co. Ltd.	100,00	0	Marketing and distribution of casings and films	Bangkok (Thailand)
Viscofan Technology (Suzhou) Co. Ltd.	100,00	0	Manufacture, marketing and distribution of casings and films	Suzhou (China)
Viscofan UK Ltd.	100,00	0	Marketing and distribution of casings and films	Seven Oaks (UK)
Viscofan Uruguay, S.A.	100,00	0	Manufacture, marketing and distribution of casings and films	Montevideo (Uruguay)
Viscofan USA Inc.	100,00	0	Manufacture, marketing and distribution of casings and films	Montgomery (USA)
Zacapu Power S.R.L. de C.V.	0	100,00	Electricity distribution	Zacapu, Michoacán (Mexico)

2.3. Details of subsidiaries and associates comprising the Viscofan Group at 31 December 2022

Group companies	% of equity interest		Activity	Registered address
	Direct	Indirect		
Jupiter PTY Ltd	100,00	0	Services rendered	Bankstown (Australia)
Koteks Viscofan, d.o.o.	100,00	0	Manufacture, marketing and distribution of casings and films	Novi Sad (Serbia)
Naturin Viscofan GmbH	100,00	0	Manufacture, marketing and distribution of casings and films	Weinheim (Germany)
Supralon Verpackungs AG	0	100,00	Rental of industrial machinery (to the group)/Other services	Chur (Switzerland)
Supralon Produktions und Vertriebs GmbH	0	100,00	Manufacture, marketing and distribution of casings and films	Alfhausen (Germany)
Supralon France SARL	0	100,00	Marketing and distribution of casings and films	Courcouronnes (France)
Vector Europe NV.	100,00	0	Marketing and distribution of casings and films	Hasselt (Belgium)
Vector Packaging Europe NV.	0	100,00	Manufacture, marketing and distribution of casings and films	Hasselt (Belgium)
Vector USA Inc.	0	100,00	In the process of liquidation	Oak brook, Illinois (USA)
Viscofan Canada Inc.	0	100,00	Marketing and distribution of casings and films	Quebec (Canada)
Viscofan Centroamérica Comercial, S.A.	99,50	0,50	Marketing and distribution of casings and films	San José (Costa Rica)
Viscofan CZ, s.r.o.	100,00	0	Manufacture, marketing and distribution of casings and films	Ceske Budejovice (Czech Republic)
Viscofan España SLU	100,00	0	Manufacture, marketing and distribution of casings and films	Tajonar, Navarre (Spain)
Viscofan Globus Australia PTY Ltd	100,00	0	Marketing and distribution of casings and films	Bankstown (Australia)
Viscofan Globus New Zealand Ltd	100,00	0	Marketing and distribution of casings and films	Lower Hutt (New Zealand)
Viscofan Japan GK	100,00	0	Marketing and distribution of casings and films	Tokyo (Japan)
Viscofan de México S.R.L. de C.V.	99,99	0,01	Manufacture, marketing and distribution of casings and films	San Luis Potosí (Mexico)
Viscofan do Brasil, soc, Ltda.	100,00	0	Manufacture, marketing and distribution of casings and films	Sao Paulo (Brazil)
Viscofan (Thailand) Co. Ltd.	100,00	0	Marketing and distribution of casings and films	Bangkok (Thailand)
Viscofan Technology (Suzhou) Co. Ltd.	100,00	0	Manufacture, marketing and distribution of casings and films	Suzhou (China)
Viscofan UK Ltd.	100,00	0	Marketing and distribution of casings and films	Seven Oaks (UK)
Viscofan Uruguay, S.A.	100,00	0	Manufacture, marketing and distribution of casings and films	Montevideo (Uruguay)
Viscofan USA Inc.	100,00	0	Manufacture, marketing and distribution of casings and films	Montgomery (USA)
Zacapu Power S.R.L. de C.V.	0	100,00	Electricity distribution	Zacapu, Michoacán (Mexico)

3. Basis of preparation

The consolidated financial statements for 2023 have been prepared under EU-endorsed International Financial Reporting Standards (EU-IFRS) to present fairly the consolidated equity and consolidated financial position of Viscofan, S.A. and subsidiaries at 31 December 2023 and 2022, as well as the consolidated results from its operations, its consolidated cash flows and consolidated recognised income and expenses for the year then ended.

The consolidated financial statements have been prepared based on the accounting records of Viscofan, S.A. and the companies comprising the Group. However, given that the accounting polices and measurement bases applied in these consolidated financial statements differ from those used by the companies forming the Group (where the prevailing regulations of each country apply), the consolidation process has taken into consideration the adjustments and reclassifications required to adapt such principles and criteria to the International Financial Reporting Standards adopted by the European Union (IFRS-EU).

The Group adopted EU-IFRS as of 1 January 2004 and applied IFRS 1 "First-time Adoption of International Financial Reporting Standards" at that date.

3.1. New and amended standards and interpretations

The accounting policies used during the preparation of these consolidated financial statements are the same as those applied for the consolidated financial statements for the year ended 31 December 2022.

The following amendments came into force in the financial year 2023:

- IAS 1 (Amendment) "Disclosure of Accounting Policies"
- IAS 8 (Amendment) "Definition of Accounting Estimates"
- IAS 12 (Amended) "Deferred Taxes Relating to Assets and Liabilities Arising from a Single Transaction"
- IAS 12 (Amended) "International Tax Reform: Pillar Two Model Rules"

The amendment introduced by IAS 12 for deferred taxes requires a restatement of the opening balance sheet figures for deferred tax assets and liabilities (Note 18).

3.2. Published standards which are not applicable

The Group intends to adopt these standards, interpretations, and amendments thereof published by the IASB and considered mandatory in the European Union at the date these consolidated financial statements were prepared, applying them as they come into force.

3.3. Policies used by the Group when several options are permitted

International Financial Reporting Standards occasionally allow for more than one alternative accounting treatment for a transaction. The criteria adopted by the Group for its most relevant transactions are the following:

Capital grants can be recognised reducing the cost of the assets for which financing was granted or as deferred income (which was the Group's choice). They are recognised in the income statement under "Other income."

Certain property, plant, and equipment may be measured at market value or historical cost less depreciation and impairment loss. Viscofan has chosen the latter criteria.

3.4. Comparison of information

These consolidated financial statements present for comparative purposes, for each of the headings in the consolidated statement of financial position, the consolidated income statement, the consolidated comprehensive income statement, the consolidated cash flow statement, the consolidated statement of changes in equity and the notes to the consolidated financial statements, as well as the consolidated figures for 2023 and those for the previous year, except when an accounting standard specifically establishes that this is unnecessary.

Due to the amendment of IAS 12 and its impact on the recording of deferred taxation of leases under IFRS 16, and in order enable comparisons between the figures for the year 2023 and those for 2022, the accounts for the year 2022 have been restated.

3.5. Relevant accounting estimates, assumptions and judgments

The preparation of financial statements in conformity with EU-IFRS requires Group management to make judgments, estimates, and assumptions, and to apply relevant accounting estimates in the process of applying Group accounting policies.

This section describes the main assumptions advanced about the future and other key sources of uncertainty in estimations made at the reporting date that have a significant risk of requiring a material adjustments to the carrying amounts of assets and liabilities within the next financial year. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Group. Such changes are duly reflected in assumptions when and as they occur.

(a) Taxes

The subsidiaries comprising the Group are individually responsible for their tax obligations in their respective countries.

The two Navarre companies have filed consolidated tax returns since 1 January 2021.

The Group analyses the possible inspections by the tax authorities of the respective countries and establishes provisions based on its best estimates. The amount of such provisions is based on various factors, such as experience of previous tax inspections and differing interpretations of tax regulations by the Group and the corresponding tax authority. Such differences of interpretation may arise on a wide variety of issues depending on the conditions prevailing in the country where the respective Group company is domiciled. The Group's policy, affecting all subsidiaries, is to apply conservative criteria when interpreting the different prevailing regulations in each of the countries where it operates.

Deferred tax assets are recognised for all unused tax losses and other temporary differences to the extent that it is probable that taxable profit will be available against which the losses can be used. Significant management judgment is required to determine the amount of deferred tax assets that can be recognised, based upon likely timing and future taxable profits, together with future tax planning strategies.

The years open for review by tax authorities vary depending on each country's tax legislation, and returns are not considered definitive until the corresponding inspection period has elapsed or until they have been inspected and accepted by tax authorities.

The Company's management considers that all applicable taxes have been duly paid so that even in the event of discrepancies in the interpretation of prevailing tax legislation with respect to the treatment applied, the resulting potential tax liabilities, if any, would not have a material impact on the accompanying financial statements.

Further details on taxes are disclosed in Note 18.

(b) Pension benefits

The cost of defined benefit pension plans and other obligations and the present value of pension obligations are determined using actuarial measurements. Actuarial measurements involve making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates, and future pension increases. Owing to the complexity and long-term scope of estimates, these are sensitive to any changes in assumptions.

Mortality rates are based on publicly available mortality tables for the specific country. Future salary and pension increases are based on expected future inflation rates for the respective countries.

A sensitivity analysis and details on the hypotheses used are provided in Note 14.1.

(c) Provisions for litigation and contingent assets and liabilities

Estimating provision amounts with respect to potential assets and liabilities derived from ongoing litigation is carried out on the basis of the professional opinion of the legal representatives hired to deal with such matters, as well as on the basis of internal evaluations performed by the Group's Legal Department.

The breakdown of provisions for litigations is shown in Note 14.3, while the main contingent assets and liabilities that may give rise to the future recognition of assets and liabilities are described in Note 14.4.

(d) Fair value of share-based remuneration

Fair value is determined by a third party using an adjusted form of the Black-Scholes model that includes a Monte Carlo simulation model that takes into account the price of the share during the year, the option period, the effect of dilution (where material), the share price at the grant date and the expected volatility of the underlying share price, the expected dividend yield, the risk-free interest rate for the option period and the correlations and volatilities of the reference Group companies.

(e) Other accounting estimates and hypotheses

- Assessment of possible impairment losses on certain assets and goodwill: Notes 4.7, 4.13, 4.14 and 4.16.
- Useful life of property, plant, and equipment and intangible assets: See Notes 4.13 and 4.14.
- Measurement of derivative financial instruments: (Note 4.24)

3.6. Ukraine - Russia conflict

Beyond the loss of life and destruction of resources it has caused, Russia's invasion of Ukraine has altered the dynamics of energy markets and trade sanctions put in place prevent the sale of casings from Europe. Consequently, the Board of Directors of Viscofan S.A. adopted the decision to interrupt the export activity of casings with Russia in 2022, a situation that has continued during 2023.

In view of the situation, Viscofan's risk control and management system continues to work on commercial and operational mitigation measures to offset its impact, such as energy hedging through supply contracts with the main energy suppliers, and searching for energy diversification in operations.

The Group has at no time disposed of any fixed assets owned in either Ukraine or Russia.

3.7. Regulation of energy generating companies

The Group company Viscofan España, S.L.U. operates an electricity cogeneration facility. The Group is careful to comply with the regulation published since 2013 in this area, the most significant aspects of which are expressed below.

On 14 July 2013, Royal Decree-Law 9/2013 entered into force, drawing the bases of a new legal and economic system for existing electricity facilities using renewable energy, cogeneration and waste sources, establishing a remuneration system based on standard parameters in line with those of the various standard facilities defined. The RD eliminates the regulated renewable energy and cogeneration tariffs, creates the Electricity Self-Consumption Register and launches a new economic system whose main characteristic guarantees that the renewable energy facilities obtain an equivalent return to the interest rates on the 10-year State bonds, plus 300 basis points in reference to costs and investments of a standard facility, during its entire regulatory life. The RD also eliminates the efficiency and reactive energy complements existing in the regime that precedes it. Furthermore, the RD does not set new bonuses. The specification of the definitive remuneration has been postponed to the subsequent publication of a ministerial order and the latest existing rates remain as a reference, valid during the provisional term stretching from the publication of the RD to the publication of the subsequent order.

Electricity Law 24/2013, of 26 December, was published on 27 December 2013 to set out a regulation for the electricity sector that guarantees electricity supply with the necessary quality levels at the minimum possible cost, ensuring the economic and financial sustainability of the system and enabling an effective level of competition within it, respecting at all times the environmental protection principles proper to a modern society.

The expected enactment of this Law is defined in Royal Decree 413/2014, of 6 June, regulating the electricity production activity based on renewable, cogeneration and waste sources. The above RD organises the bases of the remuneration framework that enables electricity production facilities assigned to this system to cover the necessary costs in order to be able to compete on the market on an equal footing with the remaining technologies and obtain a reasonable return, establishing a remuneration system based on standard parameters and standard facilities. Towards this end, both article 14.4 of the Electricity Law and article 20 of the above Royal Decree, define an system to update the remuneration parameters of standard facilities. For facilities whose operating costs depend essentially on the price of fuel, Order

IET/1345/2015, of 2 July, enacts the aforementioned articles and implements an update methodology on remuneration, to be applied weekly.

The above regulation contemplates the revision of market price estimates for the first three years of the regulatory period corresponding to fiscal years 2014, 2015 and 2016, adjusting them to real market prices. Section 3 of art. 22 of Royal Decree 413/2014 on market price estimates and deviation adjustments indicates that when the annual average price of the daily and intra-daily market is outside the limits set by the regulation, a positive or negative balance will be generated. This balance, accumulated on an annual basis, will be understood as the adjustment value for deviations in market price estimates. The adjustment value due to differences in market price and its estimates will therefore be calculated annually.

In the context of the COVID-19 international pandemic, Order TED/260/2021, of 18 March, was published on 22 March 2021, adopting measures to support facilities whose operating costs depend essentially on the price of fuel. The Order reviews the remuneration of standard facilities whose operating costs depend essentially on the fuel market.

Order TED/1232/2022, dated 2 December 2022, was published on 14 December 2022, updating the remuneration parameters for standard facilities applicable to those using renewable energy sources, cogeneration and waste treatment, with the aim of having the new parameters applied to fiscal year 2022, and setting the remuneration corresponding to the first half of 2022 for these facilities.

Finally, on 28 December 2022, Order TED/1295/2022 of 22 December 2022 is published, setting the remuneration corresponding to the second semester of 2022, applicable to certain electricity production facilities using renewable energy sources, cogeneration and waste treatment, for the purpose of its application to the 2022 financial year.

In relation to the adjustment for pool deviations affecting RECORE installations, the following regulations have been published during 2023:

Royal Decree-Law 6/2022, of 29 March, establishes that by 2023 a new methodology for determining the remuneration for the operation (Ro) of standard installations must be published, and, furthermore, that in this new methodology, the banding adjustments for pool deviations must cease to be applied for installations whose costs depend essentially on the cost of fuel (cogeneration, waste treatment and biomass).

Royal Decree-Law 10/2022 of 13 May requires that the market price for the adjustment for deviations in the pool price cease to be the average of the daily and intra-day market (OMIE) and become the average of a basket of electricity price products (spot and futures).

Royal Decree-Law 20/2022 of 27 December provides that, as it has not been possible to publish a proposal for a new methodology in time, the current methodology will be applicable for the first half of 2023, modifying the provisions of RDL 6/2022.

In December 2022, the Draft Order for the first half of 2023 is published, continuing with the current regulation as set out in RDL 20/2022.

In April 2023 the Draft Order for the second half of 2023 is published, establishing a new Ro calculation methodology, and a new pool deviation adjustment methodology for cogeneration, treatments, and biomass, proposing to replace the banding adjustments with a settlement at the end of each year.

Royal Decree-Law 5/2023, of 28 June, establishes a series of changes for the year 2023, with respect to the previously published regulations and proposals:

- It considers ad hoc commodity prices (electricity, natural gas and CO2 prices) for 2023, awaiting the new methodology, but resulting in a reduction of the Ro value of the plants.

- For the year 2023 the applicable price for the adjustment for pool deviations will be the smallest between the RDL 10/2022 basket average and the minimum daily market price (OMIE). Given that the average OMIE price was lower than the basket price in 2023, the OMIE price is taken as the adjustment price for 2023.

The value of the Ro for the first half of 2023 is officially set by Order TED/741/2023, of June 30. The Order proposes two alternative Ro values, with the higher value being applicable. This is because one of the alternatives is calculated according to the commodity prices determined by the usual methodology, while the other alternative is calculated according to the prices set by Royal Decree-Law 5/2023. The order also specifies that for the calculation of the adjustment for pool deviations for the 2023-2025 half-period, the targeting coefficient must be applied not only to the actual pool, but also to the adjustment bands.

On 30 June 2023, a new Draft Order is published for the second half of 2023, replacing the one previously published in April 2023. The new proposal removes all mention of setting up a new methodology for calculating Ro or adjustments, maintaining the previous methodology in force, but considering, this time, the prices and parameters set out in RDL 5/2023.

The Draft Order on parameters for the first half of 2024 was published on 22 November 2023. This Order finally sets the new Ro methodology, which will apply from 1 January 2024 and will establish the calculation of Ro on a quarterly basis for cogeneration and waste treatment, and annually for biomasses, and ceases to apply pool adjustments of any kind for cogeneration and waste treatment. The order therefore confirms that adjustments for pool deviations cease to apply from 2024, implying that in 2023 the banding adjustment for cogeneration and waste treatment continues to apply.

4. Significant accounting principles

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) and its interpretations as endorsed by the European Union (EU-IFRS).

A summary of the most significant principles is as follows:

4.1. Changes in accounting policies

As a result of the publication of IAS 12 amendment "Deferred Tax Relating to Assets and Liabilities Arising from a Single Transaction", the accounts for the year ended 31 December 2022 had to be restated. However, these changes do not affect the result for said year.

The Group intends to adopt these standards, interpretations and amendments mandatory in the European Union when they enter into force if they are applicable. Based on the analyses performed to date, the Group considers that there were no significant impacts on the consolidated financial statements.

4.2. Going concern basis

Once the financial situation has been assessed, together with the liquidity and obligations undertaken, the directors conclude that no events or conditions exist that cast doubt over the Group's ability to continue as a going concern, hence the consolidated financial statements have been prepared using this principle.

4.3. Method of consolidation

Control is obtained when the Group is exposed, or has the rights attached to variable interest rates arising from its involvement in a subsidiary, and is able to influence them as a result of the exercise of power over the subsidiary. Specifically, the Group has control of a subsidiary if, and only if it has:

- Power over the subsidiary (existing rights allowing it to manage relevant subsidiary's activities)
- Exposure, or rights, to variable returns from its involvement with the other company
- The ability to use its power over the other company to affect the amount of the company's return

Generally, it is presumed that the majority of voting rights grants control.

The Group has applied the exemption permitted by IFRS 1 First-time Adoption of International Financial Reporting Standards regarding business combinations. Consequently, only business combinations which occurred subsequent to 1 January 2004, the date of

transition to EU-IFRS, have been recognised using the purchase method. Entities acquired prior to that date were recognised under the former Spanish general chart of accounts, once the necessary transition date adjustments and corrections were considered.

Subsidiaries were fully consolidated; hence all the assets, liabilities, equity, income, expenses and cash flow arising from transactions between Group companies are totally eliminated during the consolidation process.

The financial statements of the subsidiaries used in the consolidation process reflect the same reporting date as that of the Parent and are adapted to the Group's accounting policies.

4.4. Effects of changes in foreign exchange rates

(a) Foreign currency transactions

The consolidated financial statements are presented in thousands of euros, which is the functional and presentation currency of the Parent.

Each Group entity determines its own functional currency and the balances included in the financial statements of each company are measured using this functional currency.

Foreign currency transactions are translated into the functional currency using the exchange rate prevailing at the transaction date.

Monetary assets and liabilities expressed in foreign currencies have been translated into the functional currency at the year-end exchange rate, whereas non-monetary assets and liabilities measured at historical cost in a foreign currency are translated using the exchange rate at the transaction date. Non-monetary assets denominated in foreign currencies measured at fair value are translated to the functional currency at the foreign currency exchange rate prevailing at the date the value was determined.

Differences arising on settlement of transactions in foreign currency and on translation of monetary assets and liabilities expressed in foreign currency to the functional currency are taken to the income statement. Exchange differences arising from the translation of monetary items forming part of the net investment in foreign operations are recognised as translation differences in equity.

Translation gains or losses related to monetary financial assets or liabilities expressed in foreign currency are also recognised in the income statement.

b) Translation of foreign operations

Translation differences are recognised in the Group’s equity. Translation of foreign operations, excluding foreign operations in hyperinflationary economies, is based on the following criteria:

- Assets and liabilities, including goodwill and adjustments to net assets arising from the acquisition of businesses, including comparative balances, are translated at the year-end exchange rate at each balance sheet date.

- Income and expenses relating to foreign operations, including comparative balances, are translated at the exchange rates prevailing at each transaction date; and

- Foreign exchange differences arising from application of the above criteria are recognised under translation differences in equity.

The Group does not carry out any business activities in hyperinflationary countries.

Translation differences arising as a result of the sale of foreign businesses recognised in equity are recognised as a single line item in the consolidated income statement when there is a loss of control of such businesses.

4.5. Classification of assets and liabilities as current and non-current

The Group classifies assets and liabilities in the consolidated statement of financial position as current or non-current based on the following criteria: For these purposes, current assets or liabilities are those that meet the following criteria:

- Assets are classified as current when they are expected to be realised, sold or traded in the Group's ordinary course of business within 12 months of the balance sheet date and when held essentially for trading. Cash and cash equivalents are also classified as current, except where they may not be exchanged or used to settle a liability, at least within the 12 months following the balance sheet date. The Group classifies the remainder of its assets as non-current.

- Liabilities are classified as current when expected to be settled in the Group's ordinary course of business within 12 months of the balance sheet date and when essentially held for trading, or where the Group does not have an unconditional right to defer settlement of the liability for at least 12 months from the balance sheet date. The Group classifies the remainder of its liabilities as non-current.

- Deferred tax assets and liabilities are classified as non-current assets and liabilities.

4.6. Calculation of fair value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or

- In the absence of a principal market, in the most advantageous market for the asset or liability.

- The principal or the most advantageous market must be accessible to by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses measurement techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities

- Level 2 — Measurement techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

- Level 3 — Measurement techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Group determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Company considers that its cash, trade and other receivables, trade and other payables, and balances of accounts payable to and receivable from public administrations, have a fair value very close to their carrying amounts mainly as a result of their coming due in the short term.

The fair values for the remaining financial assets and liabilities are disclosed in Notes 10 and 16, respectively.

4.7. Financial instruments - Initial recognition and subsequent measurement

(a) Classification

The Group has classified its financial assets in the following measurement categories:

- those valued subsequently at fair value (whether through profit or loss or through other comprehensive income), and

- those valued at amortised cost.

The classification depends on the business model at the entity to manage financial assets and the contractual terms of cash flows.

For assets valued at fair value, gains or losses are recognised through profit or loss or through other comprehensive income. For investments in equity instruments that are not held for sale, this will depend on whether the Group made an irrevocable choice at the time of the initial recognition to account for the investment in equity at fair value through other comprehensive income.

The Group only reclassifies investments in debt when the business model is changed to manage these assets.

(b) Recognition and derecognition

Conventional purchases and sales of financial assets are recognised on the trade date, the date on which the Group commits to buying or selling the asset. Financial assets are derecognised when the rights to cash flows relating to the financial assets expire and the Group has substantially transferred all risks and rewards inherent to ownership.

(c) Measurement

Upon initial recognition, the Group measures a financial asset at its fair value, plus, in the case of financial assets other than at fair value through profit or loss (FVTPL), the costs of the transaction directly attributable to the acquisition of the financial asset. The costs of the financial asset transaction recognised at fair value through profit or loss are recognised as expenses on the income statement.

Financial assets with implicit derivatives are considered as a whole when establishing whether their cash flows are exclusively for the payment of the principal and interest.

- ***Debt instruments***

The subsequent measurement of debt instruments depends on the Group's business model to manage the asset and the cash flow characteristics of the asset. There are three measurement categories under which the Group classifies its debt instruments:

- Amortised cost: Assets held for the collection of contractual cash flows when those cash flows represent only payments of principal and interest are measured at amortised cost.

  Interest income from these financial assets is recorded as financial income in accordance with the effective interest rate method.

  Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other gains/(losses) together with foreign exchange gains and losses.

  Losses from impairment on the other hand are recorded as a separate line item in the income statement.

- Fair value through other comprehensive income: Assets held for the collection of contractual cash flows and for sale, where the cash flows from the assets represent only payments of principal and interest, are carried at fair value through other comprehensive income.

  Changes in the carrying amount are taken to other comprehensive income, except

for the recognition of impairment gains or losses, ordinary interest income and foreign exchange gains or losses which are recognised in other gains/(losses).

When such financial assets are derecognised, the cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss and recognised in other gains/(losses).

Interest income on these financial assets is included in finance income in accordance with the effective interest method.

Foreign exchange gains and losses are presented in other gains and losses and impairment expense is presented as a separate line item in the income statement.

- Fair value through other profit or loss: Assets that do not meet the criteria for amortised cost or fair value through other comprehensive income are recognised at fair value through profit or loss.

  A gain or loss on a debt investment that is subsequently recognised at fair value through profit or loss is recognised in profit or loss and presented net in the income statement within other gains/(losses) in the period in which it arises.

- ***Equity instruments***

The Group subsequently measures all equity investments at fair value. When the Group's management has decided to present gains or losses at the fair value of equity investments through other comprehensive income, there is no subsequent reclassification of gains and losses at fair value through profit or loss following the derecognition of the investment in accounts. Dividends from these investments are recognised in profit or loss for the year as other income when the company's right to receive payments is established.

Changes in the fair value of financial assets at fair value through profit or loss are recognised in other gains/(losses) in the income statement when applicable. Impairment losses (and reversals of impairment losses) on equity investments measured at fair value through other comprehensive income are not presented separately from other changes in fair value.

(d) Impairment

The Group measures against a prospective base of expected credit losses associated with its assets at amortised cost and fair value through other comprehensive income. The methodology applied for impairments depends on whether there has been a significant increase in credit risk.

For trade receivables, the Group takes the simplified approach permitted under IFRS 9, which requires that expected losses during their useful life are recognised from the initial recognition of the receivables. See Note 9 for further details.

4.8. Impairment of non-financial assets subject to depreciation or amortisation

The Group periodically evaluates whether there are indications of possible impairment losses on assets other than financial assets, inventories, deferred tax assets and non-current assets held for sale, to determine whether their carrying amount exceeds their recoverable value (impairment loss).

(a) Calculation of recoverable amount

The recoverable amount of assets is the greater of their net selling value and value in use. An asset's value in use is calculated based on the expected future cash flows deriving from use of the assets, expectations of possible variations in the amount or timing of those future cash flows, the time value of money, the price for bearing the uncertainty inherent in the asset and other factors that market participants would reflect in pricing the future cash flows the entity expects to derive from the asset.

Recoverable amounts are calculated for individual assets, unless the asset does not generate cash inflows that are largely independent from those corresponding to other assets or groups of assets. In this case, the recoverable amount is determined for the cash-generating unit (CGU) to which the asset belongs.

(b) Reversal of impairment

Impairment losses are only reversed if there has been a change in the estimates used to determine the recoverable amount. Impairment losses on goodwill are not reversible.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment had been recognised.

The amount of the reversal of the impairment of a CGU is allocated to its assets, except goodwill, pro rata on the basis of the carrying amount of the assets, to the limit referred to in the previous paragraph.

4.9. Revenue recognition

Revenue from the sale of goods or services is recognised at the fair value of the consideration received or receivable. Revenue comprises the fair value of the consideration received or receivable for the sale of goods and services, net of VAT and any other amounts or taxes which are effectively collected on the behalf of third parties. Volume or other types of discounts for prompt payment are recorded as a reduction in revenue if considered probable at the time of revenue recognition.

Before recognising revenue, the Group:

- identifies the customer contracts
- identifies the separate performance obligation
- establishes the transaction price of the contract
- allocates the transaction price between the separate performance obligations

- recognises the revenue when each performance obligation is satisfied

(a) Sale of casings and film

The Group manufactures and sells casings and film for food use and other applications. Sales are recognised when control of the products is transferred, i.e., when the products are delivered to the customer, this party has full discretion over the product and no obligations have been unfulfilled that may affect the customer's acceptance of the products. The delivery takes place based on agreements with customers (Incoterm) and it is at this time when risks of obsolescence and loss are transferred to the customer, and the Group has proof that all acceptance criteria have been met.

The products are often sold subject to volume discounts over a 12-month period. Income from these sales is recognised based on the price specified in the contract, net of estimated volume discounts. Accumulated experience is used to estimate and provide discounts, using the expected value method and ordinary income are only recognised insofar as it is highly likely that there is no significant reversal. No element of financing is considered to exist, as sales are completed with a credit term of 45-90 days, which is consistent with market practice.

An account receivable is recognised when the assets are delivered, as this is the time at which the consideration is unconditional, as only the passing of time is required for the payment to mature.

(b) Sale of energy

Energy sales are recognised as energy is produced and made available to the customer. At this time, it is understood that there are no unfulfilled obligations. These sales are made at regulated tariffs in each location. No element of financing is considered to exist, as sales are completed with a credit term of 60 days.

The Viscofan Group recognises the electricity revenue generated from cogeneration, including the perceived market tariff, together with the energy generation premiums, in line with the regulations, as the energy is generated and commercialised.

In terms of the sales of electricity produced, they are recognised as the energy generated by cogeneration systems is produced and delivered, applying the tariffs in force.

4.10. Earnings per share

Basic earnings per share are calculated by dividing net profit for the year attributable to the ordinary shares of the Parent by the weighted number of ordinary shares outstanding during that year, excluding the average number of shares of the Parent, Viscofan, S.A. held by any of the Group companies.

Diluted earnings per share are calculated by dividing net profit for the year attributable to the ordinary shareholders of the parent by the weighted average number of ordinary shares which would be in issue if all potential ordinary shares were converted into ordinary shares of Viscofan, S.A.

4.11. Business combinations and goodwill

The acquisition method of accounting is used to account for all business combinations, regardless of whether equity instruments or other assets are acquired. The consideration transferred for the acquisition of a subsidiary comprises:

- the fair values of the assets transferred
- liabilities incurred with former owners of the acquired business
- equity investments issued by the group
- the fair value of any asset or liability resulting from a contingent consideration arrangement, and
- the fair value of any previous equity interest in the subsidiary.

Identifiable assets acquired and contingent liabilities and liabilities assumed in a business combination, with limited exceptions, are initially measured at their fair values at the acquisition date. The group recognises any non-controlling interest in the acquired entity on an acquisition-to-acquisition basis at fair value or by the proportionate share of the non-controlling interest in the acquiree's net identifiable assets.

Acquisition-related costs are recognised as an expense when incurred.

Goodwill is recognised as the excess of

- the consideration transferred, the amount of any non-controlling interest at the acquired entity and the fair value at the acquisition date of any equity interest
- on the fair value of the identifiable net assets acquired and the liabilities assumed.

If the amounts of the fair value of the net assets acquired and the liabilities assumed is higher, the difference is recognised directly in profit or loss as a purchase on very advantageous terms.

When the settlement of any part of the cash consideration is deferred, future amounts payable are discounted to their present value at the exchange date. The discount rate used is the entity's incremental borrowing interest rate, the rate at which a similar loan could be obtained from an independent lender under comparable terms and conditions.

The contingent consideration is classified as equity or financial liability. The amounts classified as a financial liability are subsequently restated to fair value with changes in fair value recognised in profit or loss.

If the business combination is carried out in stages, the carrying amount at the acquisition date of the acquiree's equity interest in the previously-held acquiree is measured again at its fair value at the acquisition date, recognising any resulting gain or loss in profit or loss.

4.12. Intangible assets

(a) Goodwill

Goodwill is measured as described in Note 4.12. Goodwill on acquisitions of subsidiaries is included in intangible assets. Goodwill is not amortised, but tested annually for impairment, or more frequently if events or changes in circumstances indicate that it may be impaired, and is recognised at cost less any accumulated impairment losses. A gain or loss on the sale of an entity includes the carrying amount of goodwill related to the entity sold.

For the purposes of impairment testing, goodwill is allocated to the cash-generating units. The allocation is made among cash-generating units or groups of cash-generating units that are expected to benefit from the business combination in which the goodwill arose (Note 5).

b) Development costs

Development costs incurred on a project are recognised as intangible assets if the project is technically and commercially viable, sufficient technical and financial resources are available to complete it, the costs incurred can be reliably determined and profit is probable.

The Group has not capitalised any development costs. Capitalised development costs are amortised on a straight-line basis over the estimated useful life of each project, never exceeding 5 years.

When there are reasonable doubts as to the technical success or economic and commercial profitability of capitalised projects, the amounts recognised in assets are charged directly to the profit and loss account for the year.

Expenditure on research activities is recognised in the consolidated income statement as an expense as it is incurred.

(c) Other tangible assets

Other intangible assets are stated at cost, less accumulated amortisation and impairment losses.

Software maintenance costs are expensed as incurred.

(d) Useful lives and amortisation rates

The Group evaluates whether the useful life of each intangible asset acquired is finite or indefinite. An intangible asset is considered to have an indefinite useful life where there is no foreseeable limit to the period over which it will generate net cash inflows. At 31 December 2023 and 2022, the Group had no intangible assets with indefinite useful lives, except for Goodwill discussed in Note 5.

Intangible assets with finite useful lives are amortised by allocating the depreciable amount systematically on a straight-line basis over the useful lives of the assets in accordance with the following criteria:

	Estimate useful life (years)
Development costs	5
Industrial property and Rights of use	5-10
Concession land rights in China	50
Software	5

The depreciable amount of intangible asset items is the cost of acquisition or deemed cost less the residual value.

The Group reassesses residual values, useful lives, and amortisation methods at the end of each financial year. Changes to initially established criteria are recognised as a change in accounting estimates.

4.13. Property, plant, and equipment

(a) Initial recognition

Property, plant, and equipment is stated at cost, less accumulated depreciation and any impairment losses. The cost of self-constructed assets is determined using the same principles as for an acquired asset, considering the principles established to determine the cost of production. The cost of production is capitalised through the credit of the costs attributable to the assets in accounts under "Other income" in the consolidated income statement.

The cost of assets which have long installation periods includes finance costs accrued prior to their being put to use. Such costs meet the capitalisation requirements described above.

The Group availed itself at 1 January 2004 of the exemption related to the restated values pursuant to the corresponding legislation, as an attributed cost of IFRS 1 "First Time Adoption of International Financial Reporting Standards".

(b) Amortisation and depreciation

Property, plant, and equipment is depreciated systematically over the useful life of the asset. The depreciable amount of PP&E items is the cost of acquisition less the residual value. Each part of a PP&E item with a cost that is significant in relation to the total cost of the item is depreciated separately.

Depreciation of PP&E items is calculated using the straight-line method over their estimated useful lives, as follows:

	Estimate useful life (years)
Buildings	30
Plant and equipment	10
Other installations, tools and furniture	5 - 10
Property, plant, and equipment	3 - 15

The Group reassesses residual values, useful lives, and depreciation methods at the end of each financial year. Changes to initially established criteria are recognised as a change in accounting estimates.

(c) Subsequent recognition

Subsequent to initial recognition of the asset, only costs that will probably generate future economic benefits and which may be measured reliably are capitalised. Ordinary maintenance costs are expensed as they are incurred.

Replacements of property, plant, and equipment which meet the requirements for capitalisation are recognised as a reduction in the carrying amount of the items replaced. Where the cost of the replaced items has not been depreciated independently and it has not been practical to determine the respective carrying amount, the replacement cost is used as indicative of the cost of items at the time of acquisition or construction.

4.14. Right-of-use

From 1 January 2019, leases are recognised as a right-of-use asset and the corresponding liability on the date on which the leased asset is available for use by the Group.

Assets and liabilities arising from a lease are initially measured on a present value basis. Right-of-use liabilities include the net present value of the following right-of-use payments:

- fixed payments (including fixed payments in substance), less any right-of-use incentive to collect
- variable right-of-use payments that depend on an index or rate, initially measured according to the index or rate at the start date
- amounts expected to be paid by the Group as residual value guarantees
- the exercise price of a call option if the Group is reasonably certain that it will exercise that option, and
- penalty payments on termination of the rights-of-use, if the term of the right-of-use reflects the Group's exercise of that option.

Right-of-use payments to be made under reasonably certain extension options are also included in the measurement of the liability.

Right-of-use payments are discounted using the interest rate implied in the right-of-use.

The Group is exposed to potential future increases in variable right-of-use payments based on an index or rate, which are not included in the right-of-use liability until they take effect. When adjustments to index or rate-based right-of-use payments take effect, the right-of-use liability is reassessed and adjusted against the right-to-use asset.

Right-of-use payments are apportioned between principal and finance cost. The finance cost is charged to income over the right-of-use period so as to produce a constant periodic interest rate on the remaining balance of the liability for each period.

Right-of-use assets are measured at cost, comprising:

- the amount of the initial measurement of the right-of-use liability
- any right-of-use payments made on or before the start date, less any right-of-use incentives received
- any initial direct costs, and
- restoration costs.

Right-of-use assets are generally amortised on a straight-line basis over the shorter of the asset's useful life or the end of the lease term.

The Group applies the exemption of recognising leases that have a period equal to or lower than 12 months from the date of commencement, and that do not contain a purchase option, and the leases in which the underlying asset has a scant value. The payment for these leases is recognised as an expense during the lease period.

4.15. Inventories

Inventories comprise non-financial assets which are held for sale by the consolidated entities in the ordinary course of business.

Cost comprises all costs of acquisition, costs of conversion, and other costs incurred in bringing the inventories to their present location and condition.

Inventory conversion costs comprise the costs directly related with the units produced and a systematically calculated part of the indirect, variable or fixed costs incurred in the conversion process. Indirect fixed costs are distributed on the basis of the normal production capacity or actual production.

Indirect fixed costs distributed to each production unit are not increased as a result of a low level of production or idle production capacity. Indirect costs that are not distributed are recognised as expenses for the financial year in which they are incurred. In periods of abnormally high production, the amount of indirect costs distributed to each production unit is decreased so that inventories are not measured above cost. Variable indirect costs are distributed to each production unit on the basis of the actual use of the production facilities.

The methods applied by the Group to determine inventory costs are as follows:

- Raw materials, other materials consumed, and goods for resale: at weighted average cost.

- Finished and semi-finished products: at weighted average cost of raw and other materials and includes direct and indirect labour, plus other manufacturing overheads.

Volume discounts from suppliers are recognised when it is probable that the discount conditions will be met. Prompt payment discounts are recognised as a reduction in the cost of inventories acquired.

The cost of inventories is adjusted against profit or loss in cases where cost exceeds net realizable value. Net realizable value is considered as the following:

- Raw materials and other consumables: the Group only makes adjustments if the finished products in which the raw materials are incorporated are expected to be sold at a price equivalent to their production cost or lower;

- Goods for resale and finished products: estimated sale price, less selling costs.

- Work in progress: estimated sale price for corresponding finished products, less the estimated costs for completion of their production and selling costs.

Write-downs and reversals of write-downs are recognized in the consolidated income statement for the year. When the circumstances that previously caused the inventories to be written down below cost no longer exist or when there is clear evidence of an increase in net realizable value because of changed economic circumstances, the amount of the write-down is reversed against the following headings: “Changes in inventories of finished products” and “Work in progress and consumption of materials and other supplies.” The reversal of write-downs in the value of inventories is recognised with a credit to the "Changes in inventories of finished goods and work in progress" and "Consumption of raw materials and other consumables" headings.

4.16. Emission rights

The Viscofan Group records emission rights when it owns them, under the "Inventories" heading.

Rights assigned free of charge to each plant under each national emission rights assignment plan are initially measured at market value on the date granted and are recognised as a credit to "Grants" (Note 4.21) in the consolidated statement of financial position. Rights acquired from third parties are recognised at their acquisition cost.

These assets are measured using the cost method. At each year end they are analysed for any indications of impairment of their carrying amounts.

These emission rights are eliminated from the statement of financial position when they are sold, delivered, or have expired. Should the rights be delivered, they are derecognized from the

provision made when the CO2 emissions take place applying the FIFO method (first in, first out).

4.17. Non-current assets held for sale and discontinued operations

The Group classifies assets whose carrying amount is expected to be realised through a sale transaction, rather than through continuing use, as “Non-current assets held for sale” when the following criteria are met:

- When they are immediately available for sale in their present condition, subject to the normal terms of sale; and
- When it is highly probable that they will be sold.

Non-current assets held for sale are accounted for at the lower of their carrying amount and fair value less cost to sell, except deferred tax assets, assets arising from employee benefits, and financial assets which do not correspond to investments in Group companies, joint ventures and associates, which are measured according to specific standards. These assets are not depreciated and, where necessary, the corresponding impairment loss is recognised to ensure that the carrying amount does not exceed fair value less costs to sell.

Disposal groups held for sale are measured using the same criteria described above. The disposal group as a whole is then remeasured at the lower of the carrying amount and fair value less costs to sell.

Related liabilities are classified as “Liabilities held for sale and discontinued activities".

A disposal group of assets is considered a discontinued operation if it is a component of an entity which either has been disposed of or is classified as held for sale and:

- Represents a significant and separate major line of business or geographical area of operations.
- Is part of a single coordinated plan to dispose of a significant and separate major line of business or geographical area of operations.

Discontinued operations are presented in the consolidated income statement separately from income and expenses from continuing operations, on a single line under "Profit from discontinued operations."

4.18. Cash and cash equivalents

Cash and cash equivalents include cash on hand and demand deposits with credit institutions. Other short-term, highly-liquid investments are also included under this heading, provided that they were readily convertible into specified amounts of cash and had an original maturity of close to or not exceeding three months.

4.19. Dividend

The interim dividends approved by the Board of Directors in 2023 and 2022 are included as a reduction of the Viscofan Group's equity.

4.20. Government grants

Government grants are recognised on the face of the balance sheet when there is reasonable assurance that they will be received and that the Group will comply with the conditions attached.

(a) Capital grants

Government grants in the form of non-monetary assets are recognised at fair value, with a credit to "Grants" in the consolidated statement of financial position and they are transferred to “Other income” in the consolidated income statement in line with the depreciation of the subsidised asset.

Non-refundable grants related to emission rights are initially recognised at market value on the date provided under "Grants," and are recognised in the consolidated income statement as they are used. They are recognised in "Other income" on the consolidated income statement.

(b) Operating subsidies

Operating subsidies are recognised with a credit to “Other income” in the consolidated income statement.

Grants received as compensation for expenses or losses already incurred, or for the purpose of providing immediate financial support not related to future expenses, are recognised as a credit to "Other income" in the consolidated income statement.

(c) Interest rate subsidies

Financial liabilities with implicit interest rate subsidies in the form of below-market rates of interest are initially recognised at fair value. The difference between this value, adjusted where applicable by the costs of issue of the financial liability and the amount received, is recorded as an official grant based on the nature of the grant.

4.21. Employee benefits

(a) Liabilities for retirement benefits and other commitments

Defined benefit plans include those financed by insurance premium payments for which a legal and implicit obligation exists to settle commitments directly with employees when they fall due or pay additional amounts in the event the insurer does not pay all employee benefits relating to employee service in the current and prior periods.

Defined benefit liabilities recognised in the consolidated statement of financial position reflect the present value of defined benefit plans at year end, less the fair value of the assets related to those benefits.

Defined benefit plan costs are recognised under "Staff costs" in the consolidated income statement and are obtained as a result of the addition of the net amount of the current service costs, plus the effect of any reduction or liquidation of the plan.

Interest on the net liability/(asset) relating to the defined benefit plan is calculated by multiplying the net liability/(asset) by the discount rate and is recognised in financial results under "Financial expenses".

Subsequent to initial measurement, the re-evaluation, which comprises actuarial gains and losses, the effect of the limit on the assets, excluding amounts included in net interest and performance of the plan assets are recognised immediately in the statement of financial position with a credit or debit to reserves, as appropriate, through other comprehensive income in the period in which they occur. These changes are not reclassified to profit or loss in subsequent periods.

A description of each of the Group's defined benefit pension plans is included in Note 14.1.

b) Termination benefits

The Group recognises termination benefits unrelated to restructuring processes when it is demonstrably committed to terminating the employment of current employees before the normal retirement date. The Group is demonstrably committed to terminating the employment of current employees when a detailed formal plan has been prepared and those affected have valid expectations that the process will be carried out, and there is no possibility of withdrawing or changing the decisions made. Indemnities payable in over 12 months are discounted at interest rates based on market rates of quality bonds and debentures.

c) Short-term employee benefits

Short-term benefits accrued by Group personnel are recorded in line with the employees' period of service. The amount is recorded as an employee benefit expense and as a liability net of settled amounts. If the contribution already paid exceeds the accrued expense, an asset is recorded to the extent that it will reduce future payments or a cash refund.

The Group recognizes the expected cost of short-term benefits in the form of accumulated compensated absences, when the employees render service that increases their entitlement to future compensated absences, and in the case of non-accumulating compensated absences, when the absences occur.

The Group recognizes the expected cost of profit-sharing and bonus payments when it has a present legal or constructive obligation to make such payments as a result of past events and a reliable estimate of the obligation can be made.

d) Share-based payment

Certain classes of employees are provided with share-based remuneration benefits through the Long Term Employee Incentive Plan, an employee share ownership plan. Note 23.3 provides information on these plans.

The fair value of shares granted under the long-term employee incentive plan that are settled through the delivery of shares is recognised as employee benefit expense against equity. The total amount to be recognised as an expense is determined by reference to the fair value at the grant date of the shares granted:

- including market performance conditions (for example, the entity's share price)
- excluding the impact of non-market related service or performance targets for the vesting of the shares (e.g. accident rate, waste reduction targets)

The total expense is recognised during the vesting period, which is the period during which all the specified terms for vesting have to be satisfied. At the end of each year, the entity reviews its estimates of the number of shares it expects to become vested, based on non-market service targets for vesting. The impact, if any, of the review of the original estimates is recognised in profit or loss, with a corresponding adjustment to equity.

If the long-term employee incentive plan is settled in cash, it is recognised as employee benefit expense against a liability. The total amount to be recognised as an expense is determined by reference to fair value at each close.

4.22. Provisions

(a) General criteria

A provision is recognised in the balance sheet when the Group has a present legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation, provided a reliable estimate can be made of the amount of the obligation.

The amounts recognised as a provision in the consolidated statements of financial position are the best estimate of the expenditure required to settle the present obligation at the consolidated balance sheet date, taking into account the risks and uncertainties related to the provision and, where significant, financial effect of the discount, provided that the expenditures required in each period can be reliably measured. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

The financial effect of provisions is recognised under finance costs in the consolidated income statement.

Reimbursement rights from third parties are recognised as a separate asset where it is practically certain that these will be collected. The income reimbursed, where applicable, is recognised in the consolidated income statement as a reduction in the associated expense and is limited to the amount of the provision.

If it is no longer probable that an outflow of resources embodying economic benefits will be required to settle the obligation, the provision is reversed against income. The provision is reversed against the consolidated income statement where the corresponding expense was recorded.

(b) Onerous contracts

A provision for onerous contracts is recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting its obligations under the contract.

(c) Restructuring expenses

A provision for restructuring is recognised when the Group has approved a detailed and formal restructuring plan, and the restructuring has either commenced or has been announced publicly. Provisions for restructuring only include payments directly related to the restructuring which are not associated to continuing activities of the Group.

(d) Emission rights provision

Provision is made systematically for expenses related to the emission of greenhouse gases. This provision is cancelled once the corresponding free-of-charge and market-acquired rights granted by public entities have been transferred.

4.23. Derivatives and hedge accounting

Derivatives are initially recognised at fair value on the date the derivative contract is signed and subsequently restated to fair value at each balance sheet date. The accounting for subsequent changes in fair value depends on whether the derivative has been designated as a hedging instrument and, if so, on the nature of the item being hedged. The group designates certain derivatives as:

- fair value hedges of recognised assets or liabilities or a firm commitment (fair value hedges)
- hedges of a specific risk associated with cash flows of recognised assets and liabilities and highly probable forecast transactions (cash flow hedges), or
- hedges of a net investment in a foreign operation (net investment hedges).

At the start of the hedging relationship, the Group documents the economic relationship between hedging instruments and the hedged items, including whether it is expected that changes in the cash flows of hedging instruments offset changes in the cash flows of the hedged items. The Group documents its risk management target and strategy to undertake its hedging transactions.

The fair values of the derivative financial instruments designated in hedging ratios are broken down in Note 17. The movements in the hedge reserve included in the equity of shareholders are shown in Note 12.

The total fair value of a hedging derivative is classified as a non-current asset or liability if the remaining maturity of the hedged item exceeds 12 months; it is classified as a current asset or liability when the remaining maturity of the hedged item is less than 12 months. Trading derivatives are classified as current assets or liabilities.

The effective portion of changes in the fair value of derivatives designated and classified as cash flow hedges is recognised under cash flow hedge reserves in equity. The gain or loss relating to the ineffective portion is immediately recognised in the income statement for the year within other gains/(losses).

When option contracts are used to cover expected transactions, the Group only designates the intrinsic value of the option contract as the hedging instrument.

The gains or losses corresponding to the effective portion of changes in the intrinsic value of option contracts are recognised under cash flow hedge reserves in equity. Changes in the time value of option contracts related to the hedged item ("aligned time value") are recognised through other comprehensive income under hedge cost reserves in equity.

When forward contracts are used to cover expected transactions, the Group generally only designates the change in fair value of the forward contract relating to the cash component as the hedging instrument. The gains or losses relating to the effective portion of changes in the cash component of forward contracts are recognised under cash flow hedge reserves in equity. Changes in the forward element of the contract related to the hedged item ("aligned forward element") are recognised through other comprehensive income under hedge cost reserves in equity. In some cases, the gains or losses corresponding to the effective portion of changes in the fair value of the entire forward contract are recognised under cash flow hedge reserves in equity.

Accumulated amounts in equity are reclassified in the years when the hedged item affects profit or loss for the year, as follows:

- When the hedged item subsequently results in the recognition of a non-financial asset (such as inventories), both deferred hedge gains and losses and the deferred time value or deferred forward points, as applicable, are included in the initial cost of the asset. Deferred amounts are ultimately recognised in profit for the year, as the hedged item affects profit or loss for the year (for example, via the cost of sales).

- Gains or losses corresponding to the effective portion of interest rate swaps covering floating rate loans are recognised in profit or loss under finance cost at the time as the interest cost on hedged loans.

4.24. Income tax

Income tax on the profit for the year comprises current and deferred tax.

Current tax is the amount of income taxes payable or recoverable in respect of the taxable profit or tax loss for the year. Current tax assets or liabilities are measured for amounts payable to or recoverable from tax authorities, using tax rates enacted or substantively enacted at the balance sheet date.

Deferred tax liabilities are the amounts of income taxes payable in future periods in respect of taxable temporary differences, whereas deferred tax assets are the amounts of income taxes recoverable in future periods in respect of deductible temporary differences, the carry-forward of unused tax losses, and the carry-forward of unused tax credits. Temporary differences are

differences between the carrying amount of an asset or liability in the balance sheet and its tax base.

Current and deferred tax is recognised as income or an expense and included in profit or loss for the year except to the extent that the tax arises from a transaction or event which is recognised, in the same or a different year, directly in equity, or from a business combination.

(a) Taxable temporary differences

Taxable temporary differences are recognised in all cases except where:

- Arising from the initial recognition of goodwill or an asset or liability in a transaction which is not a business combination and at the time of the transaction, affects neither accounting profit nor taxable profit, or
- Associated with investments in subsidiaries over which the Group is able to control the timing of the reversal of the temporary difference and it is probable that the timing difference will reverse in the foreseeable future.

(b) Deductible temporary differences

Deductible temporary differences are recognised provided that:

- It is probable that taxable profit will be available against which the deductible temporary difference can be utilised, unless the differences arise from the initial recognition of an asset or liability in a transaction which is not a business combination and at the time of the transaction, affects neither accounting profit nor taxable profit.
- The temporary differences are associated with investments in subsidiaries to the extent that the difference will reverse in the foreseeable future and taxable profit will be available against which the temporary difference can be utilised.

Tax planning opportunities are only considered on evaluation of the recoverability of deferred tax assets and if the Group intends to use these opportunities or it is probable that they will be used.

(c) Measurement

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the years when the asset is realised or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted by the balance sheet date and reflecting the tax consequences that would follow from the manner in which the Group expects to recover or settle the carrying amount of its assets or liabilities.

The carrying amounts of deferred tax assets are reviewed by the Group at each balance sheet date to reduce these amounts to the extent that it is no longer probable that sufficient taxable profit will be available to allow the benefit of the deferred tax assets to be utilised.

Deferred tax assets which do not comply with the aforementioned conditions are not recognised in the consolidated statement of financial position. At year end the Group reassesses unrecognised deferred tax assets.

(d) Classification and offsetting

The Group only offsets current tax assets and liabilities if it has a legally enforceable right to offset the recognised amounts and intends either to settle on a net basis, or to realize the asset and settle the liability simultaneously.

The Group only offsets tax assets and liabilities where it has a legally enforceable right, where these relate to taxes levied by the same tax authority and on the same entity and where the tax authorities permit the entity to settle on a net basis, or to realize the asset and settle the liability simultaneously for each of the future years in which significant amounts of deferred tax assets or liabilities are expected to be settled or recovered.

Deferred tax assets and liabilities are recognised on the consolidated statement of financial position under non-current assets or liabilities, irrespective of the date of realisation or settlement.

(e) Investment tax credits

The group has investment tax credits in certain subsidiaries. These tax credits are recorded by reducing the corporate income tax expense for the year in which they are applied.

4.25. Environment and climate change

(a) Environment

The Group takes measures to prevent, reduce or repair the damage caused to the environment by its activities.

Costs incurred from environmental activities are recognised under “Other operating costs” in the year in which they are incurred.

Assets used by the Group to minimize the environmental impact of its activity and protect and improve the environment, including the reduction or elimination of future pollution caused by the Group’s operations, are recognised in the consolidated balance sheet based on the criteria for recognition, measurement, and disclosure detailed in Note 25.

(b) Climate change

Climate change is a significant aspect identified in the materiality analysis and, as such, is included in the Group's long-term operating management processes. It forms an integral part of our risk mitigation policy and an essential part of our Sustainability Action Plan.

Climate change management is regulated in the Climate Change Policy, approved by the Board of Directors, and which demonstrates the Group's commitment to this huge environmental problem, establishing its undertaking to control atmospheric emissions, energy efficiency and to a business strategy related with the development of alternative energy sources.

Furthermore, the internal climate change regulations complemented by the Environmental Policy, approved by the Board of Directors, stipulate that the Group's measures must be adopted with respect for the environment, which means incorporating sustainable development criteria in all areas of activity, guaranteeing the efficient management of natural resources and minimising the undesirable effects of the Group's activities.

The main risks and the opportunities and resources allocated are detailed in Note 25.

4.26. Related party transactions

Transactions with related parties are accounted for in accordance with the measurement criteria detailed throughout this Note 4. The only transactions with related parties are detailed in Note 24 "Information relating to directors of the Parent company and key management personnel of the Group".

5. Intangible assets and goodwill

5.1. Intangible assets other than goodwill

The breakdown and movements in other intangible assets during 2023 and 2022 are as follows:

	Thousands of euros						
	Customer portfolio	Software	Industrial property	Implem entation	Advances	Amortisation and depreciation	*Total*
Opening balance as at 1	**621**	**48,753**	**23,156**	**2,455**	**111**	**-57,917**	**17,179**
Exchange gains (losses)	0	823	420	0	5	-1,217	31
Additions	0	4,739	0	0	506	-4,782	463
Disposals	0	-53	0	0	0	53	0
Transfers	0	216	0	0	-240	0	-24
Closing balance as at 31 December 2022	**621**	**54,478**	**23,576**	**2,455**	**382**	**-63,863**	**17,649**
Exchange gains (losses)	0	-155	-519	0	0	508	-166
Additions	0	3,179	0	1,013	48	-4,792	-552
Disposals	0	-537	0	0	0	537	0
Transfers	0	59	0	0	-33	0	26
Closing balance as at 31 December 2023	**621**	**57,024**	**23,057**	**3,468**	**397**	**-67,610**	**16,957**

The balances of this heading at 31 December 2023 and 2022 are the following:

	Thousands of euros					
	31.12.2023			31.12.2022		
	Cost	Amortisation and depreciation	*Total*	Cost	Amortisation and depreciation	*Total*
Customer portfolio	621	-621	*0*	621	-621	0
Software	57,024	-45,036	*11,988*	54,478	-41,893	12,585
Industrial property	23,057	-19,636	*3,421*	23,576	-19,459	4,117
Implementation	3,468	-2,317	*1,151*	2,455	-1,890	565
Advances	397	0	*397*	382	0	382
TOTAL	**84,567**	**-67,610**	***16,957***	**81,512**	**-63,863**	**17,649**

Details of the cost of fully amortised intangible assets in use at 31 December 2023 and 2022 are as follows:

	Thousands of euros	
	2023	2022
Software	37,197	32,317
Industrial property	13,427	14,116
Fully depreciated assets	**50,624**	**46,433**

5.2. Goodwill

The changes during 2023 and 2022 are detailed below:

	Thousand euros
Opening balance as at 1 January 2022	**2,959**
Exchange gains (losses)	278
Closing balance as at 31 December 2022	**3,237**
Exchange gains (losses)	368
Closing balance as at 31 December 2023	**3,605**

These amounts correspond to the Supralon Group CGU (2,717 thousand euros) in the "Rest of Europe and Asia" geographical region, and to the CGU transfer of ingredients (888 thousand euros) in the North America geographical region.

Impairment test

Below, we provide details of the calculation used in the impairment test for the different goodwill recognised at 31 December 2023.

(a) CGU Supralon Group

Goodwill for the sum of 2,717 thousand euros, recognised on the Group's consolidated balance sheet corresponds to the Supralon Group, whose CGU corresponds to the legal company or subgroup, dedicated to the production and distribution of casings for the meat industry.

5-year projections were done, in which Management established forecasted business figures broken down by CGU managers (by year, country, customer, average product sales prices) based on historic data (internal/external sources), market, competition scenarios, information on new products and those in development, and actions to be implemented aimed at geographical expansion, and available macroeconomic forecasts.

As a result of this analysis, the Directors consider that at 31 December 2023, there were no indications that any impairment losses should be recorded.

(b) Transfer of ingredients

Goodwill recognised in the Group's consolidated balance sheet at 31 December 2023 amounted to 888 thousand euros.

The transfer of ingredients CGU is a pioneer in the industry, having developed innovative products with value-added technology, such as casings capable of transferring ingredients: spices, flavours, aromas and colours to cold meats and other meat products in natura. The products thus obtained significantly facilitate certain production processes of our customers and improve consumer experience.

The assumptions include an increasing volume of sales during the first year's activity. 5-year projections were done, in which Management established forecasted business figures broken down by CGU managers (by year, country, customer, average product sales prices) based on historic data (internal/external sources), market, competition scenarios, information on new products and those in development, and actions to be implemented aimed at geographical expansion, and available macroeconomic forecasts.

As a result of this analysis, the Directors consider that at 31 December 2023, there were no indications that any impairment losses should be recorded.

6. Property, plant, and equipment

The breakdown and movements in property, plant, and equipment during 2023 and 2022 are as follows:

	Thousands of euros							
	Land and buildings	Plant and equipment.	Other installations, tools and furniture	Property, plant, and equipment	Property, plant, and equipment under construction	Amortisation and depreciation	Impairment	*Total*
Opening balance as at 1 January 2022	**274,833**	**912,362**	**118,542**	**45,220**	**49,079**	**-901,021**	**-748**	***498,267***
Exchange gains (losses)	4,161	22,764	466	1,008	1,756	-19,053	-6	*11,096*
Additions	16,855	67,109	1,912	4,891	29,595	-68,076	-45	*52,241*
Disposals	-29	-4,818	-273	-691	-62	5,443	47	*-383*
Transfers	10,561	55,739	3,349	1,112	-70,738	0	0	*23*
Closing balance as at 31 December 2022	**306,381**	**1,053,156**	**123,996**	**51,540**	**9,630**	**-982,707**	**-752**	***561,244***
Exchange gains (losses)	-3,269	-1,164	-1,164	-762	-164	3,409	2	*-3,112*
Additions	3,342	26,728	2,880	2,263	38,093	-73,628	-308	*-630*
Disposals	-109	-2,497	-602	-1,756	-9	3,638	0	*-1,335*
Transfers	3,217	18,730	723	856	-23,552	0	0	*-26*
Closing balance as at 31 December 2023	**309,562**	**1,094,953**	**125,833**	**52,141**	**23,998**	**-1,049,288**	**-1,058**	***556,141***

The balances of this heading at 31 December 2023 and 2022 are the following:

	Thousands of euros					
	31.12.2023			31.12.2022		
	Cost	Amortisation and depreciation	*Total*	Cost	Amortisation and depreciation	*Total*
Land and buildings	309,562	-145,176	*164,386*	306,381	-137,971	*168,410*
Plant and equipment	1,094,953	-772,812	*322,141*	1,053,156	-720,617	*332,539*
Other installations, tools and furniture	125,833	-95,366	*30,467*	123,996	-90,414	*33,582*
Property, plant, and equipment	52,141	-36,992	*15,149*	51,540	-34,457	*17,083*
Property, plant, and equipment under construction and payments on account	23,998	0	*23,998*	9,630	0	*9,630*
TOTAL	**1,606,487**	**-1,050,346**	***556,141***	**1,544,703**	**-983,459**	***561,244***

In 2023, investments in property, plant and equipment in the Group totalled 73,306 thousand euros. Projects during the year included recurring maintenance investments, progress on the construction of a new cellulosic and collagen converting plant in Thailand, and investments in the converting phase in the Czech Republic.

Investments in property, plant and equipment amounting to 120,362 thousand euros were made in 2022. The main projects, launched in the first months of 2023, were focused on increasing collagen casing capacity in Spain, Germany, Serbia, China and the United States. In addition, investment has been made in new cellulose technology for the Danville plant in the United States, and the new collagen hydrolysates plant in Germany has been started up to boost the development of New Businesses, as well as new initiatives aimed at strengthening competitive advantages, especially in the energy field.

Details of the cost of fully depreciated property, plant, and equipment in use at 31 December 2023 and 2022 are as follows:

	Thousands of euros	
	2023	2022
Buildings	67,135	63,631
Plant and equipment	526,828	459,769
Other installations, tools and furniture	69,062	64,497
Property, plant, and equipment	27,200	24,148
Fully depreciated assets	**690,225**	**612,045**

As a result of the annual investment plan, at year-end 2023 there are commitments to acquire fixed assets amounting to 28,936 thousand euros, including the installation of a new converting centre in Thailand, an increase in plastics capacity in Mexico and environment-related investments in Spain and Brazil.

At 2022 year-end, non-current asset purchase commitments amounted to 4,233 thousand euros, related to the converting facilities in Thailand.

The Group has insurance policies covering the various risks to which its items of property, plant, and equipment are exposed. The coverage of these policies is considered sufficient.

Impairment test

During the last two years, no signs of impairment have been identified in any of the Group's cash-generating units.

However, investment in the US has generated negative results in recent years. During 2022, the Company's management decided to make certain investments in the American subsidiary in order to modernise the production assets and to improve the situation of this subsidiary. As a result of these investments (and an optimisation of their operation during the financial year 2023), management considers that there is no reason to impair the investment.

In order to carry out the impairment analysis, the main assumptions considered were as follows:

- investments of approximately USD 75 million have been made in the US plants, which have reached optimal operation in 2023 (these investments are almost entirely incorporated in Viscofan USA's assets at the end of 2022).
- the sales envisaged in the plan are expected to grow in the following years in line with installed capacity increases.
- the current circumstances of raw material and production costs have been considered, adapted to the current market circumstances and the new materialised investments.
- the EBITDA to sales projection is increasing as new investments materialise, reaching reasonable margins within the context of the group.
- the impact on working capital as a result of the projections made.
- the pre-tax discount rate is 10.10%.

After performing the above analysis, the present value of future cash flows is significantly higher than the present value of the investment. However, a sensitivity analysis has been performed on the main variables, identifying a more conservative scenario in the estimates, in which the slack in the analysis remains significant, as well as an increase in the discount rate to a value of 10.4%, without identifying any impairment. Finally, a more aggressive scenario has been considered in which both flow and discount rate sensitivities are considered, and in this scenario a deterioration of the US investment is not identified either.

7. Right-of-use

This note provides information on the rights of use under which the Group is a lessee.

7.1. Right-of-use assets

The balance sheet shows the following amounts related to rights of use:

	Thousands of euros					
	Buildings	**Plant and equipment**	**Other installations, tools and furniture**	**Property, plant, and equipment**	**Amortisation and depreciation**	***Total***
Opening balance as at 1 January 2022	**18,114**	**1,624**	**0**	**5,758**	**-11,528**	***13,968***
Exchange gains (losses)	246	7	0	70	-123	*200*
Additions	188	173	0	1,272	-5,289	*-3,656*
Disposals	-2,517	-82	0	-961	3,628	*68*
Transfers	0	0	0	0	0	*0*
Opening balance as at 1 January 2023	**16,031**	**1,722**	**0**	**6,139**	**-13,312**	***10,580***
Exchange gains (losses)	-160	-8	0	-31	136	*-63*
Additions	3,432	844	0	2,278	-5,293	*1,261*
Disposals	-1,254	-1,177	0	-1,045	3,275	*-201*
Transfers	250	0	0	-783	533	*0*
Closing balance as at 31 December 2023	**18,299**	**1,381**	**0**	**6,558**	**-14,661**	***11,577***

The balances of this heading at 31 December 2023 and 2022 are the following:

	Thousands of euros					
	31.12.2023			**31.12.2022**		
	Cost	**Amortisation and depreciation**	***Total***	**Cost**	**Amortisation and depreciation**	***Total***
Buildings	18,299	-10,674	*7,625*	16,031	-8,702	*7,329*
Plant and equipment	1,381	-576	*805*	1,722	-1,333	*389*
Property, plant, and equipment	6,558	-3,411	*3,147*	6,139	-3,277	*2,862*
TOTAL	**26,238**	**-14,661**	***11,577***	**23,892**	**-13,312**	***10,580***

Additions to right-of-use assets in 2023 amounted to 6,554 thousand euros; 1,633 thousand euros in 2022.

7.2. Right-of-use liabilities

The balance sheet shows the following amounts related to rights of use:

	Thousands of euros	
	2023	**2022**
Up to 3 months	442	598
3 months – 1 year	4,245	2,380
Current	**4,687**	**2,978**
Between 1 and 5 years	6,418	6,452
More than 5 years	436	1,060
Non-current	**6,854**	**7,512**
Total as at 31 December	**11,541**	**10,490**

The Group leases warehouses, offices and vehicles. Leases are usually for fixed periods, but may have options for extension.

Some property leases contain payment terms generally linked to inflation. There are no other variable payments.

Extension and termination options are included in a number of warehouse and office leases throughout the Group. The lease term incorporates options for extension or termination, with a maximum term generally of 10 years unless the extension term is shorter. No other assets have been identified within leased items whose useful life exceeds the term of the lease.

As a result of the changes in IAS 12 (Note 3.1), deferred tax assets and liabilities associated with these items have been recognised (Note 18) during the year, bearing no effect on the income statement.

8. Inventories

Details of inventories at 31 December 2023 and 2022 are as follows:

	Thousands of euros	
	2023	2022
Raw materials and other consumables	101,979	112,784
Semi-finished products	102,053	86,037
Finished products	195,552	158,255
Commercial inventories	13,293	9,415
Greenhouse gas emission rights	25,301	11,404
Advances to suppliers	4,714	3,893
Total Inventories	**442,892**	**381,788**

The valuation adjustments in 2023, corresponding to inventory impairment and obsolescence, entailed an expense of 6,409 thousand euros (an expense of 2,829 thousand euros in 2022), and they are recognised under "Consumption of raw materials and other consumables" and “Changes in inventories of finished goods and work in progress” in the consolidated income statement.

The emission rights consumed by the Company during 2023 and 2022 amounted to 294,406 and 317,106 tonnes, respectively.

The amount of the expense related to greenhouse gas emissions in 2023 was recognised under "Consumption of raw materials and other consumables" in the amount of 22,605 thousand euros (21,492 thousand euros in 2022).

Group companies have contracted various insurance policies to cover the risk of damage to inventories. The coverage of these policies is considered sufficient.

9. Trade and other receivables

The breakdown for "Trade and other receivables" at 31 December 2023 and 2022 is as follows:

	Thousands of euros	
	2023	2022
Trade receivables	223,014	236,483
Other trade debtors	8,021	9,603
Advances to employees	102	64
Impairment	-2,228	-2,925
Total trade debtors	**228,909**	**243,225**
Receivables from public administrations	27,327	29,654
Accruals	4,009	3,420
Total other receivables	**31,336**	**33,074**
Total trade and other receivables	**260,245**	**276,299**

At 31 December 2023 and 2022, the age of trade receivables by maturity was as follows:

	Thousands of euros					
	Not due	Due				
		Up to 30 days	31-60 days	61-90 days	More than 90 days	*Total*
2023	200,937	20,136	4,078	1,980	1,778	***228,909***
2022	221,393	16,268	2,998	1,805	761	***243,225***

The Group has credit insurance contracts which cover the collection of the greater portion of its customer balances.

Trade receivables do not carry interest, and generally payment conditions range from 45 to 120 days.

The breakdown by currency of trade receivables is as follows:

	Thousands of euros							
	Euros	US Dollar	Czech Koruna	Brazilian Real	Mexican Peso	Chinese Yuan	Other currencies	*Total book value*
2023	73,186	84,050	1,538	38,329	333	15,715	15,758	***228,909***
2022	82,211	89,107	1,722	38,837	1,679	11,301	18,368	***243,225***

The movement in impairment of customers for sales and services as well as other trade receivables is as follows:

	Thousands of euros	
	2023	2022
Opening balance as at 1 January	**-2,925**	**-2,684**
Exchange gains (losses)	-47	-129
Allowances	-160	-67
Utilised and payments	904	-45
Closing balance as at 31 December	**-2,228**	**-2,925**

At 31 December 2023 and 2022, balances receivable from public administrations are as follows:

	Thousands of euros	
	2023	2022
VAT receivable from Public Treasury	20,299	27,781
Receivable from Public Treasury for withholdings and payments on account	5,764	3
Other public bodies	1,264	1,870
Closing balance as at 31 December	**27,327**	**29,654**

A breakdown by currency is as follows:

	Thousands of euros							
	Euros	US Dollar	Czech Koruna	Brazilian Real	Mexican Peso	Chinese Yuan	Other currencies	*Total book value*
2023	7,630	1,820	592	10,686	5,660	39	900	***27,327***
2022	7,844	2,041	1,047	10,587	6,513	720	902	***29,654***

Impairment

Trade and other receivables are subject to the expected credit loss model. However, the impairment identified is immaterial.

Cash and cash equivalents is also subject to the impairment requirements under IFRS 9, although the impairment identified is also immaterial.

To establish the expected credit loss, the Group applies the simplified approach set out under IFRS 9.

To measure expected credit loss, trade receivables have been grouped together based on the characteristics of the shared credit risk and the days past due.

The expected loss rates are based on the payment profiles of sales during a 36-month period prior to 1 January 2023 and the corresponding historic credit losses experienced during this period. Historic loss rates are adjusted to reflect annual, forward-looking information about macroeconomic factors that affect the ability of customers to repay accounts receivable.

Furthermore, the Group impairs these accounts receivable by assessing the specific risks of non-recoverability, as was the case in the previous year, to establish whether there is objective evidence that an impairment has occurred. The Group considers that an impairment occurs when the debtor experiences significant financial difficulties or when there is a non-payment or delay in payments of more than 180 days.

Receivables for which an impairment was recognised are written off against the impairment amount when there is no expectation of recovering additional cash.

The change in the collection of flows in 2023 and that forecast for future years has not changed with regard to that of previous financial years.

10. Current and non-current financial assets

All derivative financial instruments at 31 December 2023 and 2022 are included in level 2, within the valuation hierarchies: assets and liabilities whose fair value has been determined with technical valuation techniques that use hypotheses observable in the market.

The breakdown at 31 December 2023 and 2022 of current and non-current financial assets not including trade and other receivables is as follows:

	Thousands of euros			
	Valued at			
	Amortised cost	Fair value through P&L	*Total book value*	*Fair value*
Financial investments	5,410	0	*5,410*	*5,410*
Deposits and guarantees lodged	2,151	0	*2,151*	*2,151*
Non-current financial assets	**7,561**	**0**	***7,561***	***7,561***
Equity instruments	0	759	*759*	*759*
Loans and other receivables	152	0	*152*	*152*
Short-term deposits	0	0	*0*	*0*
Current financial assets	**152**	**759**	***911***	***911***
Total as at 31 December 2023	**7,713**	**759**	***8,472***	***8,472***

	Thousands of euros			
	Valued at			
	Amortised cost	Fair value through P&L	*Total book value*	*Fair value*
Financial investments	1,108	1,521	*2,629*	*2,629*
Deposits and guarantees lodged	1,715	0	*1,715*	*1,715*
Non-current financial assets	**2,823**	**1,521**	***4,344***	***4,344***
Equity instruments	0	736	*736*	*736*
Loans and other receivables	846	0	*846*	*846*
Short-term deposits	0	0	*0*	*0*
Current financial assets	**846**	**736**	***1,582***	***1,582***
Total as at 31 December 2022	**3,669**	**2,257**	***5,926***	***5,926***

A breakdown of financial assets by maturity is as follows:

	Thousands of euros						
	Less than 1 year	1 to 2 years	2 to 3 years	3 to 4 years	4 to 5 years	More than 5 years	*Total*
2023	911	608	25	—	913	6,015	***8,472***
2022	1,582	256	38	1	761	3,288	***5,926***

A breakdown by currency is as follows:

	Thousands of euros						
	Euros	US Dollar	Brazilian Real	Mexican Peso	Chinese Yuan	Other currencies	*Total book value*
2023	5,501	111	2,060	538	133	129	***8,472***
2022	2,648	160	2,089	29	147	853	***5,926***

The Group has not recognised any impairment in relation to these assets at 31 December 2023 (or 31 December 2022).

11. Cash and cash equivalents

"Cash and cash equivalents" at 31 December 2023 and 2022 correspond entirely to the balances held by the Group in cash and at credit entities, with some accounts earning interest at market rates. The Group had no banking overdrafts during the periods, with all its balances freely distributable.

A breakdown by currency is as follows:

	Thousands of euros							
	Euros	US Dollar	Czech Koruna	Brazilian Real	Mexican Peso	Chinese Yuan	Other currencies	*Total book value*
2023	15,811	13,036	9	6,826	2,203	9,282	4,829	***51,996***
2022	7,726	22,198	21	5,039	2,293	10,933	2,983	***51,193***

12. Equity

12.1. Share capital

At 31 December 2023, the Parent's share capital consisted of 46,500,000 bearer shares of 0.70 euros par value each. Total capital value was 32,550 thousand euros. The same as at 31 December 2022.

In both years, shares were fully subscribed for and paid up.

All shares bear the same voting and dividend rights and obligations, and are listed on the official Stock Exchanges of Madrid, Barcelona, and Bilbao under the automatic quotation system (continuous market). All shares are freely distributable.

At 31 December 2023 and 2022, the parent was aware of the following shareholders with a direct or indirect stake of over 3%:

	% stake	
	2023	2022
Corporación Financiera Alba, S.A.	14.25	14.25
APG Asset Management N.V.	9.997	9.997
Angustias y Sol, S.L.	5.02	5.02
Setanta Asset Management Limited	3.96	3.96

Additionally, in accordance with Article 32 of Royal Decree 1362/2007, of 19 October, on shareholders obliged to notify their residence in tax havens or in countries not requiring the payment of taxes, or with whom there is no effective exchange of tax information, no notification was received at year-end 2023 and 2022.

Capital management

The primary objective of the Viscofan Group’s capital management is to safeguard its capital ratios to ensure the continuity of its business and maximize performance.

To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders, increase capital or cancel treasury shares.

The Group monitors capital by analysing trends in its leverage ratio, in line with common practice in Spain. This ratio is calculated as net financial debt divided by total equity. Net financial debt includes total borrowings in the consolidated financial statements less cash and cash equivalents, and excluding liquid financial assets.

The Viscofan Group's primary objective is to maintain a healthy capital position. The leverage ratios as well as the analysis of net debt, at 31 December 2023 and 2022, were as follows:

	Thousands of euros	
	2023	**2022**
Cash and cash equivalents (Note 11)	51,996	51,193
Other current financial assets (Note 10)	911	1,582
Financial liabilities (Note 16)	-222,027	-183,899
Liabilities for right-of-use assets (Note 7.2)	-11,541	-10,490
Total net financial debt	**-180,661**	**-141,614**
Total equity	**-957,772**	**-906,870**
Leverage ratio	**18.9 %**	**15.6 %**

	Thousands of euros	
	2023	**2022**
Cash and cash equivalents (Note 11)	51,996	51,193
Other current financial assets (Note 10)	911	1,582
Financial debt repayable in one year (Notes 16 and 7.2)	-182,735	-139,897
Financial debt repayable over one year (Notes 16 and 7.2)	-50,833	-54,492
Net debt	**-180,661**	**-141,614**

	Thousands of euros	
	2023	**2022**
Cash and cash equivalents (Note 11)	51,996	51,193
Other current financial assets (Note 10)	911	1,582
Gross debt at fixed interest rates	-32,069	-31,441
Gross debt at variable interest rates (Note 22.4)	-201,499	-162,948
Net debt	**-180,661**	**-141,614**

The change in net debt, at 31 December 2023 and 2022, is as follows:

	Thousands of euros					
	Opening balance as at 1 January 2023	**Cash flows**	**Acquisitions and other non-cash changes**	**Change in fair value**	**Exchange gains (losses)**	***Closing balance as at 31 December 2023***
Cash and cash equivalents	**51,193**	-128			931	***51,996***
Other current financial assets	**1,582**	-652			-19	***911***
Liabilities included in financing activities	**0**					***0***
Current financial debt	**-117,826**	-38,408	-3,207		975	***-158,466***
Non-current financial debt	**-34,500**		3,207		175	***-31,118***
Interest	**-132**	6,275	-6,518			***-375***
Payable to suppliers of non-current assets	**-15,725**	-203			48	***-15,880***
Other current financial liabilities	**-3,236**	563	-654			***-3,327***
Other non-current financial liabilities	**-12,480**	-1,781	2,040		-640	***-12,861***
Current liabilities for right-of-use assets	**-2,978**	5,296	-6,983		-22	***-4,687***
Non-current liabilities for right-of-use assets	**-7,512**		759		-101	***-6,854***
Total net debt	**-141,614**	**-29,038**	**-11,356**	**0**	**1,347**	***-180,661***

	Thousands of euros					
	Opening balance as at 1 January 2022	**Cash flows**	**Acquisitions and other non-cash changes**	**Change in fair value**	**Exchange gains (losses)**	***Closing balance as at 31 December 2022***
Cash and cash equivalents	**91,352**	-41,675	0	0	1,516	***51,193***
Other current financial assets	**837**	741	0	0	4	***1,582***
Liabilities included in financing activities	**0**	0	0	0	0	***0***
Current financial debt	**-39,252**	-58,902	-19,190	0	-482	***-117,826***
Non-current financial debt	**-53,690**	0	19,190	0	0	***-34,500***
Interest	**-166**	1,569	-1,534	0	-1	***-132***
Payable to suppliers of non-current assets	**-5,791**	-9,979	0	0	45	***-15,725***
Other current financial liabilities	**-3,545**	1,165	-662	-194	0	***-3,236***
Other non-current financial liabilities	**-14,307**	1,845	662	-3	-677	***-12,480***
Current liabilities for right-of-use assets	**-4,528**	5,289	-3,628	0	-111	***-2,978***
Non-current liabilities for right-of-use assets	**-9,363**	0	1,912	0	-61	***-7,512***
Total net debt	**-38,453**	**-99,947**	**-3,250**	**-197**	**233**	***-141,614***

12.2. Share premium

The revised text of the Spanish Corporate Enterprises Act expressly permits companies to use the balance of the share premium account to increase capital and does not place any limit on the amount of the balance which may be used for this purpose.

The amount at 31 December 2023 and 12 thousand euros, the same as at 31 December 2022.

12.3. Reserves

Changes in this item are as follows:

	Thousands of euros			
	Other reserves	**Exchange gains (losses)**	**Share-based payment (Note 23.3)**	***Total***
Opening balance as at 1 January 2022	**815,034**	**-85,843**	**2,912**	***732,103***
Recognised income and (expense)	6,596	32,115	0	*38,711*
Dividends paid	-19,873	0	0	*-19,873*
Transfers between equity accounts	68,117	0	0	*68,117*
Movement in treasury shares	-4,389	0	-3,105	*-7,494*
Transactions with non-controlling interests	0	0	0	*0*
Share-based payment	0	0	1,581	*1,581*
Closing balance as at 31 December 2022	**865,485**	**-53,728**	**1,388**	***813,145***
Capital reduction	0	0	0	*0*
Recognised income and (expense)	-299	2,532	0	*2,233*
Dividends paid	-24,945	0	0	*-24,945*
Transfers between equity accounts	74,786	0	0	*74,786*
Movement in treasury shares	0	0	0	*0*
Transactions with non-controlling interests	0	0	0	*0*
Share-based payment	118	92	3,027	*3,237*
Closing balance as at 31 December 2023	**915,145**	**-51,104**	**4,415**	***868,456***

(a) Other reserves

- Legal reserves

In accordance with the Spanish Corporate Enterprises Act, companies registered in Spain are obliged to transfer 10% of the profits for the year to a legal reserve until it reaches an amount of at least an amount equivalent to 20% of share capital. This reserve is not distributable to shareholders and its value at 31 December 2023 and 2022 amounts to 6,510 thousand euros.

- Revaluation reserve

The parent opted for the voluntary revaluation of PP&E items as established in the Navarre Regional Law 21/2012 of December 26, on modifying various taxes and other tax measures. The revaluation was carried out with respect to items likely to be updated recorded in the balance sheet on 31 December 2012. The effect of this revaluation was not recognised in the Group's consolidated financial statements.

- Treasury share reserves

Pursuant to Article 148 of Royal Legislative Decree 1/2010, of 2 July, approving the revised text of the Spanish Corporate Enterprises Act, the Parent Company must establish an unavailable reserve equivalent to the value of treasury shares in its possession (see Note 12.4). These reserves must be held for both stakes and shares that have not been disposed of.

b) Exchange gains (losses)

The detail of the most significant translation differences by company for the years ended 31 December 2023 and 2022 is as follows:

	Thousands of euros	
	2023	**2022**
Viscofan CZ sro	7,138	12,491
Viscofan Technology (Suzhou) Co. Ltd.	216	6,983
Viscofan USA Inc	8,358	11,629
Viscofan de México S.R.L. de C.V.	3,796	-7,063
Viscofan do Brasil, soc, Ltda.	-73,181	-78,156
Viscofan Uruguay, S.A.	-16,501	-15,434
Other Group companies	19,070	15,822
Closing balance as at 31 December	**-51,104**	**-53,728**

12.4. Movement in treasury shares

At the Annual General Meeting held on 27 April 2023, the Board of Directors was authorised for a period of 5 years to derivatively acquire shares in the Company, either directly or through Viscofan Group companies, within the limits and up to the maximum amount permitted by the Spanish Corporate Enterprises Act (articles 146 and 509) and at a price that may not be less than the nominal value of the share nor 15% higher than the listed price of the share on the Spanish Stock Exchange Interconnection System (SIBE) at the time the purchase order is entered.

During 2023, the Company acquired 112,800 treasury shares for an amount of 6,264 thousand euros under the authorisation granted by the Annual General Meeting of 27 April 2023. In addition, 15,389 treasury shares were delivered as part of the variable remuneration plan.

In 2022, 129,811 treasury shares were delivered to Viscofan, S.A. staff within the framework of the Company's variable remuneration plans. Also in 2022, the Company acquired 234,500 treasury shares, amounting to 12,231 thousand euros, under the current authorisation granted by the Annual General Meeting of 25 May 2018.

Thus, at 31 December 2023, Viscofan, S.A. held a total of 419,095 treasury shares representing 0.9% of its voting rights, for a value of 21,671 thousand euros.

At 31 December 2022, Viscofan, S.A. held a total of 321,684 treasury shares representing 0.69% of its voting rights, for a value of 16,181 thousand euros.

12.5. Valuation adjustments

Movements in the years ended 31 December 2023 and 2022 were as follows:

	Thousands of euros		
	Exchange rate insurance	**Commodity derivatives**	***Total***
Opening balance as at 1 January 2022	**-592**	**1,059**	***467***
Profit/(Loss), net of tax effect	2,252	0	*2,252*
Reclassifications of (losses) or gains to the income statement, net of tax effect	592	-753	*-161*
Closing balance as at 31 December 2022	**2,252**	**306**	***2,558***
Profit/(Loss), net of tax effect	2,052	0	*2,052*
Reclassifications of (losses) or gains to the income statement, net of tax effect	-694	-1,890	*-2,584*
Closing balance as at 31 December 2023	**3,610**	**-1,584**	***2,026***

12.6. Distribution of Profits and other Shareholder Remunerations

The Board of Directors of VISCOFAN has resolved to propose to the Annual General Meeting the payment (out of 2023 results and voluntary reserves) of a dividend with an aggregate gross amount equal to the sum of the amounts indicated below (the "Dividend"). The Board proposes to:

(a) ratify the payment of 64,562,967 euros as an Interim Dividend distributed on 20 December 2023 (the "2023 Interim Dividend") and which corresponds to 1.40 euros per share multiplied by the number of shares that did not have the status of direct treasury stock on the corresponding dates as approved by the Board of Directors; and

(b) the amount resulting from multiplying:

- The gross amount per share that will be paid by the Company as a Final Dividend for fiscal year 2023 in the first exercise of the "Viscofan Flexible Remuneration" optional dividend system for fiscal year 2024 (the "Final Dividend"), as follows:

- The total number of shares with respect to which their holders have chosen to receive the cash dividend within the framework of the first exercise of the "Viscofan Flexible Remuneration" optional dividend system for fiscal year 2024.

At the date of preparation of these consolidated financial statements, it is not possible to specify the amount of the Final Dividend or, consequently, the amount of the dividend to be charged to profits for the year 2023.

The payment of the Final Dividend shall be carried out jointly with the share capital increase that the Board of Directors submits to the approval of the 2024 Annual General Meeting, with the purpose of offering the Company's shareholders the possibility of receiving their remuneration in cash (in the Final Dividend) or in newly issued paid-up shares of the Company (through the increase in share capital). The collection of the Final Dividend will be one of the alternatives available to shareholders when receiving their remuneration within the framework of the first exercise of the "Viscofan Flexible Remuneration" optional dividend system corresponding to fiscal year 2024, to be carried out by means of the capital increase referred to above.

The Board of Directors also plans to reduce the Company's share capital by redeeming treasury shares, thus avoiding any dilution for shareholders who choose to receive their dividend in cash.

The Board of Directors estimates that the gross amount of the Final Dividend shall be 1.59 euros per share. Consequently, taking into consideration the amount of the 2023 Interim Dividend of 1.40 euros per share and the 0.01 euros per share bonus for attendance to the Annual General Meeting, the total remuneration for shareholders is 3.00 euros per share. Out of the aforementioned estimated amount of 3.00 euros per share, 2.00 euros correspond to the increasing ordinary remuneration that the Board of Directors has been proposing to the Annual General Meeting in recent years (1.95 euros per share charged to fiscal year 2022), while the 1.00 euro per share above this amount is extraordinary in light of the current market and Company conditions.

The proposed ordinary remuneration (2.00 euros per share) is equivalent to the distribution of 65.6% of the net profit.

The proposed total and ordinary distribution are, respectively, 53.8% and 2.6% higher than the previous year's remuneration of 1.95 euros per share.

The definite amount of the Final Dividend will be communicated as soon as it is determined by the Board of Directors (or the body delegated by it) in accordance with the terms of the dividend distribution and capital increase resolutions that the Board submits to the Annual General Meeting regarding the "Viscofan Flexible Remuneration" optional dividend system for fiscal year 2024. Once the first exercise of the "Viscofan Flexible Remuneration" for fiscal year 2024 has been completed, the Board of Directors (with full power of substitution) will produce a distribution proposal, determining the final amount of the dividend and the amount to allocated to carry-over.

In 2022, the total remuneration for shareholders amounted to 1.95 euros per share, of which the distribution of earnings represented a dividend of 1.94 euros per share (1.40 euros per

share paid on 22 December 2022 as an Interim Dividend and 0.54 euros per share paid on 2 June 2023 as a Final Dividend) and 0.01 euros per share corresponding to the payment of fees to attend the 2023 Annual General Meeting (this later payment was recorded as an expense for the year).

Parent profits for the year ended 31 December 2022 were distributed as approved by the shareholders at the Annual General Meeting held on 27 April 2023.

On 23 November 2023, the Board of Directors approved an Interim Dividend out of the profit for the year 2023 of 64,563 thousand euros, equivalent to a dividend per share of 1.4 euros. This dividend was paid on 20 December 2023.

The value of this dividend is inferior to the maximum limit permitted by prevailing legislation on distributable profit once the year has ended.

The statement required by current legislation and prepared by the Parent's Board of Directors in respect of the distribution of the 2023 Interim Dividend is as follows:

	Thousands of euros
Available cash at 31 December 2023	**4,858**
Receipts from customers and debtors	33,130
Other income	538
Accounts payable and suppliers	-13,892
Payments made to employees	-23,925
Interest paid	-120
Other payments	-13,679
Operating cash flows	**-17,948**
Dividends	126,799
Purchases of property, plant, and equipment	-4,415
Investment in group companies	-12,000
Cash flow related to investment activities	**110,384**
Repayment of non-current borrowings	0
Dividends paid	-92,387
Purchase of treasury shares	0
Cash flow related to financing activities	**-92,387**
Projected liquidity at 31 December 2024	**4,907**

The Company had sufficient liquidity to pay the interim dividend through dividends already received from subsidiaries plus the use of available credit lines.

13. Deferred income

Regulatory changes in 2023 (Note 3.7) led to a restatement of amounts recorded and to a series of regularisations of amounts pending final confirmation. Considering regulatory changes for future periods, prospective amounts have been recorded so that they reflect fair values for each period.

14. Non-current employee benefits and other provisions

The breakdown of this heading in the Consolidated Statement of Financial Position is as follows:

		Thousands of euros	
	Note	2023	2022
Defined benefit		17,266	16,278
Other staff remuneration		8,650	6,030
Non-current employee benefits	**14.1**	**25,916**	**22,308**
Provisions for other litigations		0	0
Other		43	0
Other non-current provisions		**43**	**0**
Provisions for guarantees / Returns		3,742	2,752
Safety in the workplace provision		534	1,407
Provisions for emission allowances		21,934	21,489
Other		18	553
Current provisions	**14.2**	**26,228**	**26,201**

14.1. Non-current employee benefits

The Group makes contributions to various different defined benefit plans. The most relevant plans are located in Germany, United States and Canada.

Actuarial valuations are used for all.

- ***Pension plans in Germany***

A contribution is made through the Viscofan DE GmbH subsidiary for a defined benefit plan consisting of a life pension plan for retired employees. At 31 December 2023, there were 268 employees, 481 retirees, and ex-employees. At 31 December 2022, there were 293 employees and 475 retirees and former employees.

The number of the above beneficiaries does not included retirees who, from 2010 and 2013, are paid by the insurance company. The agreement does not imply cutting back or cancelling the policy, as the obligation ultimately lies with Viscofan DE GmbH. However, the characteristics of the plan make the value of the assets and liabilities constant for the duration of the contract, so that both the assets and the liabilities offset each other, resulting in a current value of zero for the obligation.

The net obligation corresponding to pension plans amounts to 14,400 thousand euros at 31 December 2023 and 12,293 thousand euros at 31 December 2022.

- ***Pension plans in the United States of America***

The subsidiary Viscofan USA Inc., following its merger with Viscofan Collagen USA Inc, contributes to two defined benefit plans.

1) Retirement Plan for Hourly Employees. This plan provides a life annuity for employees and former employees of the company and has a total of 168 beneficiaries (22 of them serving and 146 of them retired and former employees).

   The net obligation amounts to -189 thousand euros at 31 December 2023 due to the fact that the value of the fund is higher than the obligation. The plan's capitalisation rate is 101.96% of the value of the obligation.

   At 31 December 2022 the net obligation amounted to 357 thousand euros with a capitalisation rate of 96.48 % of the value of the obligation and 175 beneficiaries (26 active and 149 retired and former employees).

   This plan has been frozen as of 1 December 2010.

2) Retirement Plan for Salaried Employees. The plan provides an annuity for 126 participants (12 active, 114 retired and former employees),

   with a net obligation amounting to 976 thousand euros at 31 December 2023, and a capitalisation rate of 91.19 % of the value of the obligation.

   At 31 December 2022 the net obligation amounted to 1,620 thousand euros with a funding rate of 87.23 % of the value of the obligation and 128 participants (14 active and 114 retired and former employees).

   This plan has been frozen as of 31 January 2008.

- ***Pension plans in Canada***

In fiscal year 2023, the pension plan registered by Viscofan Canada Inc. was outsourced. To this end, the Company has met the fund's needs in 100% by contributing CAD 139 thousand (equivalent to EUR 95 thousand) and subsequently transferring all the assets of the fund, CAD 5,265 thousand (equivalent to EUR 3,605 thousand), to an external insurance company.

In fiscal year 2022, there were 38 beneficiaries of the fund, including 16 active and 22 retired and former employees.

At 31 December 2022, the capitalisation rate was 100%, and the obligation equal to the fair value of the related assets.

This plan has been frozen as of 31 March 2011.

The most significant information regarding the pension plans was as follows:

a) Amounts recognised in the Statement of financial position:

	Thousands of euros	
	2023	**2022**
Present value of the obligation	**-38,215**	**-40,756**
Plans in Germany	-14,400	-12,293
Plans in the United States and Canada	-21,736	-26,457
Plans in other countries	-2,079	-2,006
Present value of assets	**20,949**	**24,478**
Plans in the United States and Canada	20,949	24,478
Net obligation at 31 December	**-17,266**	**-16,278**

b) Changes in the present value of net obligations:

	Thousands of euros							
	Germany		**Plans in the United States and Canada**		**Plans in other countries**		***Total***	
	2023	**2022**	**2023**	**2022**	**2023**	**2022**	***2023***	***2022***
Obligation at 1 January	**12,293**	**18,957**	**26,457**	**32,884**	**2,006**	**2,341**	***40,756***	***54,182***
Current service cost (Note 20)	143	278	0	0	72	62	*215*	*340*
Interest cost	509	245	1,163	885	121	86	*1,793*	*1.216*
Payments made	-397	-332	-1,981	-2,166	-219	-155	*-2,597*	*-2.653*
Actuarial loss (gain)	1,852	-6,855	530	-7,019	65	-492	*2,447*	*-14.366*
Exchange gains (losses)	0	0	-826	1,873	34	164	*-792*	*2.037*
Pension fund outsourcing	0	0	-3,607	0	0	0	*-3,607*	*0*
Present value of the obligation as at 31 December	**14,400**	**12,293**	**21,736**	**26,457**	**2,079**	**2,006**	***38,215***	***40,756***
Active	*5,489*	*5,096*	*2,416*	*3,524*	*973*	*818*	*8,878*	*9.438*
Former employees	*1,887*	*1,785*	*4,448*	*4,851*	*0*	*0*	*6,335*	*6,636*
Retirees	*7,024*	*5,412*	*14,872*	*18,082*	*1,106*	*1,188*	*23,002*	*24,682*

c) Changes in the fair value of plan assets in the USA and the Canada:

	Thousands of euros	
	2023	2022
Fair value of assets at 1 January	**24,478**	**29,403**
Return on assets	2,620	-4,395
Company contribution	95	0
Payments made	-5,463	-2,166
Exchange gains (losses)	-781	1,636
Acquired in business combinations	0	0
Fair value of assets at 31 December	**20,949**	**24,478**
Cash	*0*	*0*
National investment funds	*20,148*	*22,287*
International investment funds	*801*	*2,192*

d) Information relating to the amounts recognised in the consolidated income statement.

Current service costs for the period are included in employee benefits expenses.

	Thousands of euros	
	2023	2022
Current service cost	**215**	**340**
Plans in Germany	143	278
Plans in other countries	72	62
Net financial cost	**628**	**-163**
Interest cost of plans in Germany	509	245
Interest cost of plans in the United States and Canada	-2	-494
Interest cost of plans in other countries	121	86
Expense (income) recognised in the year	**843**	**177**

e) Information relating to the amounts recognised in the consolidated statement of comprehensive income:

	Thousands of euros	
	2023	2022
Actuarial loss and gain	**-992**	**8,593**
Derived from changes in demographic assumptions	-1,977	14,741
Derived from changes in financial assumptions	0	0
Derived from experience	-470	-375
Return, other than expected return, on plan assets	1,455	-5,773
Tax effect	**693**	**-1,997**
Net profit or loss recognised in the Consolidated Statement of Comprehensive Income (Note 12.3)	**-299**	**6,596**

f) Principal actuarial assumptions used in the plans:

- Pension plans in Germany

	2023	2022
Annual discount rate	3.5%	4.2%
Expected rate of pension increases	2.3%	2.3%
Expected age of retirement for employees	65-67	65-67

The mortality tables used to quantify the defined benefit obligation were those corresponding to Heubeck Richttafeln 2005 G.

- Pension plans in the United States and Canada

	2023	2022
USA		
Annual discount rate	5.1%	5.1%
Expected rate of return on assets	5.3%	5.3%
Canada		
Annual discount rate	0%	5.2%
Expected rate of return on assets	0%	5.2%

The mortality tables used to determine the defined benefit obligation were those for Pri-2012 Private Retirement Plans Mortality Tables (in the USA) and the Canadian Private Sector Pensioners' Mortality Table combined with the mortality improvement scale MI-2017 (in Canada).

g) Future payments expected for coming periods:

	Thousands of euros	
	2023	2022
Payments to be made within the next 12 months	2,377	2,666
Payments to be made between 1 and 2 years	2,342	2,623
Payments to be made between 2 and 3 years	2,382	2,635
Payments to be made between 3 and 4 years	2,392	2,685
Payments to be made between 4 and 5 years	2,370	2,698
Payments to be made between 5 and 10 years	11,540	13,141
Payments to be made over 10 years	22,289	24,836

h) Sensitivity analysis for each of the main assumptions.

How would the obligation affect a possible reasonable change in each assumption at year-end.

	Thousands of euros	
	2023	2022
Discount rate		
50 basis point increase	-1,949	-2,000
Decrease by 50 basis points	2,145	2,178
Pension increases		
50 basis point increase	923	760
Decrease by 50 basis points	-845	-698
Life expectancy		
Increase by 1 additional year	1,236	1,212

The sensitivity analysis is based on a change in one hypothesis while considering the remaining hypotheses as unchanged.

- ***Other employee benefits and long-term remuneration***

The movements at 31 December 2023 and 2022 are as follows:

	Thousands of euros	
	2023	2022
Balance as at 1 January	**6,030**	**4,354**
Exchange gains (losses)	-37	19
Transfer to outstanding remuneration	-48	-179
Allowances	2,853	3,270
Payments	-148	-1,434
Balance as at 31 December	**8,650**	**6,030**

In the 2023 financial year, 6,042 thousand euros corresponding to the Long-Term Incentive Plan are included. In 2022, 2,539 thousand euros were transferred to "Remuneration payable" under this heading for this item.

The features of the Long-Term Incentive Plan are detailed in Note 23.

Included under this heading are prizes that the subsidiary Viscofan DE GmbH has established for its employees. This loyalty bonus is received when its employees complete 25 years of service. Employees receive a payment of 1,000 euros and a month's gross salary multiplied by 0.8 plus one day of holidays; when reaching 40 years of service, a payment of 1,000 euros and a month's gross salary multiplied by 1.1 plus one day of holidays; when reaching 50 years of service, one day of holidays.

The number of beneficiaries amounts to 532 employees (543 in the previous period), while the obligation amounts to 1,431 thousand euros and 1,378 thousand euros at 31 December 2023 and 2022, respectively. The beneficiaries received 154 thousand euros in payments during 2023 (2022: 162 thousand euros). The payable amount expected for 2024 totals 155 thousand euros.

recognised service costs and financial expenses for the current period amounted to 77 thousand and 55 thousand euros, respectively (2022: 114 thousand and 21 thousand euros, respectively).

The hypotheses used for calculating the obligations were the same as those used for the pension plan of the same subsidiary as described in the previous point.

14.2. Current provisions

(a) Provision for guarantees / refunds

A provision is recognised for warranty claims anticipated for products sold during the last year, based on past experience regarding the volume of returns. Most of these costs are expected to be incurred in the following year.

(b) Safety in the workplace provision

The safety in the workplace provision covers claims brought against the Group by certain employees, most of whom work for the Brazil subsidiary, in relation to resignations or terminations. These claims did not arise as a result of a specific incident, but are customary practice in Brazil. After seeking appropriate legal counsel, the directors consider that the result of the litigation will not significantly differ from the amounts provisioned at 31 December 2023.

(c) Emission rights provision

The emission rights provision includes the estimated consumption of emission rights during 2023 and 2022 valued in accordance with the measurement standard described in Note 4.17.

14.3. Contingent assets and liabilities

(a) Contingent liabilities

Legal claims of various kinds have been filed against Brazilian subsidiary Viscofan do Brasil, amounting to BRL 40,400 thousand (EUR 7.7 million), of which only EUR 175 thousand are classified as probable. There are sufficient provisions to cover the probable risk.

In April 2023, Sayer Technologies filed a lawsuit against the US subsidiary Viscofan USA Inc. in the state of New Jersey claiming USD 137,309 for unpaid invoices. Viscofan USA Inc. has opposed this claim on the grounds of prior breach of contract and has filed a counterclaim in July. It is currently awaiting a decision from the court.

b) Contingent assets

American subsidiary Viscofan USA Inc. has filed a lawsuit against Ameren Corporation claiming damages of USD 6 million for negligent maintenance of the electrical substation, which has caused several plant shutdowns in the last year. A court decision is currently pending on the motion filed by Ameren Corporation to dismiss the lawsuit.

15. Trade and other payables

The breakdown of "Trade and other payables" is as follows:

	Thousands of euros	
	2023	**2022**
Suppliers	43,578	55,363
Accounts payable for services rendered and other accounts payable	36,461	42,851
Customer advances	3,613	2,036
Wages and salaries payable	18,058	21,154
Trade payables	**101,710**	**121,404**
Payable to public administrations	23,810	21,577
Other accounts payable	**23,810**	**21,577**
Closing balance as at 31 December	**125,520**	**142,981**

The breakdown by currency of trade payables is as follows:

	Thousands of euros							
	Euros	**US Dollar**	**Czech Koruna**	**Brazilian Real**	**Mexican Peso**	**Chinese Yuan**	**Other currencies**	***Total book value***
2023	47,622	22,664	4,087	5,374	5,928	3,822	12,213	***101,710***
2022	52,727	35,291	4,977	5,597	6,733	4,671	11,408	***121,404***

At 31 December 2023 and 2022, balances payable to public administrations were as follows:

	Thousands of euros	
	2023	**2022**
VAT payable to Public Treasury	6,617	7,010
Payable to Public Treasury for withholdings	13,261	11,587
Creditor social security bodies	3,438	2,580
Other public bodies	494	400
Closing balance as at 31 December	**23,810**	**21,577**

A breakdown by currency is as follows:

	Thousands of euros							
	Euros	**US Dollar**	**Czech Koruna**	**Brazilian Real**	**Mexican Peso**	**Chinese Yuan**	**Other currencies**	***Total book value***
2023	16,038	122	504	2,766	3,180	438	762	***23,810***
2022	14,536	82	542	1,501	2,838	1,367	711	***21,577***

Information on late payments to suppliers in Spain in commercial transactions

In accordance with the third additional provision "Disclosure requirements" of Law 15/2010, dated 5 July, information on the average payment period to Spanish Group suppliers of the Spanish entities included in the consolidated group was as follows:

	Days	
	2023	**2022**
Average supplier payment period	21.2	23.7
Ratio of paid transactions	20.7	23.8
Ratio of transactions pending payment	26.1	22.5

	Thousands of euros	
	2023	**2022**
Total payments made	229,909	256,590
Total future payments	21,319	12,243
Monetary volume paid in a period shorter than the maximum period laid down in the late payment	229,475	268,264

	2023
Invoices paid in a period shorter than the maximum period established in the late payment regulations	16,338
Percentage share of total monetary payments to their suppliers	99.81 %
Percentage share of total number of invoices	99.66 %

16. Current and non-current financial liabilities

The breakdown of current and non-current financial liabilities, taking into account discounted contractual maturities at 31 December 2023 and 2022, is as follows:

	Thousands of euros				
	Up to 1 year	**Between 1 and 5 years**	**More than 5 years**	***Total book value***	***Fair value***
Payable to credit institutions	158,465	31,118	0	*189,583*	*189,583*
Accrued interest payable	375	0	0	*375*	*375*
Other financial liabilities	19,208	7,373	5,488	*32,069*	*32,069*
Valued at amortised cost	*19,208*	*7,373*	*5,488*	*32,069*	*32,069*
Total as at 31 December 2023	***178,048***	***38,491***	***5,488***	***222,027***	***222,027***

	Thousands of euros				
	Up to 1 year	**Between 1 and 5 years**	**More than 5 years**	***Total book value***	***Fair value***
Payable to credit institutions	117,826	34,500	0	*152,326*	*152,326*
Accrued interest payable	132	0	0	*132*	*132*
Other financial liabilities	18,961	6,579	5,901	*31,441*	*31,441*
Valued at amortised cost	*18,961*	*6,579*	*5,901*	*31,441*	*31,441*
Total as at 31 December 2022	***136,919***	***41,079***	***5,901***	***183,899***	***183,899***

At 31 December 2023, the amount in "Amounts owed to credit institutions" in December 2023 included loans signed to transform part of its traditional financing into sustainable financing, amounting to 44.5 million euros (42.2 million euros in 2022). In addition, sustainable credit lines with a limit of 57,000 thousand euros have been contracted in the year 2023, of which 16,779 thousand euros have been drawn down. Interest is linked to the trend of indicators with an annual review period. This process started in the 2021 financial year.

The sustainability parameters established are the reduction of CO2 emissions, the reduction of m3 of water withdrawal and the tonnes of waste sent to the landfill, all of them tied to km of casing produced.

All current and non-current financial liabilities are included in Level 2 within the valuation hierarchies: assets and liabilities whose fair value has been determined with technical valuation techniques that use hypotheses observable in the market.

As can be seen in the previous table, the carrying amount of financial liabilities agrees with the fair value as the long-term debt corresponds to financing obtained in recent years under similar conditions to those currently obtainable in the market.

The classification was determined based on actual maturities of balances drawn down from credit lines. Thus, the balance drawn down from credit lines whose annual renewal has already been agreed upon subsequent to year end are included in the 1-year period.

These credit lines will be renewed as they mature.

Financial liabilities for debts with credit institutions accrue interest, both in this and the previous fiscal year, at variable rates referenced to Euribor or Libor plus a differential in accordance with market conditions.

"Other financial liabilities" at 31 December 2023, both current and non-current, mainly includes:

- Loans with interest rates sponsored by entities such as the CDTI and the Ministry of Economy and Competitiveness amounting to 13,750 thousand euros.
- Non-current assets suppliers, amounting to 15,880 thousand euros.

31 December 2022 mainly includes:

- Loans with interest rates sponsored by entities such as the CDTI and the Ministry of Economy and Competitiveness amounting to 12,246 thousand euros.
- Non-current assets suppliers, amounting to 15,725 thousand euros.

The Group recognizes the implicit interest on these loans using market interest rates.

A breakdown by currency is as follows:

	Thousands of euros				
	Euros	**US Dollar**	**Czech Koruna**	**Other currencies**	***Total book value***
2023	197,914	6,059	1,059	16,995	***222,027***
2022	165,530	6,274	2,636	9,459	***183,899***

The limits, the amount drawn down, and the drawable amount under credit and discount lines as at 31 December are as follows:

	Thousands of euros	
	2023	**2022**
Limit	235,743	149,767
Outstanding	129,799	96,636
Available	105,944	53,131

The undiscounted value of financial liabilities classified by maturity without taking into account derivative financial instruments at 31 December 2023 and 2022 is as follows:

	Thousands of euros						
	Less than 1 year	**1 to 2 years**	**2 to 3 years**	**3 to 4 years**	**4 to 5 years**	**More than 5 years**	***Total***
Principal of the debt	158,464	14,452	12,667	4,000	0	0	*189,583*
Interest	467	78	62	16	0	0	*623*
Financial liabilities to credit institutions	**158,931**	**14,530**	**12,729**	**4,016**	**0**	**0**	**190,206**
Principal of the debt	19,208	2,576	1,701	1,521	1,575	5,488	*32,069*
Interest	250	100	80	67	55	43	*595*
Other financial liabilities	**19,458**	**2,676**	**1,781**	**1,588**	**1,630**	**5,531**	***32,664***
Total as at 31 December 2023	**178,389**	**17,206**	**14,510**	**5,604**	**1,630**	**5,531**	***222,870***

	Thousands of euros						
	Less than 1 year	**1 to 2 years**	**2 to 3 years**	**3 to 4 years**	**4 to 5 years**	**More than 5 years**	***Total***
Principal of the debt	117,826	22,667	5,167	6,666	—	—	*152,326*
Interest	416	149	43	27	—	—	*635*
Financial liabilities to credit institutions	**118,242**	**22,816**	**5,210**	**6,693**	**—**	**—**	***152,961***
Principal of the debt	18,961	2,195	1,563	1,529	1,292	5,901	*31,441*
Interest	235	93	77	65	54	44	*568*
Other financial liabilities	**19,196**	**2,288**	**1,640**	**1,594**	**1,346**	**5,945**	***32,009***
Total as at 31 December 2022	**137,438**	**25,104**	**6,850**	**8,287**	**1,346**	**5,945**	***184,970***

At 31 December 2023, the Group had reverse factoring facilities with a joint limit of 4,000 thousand euros (4,000 thousand as at 31 December 2022), as well as multi-risk policies totalling 13,000 thousand euros, (13,000 thousand as at 31 December 2022).

17. Derivative financial instruments

The breakdown of balances, which include the values of the derivative financial instruments at 31 December 2023 and 2022, is as follows:

Thousands of euros

	2023				2022			
	Valued at fair value through P&L		Valued at fair value through P&L		Valued at fair value through P&L		Valued at fair value through P&L	
	Financial assets	Financial liabilities	Financial assets	Financial liabilities	Financial assets	Financial liabilities	Financial assets	Financial liabilities
Exchange rate insurance	0	0	0	0	292	0	50	3
Raw material hedges	0	0	0	0	0	0	0	0
Non-current financial	**0**	**0**	**0**	**0**	**292**	**0**	**50**	**3**
Exchange rate insurance	1,348	0	782	43	2,789	0	262	450
Raw material hedges	2,200	0	0	0	425	0	0	0
Interest rate hedges	0	0	0	0	0	0	0	0
Current financial instruments	**3,548**	**0**	**782**	**43**	**3,214**	**0**	**262**	**450**
Total	**3,548**	**0**	**782**	**43**	**3,506**	**0**	**312**	**453**

Derivatives are only used for hedging purposes and not as speculative investments. However, when derivatives do not meet the test to be treated as accounting hedges, they are classified as "held for trading" for accounting purposes and are carried at fair value through profit and loss. They are presented as current assets or liabilities to the extent that they are expected to be settled within 12 months after the reporting period.

Thousands of euros

	Measured at fair value			
	With changes in P&L	With changes in P&L	*Total book value*	*Fair value*
Non-current derivatives	0	0	*0*	*0*
Current derivatives	782	3,548	*4,330*	*4,330*
Total Financial Assets as at 31 December 2023	**782**	**3,548**	***4,330***	***4,330***
Non-current derivatives	0	0	*0*	*0*
Current derivatives	43	0	*43*	*43*
Total Financial Liabilities as at 31 December 2023	**43**	**0**	***43***	***43***

	Thousands of euros			
	Measured at fair value			
	With changes in P&L	With changes in P&L	*Total book value*	*Fair value*
Non-current derivatives	50	292	*342*	*342*
Current derivatives	262	3,214	*3,476*	*3,476*
Total Financial Assets as at 31 December 2022	**312**	**3,506**	***3,818***	***3,818***
Non-current derivatives	3	0	*3*	*3*
Current derivatives	450	0	*450*	*450*
Total Financial Liabilities as at 31 December 2022	**453**	**0**	***453***	***453***

17.1. Electricity and gas coverage

Certain production costs of the Company are linked to the cost of electricity. For this reason, and in order to combat the negative effect of the current volatility of the electricity market, in 2022 the Company, through its subsidiary Viscofan España, S.L.U., entered into a long-term contract with its electricity supplier, which covers 33% of its annual consumption. The duration of the contract covers the periods from 2023 to 2027 in which a pool price has been fixed to which the Power Term as well as the Energy Term will be added.

At the end of 2023 the Company, through Viscofan España, S.L.U., signed an agreement with an energy supplier to purchase all the energy generated by a photovoltaic plant to be built in the vicinity of its facilities for a period of 30 years. The supplier is currently in the process of obtaining permits for the construction of such a plant.

The entire operation is carried out towards securing own consumption, not incorporating speculative elements, and with the sole objective of locking in a reasonable energy cost under the current market conditions.

During fiscal year 2023, the Company entered into gas hedging contracts for the period from February 2024 to January 2025 for a total of 285,000 MWh.

The Group did not enter into any gas hedging contracts in 2022.

17.2. Exchange rate insurance

Part of the fair value of the exchange rate insurances at year end was recognised as income or expense on the consolidated income statements for 2023 and 2022. The amount recognised directly in the consolidated income statements relates to exchange rate insurances designated as hedges to cover amounts payable or receivable recognised in the consolidated statements of financial position at the exchange rate at year end. No significant inefficiencies were noted in 2023 and 2022 in any derivative financial instruments contracted.

The Viscofan Group uses derivatives to hedge exchange rates in order to mitigate the possible adverse effects that exchange rate fluctuations might have on transactions in currencies other than the functional currency of certain Group companies.

The nominal value of the main exchange rate insurances in effect at 31 December 2023 and 2022, is as follows:

	Thousands of euros	
	2023	**2022**
US dollar	49,500	104,250
Pounds Sterling	—	750
Canadian Dollar	—	3,000
Brazilian Real	—	5,250

18. Income tax

The breakdown for deferred tax assets and liabilities, by type, is as follows:

Thousands of euros

	Assets		Liabilities		Net	
	2023	2022	2023	2022	2023	2022
Non-Current assets	24,264	12,045	-29,051	-18,310	-4,787	-6,265
Current assets	11,346	9,835	-536	-252	10,810	9,583
Non-current liabilities	8,993	4,237	-1,210	-541	7,783	3,696
Current liabilities	3,042	3,402	-2,033	-776	1,009	2,626
Total as at 31 December	**47,645**	**29,519**	**-32,830**	**-19,879**	**14,815**	**9,640**

The main changes seen in 2023 relate Viscofan USA, Inc. recording temporary differences in assets and liabilities related to investments made and their accounting effects.

Deferred tax assets, on current assets, are mainly due to the effect on tax of the elimination of the margin in inventory acquired between Group companies, as well as provisions on inventories that are not tax-deductible in some countries. With respect to the deferred tax asset from non-current assets, this relates mainly to the activation of tax credits for tax losses (of 7,577 thousand euros). In addition, deferred tax assets arising from current and non-current tax liabilities relate mainly to provisions at different Group companies that will be used for tax purposes when applied. A large number of the provisions described in Note 18 have led to adjustments in the tax assessment basis in the different countries.

Deferred tax liabilities arising from non-current assets for the years ended 31 December 2023 and 2022, mainly relate to the application of different amortisation rates by certain Group subsidiaries (mostly in the USA) than those used for tax purposes. Also included is the tax effect of net unrealised gains on PP&E items acquired in different business combinations.

The breakdown of deferred tax assets and liabilities recognised in the balance sheet, according to the items giving rise to them, is as follows:

	2023	
Deferred taxes	**Assets**	**Liabilities**
Tax losses (pending allocation)	7,577	—
Differences between accounting and tax depreciations	6,796	20,389
Staff and other provisions	5,587	149
Provisions for impairments	7,825	—
Originating from IFRS 16	2,802	2,798
Limitation of financial expenses	2,873	—
Other deferred taxes	14,185	9,494
Total as at 31 December	**47,645**	**32,830**

Assets within item "Other deferred tax" mainly include the temporary differences generated in Viscofan USA, corresponding to the deferral of the deductibility of certain expenses related to investments made.

The 2022 statements have been restated as a result of the amendment to IAS 12 "Deferred Taxes Relating to Assets and Liabilities Arising from a Single Transaction". The impact of this restatement has been an increase of +2,726 thousand euros in deferred tax assets and liabilities, with no impact on the 2022 results.

The tax assets recognised in respect of tax loss carry-forwards (pending application), amounting to 7,577 thousand euros, correspond to:

Jurisdiction	Thousands of euros
Australia	172
USA	7,405
Total as at 31 December	**7,577**

The following is a breakdown of the deferred tax assets not recorded at year-end 2023:

		Breakdown by item		
Jurisdiction	Thousands of euros	Tax losses	Tax assets (Note 4.24 e)	Other deferred taxes
Germany	1,081	1,081	—	—
Australia	2,070	2,070	—	—
Belgium	3,102	3,102	—	—
Brazil	1,869	—	1,869	—
Spain	9,642	—	8,947	695
USA	32,194	24,714	7,480	—
New Zealand	310	224	—	85
Switzerland	165	—	—	165
Uruguay	14,614	—	13,506	1,109
Total as at 31 December	**65,047**	**31,191**	**31,802**	**2,054**

In addition, a tax incentive derived from investments in the country is available in the Republic of Serbia, reducing corporate income tax liability by 42% on tax returns filed from 2022 until 2031.

In Thailand, in February 2023, the Thailand Board of Investment granted the Group a corporate tax incentive for investments made in the country, reducing corporate tax rate by 60% until 2034.

During 2022 the Chinese subsidiary Viscofan Technology (Suzhou) Co. Ltd.'s rating was again deemed as "High Tech" for 3 years and, therefore, its tax rate dropped from 25% to 15%.

In the US, tax loss carry-forwards have been generated between 2008 and 2023. Those generated between 2008 and 2017 have a legal expiry of 20 years from generation, with no

allocation limit. Those generated from 2018 onwards have no legal expiry or application limit until 2020 and are capped at 80% of the tax base as from the year beginning 1 January 2021.

The tax assets were generated between 2015 and 2023, have a legal expiry date of 20 years from their generation and their allocation is capped at 75% of the tax liability they are allocated to.

In relation to the temporary taxable differences of the subsidiaries, as at 31 December 2023 and 2022, the Group did not recognise any amount in this regard based on its dividend distribution policy, according to which it unlikely that the results accumulated by the subsidiaries as at 31 December 2023 will be distributed in the foreseeable future. This unrecognised deferred tax liability would total approximately 8.2 million euros at 31 December 2023 (11.1 million euros at 31 December 2022).

The breakdown of changes during the year in recognised deferred tax assets and liabilities arising from temporary differences recognised as income tax expense/(income) on the consolidated statement of recognised income and expense and as “Other income and expenses” on the consolidated comprehensive income statement is as follows:

	Thousands of euros	
	2023	**2022**
Non-current assets	-1,421	2.070
Current assets	1,074	1.884
Non-current liabilities	5,358	-509
Current liabilities	-800	778
Consolidated income statement	**4,211**	**4,223**
Non-current assets	173	-71
Current assets	152	301
Non-current liabilities	675	-1.696
Current liabilities	-37	-480
Other results of the Consolidated Statement of Comprehensive Income	**963**	**-1,946**
Total change in deferred taxes and deferred tax liabilities	**5,174**	**2,277**

The breakdown of deferred taxes charged directly against "Other comprehensive income" on the Consolidated Statement of Comprehensive Income is as follows:

	Thousands of euros	
	2023	**2022**
Actuarial gains or losses on pension plans	693	-1,997
Adjustments for changes in value cash flow hedges	54	-666
Other items	216	717
Charged directly to other comprehensive income in the Consolidated Statement of Comprehensive Income	**963**	**-1,946**

The major components of income tax expense for the years ended 31 December 2023 and 2022, are as follows:

	Thousands of euros	
	2023	2022
Corporate income tax expense for the year	32,342	48,966
Adjustments to prior years' income taxes	-187	-384
Current income tax	**32,155**	**48,582**
Origination and reversal of temporary differences	-4,211	-4,223
Deferred taxes	**-4,211**	**-4,223**
Income tax expense on income from continuing operations	**27,944**	**44,359**

A reconciliation between tax expense/(income) on continued operations and the product of profit before tax multiplied by the tax rate prevailing in Spain (Navarre) on 31 December, is as follows:

	Thousands of euros	
	2023	2022
Profit for the year before tax from continuing operations	**168,906**	**183,789**
Permanent differences	15,276	4,023
Preliminary tax base	184,182	187,812
Tax rate at 28%	51,571	52,587
Impact of the application of the rates in force in each country	-3,353	-4,543
Deductions generated/applied in the year	-12,259	-6,125
Adjustments to prior years' income taxes and other adjustments	-6,602	-1,700
Non-recoverable withholdings on dividends from Group companies	-1,413	4,140
Income tax expense	**27,944**	**44,359**

In 2023, the Brazilian subsidiary took advantage of the corporate tax deduction for ICMS subsidies recognised under Brazilian law.

Income tax payable from continued operations was calculated as follows:

	Thousands of euros	
	2023	2022
Current income tax	-32,155	-48,582
Exchange gains (losses)	216	717
Withholdings and payments on account made	30,805	37,795
Total as at 31 December	**-1,134**	**-10,070**

This amount is broken down in the Consolidated Statement of Comprehensive Income as follows:

	Thousands of euros	
	2023	2022
Income tax assets receivable	3,649	6,140
Income tax liabilities payable	-4,783	-16,210
Total as at 31 December	**-1,134**	**-10,070**

In accordance with current legislation, taxes cannot be considered definitive until they have been inspected by the tax authorities or the inspection period of four years has elapsed. At 31 December 2023, the Parent and subsidiaries in Spain are open to inspection for all the main taxes to which they are liable and for which the corresponding inspection periods have yet to expire. The situation of foreign companies depends on the legislation prevailing in each country.

Due to the different possible interpretations of prevailing legislation, additional liabilities could be identified in the event of inspection. Nonetheless, parent management considers that any additional liabilities that might arise would not have a significant impact on these consolidated financial statements.

Pillar Two legislation has been implemented, or substantially implemented, in a series of jurisdictions where the Group operates. The legislation will affect the Group's fiscal years beginning on or after 1 January 2024. The Group has performed an assessment to determine whether it is exposed to Pillar Two taxes.

The assessment is made on the basis of the most recent tax returns, country-by-country reports and financial statements of the entities forming the Group. Based on this assessment, Pillar Two effective tax rates in most of the jurisdictions in which the Group operates are above 15%. Pillar Two safe harbour provisions do not apply in a limited number of jurisdictions where the Group operates, however, material exposures to Pillar Two taxes are not expected in these jurisdictions.

19. Segment reporting

As indicated in note 1, the Group is engaged in the manufacture, distribution and marketing of all types of casings and films for food use. Additionally, the Group also carries out production-related activities, and sells electricity through its cogeneration plants in Spain and Germany with the objectives of: decreasing the cost of electricity while remaining self-sufficient, and at the same time reducing CO2 emissions, and, where appropriate, sell surplus electricity.

With the new Beyond25 strategic plan, the commercial and operational strategies have been reoriented, distinguishing sales of what has been called Traditional Business, which includes casings based on collagen, cellulosic and fibrous technology, and sales of New Business, which includes plastic casings and the rest of the products and services, although the latter currently have a very small relative weight.

Therefore, the revenues obtained by the Viscofan Group can be grouped by nature into Traditional Business, New Businesses and Energy, although from a management information point of view, the activity is considered a mono-segment, being mainly casing sales.

Furthermore, Viscofan's business model is global, understood as products and services sold in a multitude of markets around the world that are generated by the assets held by the Group in different locations. In this way, each production centre produces goods with a final destination in different countries and markets. Sometimes, manufacturing sites produce semi-finished products, which are completed in other countries for subsequent sale to a third party, and this process often involves several geographic management regions.

To facilitate management and monitoring, four geographical regions have been established within the Beyond25 Plan: EMEA (comprising assets in Spain, Germany, Czech Republic, Serbia, Belgium, United Kingdom, France and Russia), North America (incorporating assets in Canada, Costa Rica, Mexico and the United States), APAC (comprising assets in Australia, China, Japan, New Zealand, and Thailand), and South America (comprising assets in Brazil and Uruguay).

Considering this business and management scheme, sales are analysed by geographic region and, in any case, specific returns are analysed in a more concrete manner based on companies or assets analysed on a more individualised basis.

Given the Group's current organisational, production and management structure, the new Beyond25 strategic plan, and the information taken into account in decision-making by the highest decision-making body, the Group's management considers that, in accordance with IFRS 8, the segment that carries out business activities that may generate income and incur expenses is unique: the sale of casings and films for food use.

However, from a commercial point of view, emphasis is placed on geographic areas and sales by type of casing, as broken down below:

	Thousands of euros						
FY 2023	**Spain**	**Rest of Europe, Middle East and Africa**	**Asia Pacific**	**North America**	**South America**	**Disposal and other**	***Consolidated***
Revenue from external customers	171,003	360,315	158,466	369,324	166,679	0	*1,225,787*
Ordinary income of other group companies	171,709	321,702	2,270	106,484	43,380	-645,545	*0*
Total ordinary income	342,712	682,017	160,736	475,808	210,059	-645,545	*1,225,787*
Depreciation charges							*-83,713*
Finance income							*846*
Finance costs							*-6,900*
Exchange gains (losses)							*-9,748*
Segment profit before tax							***168,906***
Total assets	**460,529**	**442,323**	**157,185**	**436,332**	**201,907**	**-290,767**	***1,407,509***
Total liabilities	**270,345**	**159,790**	**46,157**	**241,693**	**33,278**	**-301,526**	***449,737***
Asset acquisitions	**25,253**	**16,260**	**10,967**	**17,406**	**7,661**	**0**	***77,547***

	Thousands of euros						
FY 2022	**Spain**	**Rest of Europe, Middle East and Africa**	**Asia Pacific**	**North America**	**South America**	**Disposal and other**	***Consolidated***
Revenue from external customers	175,209	332,195	168,837	369,815	154,972	0	*1,201,028*
Ordinary income of other group companies	178,827	330,612	3,171	109,495	48,239	-670,344	*0*
Total ordinary income	354,036	662,807	172,008	479,310	203,211	-670,344	*1,201,028*
Depreciation charges							*-78,147*
Finance income							*1,194*
Finance costs							*-1,370*
Exchange gains (losses)							*-5,044*
Segment profit before tax							***183,789***
Total assets	**406,795**	**433,755**	**151,048**	**431,383**	**203,708**	**-279,296**	***1,347,393***
Total liabilities	**239,744**	**170,308**	**44,686**	**234,703**	**36,423**	**-285,341**	***440,523***
Asset acquisitions	**26,248**	**35,661**	**3,421**	**51,534**	**8,743**	**0**	***125,607***

20. Revenue and operating expenses

20.1. Sales and rendered services

The sales and services provided in the consolidated income statement include the delivery of goods to customers, services rendered in the course of the Group's ordinary activities and the sale of energy, net of sales-related taxes.

The detail of this heading for 2023 and 2022 is as follows:

	Thousands of euros	
	2023	2022
Turnover corresponding to Traditional Business	985,305	963,089
Turnover corresponding to New Business	151,521	144,465
Turnover corresponding to energy	88,961	93,474
Total	**1,225,787**	**1,201,028**

Ordinary income from external customers can be traced to the sale of casings and film for food use and other applications, generally made to manufacturers of cold meats, as well as, to a lesser extent, the generation of electricity for sale to third parties through cogeneration systems.

In terms of the sale of casings and film, the Group considers that there is only one type of customer contract: sales correspond to a single performance obligation and are made at a moment in time.

In terms of the sales of electricity produced, they are recognised as the energy generated by cogeneration systems is produced and delivered.

20.2. Other income

The breakdown of "Other Operating Income" for 2023 and 2022 is as follows:

	Thousands of euros	
	2023	2022
Work carried out by the Group on non-current assets	1,366	386
Capital grants (Note 13)	131	200
Other operating income	13,555	7,978
Total other income	**15,052**	**8,564**

There is no breach of the conditions or contingencies associated to grants received.

20.3. Staff costs

The breakdown of "Staff costs" in 2023 and 2022 is as follows:

	Thousands of euros	
	2023	**2022**
Wages, salaries, and assimilated	210,861	203,984
Penalties	1,037	1,676
Current service cost of defined benefit plans (Note 14.1)	215	340
Social Security charged to the company	39,158	38,541
Other social charges and taxes	18,815	17,647
Total staff costs	**270,086**	**262,188**

Group employees during 2023 and 2022, by professional category and gender, were as follows:

	Headcount at the end of the period					
	Men	**Women**	***Total 2023***	**Men**	**Women**	***Total 2022***
Senior executives	101	29	***130***	109	27	***136***
Technicians and department heads	945	373	***1,318***	958	368	***1,326***
Administrative personnel	62	192	***254***	53	190	***243***
Specialised personnel	686	238	***924***	720	239	***959***
Workers	1,967	739	***2,706***	2,059	787	***2,846***
Total	**3,761**	**1,571**	***5,332***	**3,899**	**1,611**	***5,510***

	Average headcount					
	Men	**Women**	***Total 2023***	**Men**	**Women**	***Total 2022***
Senior executives	101	29	***130***	107	26	***133***
Technicians and department heads	944	360	***1,304***	932	357	***1,289***
Administrative personnel	54	187	***241***	54	178	***232***
Specialised personnel	692	224	***916***	699	230	***929***
Workers	2,006	749	***2,755***	1,991	743	***2,734***
Total	**3,797**	**1,549**	***5,346***	**3,783**	**1,534**	***5,317***

Due to the circumstances of the production process, since 3 May 2017, and renewed on 13 November 2023, Viscofan S.A. has reported, through Resolution 313/2023 of the Directorate of the Navarre Employment Service, the recognition of exceptionality that justifies adopting alternative measures to comply with the reserve quota in favour of disabled workers and authorises, as an alternative measure, the signing of civil or commercial contracts with Special Employment Centres, for a period of three years.

Employees, in companies located in Spain, with a recognised level of disability equal to or higher than 33%, reported in accordance with Royal Decree 602/2016 of 2 December, amount to 5 workers (4 operators and 1 administrative); the figures for 2022 include 4 workers (3 operators and 1 administrative).

The Group works with special employment centres in Spain and in other countries to perform certain tasks that contribute to the development of our production activity.

The Group had a total number of 66 disabled employees (60 men and 6 women). In 2022, the Group had a total number of 71 disabled employees (65 men and 6 women).

20.4. Other operating expenses

The detail of "Other operating expenses" for 2023 and 2022 is as follows:

	Thousands of euros	
	2023	**2022**
Research and development expenditure	3,600	3,350
Repairs and maintenance	33,665	34,705
Environment	10,352	9,438
Utilities	97,418	99,146
Plant costs (security, cleaning and others)	38,508	38,953
Leases	8,009	5,637
Insurance premiums	8,419	8,391
Taxes	4,202	3,924
Business and administrative expenses	68,668	75,630
Other operating expenses	8,060	11,792
Total other operating expenses	**280,901**	**290,966**

"Lease" expenses include fees as well as short-term rentals not affected by IFRS 16 Leases.

20.5. Financial income and expense

The breakdown of financial income and expenses for 2023 and 2022, according to the origin of the items making it up, is as follows:

	Thousands of euros	
	2023	2022
Finance income	**846**	**1,194**
Amounts owed to credit institutions and other financial liabilities	-6,272	-1,533
Net financial cost of pension plans and long-term remuneration	-628	163
Finance costs	**-6,900**	**-1,370**
Fair value adjustment to financial investments	**22**	**-17**
Exchange gains	24,420	30,751
Exchange losses	-34,168	-35,795
Exchange gains (losses)	**-9,748**	**-5,044**
Total financial income (expenses)	**-15,780**	**-5,237**

21. Earnings per share

21.1. Basic

The calculation of basic earnings per share is based on the profit for the year attributable to the shareholders of the parent and a weighted average number of ordinary shares in circulation throughout the year, excluding treasury shares.

The breakdown of the calculation of basic earnings per share is as follows:

	Thousands of euros	
	2023	2022
Weighted average number of ordinary shares in issue	46,184,195	46,186,656
Profit for the year from continuing operations attributable to equity holders of the parent company	140,962	139,430
Basic earnings per share (in euros)	**3.05**	**3.02**

	2023	2022
Average number of ordinary shares outstanding	46,500,000	46,500,000
Effect of treasury shares	-315,805	-313,344
Weighted average number of ordinary shares in issue at 31 December	**46,184,195**	**46,186,656**

21.2. Diluted

Diluted earnings per share are calculated by dividing profit attributable to equity holders of the parent by the weighted average number of ordinary shares in circulation considering the diluting effects of potential ordinary shares.

The diluted earnings per share include the effect of the group's share plan, detailed in note 23.3. It includes the ordinary shares that will be put into circulation, based on the degree of compliance with the conditions established at 31 December 2024, the planned deadline for these conditions to be fulfilled.

	Thousands of euros	
	2023	2022
The actions that are planned to be delivered in the Triennial Plan are added, as they will be in place once they have been delivered	46,340,895	46,421,656
Profit for the year from continuing operations attributable to equity holders of the parent company	140,962	139,430
Basic earnings per share (in euros)	**3.04**	**3.00**

Given the Company's plan to reduce its share capital by redeeming treasury shares (Note 12.6), no dilution effect will occur as a result of the capital increase devised for the payment of the Final Dividend within the framework of the Company's flexible remuneration programme.

22. Risk management

Risk management is controlled by the Group, in keeping with policies approved by the Board of Directors. The risk control system is described in section E. Risk management and control systems of the Annual Corporate Governance Report from the parent company, listing those that might affect the achievement of objectives, their materiality in 2023, and response and supervision plans. We will now focus on the financial risks described below.

The Group's activities are exposed to various financial risks: exchange rate risk, credit risk, liquidity risk, cash flow interest rate risk and fair value risk, as well as fuel price risk and emission allowance price risk. The Group's global risk management program focuses on the uncertainty of financial markets and aims to minimize the potential adverse effects on the Group's profitability. Certain risks are hedged by derivative instruments.

22.1. Exchange rate risk

As the Group operates internationally, it is exposed to variations in exchange rates, particularly the US Dollar. The exchange rate risk arises from future commercial transactions, recognised assets and liabilities and net investments abroad.

The risk management policy of the Group is to cover the net balance between collections and payments in currencies other than the functional currency with the most net risk. Therefore, forward currency contracts were formalised at the time the yearly budget was prepared; EBITDA forecasts were used as the basis for the following year, the degree of exposure, and the degree of risk the Group is willing to assume.

The following table shows the sensitivity of a possible exchange rate variation on net results for the year arising from certain currencies in the countries in which the Group carries out its activities, while maintaining the other variables constant:

Thousands of euros

	2023		2022	
	+ 5%	- 5%	+ 5%	- 5%
US Dollar	10,062	-10,945	13,467	-12,940
Czech Koruna	-1,589	1,438	-2,250	2,036
Brazilian Real	-1,676	1,517	-1,512	1,369
Chinese Yuan Renmimbi	1,476	-1,335	1,697	-1,536

The following table shows the impact on consolidated equity of changes in the exchange rates of certain currencies of countries where the Group conducts business:

Thousands of euros

	2023		2022	
	+ 5%	- 5%	+ 5%	- 5%
US Dollar	10,695	-8,847	14,259	-12,778
Czech Koruna	3,903	-3,531	3,209	-2,904
Brazilian Real	3,367	-3,047	3,929	-3,555
Chinese Yuan Renmimbi	5,274	-4,772	5,354	-4,844

22.2. Credit risk

The Viscofan Group's main financial assets are cash balances, trade and other receivables, and investments, which represent the Group's maximum exposure to credit risk.

The Group's credit risk relates mainly to trade receivables. Amounts reflected on the consolidated balance sheet, net insolvency provisions, estimated based on experiences gleaned from prior years, age, and valuation in the current economic environment. This would be the maximum amount of exposure to this type of risk.

There is no significant concentration of credit risk within the Group; its exposure is spread among a large number of counterparties and customers. No clients or associated group companies represented sales and amounts receivable higher than 10% of total risk.

The Group has a credit policy, with exposure risk managed as part of its normal course of business. Credit evaluation of clients is performed in all cases where amounts exceed a set limit. It is habitual practice of Group companies to partially cover non-payment risk through contracting loan guarantee and sureties covering approximately 90% of each client's debt. For countries at risk, coverage is reduced to 80%. In Countries without insurance coverage, guarantees such as advances and deposits on account are mandatory.

Credit risk arising from liquid funds and derivative financial instruments is limited due to the fact that counterparties are banking institutions with high credit ratings assigned by international agencies.

The Directors consider that at 31 December 2023 there were no significant assets that could be impaired with respect to their net carrying amount.

22.3. Liquidity risk

The Group has a prudent policy to cover its liquidity risks which is focused on having sufficient cash and marketable securities as well as the ability to draw down sufficient financing through its existing borrowing facilities to settle the market positions of its short-term investments. Given the dynamic nature of its underlying business, the Group aims to be flexible with regard to financing through drawdowns on its contracted credit lines.

The Group adequately monitors each month expected collections and payments to be made in the coming months and analyses any deviations from expected cash flows in the previous month to identify any possible deviations which might affect liquidity.

The following ratios show the level of liquidity at 31 December 2023 and 2022:

	Thousands of euros	
	2023	**2022**
Current assets	764,023	720,478
Current liabilities	-339,309	-325,739
Working capital	**424,714**	**394,739**
Current liabilities	339,309	325,739
Working capital/current liabilities ratio	**125.17 %**	**121.18 %**
Cash and cash equivalents	51,996	51,193
Available on line of credit (Note 16)	105,944	53,131
Treasury + credit availability and discounting	**157,940**	**104,324**
Cash + credit availability and discounting/current liabilities ratio	**46.55 %**	**32.03 %**

The amounts available on credit and discount lines do not include confirming lines or multi-risk policies which are described in Note 16.

For certain long-term loans amounting to 15 million euros, the Group must comply with a number of ratios calculated on the basis of the consolidated financial statements. Failure to comply with them would entail increases in financial costs and, depending on the case, would require the granting of guarantees. At 31 December 2023 and 2022, all the main ratios have been satisfactorily met and neither Viscofan, S. A. nor any of its material subsidiaries were in breach of their financial commitments or of any kind of obligation that could trigger their early redemption.

In 2023 and 2022 there were no defaults or other noncompliance of the principal, interest, or repayments of debts with credit entities. No defaults are foreseen for 2023.

22.4. Interest rate risks in cash flows and fair value

The Group manages interest rate risk by maintaining a balanced portfolio of fixed and floating rate loans and credits. The Group's policy is to hold interest rates at fixed rate. At 31 December 2023, approximately 33% of the Group's loans accrued interest at a fixed rate (2022: 50 %).

The Group does not own significant remunerated assets.

At 31 December 2023 and 2022, the structure of financial liabilities subject to interest rate risk, once hedges through the derivatives arranged have been taken into account, is as follows:

	Thousands of euros	
	2023	**2022**
Payable to credit institutions	189,959	152,458
Other financial liabilities (*)	16,188	15,716
Total financial debt	**206,147**	**168,174**
Fixed interest rate	56,688	71,406
Variable interest rate	149,459	96,768

(*) Excluding fixed asset suppliers and lease liabilities

In 2023 and 2022, the floating interest rates on loans are linked to Euribor and Libor dollar.

The Group is likewise exposed to changes in the interest rates used to calculate the pension plan obligations (Note 14.1).

The following table shows the sensitivity of profit (loss) for the year to a possible 1% variation in discount and/or interest rates:

	Thousands of euros			
	2023		**2022**	
	+ 1%	**- 1%**	**+ 1%**	**- 1%**
Pension plan obligations				
Germany	-132	135	-162	151
United States and Canada	-246	236	-288	305
Plans in other countries	-21	20	-22	21
Financial debt				
Euribor	-1,902	1,728	-752	749

22.5. Fuel price risk (gas and other oil derivatives)

Viscofan Group is exposed to fluctuations in the gas price and other fuels used in the casing production process.

The Group policy is to set the prices for main fuels through the arrangement of year-long contracts with suppliers, or by using hedging policies (Note 17.1). It thus attempts to mitigate the impact of price variations on the consolidated income statement.

The following table reflects the sensitivity to a possible gas price fluctuation on 10% of operating results.

	Thousands of euros	
	2023	2022
+ 10%	-8,461	-5,891
- 10%	8,461	5,891

22.6. Emission rights price risk

In accordance with the 2013-2020 National Emission Allowance Assignment Plan, and after applying the inter-sectoral adjustment factors outlined in Appendix II to EU Decision 2013/448/EU to non-electricity generators, and the annual 1.74% annual reduction in electricity generators, in accordance with Articles 9 and 9 bis of EC Directive 2003/87/EC, the Group was assigned emission allowances equivalent to 356,915 tones.

In accordance with that described in Note 8, the consumption of emission rights for 2023 amounted to 294,406 tonnes (317,106 tonnes in 2022), generating an expense of 22,605 thousand euros (21,492 thousand euros in 2022).

The sensitivity faced with a possible variation in the average price of the consumption of emission rights of 10% of operating results, would be as follows:

	Thousands of euros	
	2023	2022
+ 10%	-2,260	-2,184
- 10%	2,260	2,184

23. Information on the Board of Directors of the Parent and Senior Management

23.1. Directors

Directors' remuneration is outlined in article 29.3 of the articles of association and remuneration policies approved by the Annual General Meeting.

The breakdown for Board remuneration in 2023 and 2022 is as follows:

	Thousands of euros							
	Salary	**Fixed remuneration**	**Attendance fees**	**Short-term variable remuneration**	**Long-term variable remuneration**	**Remuneration for committee membership**	**Other items**	***Total***
José Domingo de Ampuero y Osma	656	160		188			26	*1,030*
José Antonio Canales García	506	80		145			55	*786*
José María Aldecoa Sagastasoloa (*)		105	30			25		*160*
Jaime Real de Asúa Arteche		80	30			38		*148*
Agatha Echevarría Canales		80	30			30		*140*
Santiago Domecq Bohórquez		80	30			25		*135*
Laura González Molero		80	28			45		*153*
Carmen de Pablo Redondo		80	27			30		*137*
Cristina Henríquez de Luna Basagoiti		80	30			30		*140*
Andrés Arizcorreta García		80	30			25		*135*
Javier Fernández Alonso		80	30			30		*140*
Verónica Pascual Boé		7	3					*10*
Total 2023	**1,162**	**992**	**268**	**333**	**0**	**278**	**81**	***3,114***

(*) The fixed remuneration of the director Mr José María Aldecoa includes 80,000 euros as fixed remuneration for membership on the Board and 25,000 euros for remuneration corresponding to its function as Coordinating Director, as established in the Board of Directors' Remuneration Policy.

	Thousands of euros							
	Salary	**Fixed remuneration**	**Attendance fees**	**Short-term variable remuneration**	**Long-term variable remuneration**	**Remuneration for committee membership**	**Other items**	***Total***
José Domingo de Ampuero y Osma	656	160	—	364	—	—	22	*1,202*
José Antonio Canales García	506	80	—	281	—	—	56	*923*
José María Aldecoa Sagastasoloa (*)	—	105	30	—	—	52	—	*187*
Jaime Real de Asúa Arteche	—	80	30	—	—	38	—	*148*
Agatha Echevarría Canales	—	80	30	—	—	30	—	*140*
Santiago Domecq Bohórquez	—	80	30	—	—	28	—	*138*
Laura González Molero	—	80	28	—	—	45	—	*153*
Carmen de Pablo Redondo	—	80	28	—	—	30	—	*138*
Cristina Henríquez de Luna Basagoiti	—	53	21	—	—	3	—	*77*
Andrés Arizcorreta García	—	53	21	—	—	17	—	*91*
Javier Fernández Alonso	—	40	12	—	—	15	—	*67*
Néstor Basterra Larroudé	—	27	12	—	—	8	—	*47*
Ignacio Marco-Gardoqui Ibáñez	—	27	12	—	—	8	—	*47*
Juan March de la Lastra	—	40	18	—	—	12	—	*70*
Total 2022	***1,162***	***985***	***272***	***645***	***—***	***286***	***78***	***3,428***

(*) The fixed remuneration of the director Mr José María Aldecoa includes 80,000 euros as fixed remuneration for membership on the Board and 25,000 euros for remuneration corresponding to its function as Coordinating Director, as established in the Board of Directors' Remuneration Policy.

At the meeting of the Board of Directors of Viscofan S.A. held on 20 December 2023, Carmen de Pablo Redondo, independent external director, resigned as a member of the Company's Board of Directors and its Audit Committee.

To fill the vacancies left by Carmen de Pablo Redondo, and at the proposal of the Appointments, Remuneration and Sustainability Committee, the Board of Directors appointed Verónica Pascual Boé as an external independent director, a position she accepted, and Andrés Arizkorreta García as a member of the Audit Committee.

At the same meeting of the Board of Directors on 20 December, the model shift from an executive chairmanship to a non-executive chairmanship, including the appointment of a Chief Executive Officer, took effect.

Consequently:

José Domingo de Ampuero y Osma, with effect from 1 January 2024, ceases to hold his executive functions in the Company and the Group, continuing his tenure as non-executive

Chair of the Board of Directors and, consequently, moving to the category of "other external directors".

José Antonio Canales García, current Director-Managing Director, has been appointed CEO of Viscofan, also with effect from 1 January 2024.

Ignacio Marco-Gardoqui Ibáñez completed 12 uninterrupted years in the post of director of Viscofan on 1 January 2022, hence he ceased to be considered an independent external director and acquired the status of other external directors. For this reason, Marco Gardoqui, formally communicated his irrevocable resignation as director of the Company by letter addressed to the Chairman and the entire Board and with effect from the date of the Annual General Meeting in 2022 so that the shareholders can fill the vacancy created and appoint a new director who, in addition to meeting the appropriate perfil, has the status of independent external director.

Néstor Basterra Larroudé, whose term of office expired on 25 May 2022, considering that the Annual General Meeting had been called for 28 and 29 April 2022, a few days before the expiry of the term of office he also tendered his resignation as a director of the Company by letter addressed to the Chairman and the entire Board irrevocably and with effect from the date of the Annual General Meeting of Shareholders in 2022.

At the General Meeting held on 29 April 2022, Cristina Henríquez de Luna Basagoiti was appointed as independent director and Andrés Arizcorreta García as independent director, both from the parent company.

By resolution of the Board of Directors of 23 June 2022, Javier Fernandez Alonso was co-opted onto the Board as proprietary director representing Corporación Financiera Alba, replacing Juan March de la Lastra, who resigned effective that date for professional reasons.

The two Executive directors, José Domingo de Ampuero y Osma and José Antonio Canales García earned a variable compensation totalling 333 thousand euros in the short-term (2022: 645 thousand euros in the short-term). These were calculated based on EBIDTA, net profit, sales, and share price values which were determined in accordance with the annual plan as well as personal performance.

In relation to the Long Term Incentive Plan for the 2022-2024 period (Note 23.3), a liability of 661 thousand euros was recognised in 2023 (320 thousand euros in 2022).

"Other items" includes 81 thousand euros (78 thousand euros in 2022) in respect of life and accident insurance premiums, health care policies and company cars.

The Company has arranged civil liability insurance for both executive and non-executive directors, as well as for executives of the Company and the Group's subsidiaries. In this insurance, the directors will be considered as the insured parties, due to the liabilities that may arise as a consequence of the performance of their activities. During 2023, amounts were paid for insurance premiums covering the civil liability of its directors and executives for damage caused in the exercise of their functions, amounting to 63 thousand euros (66 thousand euros in 2022).

At 31 December 2023 and 2022, no advances or loans had been granted to the Viscofan Group, nor did the Group have any pension commitments or other non-current savings plans. Likewise, no type of guarantee was granted on behalf of any present or former members of the

Board of Directors, related individuals or entities. In 2023 and 2022, the members of the Board of Directors and related individuals or entities did not perform any transactions with the Company or with Group companies other than in the ordinary course of business or on terms other than on an arms' length basis.

Viscofan's directors have communicated that insofar as article 229 of the Spanish Corporate Enterprises Act is concerned they do not have any conflicts of interest with the Company.

In 2023, no Group companies had legal persons as administrators.

Viscofan Group has contracts with its two executive directors which include golden parachute clauses. The termination of these contracts in certain objective circumstances not attributable to these board members, may entitle them to indemnification worth twice their fixed remuneration, comprising two years of non-competition.

23.2. Senior management

The breakdown of parties holding executive positions during 2023 follows:

Luis Bertoli	SAM Geographical Area General Manager (South America)
Andrés Díaz	EMEA (Europe, Middle East and Africa) Geographical Area General Manager
Gabriel Larrea	NAM Geographical Area General Manager (North America)
Juan Negri	General Manager Geographical Area Asia Pacific
Oscar Ponz	General Manager New Business Division
María Carmen Peña	Chief Financial Officer
Jesús Calavia	Chief Operating Officer
Ignacio Goñi	Chief Commercial Officer
José Angel Arrarás	Director General for R&D and Quality
Armando Ares	Investor Relations and Communications Director
César Arraiza	Head of Strategy, Organisation and Systems
Alejandro Bergaz	Head of Internal Audit
José Antonio Cortajarena	Secretary to the Board of Directors and Head of Legal
José Ignacio Recalde	Head of Diversification and Technology
Beatriz Sesma	Human Resources Director

In 2023, remuneration received by key management personnel totalled 4,021 thousand euros. In 2022 remuneration amounted to 4,234 thousand euros. In relation to the Long Term Incentive Plan for the 2022-2024 period (Note 23.3), a liability of 1,186 thousand euros was recognised in 2023 (593 thousand euros in 2022).

This amount does not include the abovementioned payments made to José Antonio Canales García and José Domingo de Ampuero y Osma, which is reflected further on.

The Company has arranged civil liability insurance for both executive and non-executive directors, as well as for executives of the Company and the Group's subsidiaries, as mentioned in point 23.1.

23.3. Long-term Incentive Plan

The Board of Directors of Viscofan, in a meeting held on 24 February 2022, at the proposal of the Appointments, Remuneration and Sustainability Committee, approved a Long-Term Incentive Plan for 2022-2024 intended for the Company's executive directors, managers and other key staff of the Viscofan Group which, subject to compliance with its objectives, will result in a cash payment and a payment in Company shares. In accordance with article 219 of the consolidated Spanish Corporate Enterprises Act approved by Legislative Royal Decree 1/2010, of 2 July, and article 29.2 of Viscofan's Articles of Association, the Plan will be submitted, with regard to the Company's executive directors, for approval by the Annual General Meeting, under the terms provided for in the current legislation and in the Directors' Remuneration Policy.

The Plan consists of an extraordinary, multi-year and mixed incentive, payable in cash and in Company shares which, after the application of certain ratios, based on the degree of attainment of certain targets in the evaluation period (2022-2024), determines in favour of the beneficiaries: (i) the payment of a cash amount and, (ii) on the basis of an initial number of assigned shares, the effective delivery of shares in Viscofan S.A. on the scheduled payment date.

The parameters to be taken into account during the measurement period were:

- Total shareholder return
- Creating sustainable environmental value
- Creating sustainable social value

Based on 152 initial beneficiaries, due to the new recruits and employment mobility, the final number of Plan beneficiaries was 160, with respect to the maximum authorised limit both in terms of cash and shares.

The Plan will be due and paid within one month of the approval by the Company's Annual General Meeting of the financial statements for 2024 ("Settlement Date"), i.e. within the first half of 2025. Beneficiaries who voluntarily withdraw before the Settlement Date will lose all rights arising from it.

The Plan has the following limits:

- With regard to the part to be paid in cash, the Plan anticipates a maximum cost or payment of 11.5 million euros in the event of 100% attainment of the target, and 17.3 million euros if the target is exceeded.
- With regard to the part to be paid in shares, the Plan provides for a maximum of 235,000 shares for all beneficiaries if the target is achieved and 350,000 shares if the target is exceeded.

The amounts and maximum number of shares initially considered for executive directors are as follows:

- For the Executive Chairman a maximum of 413,280 euros and 17,287 shares for achieving the target (619,920 euros and 25,931 shares if the target is exceeded).

- A maximum of 318,780 euros for the Group's Chief Executive Officer and 13,334 shares for the target (478,170 euros and 20,002 shares in the event of exceeding the target).

With effect from 1 January 2024, the Executive Chairman has been removed from his executive duties as decided by the Company. Consequently, as of that date, no economic rights accrue to the Chairman for the Triennial Plan and the Board of Directors, at the Committee's proposal, has recognised the right to receive the economic rights of the Chairman for amounts proportional to his permanence in the Plan, i.e: a) For the Target Incentive, a maximum of 11,524 shares and 275,520 euros in cash; b) For the Maximum Incentive for exceeding the targets, 17,287 shares and 413,280 euros. The determination of the specific amount will be based on the degree of achievement of the objectives set out in the Plan, which will be assessed and determined by the Board of Directors on a proposal from the Committee.

The liability recorded by the Group for this plan at 31 December 2023 totals 9,946 thousand euros, of which 3,904 thousand euros are included in the "Other reserves" item (Note 12.3) and 6,042 thousand euros in the "Non-current provisions for employee benefits" item (Note 14).

24. Transactions and balances with related parties

The operations with directors and members of senior management are detailed in Note 23. No material transactions have been carried out with the Company or its group of companies that were outside the ordinary course of business of the company or were not carried out under normal market conditions.

Pursuant to article 231 of the Spanish Corporate Enterprises Act, none of the companies forming part of the Viscofan Group have performed transactions with related parties. However, in 2023, the Group had dealings with Banca March, S.A., a financial institution linked to Corporación Financiera Alba, S.A., which held 14.25% of the Company's shares at 31 December 2023 (14.25% at 31 December 2022). In January 2023, a credit account was entered into with a limit of 10 million euros, extendable annually until January 2026. Also in 2023, the company has closed a gas hedging contract for 100,000 MWh, with 25,000 MWh still open at the end of the year. In 2022, the loan of 10 million euros and the exchange rate hedges that the Group had entered into with Banca March S.A. ended. During 2023 and 2022, no additional services were provided by companies related to the shareholder: All transactions took place in normal market conditions.

25. Environmental information and climate change

Climate change is a specific risk identified in Viscofan's current risk management system, since climate change and the measures for its adaptation or mitigation may have implications that hinder the attainment of long-term objectives and the creation of value for the stakeholders.

To analyse climate change risk, the Task Force on Climate related Financial Disclosure (TCFD) is taken as a reference to conduct the analysis of risks and opportunities at short, medium and long term; the impact of risks and opportunities in the business lines, the organisation's financial planning and strategy and the measures implemented and envisaged for each type of risk and opportunity.

In the preliminary analysis, the most significant risks were identified as the following:

- Transitional - Regulatory changes Viscofan's production process is energy intensive, so legislative proposals related to this resource and aimed at mitigating climate change may have a particular impact on the business. This is the case of the increase in the price of CO2, carbon taxes or emission restrictions, which may affect the industrial and other energy-intensive sectors.

- Physical - Chronic Shortage of water: The increase in the planet's average temperatures can increase the risk of water stress, causing a lack of supply at production plants. Based on this risk, Viscofan has identified plants located in regions of high or extremely high water stress, in line with the list of the World Resources Institute. Said plants are located in Brazil, Mexico, Belgium and China and, as a whole, represented 22% of the Group's total water collection in 2023. In 2023, these plants did not have water supply problems.

- Transitional - Low emission technology: accelerated transition to low-emission technology in the company's production lines and facilities, e.g. by switching from natural gas equipment to equipment that uses renewable energy sources or generates less carbon emissions. If the speed of this transition is faster than the amortisation period of the equipment or requires non-mature energy technologies to be adopted, it can lead to associated costs and investments, as well as loss of overall product competitiveness.

- Transitional - Market Rising raw material prices. The physical consequences of global warming or climate change regulation itself may lead to higher prices for raw materials, affecting the company's procurement, transport and distribution worldwide. Increases in the price of raw materials may be caused by their reduced access or availability, or by their carbon footprint.

Viscofan's integral risk management system assesses and monitors the risks and their tendency, taking the necessary management measures which, aside from mitigating the risk, may generate opportunities.

The measures to manage climate risk and their implications are defined in the Sustainability Action Plan approved by the Board of Directors, which includes specific decarbonisation initiatives, initiatives to reduce water collection during the manufacture of collagen, to reduce landfill waste and the circular economy, among others.

From the preliminary analysis performed, no impairment was identified on the current assets and no significant investments were envisaged to comply with the commitments established in

our 2022-2025 Sustainability Action Plan, nor were any contingencies or liabilities identified or impacts on financial assets or others.

The cost of PP&E related to the Group's environmental projects maintained at 31 December 2023 was 94,323 thousand euros (December 2022: 78,023 thousand euros), with an accumulated depreciation of 34,185 thousand euros (December 2022: 28,751 thousand euros).

The main investment projects, amounting to 16,299 thousand euros, have been made in energy equipment that contribute to the reduction of CO2 emissions, such as electric boilers, energy recovery or solar panels, as well as in facilities for processing waste from the production process. Investments in environmental management in 2022 amounted to 12,605 thousand euros.

In 2023, the Group incurred in environmental protection and improvement costs amounting to 10,553 thousand euros. In 2022 this amount totalled 9,438 thousand euros.

The Group arranged civil liability insurance coverage for damages to third parties caused by accidental and unintentional contamination; the insurance coverage refers to any possible risk involved and to date no significant claims in environmental matters have been filed.

The Parent's Directors do not deem it necessary to make any provisions to cover environmental contingencies and expenses.

In 2023 and 2022, Viscofan Group had not received any significant environmental penalties.

26. Audit fees

In the years ended 31 December 2023 and 2022, the auditors of the Group's consolidated Financial Statements, PricewaterhouseCoopers Auditores, S.L. and other companies with which the company has one of the links defined in the fourteenth additional disposition of the Law on Measures to Reform the Financial System, have accrued net fees for professional services, with the exception of "Other Services", which are based on their billing date, as follows:

	Thousands of euros		
FY 2023	**In the parent company**	**In the rest of the companies**	***Total***
PwC Auditores, S.L.	127	151	*278*
PwC Network	0	548	*548*
Audit services	**127**	**699**	***826***
PwC Auditores, S.L.	4	11	*15*
PwC Network	0	38	*38*
Other audit-related services	**4**	**49**	***53***
Total as at 31 December 2023	**131**	**748**	***879***

	Thousands of euros		
FY 2022	**In the parent company**	**In the rest of the companies**	***Total***
PwC Auditores, S.L.	125	150	*275*
PwC Network	0	479	*479*
Audit services	**125**	**629**	***754***
PwC Auditores, S.L.	7	1	*8*
PwC Network	0	36	*36*
Other audit-related services	**7**	**37**	***44***
Total as at 31 December 2022	**132**	**666**	***798***

The amount of the audit fees with firms other than the main auditor totalled 130 thousand euros (139 thousand euros in 2022).

27. Events after the balance sheet date

On 25 January 2024, the Board of Directors of Viscofan, S.A. resolved to implement a share buyback programme (the "Buyback Programme") in accordance with the powers granted by the Annual General Meeting held on 27 April 2023 under item eleven of the agenda.

The Buyback Programme is conducted under the provisions of Regulation (EU) No 596/2014 of the European Parliament and of the Council of 16 April 2014 on market abuse ("Regulation 596/2014") and the Commission's Delegated Regulation (EU) 2016/1052 of 8 March 2016, supplementing Regulation (EU) No 596/2014 of the European Parliament and of the Council as regards regulatory technical standards on conditions for buyback programmes and stabilisation measures ("Regulation 2016/1052").

The Buyback Program will be carried out under the terms indicated below:

Purpose of the Buyback Program. The purpose of the Buyback Programme is to reduce the Company's share capital through the redemption of treasury shares.

The Buyback Programme is approved and launched according to the proposal that the Board of Directors intends to submit for approval at the next Annual General Meeting regarding the establishment of a flexible remuneration programme that will allow shareholders to choose between receiving their remuneration in cash (in the payment of the corresponding dividend) or in newly issued bonus shares of the Company (through the corresponding bonus share capital increases to be submitted for approval at the aforementioned General Meeting) (the "Flexible Remuneration Programme").

The Board of Directors also plans to reduce the Company's share capital by redeeming treasury shares, thus avoiding any dilution for shareholders who choose to receive their dividend in cash.

In the event that in the exercise of the Buyback Programme the Company acquires more shares than those needed to avoid the aforementioned dilution, excess shares would remain as treasury shares on a transitory basis and would be redeemed in the next window of the Flexible Remuneration Programme. Should the Annual General Meeting not approve the Flexible Remuneration Programme, the shares acquired under the Buyback Programme would be redeemed in accordance with the terms set forth in the regulations in force.

Maximum monetary amount and maximum number of shares to be acquired. Up to 76 million euros. In no event may the number of shares to be acquired under the Buyback Programme exceed 1,400,000, or approximately 3% of the Company's share capital as at today's date.

Pricing and volume conditions of the Buyback Programme. Shares will be acquired at market price, in accordance with the conditions set out in article 3 of Delegated Regulation (EU) 2016/1052. In particular, Viscofan will not acquire shares at a price higher than the highest of the following: (a) the price of the last independent transaction; or (b) the highest independent bid at that time on the trading venue where the purchase is made. With regard to trading volume, the Company will not purchase more than 25% of the average daily volume of Viscofan shares on the floor of the trading venue where the purchase takes place, this limit applying to the entire Buyback Programme. The average daily volume of the Company's shares for the purposes of the above calculation will be based on the average daily volume traded in the twenty (20) business days prior to the date of each purchase.

Duration of the Buyback Program. The Buyback Program will begin on 26 January 2024 and will remain in effect until 31 December 2024 (both included). However, Viscofan reserves the right to terminate the Buyback Programme if, prior to its expiry date, it has acquired shares under the Programme for an acquisition price that reaches the maximum investment amount or the maximum number of shares authorised, or if other circumstances make it advisable to do so.

The interruption, termination or modification of the Buyback Program, as well as the share purchase operations carried out under it, will be communicated to the Spanish National Securities Market Commission in accordance with the provisions of Regulation 596/2014 and Regulation 2016/ 1052. Said operations will also be published on the Company's website in accordance with said regulations.

The main administrator of the Buyback Programme will be NORBOLSA, S.V., S.A., which will carry out the share acquisitions on behalf of Viscofan and will make all purchase decisions independently and without being influenced by Viscofan, always within the parameters described above. Purchases under the Buyback Programme may be made on the Spanish Continuous Market (BME), as well as on other trading venues where securities are traded.

The Board of Directors, at its meeting of 29 February 2024, has resolved to propose to the Annual General Meeting a gross Final Dividend of 1.59 euros per share. Consequently, taking into consideration the amount of the 2023 Interim Dividend of 1.40 euros per share and the 0.01 euros per share bonus for attendance to the Annual General Meeting, the total remuneration for shareholders is 3.00 euros per share. Out of the aforementioned estimated amount of 3.00 euros per share, 2.00 euros correspond to the increasing ordinary remuneration that the Board of Directors has been proposing to the Annual General Meeting in recent years (1.95 euros per share charged to fiscal year 2022), while the 1.00 euro per share above this amount is extraordinary in light of the current market and Company conditions.

The proposed total and ordinary distribution are, respectively, 53.8% and 2.6% higher than the previous year's remuneration of 1.95 euros per share.

The Final Dividend is expected to be paid in June 2024.

There are no significant events other than those mentioned above, from year-end to the date of preparation of these financial statements.

Management Report

Free translation from the original in Spanish, in event of discrepancy, the Spanish-language version prevails)

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1. Chairman's letter

This year, we have continued to transform the company in accordance with the inspiring purpose of our Beyond25 strategic plan. We want to strengthen Viscofan in the traditional casings market and go further in diversifying opportunities that new businesses represent, relying on the four pillars that are the hallmark of the Viscofan Group: leadership in service, costs, technology, and sustainability.

Among all the projects carried out in 2023, I would like to highlight the launch of new lines in the United States at the Danville and New Jersey plants. They both have new cellulose and collagen technology that will allow us to become competitive in the American market again. The first productions using the new technologies have been very satisfactory, with some results exceeding our expectations. The United States is the main market for casings, and the technology we currently have places us in a privileged position to reinforce our leadership in the country and improve our profitability.

In terms of sustainability, we are carrying our very significant work in our decarbonisation and energy diversification plans. This is a fundamental challenge for all industries, not just ours. Although there is currently no viable technological solution that allows us to do without fossil fuels, Viscofan has been a pioneer in green hydrogen testing in Cáseda, both in boilers and in co-generation engines. We are also making significant investments that enable us to electrify more of our industrial process and have a more versatile energy supply.

In the field of geographical positioning, we started working on installing a converting centre in Thailand, which is expected to be ready in 2024 and will become the reference centre to meet the needs of the Southeast Asian markets. As we often say, the Asian continent has great potential growth. It is an extensive territory with more than half of the world's population and a multitude of cultures, and the development of the food industry is not always sufficient to meet the continent's most basic needs. All in all, it is a continent with great dynamism that is improving its infrastructure and capabilities, and Viscofan wants to support this evolution from the continent itself. Our local productive presence in the region is a great opportunity as a source of future competitive advantage.

Thanks to the transformation that we are undergoing through this Beyond25 strategic plan and a coherent trajectory of continuous improvement, we have been able to confidently face one of the most difficult years in recent decades caused by the decline in the casing market.

It is undeniable that the market adjustment in 2023 surprised us. It was the most significant decline in recent decades, and it occurred in all reporting areas without exception. It is framed within a context of inventory adjustment, but it is extending over time due to economic weakness and the consequent lower consumption in some markets, mainly emerging markets.

Once again, we must highlight the excellent work of the 5,300 people who work at Viscofan. In a more adverse context than expected, the strength of our business model and the adaptability of our people has allowed us to reach new historical highs with year-on-year growth in terms of revenue (2% compared to the previous year), EBITDA (1% compared to the previous year) and net result (1% compared to the previous year), while maintaining the financial strength of the Group with a net bank debt of 138 million euros.

Improving the main financial figures in a market that has declined in absolute terms is a significant milestone made possible by the commercial effort to improve the price mix to counteract the increase in production input costs, mainly energy and wage costs, and the focus on cost control and margin protection.

Having implemented the major organic transformation projects envisaged in the Beyond25 plan, we are well positioned to grow significantly in revenue, EBITDA, and net profit in 2024, while we expect the market to return to historical growth rates.

Given the prospect of operating cash flows higher than those anticipated in the Beyond25 strategic plan, the Board of Directors has resolved to submit the approval of an extraordinary shareholder remuneration to the General Shareholders' Meeting. This means the total remuneration per share expected for the 2023 financial year is €3.00, of which €2.00 is ordinary and €1.00 is extraordinary, maintaining a growing dividend that has led us to double the ordinary dividend without compromising the strength of the balance sheet in the last ten years. Unlike previous years, this year we plan to make the dividend payment using a flexible remuneration scheme, so that a choice is made between receiving cash or freed-up shares of the company based on the shareholders' preferences. At the same time, to avoid the dilution of the rights of shareholders who have preferred cash remuneration, the equivalent number of the new shares issued will be amortised with treasury stock.

Viscofan's transformation also represents a determined commitment to a more sustainable world, consistent with our explicit commitment to adhere to the United Nations Global Compact and the development of our Sustainability Action Plan. In 2023, some of the goals planned for 2030 have already been achieved, such as the reduction of CO_2 per km produced and the reduction of water, while the rest of the initiatives are in line with the established objectives.

Within this process of change, new developments in governance towards a non-executive presidency model have also been incorporated since last 1 January. When I assumed the executive presidency of this group in 2010, I did so with all the enthusiasm and responsibility that came with the commitment to reinforce Viscofan's leadership and growth trajectory. Looking back over all these years, I must admit that the results have been even better than what I imagined before getting to know this company in depth. In this period, we have more than doubled our size in revenue, results, dividends, and value. We have expanded our geographical presence, reinforced our industrial park, and strengthened our balance sheet. We have a well-defined strategic plan and sufficient strength to continue creating future value for all stakeholders. This is a future that I have also approached with optimism and enthusiasm since I took up my position as non-executive chairman on 1 January, and I and the Board of Directors are confident in the executive work of José Antonio Canales, who was appointed First Executive at the beginning of this year.

I would like to personally thank the work of an exceptional team of people, from the 3,800 we were when I started my mandate as chairman, to the more than 5,300 people who currently work at Viscofan, as well as the customers and you shareholders, whose trust has enabled a company with a market capitalisation of more than 1,300 million euros in 2010 to end 2023 with a market capitalisation of close to 2,500 million euros after distributing more than 900 million euros in dividends. A fabulous present that still has a long way to go to continue growing and creating sustainable value for all its stakeholders.

Thank you very much.

Jose Domingo de Ampuero y Osma

2. Statement of non-financial information (Sustainability Report)

2.1. General information

2.1.1. Foundation

The Non-Financial Information Statement (Sustainability Report) aims to contribute to measure, monitor, and manage the performance and impact on society of the Viscofan Group (hereinafter referred to as “Viscofan Group” or “Viscofan”); Viscofan S.A., parent company of the Viscofan Group, (hereinafter referred to as the “Company”) and subsidiaries, providing relevant information that may substantially influence the decision making of stakeholders, as well as identify risks to improve sustainability and increase the confidence of investors, consumers and society.

This non-financial statement covers the period from 1 January to 31 December 2023 for the financial year of the Viscofan Group.

The scope of this report covers the companies that form part of the Viscofan Group at 31 December 2023, detailed in note 2 to the annual consolidated financial statements.

This report was drawn up by the Board of Directors of Viscofan S.A. on 29 February 2024.

This document was prepared pursuant to Law 11/2018, of 28 December, on non-financial and diversity information. Furthermore, Viscofan has prepared this report based on the Global Reporting Initiative (GRI) standards for the aforementioned period.

Alongside this, the United Nations Global Compact, of which Viscofan is a member, has been taken as a reference. In this regard, it is also a progress report on the measures taken by the Group to implement the 10 Principles of the Global Compact, in line with the Global Compact reporting policy.

To contribute to improved climate change reporting, Viscofan has used the Task Force on Climate related Financial Disclosure (TCFD) as a reference, which recommends general elements on which the organisations must focus to manage climate change risks and opportunities, and the Carbon Disclosure Project questionnaire, which includes the TCFD recommendations.

Additionally, the Environment section of this report complies with the information obligations established by Article 8 of Regulation 852/2020 of the European Union regarding the establishment of a framework to facilitate sustainable investments. This regulation is developed by Delegated Regulation 2139/2021, which establishes the technical selection criteria for determining under what conditions an economic activity will be considered to contribute substantially to the objectives of mitigation and adaptation to climate change, and by Delegated Regulation (EU) 2023/2486 in the case of the objectives sustainable use and the protection of water and marine resources, the transition to a circular economy, the prevention and control of pollution, or the protection and recovery of biodiversity and ecosystems. All of this, in accordance with Delegated Regulation 2178/2021, which develops the reporting methodology.

This report details and explains the relevant aspects identified in the materiality analysis based on the Viscofan Group strategy called Beyond25 and the new Sustainability Action Plan for the 2022-2025 period, and with a longer time horizon based on the 2030 commitments related to the United Nations Sustainable Development Goals, and on the goals set out in the European Green Pact to overcome the challenges of climate change and environmental degradation which, among others, seeks to achieve climate neutrality in the European Union by 2050.

In accordance with requirement 7 of GRI Standard 1-Foundation 2021, this report includes a GRI Content Index as a navigation tool in the Annex to the Non-Financial Reporting Statement, item 2.6.1 Global Reporting Initiative (GRI) Content Index.

Furthermore, the traceability of the content of this report with the Non-financial and diversity information Act 11/2018 is detailed in the Annex to the Statement of Non-Financial Information point 2.6.2. Content index of Law 11/2018 on Non-financial and diversity information.

The contact point for questions about the report is the Investment Relations and Communications Department:

- Telephone: +34948198436
- E-Mail: info-inv@viscofan.com

Relations with our stakeholders

The Viscofan Group understands sustainability as the ability to create value among its various stakeholders in the short, medium and long term without compromising the well-being of future generations. To achieve this commitment, appropriate communication channels have been identified and established to ensure an open dialogue and to be aware of their needs and expectations, allowing the identification and analysis of the most relevant aspects of value creation that inspire the Viscofan Group's success strategy.

The details of stakeholders and the communication channels used are as follows:

Stakeholder	Specific communication channels	Sustainability concerns and challenges	Value proposal
Shareholders	General Shareholders' Meeting, *roadshows*, conferences, telephone contact, electronic communication platforms, and via email, corporate website, shareholder office, etc.	Sustainability as risk and opportunity Strategic focus in value creation	Sustainable economic growth
Employees	Intranet, global opinion poll, meetings and presentations, training sessions, direct relationship with managers, internal magazine, whistleblowing channel, bulletin boards and information screens	Talent retention, diversity, equal opportunity, job security	Developing talent and skills by promoting a safe and diverse work environment
Customers	Customer satisfaction surveys, seminars and events organised by Viscofan, technical	Increased demand for products with lower carbon footprint, human rights advocacy	Preferred option in line with its needs to improve process

	assistance telephone and email and continuous service, end-to-end claims and complaints system, active presence in trade fairs, visits to and from customers, local presence through agents and distributors, access to an extranet for customers accessible at www.viscofan.com	Demand for sustainability information, audits	efficiency and sustainability
Suppliers	Direct contact, collaboration agreements, training, assessments, and audits	They face environmental and social sustainability challenges.	Alliance and respect in the search for the best solutions in our activity.
Society	Contact with the local community, civil society actors, partnership agreements, sponsorships, etc. Contact with governmental institutions, associations Collaboration with research centres and institutes in different countries	Combating climate change as a primary objective Increased demand for sustainability information Consumer demand for a healthier and more sustainable product	Sustainable economic growth, information transparency, territorial integration and community development

Materiality

This report contains the information on the performance and response of the Viscofan Group to the most significant aspects identified, considering the materiality analysis performed with the advisory services of an independent expert.

Within the framework of the Viscofan Group's Beyond25 Strategy and the Sustainability Action Plan, both with a 2022-2025 horizon, the Group has a materiality analysis that identifies the most significant economic, environmental, social and governance impacts of the company that substantially influence the assessments and decisions of stakeholders.

A dual perspective reflected in Directive 2014/95/EU on disclosure of non-financial information and diversity information has been considered:

- Outsider's perspective: How the non-financial aspects affect the situation and earnings of the Viscofan Group.
- Insider's perspective: How the Viscofan Group affects the surroundings from the viewpoint of social, environmental, and human rights protection aspects and, therefore, how it affects the different stakeholders.

For the preparation of the materiality analysis, 45 material aspects have been identified for the different stakeholders based on the following:

- Analysis of the reporting standards used by benchmark companies and the main customers.
- Analysis of different media to identify trends in the most significant aspects for society.
- Sustainability trends. United Nations Global Compact and Sustainable Development Goals (SDG), Task force on Climate-related Financial Disclosures (TCFD) and CDP.
- Reporting standards (Sustainability Accounting Standards Board or “SASB”).
- Requirement of analysts and institutions.
- Regulatory analysis. Law 11/2018, of 28 December, which amends the Code of Commerce, the consolidated Corporate Enterprises Act approved by Legislative Royal Decree 1/2010, 2 July, and Audit Law 22/2015, 20 July, in the area of non-financial and diversity information.
- Recommendations of the GRI Standards, which establishes materiality as one of the Conformance Requirements that determine the content of the reports that report under this standard.

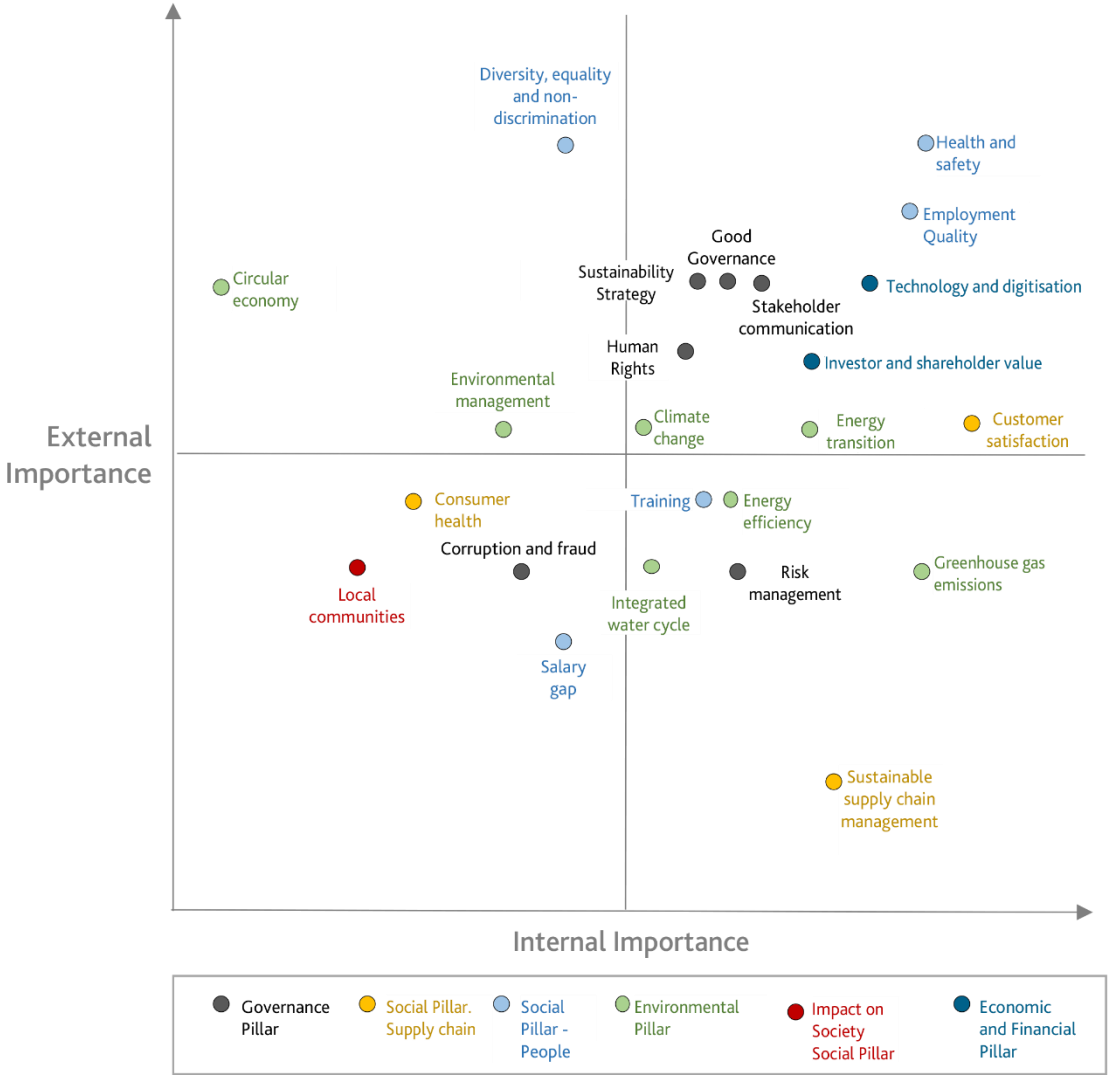
These significant issues were then presented to the heads of various areas of the Viscofan Group to assess their impact on the Group's operations and reputation and on the environment.

The results of this analysis have been presented in a materiality matrix, with the vertical axis representing the external importance, and the horizontal axis the internal importance.

Of the 45 material aspects analysed, the positioning obtained allows Viscofan to focus on the 24 topics of greatest external and internal relevance in the matrix obtained, which are reported in this Non-Financial Information Statement.

The result of this analysis has served to monitor the Sustainability Action Plan approved by the Company's Board of Directors, in which the most significant aspects identified in the area of sustainability are aligned with the implementation established in the Strategic Plan.

This Non-Financial Information Statement is organised in its structure to inform on Viscofan's performance in the most significant matters identified in the area of sustainability.



Category	Significant material aspects
Governance Pillar	• Good governance • Sustainability strategy • Stakeholder communication • Corruption and fraud • Risk management • Respect for human rights

Environmental Pillar	• Climate change • Energy transition • Greenhouse gas emissions • Circular economy • Integrated water cycle • Energy efficiency • Environmental management
Social Pillar	• Diversity, equality and non-discrimination • Health and safety • Quality employment • Salary gap • Training • Customer satisfaction • Sustainable supply chain management • Consumer health • Local communities
Economic and Financial Pillar	• Investor and shareholder value • Technology and digitisation

Generated and distributed value matrix

Based on the cash flows generated in 2023, the matrix of value generated and distributed by stakeholder is as follows:

Stakeholder	Concept	In millions of euros
Customers	Casing sales, energy, and other revenues	1,234
Economic value generated		**1,234**

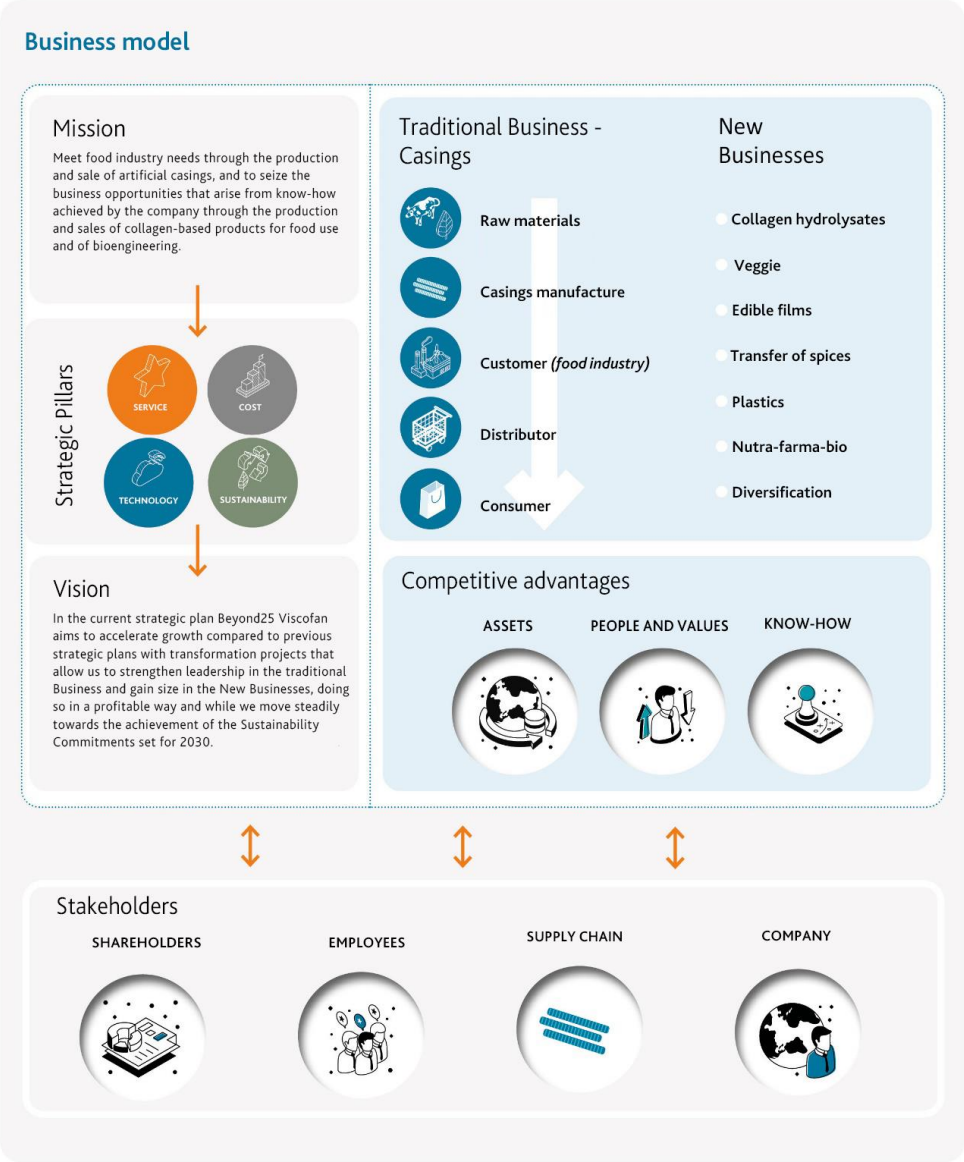
Stakeholder	Concept	In millions of euros
Suppliers	Purchases of raw materials and services	-783
Suppliers	Investment	-76
Employees	Wages, salaries and other	-229
Company	Taxes (Corporate and Social Security)	-80
Shareholders	Payment of dividends	-96
Financing	Debt and interest	32
Economic value distributed		**-1,233**

Increase (+) or decrease (-) in cash flow	**1**

2.1.2. Business model

The Viscofan Group has a business model with a technological and geographical proposal that is unique in the market, based on the solid shared values of a team, aimed at creating value in a sustainable manner for all our stakeholders. As a result of this model, Viscofan is a leader in the casing market and offers growth propositions in the food and health sectors outside the traditional business.

Our business model outline:



Our purpose and mission

Purpose

From 2022, Viscofan has a new purpose with which it wants to go beyond traditional boundaries “Reshaping food and wellbeing. For many, for long”, seeking to help to provide access to food and nutrition throughout the world, and to improve the well-being and health of people.

“Reshaping food and well-being” means that: our technology and our global presence enables us to be in a condition to shape a better world. We contribute to improve access to food throughout the world and we can also help, through nutrition and our knowledge, the well-being of human beings.

“For many” means that: if something characterises us, it is that we have always wanted to be important, to generate an impact; hence, our scope of action in the world is, “for many” - the more people that can enjoy our products, services or solutions, the better it is for our purpose.

“For long” means that: we generate an impact that remains, a future project, a project that intends to be forever, “for a long time”. It is an impact for everyone, for life, for the well-being of everybody. It is our sustainable proposal.

Mission

Meet food industry needs through the production and sale of casings, and to seize the business opportunities that arise from know-how achieved by the company through the production and sales of collagen-based products for food use.

Strategy

The current Strategic Plan, called Beyond25, maintains the ambition to transform the Company in the same way as in the previous strategic plans. To this end, Viscofan expanded its business scope with a new purpose “Reshaping food and wellbeing. For many, for long”.

This means redefining our business model with a new approach to the market that combines our strong competitive advantages: the combination of the world's largest geographical presence, both productive and commercial, with a wide and unique catalogue of products, developed on the basis of its own technology and know-how, which continue to develop continuously thanks to a culture of excellence and continuous improvement, based on solid values and ethical principles shared by a highly committed team.

The new strategic plan has four leading management regions to have greater market proximity and flexibility: Europe, Middle East, and Africa (EMEA), North America (NAM), Asia Pacific (APAC) and South America (SAM), completed with a cross-cutting “New Business” division.

In addition, the strategy is based on an approach to the market that distinguishes between the Traditional Business (which includes cellulose, collagen and fibrous casings) where Viscofan is in a privileged position to continue to take advantage of growth opportunities; and the New Business (which includes tubular plastics, packaging and third parties, new edible casings, functional solutions, nutra-medical-pharma products, as well as diversification activities), where Viscofan wants to leverage its know-how as a catalyst for innovation to expand into new markets with attractive growth trends in the food, wellness and health sectors.

The strategy is based on four cross-cutting pillars: service, cost, technology, and sustainability, with the ambition to lead the market in each of these areas.

In line with this strategic plan, Viscofan has its 2022-2025 Sustainability Action Plan with specific projects to combat climate change, measures to reduce water consumption and improvements to transform our processes into a more circular economy and reinforce our commitments to the Sustainable Development Goals of the United Nations 2030 Agenda.

To drive change, the Digitalisation and People lever has been introduced, with people management and digital transformation initiatives to help streamline processes, boost career development, and improve work-life balance.

The main strategic projects carried out in 2023 financial year are:

- Technology: Completion of the technology renewal project for cellulose production in the United States.
- Service: Start of construction work for a cellulose and collagen casings converting plant in Thailand.
- Energy efficiency: Commissioning of a new evaporation plant at the Cáseda factory (Navarre), making it possible to increase evaporation capacity and to reduce energy consumption and, consequently, CO_2 emissions.
- Decarbonisation: New tests with green hydrogen in a co-generation engine, installation of electric boilers, and a previous project for the implementation of a photovoltaic PPA at the Cáseda plant.
- Digitalisation in our facilities: Viscofan is working on capturing data at converting plant level by building an Internet of Things model. In addition, at Cáseda work is being done on capturing energy data for the purposes of control, modelling, and prediction of consumption and generation, using artificial intelligence and data science techniques.
- New businesses: Ingredient transfer production relocated from Canada to Mexico to boost its capacity and improve its cost structure.

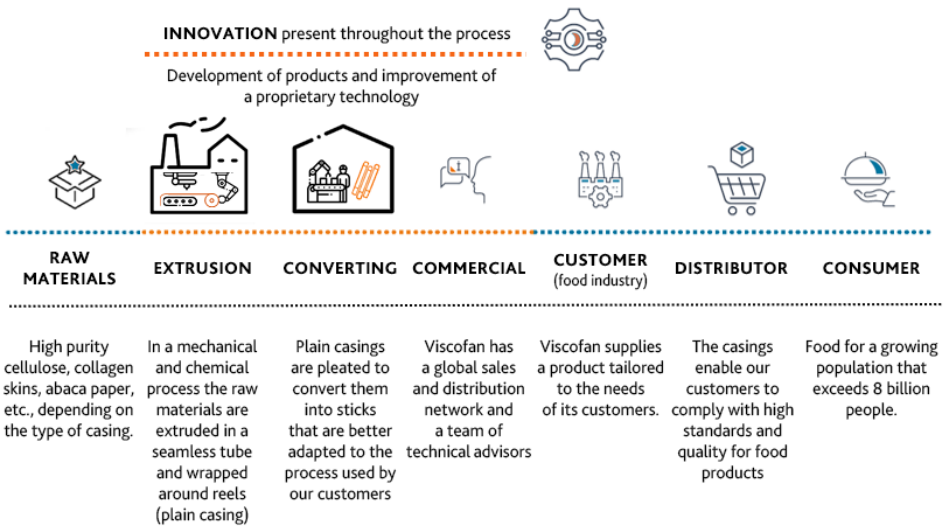
Our markets

Traditional Business - Casings

Casing plays a key role in the food market. They are soft, cylindrical containers made from animal gut or from materials specially designed for stuffing meat or other food ingredients. They give sausages and cold meats their characteristic shape and are of great importance to our customers, who are looking for greater efficiency, increased production speed, reduced waste, and assured quality and consistency. That is why the use of casings is widespread throughout the world.

The casings are characterised by their ease of use and appearance, which contrasts with the high technological component underlying the manufacturing process and which only a few companies worldwide have developed. However, the food industry and, more specifically, the cold meat production sector, increasingly demands more products with greater features, more sustainable and at highly competitive costs, in order to enable their large-scale manufacture. Responding to this demand involves a huge technological and development challenge that Viscofan has successfully met as the largest casing producer, being the only one in the industry to provide solutions in the main casing families.

Diagram of the casing production process and value chain



Belonging to the food market carries with it a great responsibility: that of providing millions of people worldwide with access to basic nutrition. A population that continues to grow and whose expectations regarding flavour, formulation and consumer experience also transform and vary, with the maximum guarantee of quality and food safety.

The customised casing market has a historical growth range of around 2-4% in volume thanks to solid foundations based on:

Category	Trend
Population growth	An average annual rate of 1%, with emerging areas driving this expansion.
Eating habits	Increased per capita demand for meat led by emerging areas thanks to the increased purchasing power of the middle classes, globalisation of eating habits and the growth of the population in cities. In developed areas, nutritional trends are evolving towards the search for greater convenience, and products with higher nutritional quality and food safety standards.
Greater sophistication of meat processors	Increased search for productivity, food safety and hygiene, and the development of new products drives the replacement of animal casings with customised casings (mainly collagen), as well as the development of new products.

In 2023, it is estimated that the casings market decreased by 4% in volumes, influenced by a process of inventory adjustment in the meat industry, and the decrease in consumption, particularly in the emerging markets of Asia and South America. This lower volume of casings was offset by price increases, so that the estimated decrease in the market in euros is around 1%.

Thus, in 2023 the casings market has an estimated value of €5 billion. In order to meet stuffing requirements, a meat processor must choose from among the different market alternatives, either with animal tripe (44% of the market) or customised casings (56% of the market), which, in turn, can be produced with different materials, depending on the desired production and product characteristics, combining a better range of casings with production savings.

New Business

The know-how and experience acquired in diversification with the use of collagen as an ingredient in different applications not related to the world of casings, our continuous dialogue with the market allowing us to identify needs not always associated with casings, together with the experience we have gained in our own production processes, have given rise to product solutions framed within the New Business division.

With this division, Viscofan goes beyond the traditional casing market and enters a market with a potential of more than €5 billion in which Viscofan has a small size, but it is undoubtedly a great opportunity with products and innovations that seek to provide solutions to trends in the areas of food and health that are becoming increasingly relevant.

The main growth catalysts identified are:

Category	Trend
Population	• Growing population • Population ageing
Eating habits	• Increased protein intake • More vegans and vegetarians • Convenience and variety • Healthy and sustainable food
Food industry	• Circular economy
Health	• Search for wellness and personal care • Development of biomedicine

Diversification

Within the New Business division Viscofan has a diversification-driven unit that actively pursues and develops growth opportunities and cutting-edge innovation in materials and new businesses beyond casings.

These opportunities are explored and developed directly by internal teams and through partnership agreements with third parties that stand out in specific areas (technological, industrial, medical, etc.)

Food, health, and sustainability activities are the main pillars of diversification activities.

Of these, Viscofan's ample knowledge in the processing, use and transformation of raw materials of a biopolymeric nature constitutes an innovation opportunity and, hence, a growth opportunity for Viscofan. A good example are the new solutions based on the technological knowledge of collagen.

Collagen is the most abundant protein in the human and animal body, but at the same time it is a unique and versatile material, and therefore finds applications in various fields beneficial to people's health such as regenerative medicine, nutrition, health, life sciences, etc. Viscofan

applies technologies and extraction methods to process bovine skin collagen for the development and production on an industrial scale of new collagen biomatrices in the medical, nutraceutical and food fields.

In addition, Viscofan explores new business avenues by taking minority stakes in several disruptive start-ups, providing financing, and in some cases knowledge, resources, and access to markets to facilitate their growth. The investee companies are (ODS Protein, Feltwood, MOA Biotech, Insekt Label Biotech, Cocoon Bioscience, and Inmedical Therapeutics).

Viscofan also participates in alliances in which it shares knowledge for the development of innovative solutions in different fields. In this regard, the following stand out: The TriAnkle project, a consortium of companies led by Viscofan and funded by the EU to manufacture personalised 3D implants based on collagen and gelatin for the regeneration of injured tendons and cartilage; the European consortium Accelerating Research and Innovation for Advanced Therapies (ARDAT) for the development of advanced therapy medicines; and the European consortium projects “Brave” on cardiac regeneration and “Unloc” on 3D solutions for the field of “Organ on a Chip”.

Finally, with the “Protection” and “Probonewfood” projects that seek to research new sources of protein and their impact on the immune system, and which are funded by the CDTI in Spain.

Our competitive advantages

Viscofan's progress is understood from achieving sustainable competitive advantages, which are the result of the work and commitment of an exceptional team that has been offering the best of each one of them for more than 45 years, to turn Viscofan into the leading company in the casing sector and to expand its frontiers towards new businesses in the fields of food and wellness.

People and values

People are the differential value on which the future of Viscofan is built, the best team in the industry made up of more than 5,346 people and based on shared values:

- We are resolute: we strive for excellence in quality, we are customer and results oriented, we are committed to our work, and we carry it out in an agile manner.

- We work as a team: we perform our work with passion, we value know-how, agility, and excellence. We like to work as a team with a common purpose.

- We are pioneers: we look for new ways of doing things, taking the risk of going further, diversifying, innovating, and contributing to a better future.

- We enjoy our work: we are excited about life, we are eager to do things, make decisions and seize opportunities. We value responsibility and commitment to work.

In parallel, these values are based on irrevocable ethical principles that arise from the fundamental rights of all human beings (integrity, loyalty, respect, and human rights).

The Viscofan Group understands that the creation of long-term sustainable value for all stakeholders can only be achieved through ethical behaviour that favours the development of a culture of best practice in social responsibility within the Group and by contributing to improving people's well-being through the economic, environmental, and social development of the communities in which the Viscofan Group is present.

R&D and Innovation. Technology and know-how

Viscofan's position in the constantly evolving, highly competitive world market is sustained by its constant cutting-edge efforts in research, development, and innovation (R&D&i), both in technology and products. Only this philosophy enables the company to advance the leadership of innovations in the casing industry worldwide and to drive and develop new business, thus benefiting the various stakeholders.

This activity is possible thanks to an innovation network and culture that extends to the whole organisation, and the corporate research and development centre in Spain coordinates, directs and supports the specific research and development activities and tasks conducted at each production plant and coordinates the multidisciplinary work teams. The corporate centre seeks to share the best practices, technological knowledge, and the ideas between the different production centres. This team consists of 153 people across the Group (160 in 2022) spread across all factories including the Diversification team.

Constant innovation required by our **globalised world** must be considered. Our products must be compatible and adapt to the food habits and uses of millions of world consumers, their preferences and evolution over time. Viscofan accompanies its growth as a company with the development of its innovative capacity to access, assimilate and improve the best technologies available in the market, as well as to develop its own technologies that provide competitive advantages, while promoting continuous improvement, seeking greater efficiency and greater **sustainability** in the improvement of processes and products.

In this regard, Viscofan adapts a proactive approach in the search for sustainable solutions at technology and product level, boosting relevant aspects, such as the circular economy, the search for energy efficiency, the reduction of CO_2 emissions and the reduced need for water.

Progress in the field of **digitalisation** represents an innovation opportunity that Viscofan wants to take advantage of to lead the industry's digital transformation. In collaboration with third parties, Viscofan's 4.0 industry team wishes to apply the solutions offered by new IT technologies to our operations. We are seeking to improve the quality of our products, to obtain the best information possible to improve our production process and to perform predictive maintenance through solutions based on artificial vision, the development of technological solutions with the digitalisation of the movement of materials within the facilities, and the development and implementation of a smart 4.0 industry management system.

In this area, it should be noted that, in 2023, Viscofan joined IndesIA, an industrial association in Spain that seeks to promote the data economy and artificial intelligence.

Innovation is an on-going process with strategic product and technological development projects in all casing families (cellulose, collagen, fibrous, plastic and vegetable), and in its final product applications, also including other diversification products. Our innovation boosts the innovation of the food sector, enabling applications to be developed aimed at providing Viscofan with the range of products required to reinforce its presence on the global market.

Action projects

In this regard, the main current Research, Development, and Innovation projects under way are principally focused on the following areas:

- The development of new products according to the target markets defined in the expansion plan, and those required by our customers, and new generation executions, designed and oriented towards offering tubular alternatives with differential performance and features.

- The development of films and casings that to confer functionalities to the product they contain, gaining in efficiency and preventing food waste.

- The development of production alternatives and technological solutions that involve a major leap, through modernisation, streamlining and simplification, allow an increase in added value and efficiency levels and significantly reduced production costs for meat casings, thus improving the competitiveness of our products and processes.

- A boost in the search for technological solutions that allow us to improve the sustainability of our operations in energy efficiency and water consumption, efficiency in the use of raw materials and waste reduction and improvements in safety.

- Research aimed at extending the range of adequate materials to manufacture casings and their features, while also considering sustainability criteria such as their biodegradability or recyclability.

- Technological support for improving existing products and processes, and for the Company's international expansion, all this adhering to Viscofan's technological and quality standards and current regulations, as well as the optimisation of production costs.

Our assets. Wide product offer

Viscofan is the only company in the casing industry with the main technologies available and offers its customers a wide portfolio of casings that allows them to choose the one that best suits their needs in a context of globalisation in food habits and the need to adapt to changing consumer demands where the focus on health, convenience, experience, variety, and sustainability awareness are more relevant.

Our casings facilitate access to basic food for a growing world population, especially in emerging areas whose consumption habits increasingly demand more protein, whether of animal or vegetable origin.

In addition, with the new purpose "Reshaping food and wellbeing. For many, for long" Viscofan seeks to expand its frontiers beyond traditional casings into the food and health fields with New Business innovations.

Our broad casing product portfolio, the largest in the industry, allows the customer to choose the casing that best suits their needs with 13,673 products sold in 2022, while with the new Beyond25 vision and Strategic Plan we expand frontiers with innovative New Business solutions that go beyond traditional casings.

Our product categories are as follows:

Business division	Product type	Description
Traditional business	Cellulose casings 	They are made using natural cellulose as raw material. They are used primarily in the production of industrially cooked sausages. *"Casing that provides competitiveness in an inflationary environment, and sustainability due to its plant-based and biodegradable origin."*
	Collagen casings 	They are produced using collagen as raw material, ideal for fresh or pre-cooked or raw/cured sausages. *"Attractive alternative to animal casings supporting customers in their automation challenges and cost savings."*
	Fibrous casings 	Made from a mixture of cellulose and abaca paper, a vegetable-based paper that makes the casing highly resistant and homogeneous to produce large-calibre sausages. *"The best solution for today's increasingly demanding industrial processes: speed, productivity and efficiency".*
New business	Plastics 	Casings, films, and bags obtained through the processing of plastic polymers, also promoting the use of renewable and bio-based raw materials. There is a wide variety of types that allows us to offer the most suitable product for each type of application. *"Focus of growth on sustainability and added value".*
	Vegetable casings	Plant-based and specially developed for vegetarian and vegan recipes. Suitable for fresh and

		cooked applications, with good frying results and a tender bite. *"Viscofan has been a pioneer in developing a tubular product".*
	Transfer of spices 	Functional spice transfer solution applicable to a wide range of foods such as fresh produce, processed meats, cheeses, and ready-to-eat products. *"New generation of solutions to help customers in their search for new products".*
	Edible films 	Transparent, edible, soluble film made from plant-based polysaccharides that serves as a carrier for a wide variety of herbs, spices, sauces, or marinades. *"Disruptive innovation to reach more markets".*
	Collagen hydrolysates 	Collagen plays an important role in our body. It supports tendons, skin, and cartilage, thus supporting the integrity, firmness and elasticity of the musculoskeletal system, soft tissues, and skin. *"Premium product leveraged on Viscofan's experience with this raw material".*
	Nutra-farma-bio 	Processed bovine skin collagen products for the development and industrial scale production of new medical and research grade collagen biomatrices. Together with partners, Viscofan is developing projects in this field, such as Cardiomesh for infarcted hearts, TriAnkle to regenerate Achilles tendon injuries, among others. *"Leveraging our collagen know-how in the medical field."*

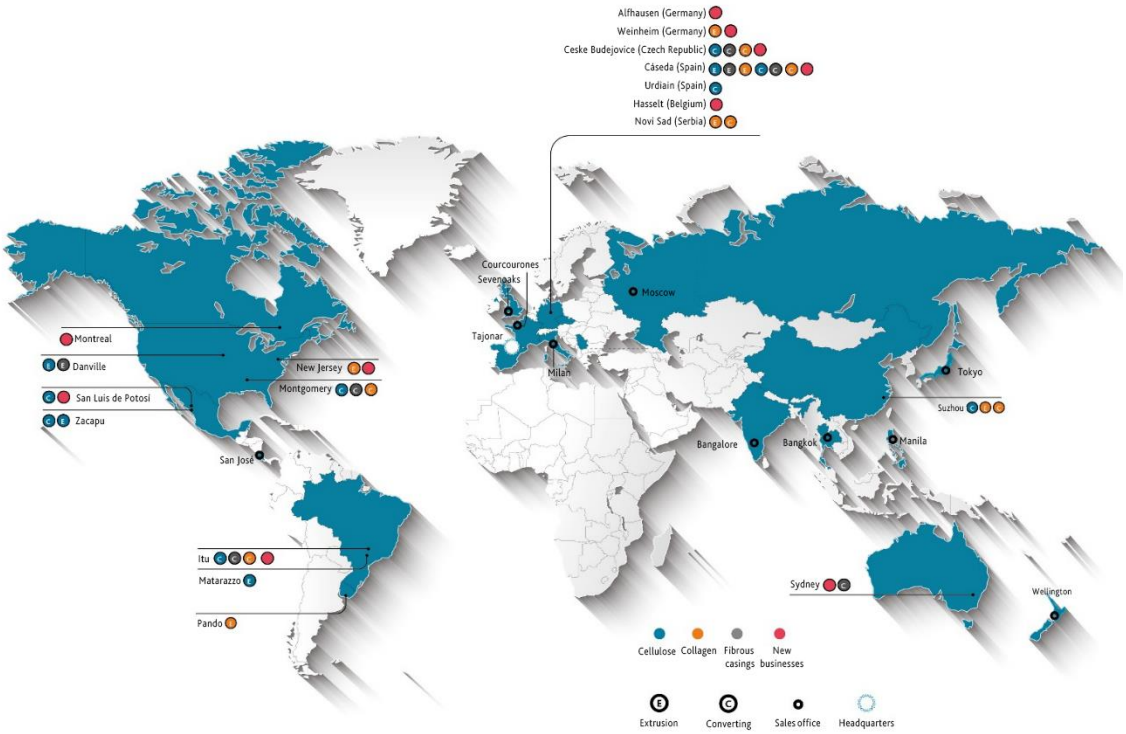
For more information on Viscofan's products, please consult the Products and Markets section of the corporate website.

Our assets. Geographical presence

The casing market is global. Our customers are in 113 countries around the world, so providing a quick response adapted to their needs is often a differential element of their purchase decision. To improve this response capacity, we have the largest production and sales network in the market, with a presence in 20 countries and 19 production plants.

Geographical expansion is a constant in the Viscofan Group. Between 2022 and 2023, we have opened representative offices in Italy and the Philippines to improve our service in these important markets and learn more about them. In addition, in 2023 work began on the construction of a cellulose and collagen casings converting plant in Thailand, with the aim of starting up production at the end of 2024.

This expansion joins that carried out in 2021 when the Viscofan Japan GK company was incorporated to have an own commercial presence in Japan, one of the main casings markets in the world.



Vision and strategic goals

In the current strategic plan Beyond25 Viscofan aims to accelerate growth compared to previous strategic plans with transformation projects that allow us to strengthen leadership in the traditional Business, and gain size in the New Busines, doing so in a profitable way and while we move steadily towards the achievement of the Sustainability Commitments set for 2030.

The targets set are:

- Our financial targets for the period 2022–2025 are as follows:
  - Revenue: Achieve between €1,300 million and €1,450 million by 2025, which represents an annual CAGR growth rate between 8% and 11%, higher than the +6.3% of the Be ONE Strategic Plan, the +7.0% of the Be MORE, and +4.6% of MORE TO BE.
  - 2025 EBITDA margin of 25%.
  - Accumulated investment in the period of €350 million.

- Our 2030 sustainability commitments are as follows:
  - Climate change: 30% reduction of CO_2 emissions in tonnes/million metres extruded vs 2018.
  - Circular economy: 30% reduction in tonnes of waste disposed/million metres extruded compared to 2018.
  - Water: 10% reduction in water withdrawal in m^3/million extruded metres compared to 2018.
  - Accident rate: 50% reduction in the rate of work-related accidents compared to 2018.
  - Diversity: 30% of women in executive positions.
  - Supply chain: verification of 100% of suppliers of the main raw materials committed to the code of ethics.

Key figures

Financial	Measurement unit	2023	2022	2021	2020	2019
Revenue	Millions of euros	1,225.8	1,201.0	969.2	912.2	849.7
EBITDA	Millions of euros	268.4	267.2	246.7	234.4	201
Margin EBITDA	%	21.9%	22.2%	25.4%	25.7%	23.7%
Net profit	Millions of euros	141.0	139.4	133.0	122.5	105.6
Investment	Millions of euros	77.5	125.6	92.0	56.9	62.1
Net bank debt	Millions of euros	138.0	101.3	1.8	38.2	42.5
Dividend	Euros per share	3.00	1.95	1.84	1.70	1.62
Stock market capitalisation. Year-end	Millions of euros	2,492	2,799	2,646	2,699	2,190

Environmental	Measurement unit	2023	2022	2021	2020	2019
CO_2 emissions. Scope 1 and 2	Tonnes	473,187	498,626	547,981	563,188	540,801
Emissions/Metres of casing extruded	Base 100 year 2018	70	72	84	94	101
Energy consumption	GWh	2,393	2,526	2,465	2,371	2,294
Consumption/Income	GWh/€Mn	2.0	2.1	2.5	2.6	2.7
Water captured	Cubic metres	10,112,337	10,691,735	10,781,067	10,378,646	9,440,345
Water captured/Metres of casing extruded	Base 100 year 2018	86	89	95	100	101
Captured water - Discharged water	Cubic metres	1,271,898	1,770,905	2,348,446	2,107,470	1,679,531
Waste	Tonnes	63,716	68,837	63,410	57,344	49,307
Recycled	%	57%	54%	47%	0%	46%
Of which disposed	%	43%	46%	53%	100%	38%
Waste disposed of/Metres of casings extruded	Base 100 year 2018	80	89	102	100	91

Social	Measurement unit	2023	2022	2021	2020	2019
Average workforce	people	5,346	5,317	5,083	4,967	4,628
% women	%	29.0%	28.9%	28.9%	29.1%	28.7%
% women in executive posts	%	22.4%	19.6%	17.9%	14.8%	15.4%
Average number of training hours per employee	hours	15.3	12.7	11.2	21.7	28.2
Severity index equivalent days lost due to accident per thousand hours worked	unit	0.18	0.32	0.25	0.33	0.43
Hours of training on human rights	hours	2,585	3,539	4,933	4,056	2,163

Governance	Measurement unit	2023	2022	2021	2020	2019
Percentage of independent directors	%	55%	55%	45%	45%	40%
Percentage of female directors	%	36%	36%	27%	27%	20%

2.2. Governance pillar

Viscofan adds a strategic value to its good corporate governance to provide a high level of trust to make its business goals and structure compatible with the protection of the rights of all stakeholders.

Material aspects

- Good governance
- Sustainability strategy
- Stakeholder communication
- Corruption and fraud
- Risk management
- Respecting human rights

2023 highlights

The General Shareholders' Meeting held in April 2023 approved the re-election of José Domingo de Ampuero y Osma as director for the statutory term of four years, and the ratification of the appointment by co-option and re-election of Javier Fernández Alonso as director with the category of nominee external director, for the statutory term of four years.

The General Meeting of Shareholders also approved, by absolute majority, the Remuneration Policy for Directors for the years 2024, 2025 and 2026.

The Board of Directors of Viscofan has agreed a change of type from executive chair to non-executive chair, which includes the appointment of a First Executive.

Based on this agreement, the Chairman José Domingo de Ampuero y Osma, with effect from 1 January 2024, ceases to hold his executive functions in the Company and the Group, continuing his tenure as non-executive Chair of the Board of Directors and, consequently, moving to the category of “other external directors”. José Antonio Canales García, Director-Managing Director, has been appointed First Executive of Viscofan, also with effect from 1 January 2024.

Carmen de Pablo Redondo, independent external director, has resigned, with effect on 20 December 2023, as a member of the Board of Directors of the Company and its Audit Committee due to her increased professional responsibilities as Director of finance, strategy, sustainability, M&A, and systems in her company. To fill the vacancy, the Board of Directors has co-opted Verónica Pascual Boé, as independent external director, and Andrés Arizkorreta García, as member of the Audit Committee.

2.2.1. Good governance practices

Good corporate governance is a key factor to generate value, improve economic efficiency, integrate businesses, and bolster the trust of its shareholders and other stakeholders, thanks to the appropriate division of functions, duties, and responsibilities, among all the Company’s governing and management bodies.

In recent years, it has progressively reinforced its structure to ensure the incorporation of the principles and best practices of good corporate governance, both nationally and internationally, adapting them to the circumstances of the Viscofan Group until reaching the best level of compliance.

The basis of the Viscofan Group's governance is its Articles of Association, the Regulations of the General Shareholders' Meeting (both updated at the General Shareholders' Meeting of

2022), the Regulations of the Board of Directors and the Regulations of the Board's committees, and it has general ethical principles and guidelines established by the Group's Code of Conduct.

In turn, the good governance commitment of the Company's Board of Directors is expressed in its General Sustainability Policy, which aims to set out the basic principles and commitments that should govern the Group's sustainable development strategy.

This strategy, expressed in the new 2022-2025 Sustainability Action Plan, seeks to favour a culture of best practices in sustainability, and contribute to improving people's well-being, boosting the economic, environmental, and social development of the communities in which the Viscofan Group is present, and creating value in a sustainable manner through its ethical performance vis-à-vis all its stakeholders.

Proof of this is the new Beyond25 Strategic Plan, which redefines the business model with a market approach and adds Sustainability as a new transversal pillar of the company.

Alongside this, the General Sustainability Policy is organised into specific policies in the main axes of sustainability procedures:

- Climate Change Policy
- Environmental Policy
- Diversity and Equal Opportunities Policy
- Tax Policy
- Policy of Respect for Human Rights
- Occupational Health and Safety Policy

Governing Bodies

The governance structure of Viscofan is based on two main bodies: the General Shareholders' Meeting and the Board of Directors.

Shareholders and the General Meeting

At 31 December 2023, the Parent Company is aware of the following significant interests:

	% stake
	31/12/2022
Corporación Financiera Alba, S.A.	14.25%
APG Asset Management N.V.	9.99%
Angustias y Sol S.L.	5.02%
Setanta Asset Management Limited	3.96%

Other Board of Directors	0.36%
Treasury shares	0.90%
Free Float	65.53%

The General Shareholders' Meeting is the supreme governing body of the Company in which shareholders decide by a majority vote on the affairs within the scope of their authority.

Viscofan has established the principle of “one share, one vote” which promotes equality among all of the company's shareholders. There is only one class of shares, giving the same rights and obligations to all of the Company's shareholders. There are no restrictions to voting and no limit to the number of votes that can be cast by a single shareholder.

In recent years, Viscofan has been pursuing a series of initiatives to promote transparency, communication and shareholder participation at the General Meeting, including information on the items on the agenda, an attendance premium of €0.01 per share, facilitating remote voting, electronic voting, electronic forum and a questionnaire to answer the most common questions regarding the General Meeting.

As a result of all these measures, the 2023 General Meeting for the year was attended by 86.1% of the company's share capital, maintaining the high attendance percentage at the General Meetings of recent years, above the average for listed companies, which is especially significant taking into account the company's high floating capital.

The breakdown of data on attendance at General Meetings in recent years is as follows:

Data on attendance at General Meetings				
General Meeting	27/04/2023	29/04/2022	23/04/2021	24/04/2020
% present	20.1%	19.9%	19.3%	19.2%
% in representation by proxy and distance voting	66.0%	62.8%	62.8%	68.4%
Total attendance	**86.1%**	**82.7%**	**82.1%**	**87.6%**

In addition, the General Meeting is broadcast live on the internet and can be accessed via the Company's website, although the connection to this broadcast is not considered to be telematic attendance at the General Meeting.

Board of Directors

Is the body in charge of representing and managing the Company and it is governed by the Regulations of the Board of Directors. Its essential function is the approval of the strategy, the basic policies, the preparation of financial statements and, in short, the general supervision of all aspects forming part of Viscofan S.A. and, where appropriate, of the companies forming its group of companies guided by corporate interest.

Composition at 31 December 2023

The Board of Directors consists of eleven directors, of which two are executive, two are nominee, one is other external directors and the other six are independent, thus complying with the good corporate governance recommendations stating that the number of nominee and

independent directors should constitute an ample majority on the Board of Directors. The Secretary to the Board of Directors is not a director.

Name and Surname	Category	Position on the Board	Date of last election	Audit Committee	Appointments, Remuneration and Sustainability Committee
JOSÉ DOMINGO DE AMPUERO	Executive	Chairman	27/04/2023		
JOSÉ ANTONIO CANALES	Executive	Director	29/04/2022		
JAIME REAL DE ASÚA	Independent	Vice-chairman	29/04/2022		Chairman
JOSÉ MARÍA ALDECOA	Independent	Lead Director	29/04/2022		Member
LAURA GONZÁLEZ MOLERO	Independent	Director	29/04/2022	Chairwoman	
AGATHA ECHEVARRÍA	Other External Directors	Director	29/04/2022	Member	
SANTIAGO DOMECQ	Nominee	Director	24/04/2020		Member
CRISTINA HENRÍQUEZ DE LUNA	Independent	Director	29/04/2022	Member	
ANDRÉS ARIZKORRETA	Independent	Director	29/04/2022		Member
JAVIER FERNÁNDEZ	Nominee	Director	23/06/2022	Member	
VERÓNICA PASCUAL	Independent	Director	20/12/2023		
JOSE ANTONIO CORTAJARENA	Secretary	Non-Director		Secretary	Secretary

Changes to the composition of the Board of Directors and its Committees in 2023

The Board of Directors of Viscofan has agreed a change of type from executive chair to non-executive chair, which includes the appointment of a First Executive. Based on this agreement, the Chairman, José Domingo de Ampuero y Osma, with effect from 1 January 2024, ceases to hold his executive functions in the Company and the Group, continuing his tenure as non-executive Chair of the Board of Directors and, consequently, moving to the category of “other external directors”. José Antonio Canales García, Director-Managing Director, has been appointed First Executive of Viscofan, also with effect from 1 January 2024.

Carmen de Pablo Redondo, independent external director, resigned with effect on 20 December 2023 as a member of the Company's Board of Directors and its Audit Committee. This resignation was preceded by a letter addressed to all the directors in which she explained that her increased professional responsibilities as Director of finance, strategy, sustainability, M&A, and systems in her company make it difficult for her, at the present time, to combine these responsibilities adequately with the functions required as a director in Viscofan.

To fill the vacancy left by Mrs. de Pablo, and at the proposal of the Appointments, Remuneration and Sustainability Committee, the Board of Directors has co-opted Verónica Pascual Boé as independent external director. Verónica Pascual Boé has accepted her appointment as a director of the Company. Also at the proposal of the Appointments, Remuneration and Sustainability Committee, Andrés Arizkorreta García has been appointed as a member of the Audit Committee to fill the vacancy of Carmen de Pablo Redondo.

Selection of Directors

The selection of Directors is specifically regulated in the Policy on the Selection of Directors and Diversity on the Board of Directors to ensure that proposals for the appointment or re-election of directors are based on a prior analysis of the skills required by the Board of Directors and to encourage the diversity of knowledge, experience, age and gender required on the Board at all times, taking into account the vacancies to be covered and the structure and composition of the Board.

This policy establishes the principle of diversity. Based on this, the selection of directors should be guided by the aim of achieving a diverse and balanced composition of the Board of Directors which would contribute different points of view to the discussions it holds, thus enriching the decision-making process. Thus, in the selection of candidates for board members, consideration will be given to candidates whose appointment contributes to increasing the diversity of knowledge, skills, experience, origins, nationalities, age, and gender. The selection process should avoid implicit biases that may imply discrimination and, in particular, the selection of female directors is actively promoted. To this end, when the Appointments, Remuneration and Sustainability Committee or the Board itself, as the case may be, has to propose the appointment or re-election of directors, without prejudice to respect for the competence matrix, the inclusion in the process of candidates who contribute to incorporating directors of the least represented gender is actively sought and, when faced with two similar professional profiles, the female candidate will be chosen.

Consequently, the Appointments, Remuneration and Sustainability Committee, in view of the vacancy left by Carmen de Pablo Redondo, carried out a search for the most suitable profiles for joining the Board of Directors based on the provisions of the above Policy and finally proposed the appointment of Verónica Pascual Boé as a new director, thus maintaining the number of directors of the less represented gender on the board at 36%.

In addition, the Appointments, Remuneration and Sustainability Committee in compliance with Recommendation 14 of the Good Governance Code of Listed Companies (GGC) and the Selection and Diversity Policy, in relation to the prior analysis of the needs of the Company and the competencies required by the Board of Directors regarding the proposals on the composition of the Board of Directors for the General Shareholders' Meeting of 2024, issued a report on 15 February 2024, which will be made available to the shareholders, proposing the reduction of the number of members of the Board of Directors from eleven (11) to ten (10) members, considering that this maintains a balanced and diverse composition and, in particular, the percentage of women out of the total number of members of the Board of Directors will reach 40% (compared to 36% as at 31 December 2023), reaching the target of female representation set out in recommendation 15 of the GGC.

Curricula and Profiles of members of the Board of Directors

The curricula and profiles of the members of the Board of Directors at 31 December 2023 are detailed in section C.1.3 of the Annual Corporate Governance Report forming part of this

Management Report. They are also available on the Company's website, in the Corporate Governance section.

Performance of functions

To perform their duties with the required rigour and efficiency, the Company's Board of Directors prepares an annual schedule of meetings and the annual work plan of the Board itself and of its various committees, so that the directors can better plan and to facilitate their commitment to and attendance of meetings. Directors receive the information they need well in advance, including, as appropriate, the minutes or reports of the different Board Committees.

Actions are still being carried out to guarantee the participation of the directors, facilitating their dedication and attendance to the meetings, to provide them with tools to give more in-depth knowledge of specific aspects of the activity and specific environments of the different production centres, thus improving the monitoring of the strategy of the Group and of each of its companies.

In addition, the annual plan includes visits to some of the Group's production centres and the participation of executives to enable enhanced monitoring of the implementation of the Group's strategy and of the management of each of its companies.

Throughout 2023, the Board met 11 times, the Chairman attended 100% of the meetings, there was 98% attendance in person over the total number of votes during the year, and 100% attendance including proxies made with specific voting instructions.

In addition, during the 2023 financial year, the Lead Independent Director, as part of his duties set out in the Regulations of the Board of Directors, held three meetings with non-executive directors to voice their concerns, and was also available for dialogue with investors and shareholders who so requested.

Assessment

The Board of Directors carries out an annual evaluation of the quality and efficiency of the operation, diversity, and competencies of the Board itself and of the Committees - which is promoted by the Appointments, Remuneration and Sustainability Committee, and coordinated by the Lead Independent Director in the case of the evaluation of the Chairman.

Every three years, the Board of Directors is assisted by an external consultant in this evaluation process, whose independence is verified by the Appointments, Remuneration and Sustainability Committee. In 2022, Korn Ferry was consulted to facilitate this evaluation after three years since the last external advice.

The assessment of performance in 2023 was made on the basis of a questionnaire whose purpose was to provide a specific view for each director with regard to both strong and weak points, as well as any other suggestions they may have with a view to improving the efficiency of the Board and of the Committees.

The result of the questionnaire was analysed by the Appointments, Remuneration and Sustainability Committee of which the Lead Independent Director is a member, by the Audit Committee itself with regard to its own assessment, and the conclusions were presented to the Board of Directors, where the process was concluded, and a plan of action approved to include the appropriate improvements.

As a result of the annual evaluation, during the 2023 financial year the transition to a non-executive chair model and the appointment of a First Executive have been carried out. This change became effective on 1 January 2024. Furthermore, because of the annual evaluation of the Board, Committees and Executive President in 2023, it is expected that, by the time of the

2024 General Shareholders' Meeting, to reach the objective of 40% women on the Board of Directors and the review of the number of members of the Appointments, Remuneration and Sustainability Committee and its composition to incorporate members of the less represented gender.

Remuneration

The Remuneration of the Board of Directors for the 2023 financial year is regulated in the directors' remuneration policy, approved at the General Shareholders Meeting held on 23 April 2021, valid for three financial years (2021, 2022 and 2023).

The General Shareholders Meeting held on 27 April 2023 approved the director remuneration policy for the years 2024, 2025 and 2026. It is available on the company's website in the Corporate Governance section.

This policy establishes a remuneration system for directors based on (i) their capacity as such and (ii) specific executive or senior management functions. The new policy has been adapted to a remuneration structure so as to provide for the necessary elements for the transition in 2024 from the current executive chair model to a Board of Directors led by a non-executive Chair and the appointment of a First Executive.

In the short term, variable remuneration included specific targets for CO_2 emissions and improved accident rates.

In addition, the General Shareholders' Meeting held in April 2022 approved a Long-Term Incentive in shares and cash for executive directors, members of the management team and other employees of the Viscofan Group for the 2022-2024 period. This plan sets out the delivery of an amount in cash and shares in the Company based on the fulfilment of certain objectives for the creation of shareholder value and sustainability, including the reduction of the intensity of Scope 1 and 2 emissions, the improvement in accident rate indicators and the performance of audits of suppliers on compliance with the Viscofan Group's supplier code of conduct.

The remuneration of the Board of Directors in the 2023 financial year was €3,114 thousand (€3,428 thousand in 2022) and is detailed in the Annual Report on Remuneration that forms part of this management report, available separately on the company's website in the Corporate Governance - Corporate Governance Reports section.

Committees of the Board of Directors

The Board has created two committees in support of its functions: the Audit Committee and the Appointments, Remuneration and Sustainability Committee.

Audit Committee

The Audit Committee is formed by five members, all non-executive and a majority independent, appointed by the Board of Directors at the proposal of or pursuant to a report by the Appointments, Remuneration and Sustainability Committee, bearing in mind accounting, auditing and financial and non-financial risk management knowledge, skills and experience. Since the 2020 financial year, its chairperson has been the independent director Ms Laura González Molero.

The composition, functions, rules of organisation and operation, as well as the responsibilities conferred upon the Committee are regulated in the Articles of Association, in the Regulations of the Board of Directors, and in the Regulations of the Committee itself.

The Committee functions are detailed in section C.2.1 of the Annual Corporate Governance Report of this Management Report.

Actions taken during the year:

The Audit Committee met twelve times in the year. It has covered all its functions attributed with respect to the auditing of accounts, internal audits, financial and non-financial information, internal control and risk management systems, the Ethics and Regulatory Compliance Committee and related party transactions.

The procedures performed by the Committee in 2023 are detailed in section C.2.1 of the Annual Corporate Governance Report of this Management Report.

Appointments, Remuneration and Sustainability Committee

This Committee is composed of four non-executive directors appointed by the Board of Directors: three independent and one nominee director. It is chaired by the independent director Mr Jaime Real de Asúa.

The composition, functions, rules of organisation and operation, as well as the responsibilities conferred upon the Committee are regulated in the Articles of Association, in the Regulations of the Board of Directors, and in the Regulations of the Committee itself.

The Committee met nine times during the year. The main matters dealt with and analysed by the Committee in 2023, which have formed their main areas of supervision were, among other matters, issues of Corporate Governance and regarding the composition of the Board, the assessment of the Board of Directors and those relating to sustainability.

The Committee functions are also detailed in section C.2.1 of the Annual Corporate Governance Report of this Management Report.

Actions taken during the year:

The Appointments, Remuneration and Sustainability Committee met on nine occasions in 2023 and, whenever considered appropriate, the presence of the Chairman, Managing Director and senior management members was required.

The main matters dealt with and analysed by the Committee during the 2023 financial year and which have made up its main areas of supervision have been, among others, issues of Corporate Governance and on the composition of the Board, evaluation of the Board of Directors and Chief Executive, succession plans, updating the organisational structure, the governance model and the governing bodies of the Group's subsidiaries, remuneration policy, and the promotion and supervision of the sustainability strategy.

The procedures performed by the Committee in 2023 are detailed in section C.2.1 of the Annual Corporate Governance Report of this Management Report.

Senior Management (31 December 2023)

With the launch of the Beyond25 strategic plan in 2022, the Group's senior management was reorganised. Reporting directly to José Antonio Canales, Chief Executive Officer, regional general directorates were created (EMEA, APAC, NAM, and SAM) which group together the operations located in the countries belonging to this geographic region and the general directorate of New Business, with a transversal nature. At the same time, the corporate service directorates general are maintained.

ORGANISATIONAL CHART	
Person	Position
ANDRÉS DÍAZ	CEO EMEA (Europe, Middle East and Africa)
GABRIEL LARREA	CEO NAM (North America)
JUAN NEGRI	CEO APAC (Asia Pacific)
LUIS BERTOLI	CEO SAM (South America)
ÓSCAR PONZ	CEO New Business
MARÍA CARMEN PEÑA	Chief Financial Officer
JESÚS CALAVIA	Chief Operating Officer
IÑAKI GOÑI	Chief Commercial Officer
JOSÉ ÁNGEL ARRARÁS	Chief R&D and Quality Officer
JOSÉ ANTONIO CORTAJARENA	Secretary to the Board of Directors and Chief Legal Officer
ARMANDO ARES	Chief Investor Relations and Communications Officer
CÉSAR ARRAIZA	Chief Strategy, Organisation and Systems Officer
BEATRIZ SESMA	Chief Human Resources Officer
JOSÉ IGNACIO RECALDE	Chief Diversification and Technology Officer
ALEJANDRO BERGAZ	Head of Internal Audit

In 2023, remuneration received by key management personnel totalled €4,021 thousand (€4,234 thousand in 2022). In relation to the Long-Term Incentive Plan, a liability of €1,186 thousand was recognised in the year (€593 thousand in 2022).

These amounts do not include the remuneration of the two executive directors, José Antonio Canales García and José Domingo de Ampuero y Osma, which are detailed in the annual board remuneration report that forms part of this management report.

Defence of Human Rights

The Viscofan Group sets common basic guidelines on human rights as the guiding principles in various areas of the organisation. These guidelines can be grouped around 3 lines of action: 1) rights in relation to work – promotion of non-discrimination, free association of workers, integration of the people with functional diversity, rejection of child exploitation, rejection of forced labour and compliance with the minimum wage in each country, among others; 2) fight against corruption; and 3) the responsible management of the supply chain.

In the area of labour law, the following measures stand out:

- Promotion of the principle of mutual respect, honesty, and integrity: The Code of Conduct states that “We respect and promote respect for the personal dignity, privacy, and individual rights of all persons. In our day-to-day work we work inclusively with people of diverse ethnicity, culture, religion, age, disability, race, sexual identity, and gender”.

- Rejection of any form of child labour. Viscofan does not permit child labour and requests a similar commitment from its suppliers.

- Prohibition of forced labour. Viscofan promotes work in decent conditions, as well as the prevention of forced labour and consequently, as a control and monitoring measure, this risk is specifically included in the risk matrix of the Global Risk Committee in order to detect any violations.

- Protection of the free association of workers. 70% of the company's employees are covered by general collective bargaining agreements that regulate their employment activities, therefore improving the minimum conditions set by different labour legislation.

- Compliance training. Viscofan continues with training in regulatory compliance for all employees. Training has been designed in an attractive and multi-format manner that effectively trains employees in ethical standards that must be complied with and, at the same time, empowers all employees to combat any type of conduct that attacks the dignity of people in the employment environment or any corrupt procedures within the company.

- Site accessibility. Regarding the accessibility of people with disabilities, Viscofan does not have a global standard that regulates the accessibility of people with functional diversity at its offices and other sites. However, the company complies with all its local regulations and applicable building codes in the countries in which it operates.

- Salaries above the minimum wage of each country. The minimum remuneration of employees is considered in accordance with the salary level and legal rules of each country where Viscofan carries out its activities. Given the training needs, the characteristics of the production process, and the internal policies of the Viscofan Group that respect the current legislation in each country, the minimum remuneration of the workforce is not below the minimum wage established in the country.

- Supply chain: In line with the objective of extending responsible management to the supply chain, Viscofan's Board of Directors approved in 2022 the Supplier Code of Conduct which, among other aspects, establishes guidelines for compliance with laws, ethical behaviour, and labour practices. It has also established an audit objective of a 50% compliance with this code by main suppliers by the end of 2024, an objective linked to the Long-term incentive in shares and cash aimed at executive directors, members of the management team and other employees of the Viscofan Group.

  Viscofan S.A. forms part of Sedex, the largest collaborative platform for the responsible sharing of supply chain data.

2.2.2. Regulatory compliance system

Viscofan considers that integrity and transparency contribute directly to achieving its objectives and managing its business in a sustainable manner. To ensure this, it has an ethics and compliance system whose objectives are to promote an ethical culture in the organisation that strengthens its competitiveness and sustainability in the long-term, reputation and ensures compliance with the regulatory system by all employees. This system has elements in place to Prevent, Detect and Respond to potential risks with a negative impact on the Group.

The prevention system is based on internal regulations, consisting of a Code of Conduct indicating ethical principles and behavioural guidelines, complemented by internal operational policies and procedures.

Code of Conduct

The Code of Conduct contains a set of binding principles and guidelines for each and every person in the Viscofan Group to guide actions and behaviour within the company and in relation to our shareholders, customers, suppliers and society in general, in accordance with Viscofan's corporate ethics, as well as local, national and international laws and regulations.

The Code of Conduct in force in the Viscofan Group was approved by the Board of Directors in January 2022 following a favourable report from the Audit Committee at the proposal of the Ethics and Compliance Committee, replacing the Code of Conduct in force to date.

One of the functions of the Board of Directors is to ensure the correct application of this Code of Conduct, with the collaboration of the Ethics and Regulatory Compliance Committee, which supervises and monitors compliance with the Code and reports on a recurring basis to the Audit Committee.

Internal Regulations in the scope of good governance policy

The internal rules governing the aforementioned bodies, and which complements the applicable regulations in order to guarantee an adequate corporate governance system in the Viscofan Group is available on the Company's website within the Corporate Governance section, in addition to the mandatory publications and registration on the website. of the CNMV and in the Commercial Registry of Navarra, respectively.

These internal regulations are mainly formed by the regulations of social bodies and committees:

- Articles of Association: These are the basic rules governing the Company and all its bodies. The articles set out the main features and operating principles of the General Shareholders' Meetings, the Board of Directors, and its committees.

- Regulations of the General Shareholders' Meeting: This text lays down the regulations governing the General Meeting of Shareholders to ensure transparency and safeguard shareholders' rights, and their access to Company information. The rules stipulate the formalities of calling, attending, and recording General Meetings of Shareholders and of access to prior and General Meeting information by shareholders.

- Regulations of the Board of Directors: These set down the principles of action of the Board of Directors, including an appraisal mechanism, and its organisational and

operating rules, the standards of conduct of Directors (including the duty to avoid conflict of interest), and the overarching principles that should guide their decisions. They also regulate committees existing within the Board of Directors, their organisational and operational rules, and their mission and powers.

- Audit Committee Regulations and Appointments, Remunerations and Sustainability Committee Regulations: These establish the scope and functions of each Committee, its composition and operation, relations with government bodies and other entities, as well as the possibility of requesting advice.

- Internal code of conduct on matters relating to the securities market: This Code lays down rules of conduct to ensure that the institutional and personal acts of the Viscofan Group's directors and employees strictly comply with current laws and regulations on transparency in the markets and to protect investors' interests.

Hence, within the regulatory compliance system, the Viscofan Group has approved procedural policies in the following areas:

Scope	Policy
Good governance	• General sustainability policy • Climate change policy • Risk management and control policy • Policy of Respect for Human Rights • Anti-corruption policy • Crime prevention policy • Policy of communication with shareholders, institutional investors, proxy advisors and of economic-financial and non-financial and corporate information • Board remuneration policy • Director selection and diversity policy of the Board of Directors • Policy to encourage shareholders to take part in the General Meeting of Shareholders: attendance fee • Internal rules of conduct in securities market matters • Information management procedure • Internal publication procedure
Commercial	• Commercial Practices Manual • Policy to outsource commercial services: distributors, agents and others • Export control protocol
Financial and tax resources	• Internal control policy for financial and non-financial information • Tax policy • Transfer prices manual
Information and systems	• Personal Data Protection Policy • IT security policy • Confidentiality policy • Authorisation policy on computer access and profiles • Password policy • Computer systems and networks management policy • Policy on audiovisual information control

People	• Diversity and equal opportunities policy • Policy on Staff Selection and Recruitment • New employee integration policy • Training policy • Severance procedure • Authorization policy • Policy on Business Expenses • Travel Code
Production	• Environmental policy • Occupational health and safety policy • Food Regulation Policy • Control procedure instructions in the event of product recalls • Policy for the management of goods purchases and the arrangement of services • Transport management policy • Code of conduct for suppliers and intermediaries • Corporate management policy • Animal protection policy (approved in January 2024)

Supervision and management bodies

The Ethics and Compliance Committee is the body in charge of overseeing and supervising the proper implementation and monitoring of the Group's Compliance System, as defined by the Board of Directors.

Likewise, the Audit Committee supervises the effectiveness and operation of the Ethics and Regulatory Compliance Committee and, for this purpose, its receives regular information on compliance with the Internal Code of Conduct in matters relating to the Securities Market and the Code of Conduct, and in particular, regarding the complaints channel.

At the recommendation of the Ethics and Regulatory Compliance Committee and subject to a report by the Audit Committee, the Board of Directors approved the Group's Compliance Plan, which contains action plans in different areas: improved internal regulations, annual update of the procedural compliance risk map, training plans, internal control improvement plans.

In relation to the training plans, the company works on a cross-cutting basis with the Department of Human Resources which, aside from guaranteeing the publication of the Code of Conduct, participates in the implementation of annual compliance training plans.

Additionally, each of the Group companies has a Local Compliance Head, who is the person appointed by the Ethics and Compliance Committee to monitor the Group's Regulatory Compliance System and to ensure that all local employees, technicians, and managers receive ongoing training.

Ethical channel – Integrity line

The ethical channel is a key element of the system and has been modified during the year to adapt it to law 2/2023 of 20 February 2023, regulating the protection of people who report regulatory infractions and in the fight against corruption.

To facilitate supervision of compliance with Viscofan's Code and Ethics and regulations, employees and any person with a legitimate interest can access the Ethical Channel on Viscofan's web page under the Corporate Governance section, on the employee's Intranet or by email to officeofethics@viscofan.com or by post to the Ethics Committee at Viscofan's central offices

(Berroa Polígono Industrial, C/Berroa 15-4 floor, 31192 Tajonar-Navarra, Spain) to notify any sign of conduct that they deem to be a possible risk.

The Committee is the body responsible for commencing, on its own account or at the request of a third party, an investigation on events or practices that may give rise to a situation of risk for the Viscofan Group because of a breach of the Viscofan Group's Code of Conduct or prevailing regulations.

In 2023, 19 complaints were received, 18 of which were filed, and on one occasion, following the processing of the corresponding file, was a breach of internal regulations proven, with the competent bodies proposing and adopting the necessary rectification measures. The Ethics and Regulatory Compliance Committee has met on 9 occasions.

Training and dissemination

It is the first and one of the most important default prevention strategies, empowering people to do the right thing in a proactive way.

Without prejudice to the role of the Ethics and Compliance Committee at corporate level, as the body responsible for the management of the System and the specific training plans it promotes, given the importance of adapting to the needs and local culture of the different countries in which the Group operates, the role of the Local Ethics and Compliance Officers is essential. They plan and develop the necessary training and communication actions at local level, with the support and monitoring of the Ethics and Compliance Committee.

In this respect, Viscofan understands that training in human rights is a fundamental tool for raising employees' awareness in this area. The breakdown of the number of hours of training in this area is as follows:

	2023			2022		
Dedicated human rights training	Men	Women	Total	Men	Women	Total
Training hours	1,739	846	2,585	2,624	915	3,539
% of total training hours	3.1%	3.3%	3.2%	6.1%	3.7%	5.2%

Additionally, in 2023, to reinforce awareness and knowledge of regulatory compliance, specific training was provided in different areas:

- Training the entire staff in the ethical channel.
- Training the entire staff on the Regulatory Compliance System, in specific matters such as conflict of interest, anti-corruption, additional ethical channel, and protection of personal data.

Financial and non-financial information control system

It is based on the Policy of the internal control system for financial and non-financial information approved by the Board of Directors in 2020, which requires that internal control systems provide reasonable assurance of the reliability of financial and non-financial information. This system is based on best practices and international standards, based on those established in the COSO report, as well as compliance with legal requirements.

Viscofan must respond to a growing and more frequent demand for information of a non-financial nature (sustainability), ensuring that it is truthful and complete. For this reason, in 2023,

Viscofan has carried out the design and implementation of an internal control system for non-financial information.

The financial and non-financial information control systems have been integrated into SAP GRC, a unique environment that allows automating and computerising the assurance of information processes.

2.2.3. Risk management

Risk management aims to balance the desire for value creation for our stakeholders with the risks associated with business, commercial, operational, labour, financial and social initiatives, as established by the sustainability policy.

Viscofan has approved a risk management control policy, whose purpose is to set the basic principles and the general action framework to identify, measure, prevent and mitigate risks of all types that may affect the attainment of the strategic objectives.

Viscofan seeks to reinforce the risk control system, promoting a solid business model enabling risks to be confronted in a controlled manner. The aim of the risk management policy is to identify and assess risks as soon as possible, based on the Code of Conduct, the internal regulations, and the strategic plan, and to take adequate measures to reduce them and, in some cases, they can present opportunities.

The risk management system is the responsibility of the Board of Directors, which delegates its supervision and correct functioning to the Audit Committee. Likewise, the Viscofan Group has different bodies charged with the supervision and control of different risks that could arise in the course of Viscofan's activities with different level of occurrence and materiality:

- Internal audit: their purpose is to promote the application of Risk Management in all activities and supervise to ensure that significant risks are suitably identified, assessed, managed and controlled. It has a broad presence on specific risk committees.

- Ethics and regulatory compliance committee: this is the body responsible for supervising the risks specific to the Group with regard to criminal liability or any other non-compliance, and for assessing, implementing and monitoring the Regulatory Compliance System.

- Global risk committee: this is a body whose purpose is to identify and assess the main risks threatening the Viscofan Group, making a deeper analysis of their organisation and recommendations for the actions required to manage the risks within the established margins.

- Credit risk committee: it is established as a supervisory and control body for those risks related to customer payment management. The objective of this Committee is to delve into the prevention, monitoring and solution of the risks mentioned, via the creation and implementation of the instruments considered most appropriate at the time.

- Investments committee: its main purpose is to control and supervise compliance with the Investment Plan approved by the Board of Directors. To achieve this, it meets on a quarterly basis for the purposes of performing periodic follow-up checks on the correct application of approved investments and controlling the efficient use of Group resources and investments.

- Cybersecurity committee: it is in charge of defining the strategic objectives of the Group's Cybersecurity, ensuring the secure management of information and assuring the state of protection, as well as periodically monitoring compliance with regulations, risk projects and situations and incidents.

- Executive sustainability committee: this is the body responsible for coordinating and supervising the Sustainability Action Plan, the initiatives, work plans and long-term objectives for the same.

- Senior management: it is responsible for identifying and assessing the risks faced by the Group with its activity and taking appropriate measures to prevent these risks from occurring or, if they do occur, to reduce or eliminate their impact. Therefore, it plays a fundamental role in designing and implementing control mechanisms and ensuring their fulfilment across the organisation.

The management and control activities enable the risks to be anticipated and detected and the threats to be examined and measured that may prevent the Viscofan Group from attaining its objectives, as well as the creation of value that is sustainable and shared with the stakeholders.

Moreover, the Viscofan Group monitors the values of the risk indicators and the defined thresholds, so that when these thresholds were exceeded the required management measures are taken to redirect the risks to the defined tolerance level. The information in reference to risk management has been set forth in greater detail in section *E) of the Annual Corporate Governance Report*. In this section, the Viscofan Group describes the main financial and non-financial risks, the bodies responsible for drawing up and enforcing the financial and non-financial risk management system, the level of tolerance, the risks occurred in the year and the plans to respond to and supervise the main risks.

Below are the main risks faced by the company in 2023 and the response and supervision plan:

Risk	Materialisation in 2023	Response and supervision plan
1. Financial	1.a) Exchange rate: Fluctuations in exchange rates, especially the USD with respect to the Euro, has an impact on Group earnings.	This impact has been managed through the application of a policy involving hedging and commercial disciplinary measures.
	1.b) Increase in interest rates: The monetary policies of the world's main Central Banks aimed at combating inflation have resulted in an increase in financing interest rates	Viscofan manages interest rate risk by maintaining a balanced portfolio of fixed and floating rate loans and credits. The Group's policy is to hold loans at a fixed interest rate.
2. Environmental and climate change risks	2.1) Significant increase in the price of CO_2 emission allowances.	- The deployment of a sustainability strategy and plan, together with the corresponding policies approved by the Board of Directors and the creation of a committee to manage sustainability risks that include environmental risks and those resulting from climate change. - As part of its decarbonisation plan, Viscofan has installed energy equipment with green hydrogen capability and has performed various tests with this renewable fuel source in the equipment installed at the Cáseda plant in Spain. Also, an energy diversification strategy beyond natural gas has been promoted that includes greater electrification of the energy supply with renewable energy. - The Group is also evaluating, and plans to implement, the Net Zero commitment to greenhouse gas emissions based on the Science Based Target Initiative.
3. Operational risks: commodities, transport, and energy.	3.1) Increase in the cost of raw materials: In the previous year, interruptions in manufacturing and consumer activity, together with transport interruptions, caused a shortage of raw materials and basic products worldwide, leading to high inflation in the main raw materials used by the Group in the production process. In 2023, this inflationary spiral has continued for some of these raw materials	To offset the impact of the increase in operating costs Viscofan has implemented price increases to customers. In addition, the Group has taken other measures such as detailed monitoring of costs, needs and the risk of non-availability, the search for diversification of suppliers, and a plan to reduce consumption.
	3.2) The cost of natural gas has increased significantly in Spain in 2023.	Against this background, Viscofan has implemented price increases to customers and energy

		efficiency measures to offset part of the impact of energy costs. In parallel, the Group has carried out a detailed analysis of energy needs and the examination of various scenarios and has promoted projects aimed at energy diversification in operations. Looking ahead to 2024, in an environment of more favourable natural gas costs, the Viscofan Group has entered into purchase contracts with a fixed price for a portion of its natural gas consumption.
	3.3) Production stoppages at the Danville plant (USA) due to power outages caused by the electricity company.	Measures are being planned for better energy management of the plant and investments in equipment as support alternatives for the energy supply. Likewise, a lawsuit has been filed against the electricity company claiming damages derived from negligent maintenance of the electrical substation that has caused several shutdowns of the plant.
4. Regulatory	4.1) The European Commission's ban of 8 April 2022 continues. The ban, in response to Russia's actions destabilising the situation in Ukraine, is justified by the fact that the use of these casings instead of the traditional alternative of animal casings improves the capacities of the industry in Russia and resulted in the Board of Directors of Viscofan S.A. adopting the decision to discontinue the activity of exporting casings to Russia.	In this situation, work continues, within Viscofan's risk control and management system, on commercial and operational mitigation measures to offset this impact.
5. Competition and market environment. Decrease in demand	5.1) In 2023, the market was influenced by the process of inventory adjustment in the meat industry, leading to a decrease in volumes in the casings market. Viscofan, as a market leader, has not been immune to this global trend, which resulted in declines in sales volumes during the year.	In this situation, tasks have been carried out to monitor the evolution of the main affected markets, maintaining disciplined commercial policies to prevent harm to the financial profitability goals. In parallel, specific projects to improve service and quality levels have been reinforced, involving greater protection of market share in adverse scenarios, as well as an impact on inventory planning and management.

2.2.4. Prevention of corruption, fraud, and money laundering

As stated in Principle 10 of the United Nations Global Compact, of which Viscofan is a signatory, “Businesses should work against corruption in all its forms, including extortion and bribery.”

This principle governs at Viscofan, being expressed in the Code of Conduct, and it has been enacted and reinforced in recent years with the approval by the Board of Directors of the Anti-corruption Policy, and the Crime Prevention Policy, which, encompassed within the Regulatory Compliance System, demonstrate the Group's commitment to the permanent monitoring and sanctioning of fraudulent acts and conduct and the development of a business culture of ethics and honesty.

To avoid any type of corruption, the regulations establish a series of guidelines, and communication and training is encouraged in this area on forbidden procedures that may form the scope of corruption: bribery, extortion, facilitating payments and influence peddling, gifts, business courtesies, donations and sponsorships and relationships with third parties.

Further, the Global Risk Committee carries out an analysis of fraud risks, and its different forms are regulated in various policies; and sets specific controls and mechanisms to reduce their likelihood of occurrence. The identified risks are: conflict of interest and internal fraud, private corruption, and fraud and misleading advertising.

In addition, the Ethics and Compliance Committee carries out the more specific management of Ethics and Compliance Risks.

The definition and assessment of these is reviewed, evaluated, and the controls in place in the organisation are identified to reduce the likelihood of their occurrence. The identification and assessment of risks and controls is set out in the Ethics and Compliance Risk Map, specifically identifying criminal risks.

In particular, the Group has a control system with financial, tax and commercial policies to combat money laundering, which is considered a low risk.

It should be noted that in 2023, no acts were subject to significant legal actions related to unfair competition, monopolistic practices and against free competition, nor have any processes or complaints been filed due to the breaching of laws or regulations in the social and economic field.

2.3. Environmental pillar

Viscofan works with the commitment to avoid climate change and promote economic growth dissociated from the use of limited natural resources.

This sustainable future means tackling challenges throughout the supply chain, from the selection of raw materials and packaging with a better use and reuse of these, the optimisation and purification of water used in the production process, the efficient use of energy and the promotion of renewable energies as a path towards decarbonisation, while collaborating with our customers in their sustainability challenges.

Material aspects

- Climate change
- Energy transition
- Greenhouse gas emissions
- Energy efficiency
- Environmental management
- Circular economy
- Integrated water cycle
- Responsible supply chain management

Axis of action

SDG 13. Climate action	We invest in technologies in the pursuit of decarbonisation such as the installation of energy equipment with the capacity to use green hydrogen in Cáseda and we promote the use of renewable electricity and the implementation of energy efficiency measures.
SDG 12. Responsible consumption and production	We have a commitment to sustainability in the main raw materials used. Viscofan invests in technologies that allow production with less production waste, seeks to reduce the intensity of waste disposed of, and also develops and promotes the use of natural, biodegradable or recyclable materials, highlighting the advances in the family of plastics with the EFAN casing.
SDG 6. Clean water and sanitation	We carry out a sustainable management of water by investing in technology with reduced water collection requirements. We invest in water purification facilities to improve discharge quality.

2023 highlights

- The Viscofan Group has increased the percentage of renewable electricity consumed to 58%.
- A reduction of 3.1% in energy intensity and of 3.0% in CO_2 emissions intensity thanks to energy efficiency and decarbonisation measures, in particular the installation of a mechanical recompression evaporator in Cáseda, using technology with lower energy consumption, and the installation of solar panels at the Hasselt plant.
- A reduction of 3.3% in the intensity of water withdrawal as a result of the installation of production capacity and auxiliary facilities with lower water requirements, as well as the promotion of reuse projects.
- Compliance with the 2030 objectives of a 30% reduction in the intensity of scope 1 and 2 emissions per metres extruded and a 10% reduction in water withdrawal per metres extruded.

2.3.1. Governance, strategy, and resources for environmental sustainability

Environmental sustainability encompasses relevant aspects identified in the materiality analysis and as such is included in the Group's governance and operational management processes. It is an essential part of our risk mitigation in our Sustainability Action Plan.

Governance

The Board of Directors is ultimately responsible for environmental sustainability management. By extension, the Board's Appointments, Remuneration and Sustainability Committee, among its functions, promotes and supervises compliance with sustainability policies in environmental matters, ensuring that they are improved and that they take into account the legitimate interests of stakeholders.

The Audit Committee is also responsible for reviewing the effectiveness of the Group's systems of internal control and management of financial and non-financial risks, including environmental risks, and for monitoring and evaluating the process of preparing and presenting the Group's non-financial information.

As the chief executive officer of Viscofan's activities, the CEO is the first executive responsible for environmental sustainability and leads the Executive Sustainability Committee in charge of coordinating and supervising the objectives, initiatives and long-term work plans established by Viscofan in the field of sustainability, and in particular environmental sustainability.

The management of environmental aspects at Group level is the responsibility of the Corporate Operational Sustainability Department, reporting to the Operations Department, which is in charge of coordinating and supervising this matter in all the Group's production plants.

Climate change management is regulated in the Climate Change Policy, and demonstrates the Group's commitment to the control of atmospheric emissions, energy efficiency, as well as a business strategy related to the development of alternative energy sources.

In addition, the Group has an Environmental Policy which sets out that the Group's procedures must be carried out with respect for the environment, which means incorporating sustainable development criteria in all areas of activity, guaranteeing the efficient management of natural resources, and minimising the undesirable effects of the activity.

Remuneration is an important component of corporate governance used to encourage and guide the implementation of commitments and actions within Viscofan. In this context, the remuneration systems for members of the Board of Directors and employees are aligned with the Beyond25 strategy, and in particular with sustainability, given its importance as one of the four strategic pillars. Consequently, sustainability indicators are integrated into our short and long-term incentives.

Strategy, risk, and opportunity management

The Group has a Sustainability Action Plan for the period 2022-2025 approved by the Board of Directors, in line with the Beyond25 strategic plan.

This plan, among other aspects, identifies risks and opportunities and establishes the Group's metrics, objectives, and initiatives in relation to them.

Environmental sustainability brings with it a number of risks and opportunities for the casing industry that need to be identified and managed in order to minimise negative impacts on our environment, while taking advantage of all the associated positive aspects.

Identification of risks and opportunities Climate change

In particular, climate change is a risk identified in the Global Risk Map, since its implications may hinder the achievement of long-term objectives and the creation of value for stakeholders.

Viscofan's climate risk and opportunity management model is based on the COSO ERM and Task Force on Climate-Related Financial Disclosures (TCFD) recommendations, as well as the company's Risk Control and Management Policy, which also considers impacts and dependencies.

Viscofan has identified a total of 15 climate risks and 8 opportunities, based on TCFD's own recommendations, reference institutions (IEA and IPCC), and the analysis of comparable companies.

For this analysis, three global warming scenarios have been established (1.5ºC, 2.4ºC, and 4.0ºC), referring to the risks and opportunities at different materialisation time horizons:

- Current or already materialised, or short-term future: materialisation in a period of less than 5 years
- Near or medium-term future: materialisation in the next 5 to 15 years, applicable for all scenarios that offer projections to 2030.
- Long-term future: materialisation in a period of more than 15 years, applicable for all scenarios that offer projections to 2040 or later.

Subsequently, to determine which risks and opportunities could have a material financial impact on the organisation, the Executive Sustainability Committee has evaluated their potential impact, probability and the mitigating actions put in place, and a scenario analysis has been carried out. This shows the main effects of the most significant risks on Viscofan's business, and on its strategy and financial planning, to be:

- Shortage of collagen skins
- Shortage of water
- Regulatory changes
- Transitional to low-emission technologies

The most significant opportunities are:

- Access to new markets
- Efficiency of production processes
- Promotion of renewable and sustainable energies

Impact and response to risks and opportunities

Viscofan's objective is to avoid or mitigate risks by actively deciding on how to respond, while also seeking to take advantage of opportunities by incorporating them into our strategy.

Where necessary, we take appropriate countermeasures or, to the extent possible and economically acceptable, transfer them to third parties (such as insurers). Opportunities and risks are continuously monitored using indicators, so that, for example, changes in the economic or legal environment can be identified at an early stage and, if necessary, appropriate response measures implemented.

Below is the long-term annual assessment of climate-related risk impacts and opportunities, and the mitigation response:

Transition. Regulatory changes.

Potential impact: Viscofan's production process is energy intensive, so legislative proposals related to this resource and aimed at mitigating climate change may have a particular impact on the business. This is the case of the increase in the price of CO_2, carbon taxes or emission restrictions, which may affect the industrial and other energy-intensive sectors.

In this respect, the increased price of greenhouse gas emissions and the extension of its mechanism worldwide has an impact on the Group's operating costs. Based on the analysis of the scenarios, this risk could entail an additional cost in the long term in the range of €20Mn to €70Mn.

Impact in 2023: The CO_2 emission rights expenditure is €22.6 million.

Response: Viscofan is implementing actions within its decarbonisation plan:

- Investment in energy equipment with the capacity to use green hydrogen as a renewable energy source. Specifically, the Cáseda plant has energy equipment to use this energy vector, and which has replaced others whose useful life had come to an end. In 2022 and 2023, Viscofan also carried out tests using green hydrogen in a co-generation engine, testing the feasibility while producing casings.
- Electric boilers are being installed at the Cáseda plant and a study has been done and a project approved to carry out a PPA (Purchase Power Agreement) for solar panels at the Cáseda plant for self-sufficiency in renewable electricity.
- Work has begun on the installation of a biomass boiler at the Cáseda plant.

Physical - Chronic. Shortage of water:

Potential impact: The increase in the planet's average temperatures can increase the risk of water stress, causing a lack of supply at production plants. According to the World Resources Institute (WRI), Viscofan is present in some countries where water stress is expected to increase. Drought and water shortage events could lead to restrictions on water use in these areas, directly affecting the company's production chain.

Supply shortages at plants could cause production stoppages, leading to a shortfalls to meet demands several days a year. On this basis, according to the climate scenarios analysed, this risk could have a long-term impact of an annual loss of equivalent sales of between €17 Mn and €70 Mn.

Impact in 2023: The Viscofan Group plants have had no water supply problems during the year.

Response: Viscofan is implementing measures to mitigate this risk:

- Within the Sustainability Action Plan, Viscofan is analysing possible scenarios and measures to be implemented faced with this possible long-term risk.
- Likewise, the 2030 commitments include reducing the intensity of water withsrawal. To comply with this, Viscofan is developing and investing in technologies that require less water, promoting and studying the viability of reusing water in the production process and investing in the best available water treatment and discharge technologies.

Transition - low emission technology:

Potential impact: High ambition on the part of governments to achieve carbon neutrality may accelerate the replacement of equipment that is not fully amortised and cause the company to incur unforeseen extra costs.

Impairment of existing energy assets and investment in equipment that uses renewable energy sources or that generates fewer carbon emissions. If the speed of this transition is faster than the amortisation period of the equipment or requires non-mature energy technologies to be adopted, it can lead to significant associated costs and investments, as well as loss of overall product competitiveness.

Based on Krishnan et al 2021 estimates, the Net Zero 2050 scenario would require spending on physical assets equivalent to around 7.5% of GDP during the period 2021 to 2050. Based on this assumption, this risk could entail a long-term investment in assets of around €60 million, calculated according to a linear proportion between production at base prices and national GDP and using the regional average to calculate the contribution of factories to GDP.

Impact in 2023: For now, based on the analysis carried out following the Net Zero Emissions (NZE) scenario of the IAE, the transition commitments to low-emission technology of the different governments of the countries in which Viscofan is present have a time horizon longer than the useful life of the energy equipment.

Response: Viscofan, as part of its decarbonisation objective, is seeking to invest in energy equipment that uses renewable energies to the extent that the existing ones have reached the end of their useful life, as well as the diversification of energy sources to achieve greater self-consumption.

Transition - Market. Rising raw material prices.

Potential impact: The physical consequences of global warming or climate change regulation itself may lead to higher prices for raw materials, affecting the company's procurement, transport and distribution worldwide. Increases in the price of raw materials may be caused by their reduced access or availability, or by their carbon footprint.

The cumulative effects of climate change impacts on global forage productivity could translate into falls of 7 to 10% in livestock numbers by 2050 if warming of 2.2°C materialises. At temperatures above 30°C, animals eat 3-5% less per additional degree of temperature, which reduces their productivity and fertility. These climate change consequences may lead to a lower availability of collagen hides and so to increases in its price.

Using the IPCC RCP2.6, IPCC RCP4.5, and IPCC RCP8.5 scenarios, and in the hypothetical case that these effects occur in the regions where Viscofan is present, a possible lower revenue impact has been estimated in the range of €50 Mn to €100 Mn due to lack of availability of collagen skin.

Impact in 2023: During the year, there have been no situations of lack of availability of collagen hides.

Response: Viscofan has mitigation tools to compensate for the increase in raw material prices:

- Passing on cost inflation through higher selling prices to customers.
- Specific R&D projects and production trials encouraging diversification of sources of supply and suppliers.
- Investment and development of more efficient and less wasteful production processes.

However, from the analysis performed, no impairment was identified on the current assets and no significant investments were envisaged to comply with the commitments established in our 2022-2025 Sustainability Action Plan.

Climate change opportunities

Viscofan's integral risk management system assesses and monitors the risks and their evolution, taking the necessary management measures which, aside from mitigating the risk, may generate opportunities.

Access to new markets: Viscofan has extensive experience in the sector and based on knowledge of the treatment of raw materials and processes, and continuous dialogue with the food sector, it can identify business opportunities in benefiting from product circularity, water savings and productive efficiencies, as well as the use of casings on vegetable sausages or other types of ingredients that contribute to a more sustainable diet.

Efficiency of production processes: the reduction in the intensity of use of resources such as energy or water, as well as a reduction in the generation of waste, could lead to savings for Viscofan and represent a competitive improvement compared to other market players that do not adopt this type of strategy. To this end, it is necessary to optimise and improve manufacturing processes, establishing circularity and efficiency measures in terms of water, waste, and energy.

Promotion of renewable and sustainable energies: Viscofan is working to promote the decarbonisation of its processes using green hydrogen as an energy vector. If this technology were available on a competitive and continuous basis, it would save on CO_2 emissions and the associated cost of emission rights.

Resources allocated

Viscofan's commitment to environmental improvement and the fight against climate change is also revealed in its human, operating and financial dimension.

Management systems

Environmental. ISO 14.001:

We are working to attain this environmental management certification at all our production plants. At 2023 year-end, 89% of the plants have this certificate. During the year, this certificate was obtained for the New Jersey (USA) plant.

The breakdown of the Group's plants with the ISO 14.001 certificate at 31 December 2023 is as follows:

Country	Plant	ISO 14.001
Spain	Cáseda	Yes
	Urdiain	Yes
Germany	Weinheim	Yes
	Alfhausen	Yes
Serbia	Novi Sad	Yes
Czech Republic	České Budějovice	Yes
Belgium	Hasselt	Yes
US	Danville	No
	Montgomery	Yes
	New Jersey	Yes
Mexico	Zacapu	Yes
	San Luis Potosi	Yes
Brazil	Itu	Yes
	Matarazzo	Yes
Uruguay	Pando	Yes
China	Suzhou (2 plants)	Yes
Australia	Sydney	Yes

ISO 50.001 energy efficiency certificates

The Cáseda and Urdiain (Spain), Weinheim (Germany) and České Budějovice (Czech Republic) plants have an ISO 50.001 standard certificate, enabling the plants to improve their efficiency, energy costs and green greenhouse emissions.

As part of its commitment to improve energy management, the Group plans to obtain this certificate for other plants.

Other certificates

Viscofan's New Business division obtained the ISCC PLUS certification from the plastic extrusion and plastic converting centres in Brazil, Mexico, Belgium and Germany. Furthermore, the extrusion and converting centre in the Czech Republic obtained the ISCC PLUS recertification. This certification system ensures the sustainability of raw materials and products for several markets.

The plant in the Czech Republic has received the PRS Green Label certificate from PRS Pooling for its implementation of the recycling system for non-standard pallets of raw materials (PRS). A certificate that represents recognition for contributing to sustainability in the industrial sector.

Environmental investment

Part of Viscofan's industrial asset base relates to environmental management, seeking the best available technology in the management of water, energy, and waste, among others. Hence, at the end of December 2023, the gross value of this type of asset was €94.3 million (€78.0 million at 31 December 2022).

Viscofan continues its quest to improve environmental management and with this objective in mind, in 2023, it invested €16.3 million in this area (€12.6 million in 2022). The investment projects in energy equipment that contribute to the reduction of CO_2 such as electric boilers, energy recovery or solar panels; and also installations for processing waste from the production process.

Environmental training

Being more sustainable and reducing our impact on the environment is a commitment for all of us. In addition to allocating financial resources, measures are also promoted to improve the Group's values and commitments regarding environmental management among employees, with training courses standing as an essential element of the management approach.

The training carried out for people involved in the reporting process and the non-financial information control system implemented in the Group in 2023, as well as the training carried out at the local level for investigation of environmental events, are worthy of note.

Environmental fines and penalties

In 2023, the Viscofan Group had not received any significant environmental penalties.

2.3.2. Climate change management and energy efficiency

Viscofan is committed to energy efficiency and global climate protection. We seek to reduce the intensity of our atmospheric emissions by investing in and developing more efficient production technology, increasing the use of renewable energy, and leading the change in the industry towards technology that helps to fight against climate change. We also wish to positively influence the value chain, through sustainable casings that help our customers to reduce their emissions.

The reduction in energy consumption with new technologies and the availability of renewable energy sources are essential aspects of Viscofan's commitment to contribute to climate change protection and, hence, Viscofan works on three main axes:

- Development and investment in more efficient production technologies: As far as possible, Viscofan invests in improvements to reduce energy consumption and to make the most of the different ways in which this energy is present in our processes. Viscofan's strategy for reducing overall CO_2 emissions includes using heat, even in the effluents from our production processes, or replacing systems requiring high amounts of energy with more efficient systems.

  During the year, the start-up at the Cáseda factory (Navarre) of a new evaporation plant that works with mechanical vapor recompression (MVR) technology is worthy of mention. This technology increases evaporation capacity and reduces energy consumption, and consequently CO_2 emissions.

- Fostering the development of technologies that help to combat climate change: In the current technological state, the most efficient way to generate energy to produce casings is on the basis of natural gas combustion. Nevertheless, within its decarbonisation plan, Viscofan boosts collaboration with public bodies and companies in the energy sector to develop green hydrogen capacities as a source of energy in the future casing production process.

  During the year, Viscofan has successfully performed a second test using green hydrogen in a co-generation engine, this time with a greater capacity than the first one carried out in the previous year.

- Viscofan promotes the use of renewable energy: within this commitment, in 2023, Viscofan increased the use of renewable electricity at its plants, representing 58.0% of the total electricity acquired by the Group (54.8% in 2022).

Energy consumption

The internal energy consumption expressed in Giga Wh is the following:

Energy consumption	2022	2023	2021	2020	2019	2018
Gigawatt-hour (GWh)	2,393	2,526	2,465	2,371	2,294	2,276

In fiscal year 2022, internal energy consumption increases by 2.5% compared to 2021 in a context of greater productive activity.

The breakdown by type of energy is as follows:

In GWh	2023	2022	2021
Natural gas	2,001	2,118	2,091
Electricity and other non-renewables	172	190	259
Renewable electricity	220	213	115
Renewable fuels	0	5	0
Total energy	**2,393**	**2,526**	**2,465**
Total renewable	220	218	115
% of total	***9.2%***	***8.6%***	***4.7%***

Due to the decarbonisation measures framed in the Sustainability Action Plan, the use of renewable energy has increased compared to 2023. Given the characteristics of the production process, the greatest energy intensity corresponds to thermal energy, the most efficient alternative being the use of natural gas. However, to the extent possible and as long as the processes have been able to be electrified, the use of a greater percentage of electricity from renewable sources has been actively sought. Thus, in 2023, 58.0% of the group's electricity was from renewable sources, compared to 54.8% in the previous year.

The detail of the Group's production plants with electricity purchased from renewable sources is as follows:

Detail of plants with electricity from renewable sources	2023	2022
Cáseda, Spain	100%	100%
Urdiain, Spain	100%	100%
Weinheim, Germany	100%	100%
Alfhausen, Germany	100%	100%
Novisad, Serbia	100%	100%
San Luis Potosi, Mexico	100%	100%
Itu, Brazil*	100%	33%
Ermelino Matarazzo, Brazil	100%	32%
Zacapu, Mexico *	4%	50%
Hasselt, Belgium **	12%	0%

České Budějovice, Czech Republic ***	10%	0%
Group	**58%**	**55%**

** There is a fall in electricity from renewable sources at the Mexico plants due to the change of supplier. Work is being done to obtain the renewable energy certificate in 2024.*
*** The Hasselt plant in Belgium installed solar panels in 2023, covering part of its operational energy needs.*
**** The České Budějovice plant in the Czech Republic acquired electricity from renewable sources for the first time in the months of November and December 2023.*

The energy efficiency measures implemented in the year and the consolidation of projects from previous years have led to an improvement in 2023 in the ratio of energy consumption intensity over metres of extruded casings. Its evolution is as follows:

Additionally, the Group promotes and drives the implementation of energy efficiency projects in its operations. The most relevant have been:

- The installation of production capacity for collagen casings in several plants of the Group under dry-tech technology, in which the lower use of water in the process implies less use of heat for drying the casing.

- At the Cáseda plant, operational temperature parameters have been optimized in different production phases in fibrous, cellulosic and collagen facilities.

- Installation of LED lights in Weinhein plants in Germany, Serbia, Belgium, Czech Republic and Australia.

- Renewal of equipment with greater energy efficiency both in the production process and in energy equipment.

The energy efficiency measures implemented in the year and the consolidation of projects from previous years have led to an improvement in 2022 in the ratio of energy consumption intensity over metres of extruded casings. Its evolution is as follows:

Base 100 year 2018	2023	2022	2021	2020	2019	2018
Consumption in GWh/ Metres produced	84	87	90	94	102	100

Emissions

Calculation method

For scope 1 CO_2 emissions, Viscofan is using the GHG Protocol tool “GHG emissions from stationary combustion”.

For scope 2 CO_2 emissions, Viscofan uses a conversion factor requested from the supply company or, the official factor provided by the government or by the IPPC (Intergovernmental Panel on Climate Change).

Scope 1 and 2 CO_2 emissions

Casing production is an on-going process all year round that requires a lot of heat, especially in casing drying processes. The main energy input used in the process is natural gas, electricity, and steam.

In the case of Cáseda (Spain), it has a co-generation plant with an installed capacity of 48MW for part of the energy demand of the Viscofan plant. This operation allows greater efficiency in the production of casings from an environmental and cost efficiency point of view as the combustion of natural gas allows to heat water, steam, and electricity is produced. A part of the latter is sold to the grid.

Viscofan avoids CO_2 emissions with its co-generation plant in Cáseda compared to another equivalent alternative of heating water, producing steam, and generating electricity. However, the overall activity of the co-generation plant, including the production of electricity sold to the grid, entails for the case of Viscofan more Scope 1 emissions compared to those theoretically emitted to obtain the co-generation steam by means of conventional boilers.

Under this premise, in 2023, CO_2 emissions associated with the Cáseda co-generation plant represent 23.7% of total CO_2 of the Group compared to 76.3% of the production of casings and new business:

In tonnes	2023	2022	2021	2020	2019	2018
Scope 1 emissions Cáseda cogeneration	**112,175**	**121,615**	**113,365**	**120,884**	**126,083**	**127,628**
% of total emissions Group (scope 1 and 2)	*23.7%*	*24.4%*	*20.7%*	*21.5%*	*23.3%*	*23.5%*

In tonnes	2023	2022	2021	2020	2019	2018
Scope 1 emissions Traditional Business and New Businesses	281,080	293,567	291,934	277,075	260,138	250,500
Scope 2 emissions Traditional Business and New Businesses	79,932	83,444	142,682	165,228	154,580	164,138
Total emissions Traditional Business and New Businesses	**361,012**	**377,011**	**434,616**	**442,303**	**414,718**	**414,638**
% of total emissions Group (scope 1 and 2)	76.3%	75.6%	79.3%	78.5%	76.7%	76.5%
Total Group emissions	**473,187**	**498,626**	**547,981**	**563,188**	**540,801**	**542,266**

In 2023, CO_2 emissions were reduced by 5.1% compared to the previous year, partly due to the energy efficiency measures in our production processes discussed above and to a greater use of electricity from renewable sources.

Within the decarbonisation projects, it should be noted that Viscofan has successfully completed new tests, with greater capacity to use green hydrogen as fuel in one of the co-generation engines at the production plant in Cáseda (Navarre) that supplies to this production centre hot water, steam, and electricity. This project lays the foundation for the engine supplier

Bergen to develop an engine powered by 100% green hydrogen. Likewise, investment is being made in the installation of two electric boilers in Spain.

Also, the installation of solar panels at the Hasselt plant (Belgium) has made it possible to generate renewable electricity for self-consumption. During the year, emissions from this plant were down by 1,574 tons compared to 2022.

Other greenhouse gas emissions of the Viscofan Group

In tonnes	2023	2022	2021	2020	2019	2018
NOX	720	762	735	713	657	643
SOX	30	32	29	29	32	n.a.

Emission intensity on extruded metres

Base 100 year 2018	2023	2022	2021	2020	2019	2018
Intensity of Group CO_2 emissions/millions of extruded metres	70	72	84	94	101	100
Intensity of NOX emissions/ millions of extruded metres	90	93	95	100	103	100
Intensity of SOX emissions/ millions of extruded metres	74	77	74	80	100	n.a.

The Viscofan Group has begun the preliminary analysis for the calculation of Scope 3 emissions, i.e., the other indirect emissions that occur in the value chain, with the aim of obtaining a better understanding of the Viscofan Group's complete carbon footprint, and of meeting future reporting obligations for this indicator.

In this analysis, taking for reference the Scope 3 calculation technical guide published by GHG protocol, the most relevant categories would be: “Procured goods and services”, “Activities related to fuels and energy not included in scope 1 or 2” and “End of life-cycle treatment for products sold”.

Emission savings:

Electricity production through co-generation

In 2023, Viscofan avoided the emission of CO_2 into the atmosphere, by using co-generation compared to the theoretical emissions from co-generation steam using conventional boilers at the Cáseda (Spain) and Weinheim (Germany). Below is a detail of the equivalent tonnes of CO_2 avoided:

In tonnes	2023	2022	2021	2020	2019	2018
CO_2 avoided by energy optimisation	**76,745**	85,845	94,033	90,449	90,531	91,715

Thanks to the co-generation installed, it is worth noting that over the last ten years, the Viscofan Group has managed to avoid the emission of nearly one million tonnes of CO_2 into the atmosphere.

2030 commitment to reduce the intensity of CO_2 emissions and Pursuit of the Net Zero objective in Viscofan

The United Nations Global Compact, of which Viscofan is a signatory member, is committed to SDG 13. Climate action. Viscofan's commitment has materialised with a target by 2030, of a 30% reduction in scope 1 and 2 CO_2 emissions over a million extruded metres with respect to 2018.

The promotion of the use of renewable energies and the energy efficiency measures of recent years have allowed Viscofan to achieve in advance in 2023 the goal set for 2030.

The variations in the ratio on a baseline of 100 for 2018 are as follows:

Base 100 year 2018	2030 Commitment	2023	2022	2021	2020	2019	2018
CO2 emissions scope 1 and 2/Extruded metres	70	70	72	84	94	101	100

At Viscofan we work with the objective of limiting the rise in the planet's temperature to below 1.5C within our possibilities. In this regard, having met in 2023 the emissions intensity reduction target set for 2030, Viscofan is working on the design of a plan, based on the Science Based Targets initiative (SBTi), to achieve climate neutrality by 2050.

The preliminary work will involve detailed analysis of the energy equipment in all the Viscofan Group plants on 4 continents, the technological alternatives for the replacement of fossil fuels, the viability and promotion of renewable electricity in different countries, and analysis of scope 3 greenhouse emissions to determine if they are material with respect to scope 1 and 2, and, if so, work will be carried out to study and establish objectives.

2.3.3. Responsible management of the end-to-end water cycle

Water is essential for life, and also for the viability of Viscofan's business, since the casing production process and a large part of raw materials used depend on water. We acknowledge that it is a resource whose availability is affected by climate change and by a growing global demand.

Viscofan's production plants require water withdrawal for different phases of the process, mainly in the cleaning of casings, refrigeration, steam production and the moistening of said casings.

At Viscofan's production plants, in 2023, 13% of the captured water was evaporated, was incorporated into the product, or was consumed, while the remaining 87% was conducted to purification plants installed at Viscofan's production plants to be processed before being returned to freshwater surfaces or conducted to municipal processing plants.

Viscofan's water management focuses its efforts two-fold. Firstly, by seeking production technology with a lower water requirement, mainly in phases of the process that involve the washing of casings. Once the water has been used, Viscofan works to improve the quality of what we discharge even further and to understand the risks associated with its availability and use in the areas in which we operate.

Withdrawal, responsible use of water

Water collection by source type. m^3	2023	2022	2021	2020	2019	2018
Surface water	4	4,127,443	4,269,619	4,107,250	3,849,469	3,755,026
Groundwater	2,929,859	2,929,859	2,810,428	2,756,290	2,643,301	2,636,088
Municipal supplies	3,634,433	3,634,433	3,701,020	3,515,107	2,947,574	3,021,961
Rainwater	0	0	0	0	0	0
Waste water	0	0	0	0	0	0
TOTAL	**10,691,735**	**10,691,735**	**10,781,067**	**10,378,646**	**9,440,345**	**9,413,076**

Consumption in process	**1,770,905**	**1,770,905**	**2,348,446**	**2,107,470**	**1,679,531**	**1,745,719**

During the year, water withdrawal and its intensity per metre of extruded casings were reduced by 5.4% and 3.3%, respectively, in a context of lower casings production activity and thanks to water consumption efficiency initiatives implemented during the year and the consolidation of initiatives implemented in previous years. Of particular note:

- At the Cáseda plant (Spain), installation of the new evaporation plant allows the water to be used for a washing circuit, the change in filtering technology requires less water

consumption in cleaning operations on the equipment itself, and a new Legionella treatment in cooling towers requires fewer circuit purges.
- In the New Jersey (USA) plant, the installation of production lines under dry-tech technology to produce collagen casings, with lower water requirements than the previous production technology, the better use of the wash flow in post extrusion, and optimisation of raw material recipes to reduce washing.
- At the Danville plant (USA) the stabilisation of the plant with the new cellulose casings technology.
- At the Ermelino plant (Brazil) a greater control in consumption processes and reuse of water when washing viscose filters.

In addition, as part of its efficient water management strategy, Viscofan seeks the greatest possible reuse of water. In 2018, it was endeavoured to make greater use of reused water in China, but it did not have the expected results. However, the reuse project at the Pando plant (Uruguay) commenced in 2020 is being consolidated and various projects have been implemented in Brazil to reuse water from the production process to wash the equipment, to supply the fire system, and to irrigate the garden.

These projects, of great importance and technical complexity, have increased the percentage of water reuse:

	2023	2022	2021	2020	2019	2018
Water reused in m3	85,341	57,077	16,942	15,172	1,069	26,635
% of the water consumed	6.7%	3.2%	0.7%	0.7%	0.1%	1.5%

All captures are strictly regulated by Public Administrations, which assign permits and determine the maximum permitted capture volumes to preclude significant effects. Hence, in 2023 there have been no recorded water sources significantly affected by the withdrawal of water from the organization.

On another note, according to the World Resources Institute list, the plants of Belgium, Mexico, Brazil and China are located in countries of high or extremely high water stress, a risk that the Group has identified. They account for 22% of total water withdrawal and 23% of the Viscofan Group's total water discharge in 2023. In the year, problems of water supply were not declared in these areas.

Responsible discharge

Protecting the quality of the water that we discharge is one of Viscofan's commitments. Adequate water management also includes correctly purifying its wastewater and minimising the impact of its activities on the environment; thus, we apply the best available technologies in an on-going process such as that of the Group.

As a result, Viscofan has water purification plants at its manufacturing facilities, where the treatment of water makes it possible to improve the quality of discharges. Factories that treat 100% of the water are: Cáseda (Spain), Zacapu (Mexico), Koteks (Serbia), Itu (Brazil), Pando (Uruguay) and Suzhou (China).

Water discharge broken down by destination is as follows:

Water discharge in m3	2023	2022	2021	2020	2019	2018
Freshwater surface	5,415,241	5,157,283	4,643,755	4,588,313	4,354,863	4,279,568
Municipal processing plant	3,425,199	3,763,547	3,788,866	3,682,863	3,405,950	3,387,789
TOTAL	**8,840,440**	**8,920,830**	**8,432,621**	**8,271,176**	**7,760,813**	**7,667,357**

2030 commitment to reduce the intensity of water withdrawal

The United Nations Global Compact, of which Viscofan is a signatory member, is committed to SDG 6. Clean water and sanitation. Viscofan's commitment has materialised with a target by 2030 of a 10% reduction in water withdrawal over a million extruded metres with respect to 2018.

The installation of new production technologies with lower water needs, efficiency measures in the use of water and its reuse have allowed Viscofan to achieve in advance, in 2023, the objective set for 2030. This milestone makes us optimistic about analysis to look for new targets.

The variations in the ratio on a baseline of 100 for 2018 are as follows:

Base 100 year 2018	2030 Commitment	2023	2022	2021	2020	2019	2018
Water withdrawal in m^3 / Extruded metres	90	86	89	95	100	101	100

2.3.4. Circular economy

Population growth influences the availability of the planet's resources and the efficient use of resources and the circularity of the economy are essential. A global challenge requires environmental criteria to be included throughout the whole value chain to minimise the impact of Viscofan's activities.

Working in conjunction with the whole value chain, Viscofan promotes the sustainable use of resources. Firstly, through the selection, search, and homologation of raw materials, which are then transformed by mechanical and chemical means, producing millions of metres of casing per year. In this process, Viscofan is constantly searching for more efficient technology, which leads to less waste generation and a circular life cycle. Finally, Viscofan's product innovations aim to foster customer innovation and help them in their sustainability challenges.

Selection of raw materials

We take the utmost care with the raw materials we work with, ensuring that the highest standards of health and food safety are maintained at all stages of production. In addition, a significant proportion of these products are of natural, biodegradable, or recycled origin.

The breakdown of consumption cost by category of the 10 most relevant raw materials is as follows:

Key raw materials	2022	2022
Animal and plant origin	68%	65%
Plastic polymers	8%	10%
Auxiliary chemicals	24%	25%
Total	**100%**	**100%**

Animal and plant origin

- **Cellulose:** Cellulose is a linear polymer composed of glucose units found in the wall of cells in plants, wood, and natural fibres, usually combined with other substances such as lignin, hemicelluloses, and other components. To produce casings, the cellulose chain must be broken to obtain a polymer with the appropriate length for its extrusion in the form of a casing and with very specific elastic properties. This process requires cellulose with a high level of purity, also called “Premium cellulose” or “special cellulose” by our approved suppliers.

- **Collagen:** Collagen is a very common long fibrous protein with remarkable chemical and mechanical properties. It has been used for many years as a basic raw material for several applications, as well as for sausage casings. Among others, it is used in the fields of biomedicine and cosmetics, as well as applications in the food industry. It is also the basic material used in the extensive gelatine industry. The corium, or inner part of the skin of cattle, is mainly used to produce collagen casings, as it is very rich in collagen.

- **Abaca paper:** This is obtained from a herbaceous plant called musa textilis. Paper made from its fibres has a high mechanical and moisture resistance and is used at Viscofan to produce fibrous casings. Abaca fibre is also used by other industries to produce high

quality paper and non-woven textiles for various uses such as tea bags, paper money and filters.

Plastic polymers: Plastic casings are obtained by treating different plastic polymers widely used in different industries. The most used polymers are polyethylene, polypropylene and polyamides.

Chemicals used as auxiliaries in the production of different types of casings, the most relevant are caustic soda and glycerine.

Packaging

Viscofan's business model is characterised by the sale of ingredients or auxiliary raw materials in large volumes to food production companies, so that the packaging sent by Viscofan to the customer is not individualised by product or unit of use. For this reason, packaging is a reduced cost and has not been identified as a relevant aspect within Viscofan's materiality matrix which, moreover, does not end at the final consumer. The majority by relevance and weight are caddies, boxes, and pallets mostly of renewable origin, being packaging used to protect the quality and safety of the casings sent to the customer.

Furthermore, as regards packaging of raw materials, a part of these use reusable packaging, such as the containers that store the collagen skins; another part is biodegradable and recycled, such as the cardboard containing the cellulose paper; and to a lesser extent, other packaging is of synthetic origin, for which Viscofan promotes the recycling of these as far as possible.

In 2023, Viscofan is carrying out a project to segregate cardboard, wood, plastic, and metal waste in containers labelled and identified at the plant, with the aim of having better waste identification to promote greater recovery.

Efficient and circular management of waste

Viscofan is constantly searching for a more efficient production technology that allows, among other things, a reduction in production waste. Furthermore, as established by the Environmental Policy, the concept of circular economy is included in the decision-making processes on investments and in the planning and execution of activities.

The production of casing is an ongoing process whose characteristics mean that waste will be generated throughout, notably, viscose, collagen mass and discarded casing in the converting process. Likewise, associated with environmental management at the water purification plants and the gas treatment facilities, the Group generates a material amount of waste.

For the management of the waste generated, we use disposal methods that have been determined locally based on local regulations and good practices within the Group, taking into consideration the characteristics of the production process and the raw materials used.

The trend in waste by typology is as follows:

In tonnes	2023	2022	2021	2020	2019	2018
Recovered	36,055	37,345	29,400	26,648	22,673	25,755
Disposed	27,661	31,492	34,010	30,696	26,634	27,668
Total waste	**63,716**	**68,837**	**63,410**	**57,344**	**49,307**	**53,423**

In 2023, the tons of waste fell by 7.4% in a context of moderated production activity caused by the decline in the casings market due to a global trend of reduced customer inventories.

Viscofan is working on greater valorisation of waste by increasing the reuse of products, or recycled use of waste after its corresponding transformation, such as composting, or energy valorisation as a thermal source. In this regard, the consolidation of projects from previous years and the implementation of new ones has allowed the Group to increase the percentage of recovered waste to 57% in 2023 compared to 54% in 2022, and to reduce by 10.2% the intensity of waste eliminated per million metres of extruded casings.

Of the projects implemented in 2023, it is worth highlighting in Cáseda (Spain) the recovery of waste for use as fertilizer that was eliminated in 2022 and the reuse of viscose thanks to facilities designed for this purpose.

The breakdown of waste by type is as follows:

In tonnes	2023	2022	2021	2020	2019	2018
Reused	4,516	6,216	7,966	3,333	2,892	3,412
Recycled	6,206	7,299	6,393	5,142	5,103	7,069
Composted	15,298	16,107	12,995	17,173	13,694	14,029
Energy valorisation	10,035	7,723	2,045	1,000	984	1,245
Total waste recovered	**36,055**	**37,345**	**29,400**	**26,648**	**22,673**	**25,755**

In tonnes	2023	2022	2021	2020	2019	2018
Incinerated	3,231	3,314	4,009	4,035	3,902	3,989
Landfill	24,300	27,918	23,192	20,700	18,706	20,734
Other	130	260	6,809	5,960	4,026	2,945
Total waste elimination	**27,661**	**31,492**	**34,010**	**30,696**	**26,634**	**27,668**

	2022			2022		
In tonnes	Non hazardous	Hazardous	TOTAL	Non hazardous	Hazardous	TOTAL
Recovered	23,963	12,092	36,055	31,802	5,543	37,345
Eliminated	25,552	2,109	27,661	28,950	2,542	31,492
TOTAL	**49,515**	**14,201**	**63,716**	**60,752**	**8,085**	**68,837**

Moreover, the Viscofan Group has implemented an environmental management system with a view to preventing spillages and leaks, in which it has established management mechanisms and technical control elements. There were no spills or leaks at Viscofan Group facilities in 2023 that had to be reported to the competent authorities, understood as those that cause damage to the external environment of the facility.

Commitment 2030 to reduce waste elimination

As a signatory of the United Nations Global Compact Viscofan is committed to SDG 12. Responsible production and consumption. Commitment that Viscofan has expressed in an objective with a horizon of 2030 and a base of 2018 to reduce non-circular waste.

Initially, the objective was focused on the reduction of waste destined for landfill, although, in the course of the 2022-2025 Sustainability Action Plan, the requirement has been increased in accordance with a greater identification of the destination of the waste, incorporating the objective of reducing everything that is not recovered, so that by 2030 there should be a 30% reduction in the tonnes of eliminated waste out of a million extruded metres.

The variations in the ratio on a baseline of 100 for 2018 are as follows:

Base 100 year 2018	2030 Commitment	2023	2022	2021	2020	2019	2018
Tonnes of waste eliminated / Metres extruded	70	80	89	102	100	97	100

2.3.5. Responsible supply chain management

In a world where consumption habits can lead to the use of unsustainable materials, at Viscofan a very significant part comes from raw materials considered to be renewable, i.e. of natural origin, or are biodegradable or come from raw materials that have already been recycled. Thus, 81% of our revenue comes from the sale of casings with these characteristics.

However, Viscofan also considers how sustainability issues impact not only on its own operations but also along the value chain: raw materials, packaging and helping customers with their sustainability challenges.

Raw materials

Viscofan has the following sustainability commitments for both renewable raw materials and the rest:

- **Cellulose and abaca pulp:** all our suppliers are certified by the international (PFEC and FSC) certification programme, which ensures that the cellulose they obtain comes from sustainably managed trees and forests and, therefore, does not contribute to the deforestation of the planet.

- **Collagen:** our collagen casings are a good example of circular economy in the world of casings, as the cow hide is used for recovery in the food industry. In addition, Viscofan seeks as far as possible to contribute to animal welfare under strict controls and by working with European leather suppliers that comply with animal welfare codes.

- **Plastic:** in 2023, plastic developments and operations have continued to progress in accordance with the 3R rules (reduce, reuse and recycle). The following advances made in the year are of particular note:

  - Reduction of raw material waste in plastic product extrusion: Processes have been standardised and at the plant in the Czech Republic, a lean system has been implemented to improve the management and organisation of the operational processes. In total, thanks to these projects the Group has managed to make a saving of 200 tonnes of plastic raw materials.
  - All the Group's plastic casings production were recertified according to the ISCC PLUS system. The Canadian subsidiary also received ISCC PLUS certification. For Viscofan, this means that all eFAN casings, manufactured with raw materials of biological origin and/or raw materials from recycled post-consumer plastic waste, can now be marketed worldwide.
  - The Group in 2023 and 2024 is working on a project to obtain degradable plastic casings.

- **Vegetable proteins:** this raw material used for the veggie casing is a GMO (Genetically Modified Organism) free product.

Packaging

Viscofan works with the ambition to make responsible use and minimise as much as possible the packaging of raw materials and the final product by promoting the circular economy. In recent years, concepts of reduction, reuse, redesign and recycling are being used in the packaging management strategy. The main initiatives implemented during the year are:

Optimisation and review of packaging used for cellulose casings by reducing the number of cardboard items used to achieve better use of the quantity stored and transported on a pallet. In addition, the number of carton references is also being rationalised and eliminated in the case of fibrous casings.

In collagen casings, it is planned to implement a project to reduce the size necessary to form a cardboard box of the same dimensions without affecting its properties.

Customers

With our developments, we seek to help customers meet consumer needs and achieve greater sustainability in their production processes, providing them with products with greater production efficiency that generate less food waste and, in addition, enable the reduction of CO_2 emissions during their processing.

2.3.6. European taxonomy for environmentally sustainable economic activities

According to the environmental taxonomy criteria of the European Union, around 85% of Viscofan's business volume is not eligible under the European taxonomy as it does not have a significant impact on the six environmental objectives.

The activity of cogeneration of heat/cold and electricity based on natural gas is eligible for the objectives of adaptation to and mitigation of climate change and the activity of manufacturing casings, films and bags obtained through the treatment of plastic polymers is eligible for the objective of transition to a circular economy as the manufacture of plastic containers.

In the case of cogeneration, the technical alignment requirements require further development to facilitate the replacement of fossil fuel in line with the pioneering decarbonisation work that the Group is carrying out in Spain.

Regarding casings, films and bags obtained through the treatment of plastic polymers, based on the preliminary analysis carried out, the value chain of this activity has not yet fully progressed to meet the technical alignment criteria established in the regulations, towards which Viscofan is working, particularly the development and promotion of casings with a percentage of recycled material and materials of natural origin.

Foundation

In its Communication of 8 March 2018, the European Commission published its "Action Plan: Financing Sustainable Growth", launching an ambitious and comprehensive strategy to make finance a key driver for moving towards an economy that ensures that the goals of the Paris Agreement and the European Union's (EU) 2030 Agenda for Sustainable Development are met.

In this context, the package of measures presented defines 10 specific actions that have as one of their main objectives to redirect capital flows towards sustainable investments. As a consequence of the first of these actions, the Taxonomy Regulation, Regulation (EU) 2020/852, has been published, which aims to establish a classification system that, based on objective criteria, determines which economic activities are sustainable.

The Taxonomy Regulations establishes six environmental objectives:

- Climate change mitigation
- Climate change adaptation
- The sustainable use and protection of water and marine resources
- The transition to a circular economy
- Pollution prevention and control
- The protection and restoration of biodiversity and the ecosystems

This regulation has been modified gradually over several years to include the technical selection criteria for the 6 objectives.

One, on 4 June 2021, the Delegated Regulation (EU) 2021/2139 was published on sustainable activities for the objectives to mitigate and adapt to climate change. Therefore, technical selection criteria were established to determine the conditions in which it is considered that an economic activity substantially contributes to these two objectives, and to determine if such economic activity does not cause significant harm to any other environmental objectives.

On 6 July 2021, the Commission adopted the Delegated Regulation (EU) 2021/2178, completing article 8 of the Taxonomy Regulation. This delegated act specifies the content, methodology and presentation of the information that must be disclosed to the financial and non-financial companies in relation to the proportion of environmentally sustainable economic activities with regard to its commercial, investment or lending activities.

On 9 March 2022, the European Commission published Delegated Regulation 2022/1214 amending Delegated Regulation (EU) 2021/2139 as regards economic activities in certain energy sectors and Delegated Regulation (EU) 2021/2178 as regards public disclosure of specific information on these economic activities.

On 27 June 2023, the European Commission adopted Delegated Regulation (EU) 2023/2486, which completes Regulation (EU) 2020/852 of the European Parliament and of the Council by establishing the technical selection criteria to determine in what conditions an economic activity will be considered to contribute substantially to the sustainable use and protection of water and marine resources, to the transition to a circular economy, to the prevention and control of pollution, or to the protection and recovery of biodiversity and ecosystems, and to determine whether such economic activity does not cause significant harm to any of the other environmental objectives. It also introduces amendments to Commission's Delegated Regulation (EU) 2021/2178, specifically with regard to the disclosure of specific public information on such economic activities.

On 27 June 2023, the Commission adopted Delegated Regulation (EU) 2023/2485, amending Delegated Regulation (EU) 2021/2139, establishing additional technical selection criteria to determine the conditions in which an economic activity contributes substantially to climate change mitigation or adaptation to climate change, and to determine whether that economic activity does not cause significant harm to any of the other environmental objectives.

Activity classification bases

In order to determine that an activity is “environmentally sustainable”, it is necessary to start from the distinction established by the Regulation between two types of activities:

- Eligible activities: Those that have a significant impact on the achievement of any of the six environmental objectives set out in the Regulation, irrespective of whether that economic activity meets any or all of the technical selection criteria set out in those delegated acts.
- Aligned activities: Those that have a significant impact on the achievement of any of the six environmental objectives set out in the regulation and in addition:
    - Does not cause any detriment to the other environmental objectives set out in the Regulation.
    - It complies with technical selection criteria established by the Commission.
    - It is carried out in accordance with the minimum guarantees set out in Article 18 of the Regulation.

Reporting obligations for the 2023 financial year

In accordance with the regulations in force on the date of formulation of this management report, Viscofan's reporting obligations with respect to the taxonomy are the following:

- For the objectives of mitigation and adaptation to climate change, Viscofan must report activities as eligible or non-eligible and whether they are aligned with the taxonomy, in the same way as in the previous year.
- For the other four environmental objectives, as set out in Article 10, paragraph 6 of Delegated Regulation (EU) 2021/2178, as amended in 2023 by Delegated Regulation (EU) 2023/2486, from 1 January 2024 to 31 December 2024 Viscofan is required to disclose the proportion of eligible and non-eligible economic activities according to the taxonomy under Delegated Regulation (EU) 2023/2486.

Analysis of implications for Viscofan

Analysis of eligibility with respect to the 6 environmental objectives

The Viscofan Group has conducted an analysis to identify the eligibility of the Group's activities with respect to the six environmental objectives:

The Traditional Business division, which represents 81% of the Viscofan Group's business volume (see note 20.1 of the consolidated report), includes the manufacture and distribution of cellulose, fibrous and collagen casings for sausages and other applications. This activity has not been identified by the European Commission as having a significant impact on any of the six environmental objectives, and, therefore, they are not eligible activities that are included in the annexes to the regulations described above.

The New Business division represents 12% of the Viscofan Group's business volume and encompasses several activities. Of these, the activity of manufacturing casings, films and bags obtained through the treatment of plastic polymers is included as an eligible activity in the objective of transition to a circular economy as the manufacturing of plastic containers. The rest of the division's activities are not eligible according to the taxonomy or are of little relevance.

Energy sales account for 7% of the Viscofan Group's business volume. They include the cogeneration activity, which in the Viscofan Group consists of the sale to third parties of the electricity that the Group does not use in the production process of its main activity, is included in Annexes 1 and 2 of the Regulation as an eligible activity with respect to the objectives of climate change mitigation and adaptation to climate change. The rest of the energy sales correspond to income from the sale of electricity transformed at the Zacapu facilities (Mexico), an activity that is not eligible according to the taxonomy.

Analysis of alignment with environmental objectives

Cogeneration

Viscofan has carried out alignment analysis of the cogeneration activity based on the provisions of Annex I of the Regulation, which includes the criteria that this activity must meet in order to be considered as making a substantial contribution to climate change mitigation.

In this regard, the technical criteria for selection of substantial contribution set out in section 4.30 (High efficiency cogeneration of heat/cold and electricity from gaseous fossil fuels) of this Annex set a minimum level of greenhouse gas emissions for a cogeneration activity to be aligned that is technically impossible to achieve with the use of 100% fossil fuel, requiring the blending of non-fossil fuels and the development of new technologies that would allow such consumption.

In this respect, within the search for decarbonisation of its processes, Viscofan is being a pioneer and in 2022 and 2023, it has successfully completed use of a cogeneration engine with green hydrogen as fuel. Although a regular continuous supply of green hydrogen is not currently available, Viscofan has already installed two cogeneration engines with the capacity to partially use green hydrogen and thus be prepared for a rapid transition when such a supply becomes available.

Manufacture of casings, films and bags through the treatment of plastic polymers

Viscofan has carried out alignment analysis of this activity based on the provisions of Annex II of the Regulation, which includes the criteria that this activity must meet in order to be considered as making a substantial contribution to the transition to a circular economy.

Based on this analysis, the activity of manufacturing casings, films and bags through the treatment of plastic polymers does not meet the established technical criteria of circularity and reuse.

Although, Viscofan, within its objective of promoting a circular economy, has developed the eFAN casing, which contains up to 95% recycled or bio-based plastic material, and although for now sales of this product are low, Viscofan is seeking to increase their importance through commercial promotion and by improving supply sources. The Group's main plastic extrusion and converting centres have the certification of ISCC PLUS, a sustainability certification programme for bio-based and circular (recycled) raw materials not regulated as transport fuels, according to the European Renewable Energy Directive, for all markets and sectors.

Calculation of indicators

The main key performance indicators have been calculated in accordance with the EU Commission Delegated Regulation, which complements Regulation (EU) 2020/852 of the European Parliament and of the Council. This regulation details the content and presentation of the information that must be disclosed by companies subject to articles 19 bis or 29 bis of Directive 2013/34/EU in relation to sustainable economic activities from an environmental perspective. It specifies the method for complying with the obligation to disclose information about the presentation of data related to economically sustainable activities from an environmental point of view.

Calculation of the key performance indicator on turnover

For the calculation of the indicator, the accounts required by the Regulation have been identified in the denominator, the turnover being the amount included as “Sales and services rendered” (see note 20 of the Notes to the Consolidated Financial Statements).

For the calculation of the numerator, the amount of sales and service provision of the eligible activities has been used.

Calculation of the key performance indicator for capital expenditure (CapEx)

To calculate the CapEx indicator, the denominator includes total investments in intangible assets, investments in property, plant and equipment and investments in assets for rights of use of the Viscofan Group, see notes 5, 6 and 7 of the Notes to the Consolidated Financial Statements.

For the numerator, projects carried out during the year that can be considered as eligible activities for the CapEx indicator as indicated in Article 8 of the Regulation are taken into account.

Calculation of the key performance indicator for operating expenses (OpEx)

To calculate the OpEx indicator, the Viscofan Group's accounting accounts for research and development expenses, building renovation measures, short-term leasing expenses and

maintenance and repairs or expenses to ensure the proper functioning of the assets have been identified. The sum of these accounts is the denominator.

For the numerator, the breakdown of the accounts by Cost Centre has been extracted by analysing the nature of the expenditure in order to identify whether it is associated with an eligible activity as indicated in Article 8 of the Regulation.

Economic indicators

This section includes the indicators by economic activity in relation to their eligibility and alignment with the Taxonomy of Sustainable Finance. They have been presented following the templates included in Commission Delegated Regulation (EU) 2021/2178, of 6 July 2021, modified by Commission Delegated Regulation (EU) 2023/2486, of 27 June 2023:

Turnover

In million €	Year 2023			Substantial contribution criteria						Criteria for the absence of material injury									
Economic activities	ID	Absolute Turnover	Proportion of turnover	Climate change mitigation	Climate change adaptation	Water and marine resources	Circular economy	Contamination	Biodiversity and ecosystems	Climate change mitigation	Climate change adaptation	Sustainability and protection of water and marine resources	Transition to circular economy	Pollution prevention and control	Protection and restoration of biodiversity and ecosystems	Minimum guarantees	Proportion of turnover that conforms to the taxonomy. 2022	Category. Facilitating activity	Category. Transition activity
Row legend		€	%	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	F	T
A. ACTIVITIES ELIGIBLE ACCORDING TO TAXONOMY																			
A.1 Environmentally sustainable activities (conforming to the taxonomy)																			
Turnover of environmentally sustainable activities (that conform to the taxonomy) (A.1)		0	0%	N/A	N/A	N/A	N/A	N/A	N/A								0.0%		
A.2 Activities eligible according to the taxonomy but not environmentally sustainable (activities that do not conform to the taxonomy)																			
Row legend		€	%	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL										
High-efficiency cogeneration of heat/cooling and electricity from fossil fuels	CCM. 4.30.	79.5	6.5%	EL	EL	N/EL	N/EL	N/EL	N/EL	Not applicable							7.1%		
Manufacture of plastic containers	CE. 1.1	109.5	8.9%	N/EL	N/EL	N/EL	EL	N/EL	N/EL	Not applicable							N/A		
Turnover of activities eligible according to taxonomy but not environmentally sustainable (activities that do not conform to the taxonomy) (A.2)		189.0	15.4%	6.5%	N/A	N/A	8.9%	N/A	N/A								7.1%		
Turnover from activities eligible according to taxonomy (A.1 + A.2)		**189.0**	**15.4%**	**6.5%**	**N/A**	**N/A**	**8.9%**	**N/A**	**N/A**								**7.1%**		
B. INELIGIBLE ACTIVITIES ACCORDING TO THE TAXONOMY																			
Turnover from activities not eligible according to taxonomy		1,036.8	84.6%																
TOTAL		**1,225.8**	**100.0%**																

CapEx (investments in intangible assets, tangible fixed assets and assets for rights of use)

In million €		Year 2023		Substantial contribution criteria						Criteria for the absence of material injury									
Economic activities	ID	CapEx	Proportion of CapEx	Climate change mitigation	Climate change adaptation	Water and marine resources	Circular economy	Contamination	Biodiversity and ecosystems	Climate change mitigation	Climate change adaptation	Sustainability and protection of water and marine resources	Transition to circular economy	Pollution prevention and control	Protection and restoration of biodiversity and ecosystems	Minimum guarantees	Proportion of CapEx that conforms to the taxonomy. 2022	Category. Facilitating activity	Category. Transition activity
Row legend		€	%	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	F	T
A. ACTIVITIES ELIGIBLE ACCORDING TO TAXONOMY																			
A.1 Environmentally sustainable activities (conforming to the taxonomy)																			
CapEx of environmentally sustainable activities (that conform to the taxonomy) (A.1)		0.0	0.0%	N/A	N/A	N/A	N/A	N/A	N/A								0.0%		
A.2 Activities eligible according to the taxonomy but not environmentally sustainable (activities that do not conform to the taxonomy)																			
Row legend		€	%	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL										
High-efficiency cogeneration of heat/cooling and electricity from fossil fuels	CCM. 4.30.	0.4	0.4%	EL	EL	N/EL	N/EL	N/EL	N/EL	Not applicable							0.5%		
Manufacture of plastic containers	CE. 1.1	7.4	8.8%	N/EL	N/EL	N/EL	EL	N/EL	N/EL	Not applicable							N/A		
CapEx of activities eligible according to taxonomy but not environmentally sustainable (activities that do not conform to the taxonomy) (A.2)		7.8	9.2%	0.4%	N/A	N/A	8.8%	N/A	N/A								0.5%		
CapEx of eligible activities according to taxonomy (A.1 + A.2)		7.8	9.2%	0.4%	N/A	N/A	8.8%	N/A	N/A								0.5%		
B. INELIGIBLE ACTIVITIES ACCORDING TO THE TAXONOMY																			
CapEx of ineligible activities according to taxonomy		76.3	90.8%																
TOTAL		84.1	100.0%																

Legend:
Y: YES; N:No; EL: Eligible; N/EL: Not eligible; CCM: Climate Change Mitigation; F: Facilitator; T; Transition

OpEx

In million €		Year 2023		Substantial contribution criteria						Criteria for the absence of material injury									
Economic activities	ID	OpEx	Proportion of OpEx	Climate change mitigation	Climate change adaptation	Water and marine resources	Circular economy	Contamination	Biodiversity and ecosystems	Climate change mitigation	Climate change adaptation	Sustainability and protection of water and marine resources	Transition to circular economy	Pollution prevention and control	Protection and restoration of biodiversity and ecosystems	Minimum guarantees	Proportion of OpEx that conforms to the taxonomy. 2022	Category. Facilitating activity	Category. Transition activity
Row legend		€	%	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	F	T
A. ACTIVITIES ELIGIBLE ACCORDING TO TAXONOMY																			
A.1 Environmentally sustainable activities (conforming to the taxonomy)																			
OpEx of environmentally sustainable activities (that conform to the taxonomy) (A.1)		0.0	0%	0%	N/A	N/A	N/A	N/A	N/A								0.0%		
A.2 Activities eligible according to the taxonomy but not environmentally sustainable (activities that do not conform to the taxonomy)																			
Row legend		€	%	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL										
High-efficiency cogeneration of heat/cooling and electricity from fossil fuels	CCM. 4.30.	2.8	7.8%	EL	EL	N/EL	N/EL	N/EL	N/EL	Not applicable							6.4%		
Manufacture of plastic containers	CE. 1.1	1.2	3.4%	N/EL	N/EL	N/EL	EL	N/EL	N/EL	Not applicable							N/A		
OpEx of activities eligible according to taxonomy but not environmentally sustainable (activities that do not conform to the taxonomy) (A.2)		4.1	11.2%	7.8%	N/A	N/A	3.4%	N/A	N/A								6.4%		
OpEx of eligible activities according to taxonomy (A.1 + A.2)		4.1	11.2%	7.8%	N/A	N/A	3.4%	N/A	N/A								6.4%		
B. INELIGIBLE ACTIVITIES ACCORDING TO THE TAXONOMY																			
OpEx of ineligible activities according to taxonomy		32.5	88.8%																
TOTAL		36.5	100.0%																

Legend:
Y: YES; N:No; EL: Eligible; N/EL: Not eligible; CCM: Climate Change Mitigation; F: Facilitator; T; Transition

Information about activities related to fossil gas

This information responds to the reporting requirements of Delegated Regulation (EU) 2022/1214 of 9 March 2022 for the key performance indicators applicable to activities related to fossil gas. In particular, for Viscofan the cogeneration activity referred to in section 4.30 of Annexes I and II of Delegated Regulation (EU) 2021/2139.

2.4. Social pillar

2.4.1. Work management

People are the differential value on which the future of Viscofan is built. Over 5,300 employees in 20 countries constitute an extraordinary human wealth. People management is key to achieving our goals and that is why we want to attract and develop the best team in the industry.

Material aspects

- Diversity, equality and non-discrimination
- Health and safety
- Quality in employment
- Salary gap
- Training

Our commitment to Sustainable Development Goals. Procedural pillar

SDG 8. Decent work and economic growth	Ensure decent working conditions for all company employees, with non-discriminative hiring. Likewise Viscofan maintains its commitment to create ongoing employment. We back the promotion and professional development of our teams, especially among young people. We inform employees of the opportunities and processes that arise at the company so that they can opt for new goals and challenges. Guaranteeing freedom of association and collective bargaining. Creating a stable working environment, supporting full-time permanent contracts, in a climate of respect and non-discrimination. 88% of our workforce have permanent contracts. Encouraging youth employment through recruitment and internship programmes. Almost a third of our workforce is under 35. Having occupational health and safety management systems at all the company's factories. We set the target of reducing the accident rate by 50% with respect to 2030. Maintaining public-private partnerships with universities to carry out projects that contribute to sustainable economic growth.

2023 highlights

- Although in 2023 there was an increase of 0.5% in the group's average workforce, at year-end 2023 there was a decrease of 3.2% compared to year-end 2022.

- The percentage of women in managerial positions continues to increase, rising to 22.4%, although it is still far from the 30% target for 2030.
- The Group's accident rate has decreased from 0.26% in 2022 to 0.14% in 2023, as a result of the company's efforts to reduce workplace accidents and the deployment of safety plans and campaigns in different subsidiaries.

Human team

Viscofan is made up of a large team of professionals in 22 countries where the company is present, reflecting its marked international character. A multicultural, competitive, qualified team in constant training, which shares solid values and ethical principles, despite having different cultures. In short, a rich and complex multicultural environment, which is both a challenge and an opportunity for the international development for all employees.

People

The average workforce in 2023 was 5,346 employees, an increase of 0.5% (29 employees) on the average workforce reported in the previous year. Of this workforce, 3,797 are men (3,783 in 2022) and 1,549 are women (1,534 in 2022).

At 2023 year-end, the workforce comprised 5,332 employees (3.2% less than the workforce at 2022 year-end), of which 3,761 are men (3,899 in 2022) and 1,571 women (1,611 in 2022).

The breakdown of the average workforce by country and their coverage by collective agreements is as follows:

	2023				2022			
Breakdown of the average workforce by country	Men	Women	TOTAL	% covered by agreement	Men	Women	TOTAL	% covered by agreement
Spain	691	253	944	65%	689	252	941	66%
Czech Republic	358	259	618	100%	374	294	668	100%
Serbia	430	243	673	100%	437	237	674	100%
Germany	487	82	569	81%	484	80	564	81%
China	217	151	368	0%	227	151	378	0%
Australia	62	23	86	34%	57	17	74	39%
Belgium	59	13	72	100%	59	12	71	100%
France	7	6	13	100%	7	7	14	100%
United kingdom	10	2	12	0%	10	2	12	0%

Thailand	7	11	18	0%	6	9	15	0%
New Zealand	4	3	7	0%	4	3	7	0%
Russia	4	2	6	0%	4	2	6	0%
Japan	1	0	1	0%	1	-	1	0%
India	0	1	1	0%	-	1	1	0%
Europe and Asia	2,336	1,050	3,386	73%	2,359	1,067	3,427	74%
US	436	186	622	36%	436	170	606	48%
Mexico	537	118	654	69%	521	115	635	73%
Canada	42	16	57	0%	38	16	54	0%
North America	1,015	319	1,334	51%	995	301	1,296	59%
Brazil	370	156	526	100%	355	145	500	100%
Uruguay	71	16	87	95%	68	13	81	95%
Costa Rica	6	8	14	0%	6	8	14	0%
Latin America	447	180	626	97%	429	166	595	97%
TOTAL	3,797	1,549	5,346	70%	3,783	1,533	5,317	73%

As part of Viscofan's internationalisation strategy, every year various initiatives are implemented in the area of international mobility to strengthen the exchange of the Group's best practices to all subsidiaries through benchmarking. In fact, there are numerous projects to share knowledge between the various production plants, and to develop specific global training seminars for Group workers.

International mobility within the Group remained stable, with an average of 33 employees that participated in international projects and which were posted abroad for a long duration (34 in 2022). Likewise, short trips were adapted to the travel guidelines and the travel restrictions imposed by the company. Faced with this scenario, Viscofan reinforced investment in technology and new digital tools to overcome the travel restrictions and to reduce the risk and the economic and environmental costs associated therewith.

In this regard, it should be noted that 59% of the top local managers in the countries where Viscofan has a production or commercial company are recruited from the local community, i.e. they were born in the country where they hold their position.

Age

The team combines young talent and experience. The average age of the staff is 42 years. Of the total of the average workforce, 31% are people under 35 years old, 43% are between 35 and 50 years old, and 26% are over 50 years old.

	2023			2022		
Breakdown of the average workforce by age	Men	Women	Total	Men	Women	Total
17 - 34 years	1,177	505	1,682	1,199	516	1,715
35 - 50 years	1,572	725	2,297	1,557	705	2,262
More than 50 years	1,048	319	1,367	1,027	313	1,340
TOTAL	3,797	1,549	5,346	3,783	1,534	5,317

	2023			2022		
Average workforce by age and type of contract	Permanent contract	Temporary contract	TOTAL	Permanent contract	Temporary contract	TOTAL
17 - 34 years	1,407	275	1,682	1,314	401	1,715
35 - 50 years	2,134	163	2,297	2,062	200	2,262
More than 50 years	1,323	44	1,367	1,296	45	1,340
TOTAL	4,864	482	5,346	4,672	645	5,317

Likewise, in line with the rules of the International Labour Organisation that appear in the Conventions 138 and 182 on child labour, Viscofan does not employ children under 14.

Hiring and professional category

Our business model has a marked industrial nature: 51.5% of those working at Viscofan are operators and 17% are specialised personnel. Within this industrial context, Viscofan is committed to stable quality employment, and 91% of the workforce have permanent contracts and 98.5% are full-time workers.

	2023			2022		
Average workforce. Type of contract	Men	Women	TOTAL	Men	Women	Total
Permanent contract	3,499	1,365	4,864	3,372	1,300	4,672
Temporary contract	298	184	482	411	234	645
TOTAL	3,797	1,549	5,346	3,783	1,534	5,317

	2023			2022		
Average workforce. Type of working day	Men	Women	TOTAL	Men	Women	Total
Full time contract	3,746	1,522	5,268	3,749	1,505	5,254
Part time contract	51	27	78	34	29	63

TOTAL	3,797	1,549	5,346	3,783	1,534	5,317

	2023			2022		
Average workforce by category	Men	Women	TOTAL	Men	Women	TOTAL
Management	101	29	130	107	26	133
Technicians and department heads	944	360	1,304	932	357	1,289
Administrative personnel	54	187	241	54	178	232
Specialised personnel	692	224	916	699	230	929
Workers	2,006	749	2,755	1,991	743	2,734
TOTAL	3,797	1,549	5,346	3,783	1,534	5,317

	2023			2022		
Average workforce by category and type of contract	Permanent contract	Temporary contract	TOTAL	Permanent contract	Temporary contract	TOTAL
Management	129	1	130	132	1	133
Technicians and department heads	1,247	57	1,304	1,213	76	1,289
Administrative personnel	217	23	240	207	25	232
Specialised personnel	829	87	916	823	106	929
Workers	2,442	314	2,756	2,297	437	2,734
TOTAL	4,864	482	5,346	4,672	645	5,317

	2023			2022		
Average workforce by category and part-time	Men	Women	TOTAL	Men	Women	TOTAL
Management	2	0	2	1	-	1
Technicians and department heads	13	6	19	10	6	16
Administrative personnel	1	8	9	2	8	10
Specialised personnel	15	6	21	4	6	10
Workers	21	6	27	17	9	26
TOTAL	51	27	78	34	29	63

Average workforce by age and part-time	2023			2022		
	Men	Women	TOTAL	Men	Women	TOTAL
17 - 34 years	11	7	18	7	8	15
35 - 50 years	12	8	20	7	7	14
More than 50 years	27	13	40	20	14	34
TOTAL	50	28	78	34	29	63

In a growing group, talent management policies such as selection and recruitment, training and career development are key to ensuring leadership continuity. In this regard, these areas are being promoted, with the updating of talent management policies and the development of internal employee communication channels (People channel) through which employees can access the company's job offers. Likewise, the attraction of talent is promoted through various Employer Branding activities, including the promotion of relations with different educational centres and the offer of internships at international level, for which the Viscofan Global Graduate Program was created in 2022.

Viscofan aspires to be a company where the talent of its employees can develop and reach the highest level. In 2023, Viscofan was recognised by Institutional Investor, in its Developed Europe Executive Team awards, as Best Investor Relations (IR) Professional and Best Investor Relations Team, within the Small/Mid Cap category of the Paper & Packaging sector. It was also mentioned in the top 3 for Best IR and ESG Programmes. In the All Caps category of the same sector, Viscofan came second in the awards for Best Investor Relations Professional and Best Investor Relations Team and came third in the awards for Best IR Programme.

Also, Viscofan has 1,134 employees with university degrees (1,137 in 2022), of which 45 had a doctorate (44 employees in 2022). A very high level of training that demonstrates Viscofan's rigorousness and the means used to achieve excellence in production and maintain the levels of innovation necessary in our activity.

Equality and work-life balance

Viscofan's employment environment enables the professional and personal development of all people that form part of the company, integrating them and allowing them to participate in the company's future regardless of their race, ethnic group, gender, sexual orientation, age, religion or nationality, among others.

The high percentage of men (71%) compared to women (29%) continues to be significant. A similar percentage to that of the companies in the sector.

Average workforce by gender and category	2023		2022	
	Men	Women	Men	Women
Management	77.6%	22.4%	80.4%	19.6%
Technicians and department heads	72.4%	27.6%	72.3%	27.7%
Administrative personnel	22.4%	77.6%	23.3%	76.7%
Specialised personnel	75.5%	24.5%	75.2%	24.8%
Workers	72.8%	27.2%	72.8%	27.2%
TOTAL	71.0%	29.0%	71.1%	28.9%

Commitment 2030: Promotion of female talent and professional development

Increasing the weight of the less represented gender is one of the challenges that we face, especially with respect to the retention, development and promotion of female talent. That is why we have set ourselves the target of 30% women in management by 2030.

Talent management identifies opportunities to incorporate the under-represented gender, both with internal and external candidates, in those positions that are foreseen in the future based on vacancies, growth opportunities or within the succession plan.

The trend in the objective is as follows:

Base 100 year 2018	2030 Commitment	2023	2022	2021	2020	2019	2018
Percentage of women in executive posts	30%	22.4%	19.6%	17.9%	14.8%	15.4%	15.6%

In 2021, the III Equality Plan for Viscofan SA and the I Equality Plan for Viscofan España SLU were approved, both with four-year terms (2021-2025), in which areas of improvement were detected, and different objectives were set to achieve equality and a work-life balance at the company, and the measures and/or actions were envisaged to obtain such balance in all the analysis areas detailed in RD 901/2020 which regulate the equality plans, as well as adding others that are considered fundamental to correctly develop and implement the plan and, in this regard, the Group has a negotiating committee charged with its promotion and follow-up.

This III Equality Plan of Viscofan SA is based on the evaluation of the previous plan, with an analysis of the actions performed and implemented or pending performance. Likewise, since the end of 2020, unbundled data was gathered by gender, in line with the new legal regulations, pursuant to RD 901/2020 and RD 902/2020 on remuneration equality, thereby including a remuneration audit.

To promote diversity, Viscofan works with special employment centres in Spain and in other countries to perform certain tasks that contribute to the development of our production activity. It also employs people with disabilities. It also employs people with functional diversity. The breakdown of this heading is as follows:

	2023			2022		
	Men	Women	TOTAL	Men	Women	TOTAL
Number of employees with functional diversity	60	6	66	65	6	71

Furthermore, in the area of equality, Viscofan has joined the CEO alliance for Diversity, a pioneering initiative in Europe, in which a total of 91 male and female executives have participated in the whole of Spain. Following the mission of uniting the CEOs of the main companies around a common innovative vision of diversity, equity and inclusion, acting as promoters and ambassadors that help to accelerate the development of strategies that contribute to business excellence, the competitiveness of talent in Spain and the reduction of inequality and exclusion in the Spanish society. The participation of Viscofan in the alliance involves its presence at meetings and symposiums, all in line with the commitment of going into depth in our policies and strategies of diversity, equity and inclusion, seeking synergies among different member companies.

In addition, the Viscofan Group participates as a collaborating entity and a member of the Management Committee of the Observatory of Conciliation and Joint Responsibility of Universidad Pontificia de Comillas.

Viscofan's work centres contribute to human development, basing themselves on a culture and shared values, and where they offer conditions that facilitate collective talent, the exchange of ideas, innovation, contrasted opinions and shared initiatives.

The executive Sustainability Committee has analysed the tendency of the workforce by gender, monitoring the universal leave for the birth of children and the death of spouses and children, even in countries whose legislation does not provide for this, and no work disconnection policies were envisaged.

Employment and remuneration

Workers are a key part of the Viscofan Group's success and leadership. Their constantly evolving commitment and work and improvement represent a clear competitive advantage for the Group.

In 2023, the workforce increased very slightly and improvements in efficiency and productivity allowed us to improve the revenue per employee ratio.

	2023	2022	2021
Average workforce	5,346	5,317	5,083
Revenue in Mn €	1,226	1,201	969
Revenue per employee (thousands of €)	229.3	225.9	190.7

The average workforce increased by 0.5% in 2023 as opposed to 2022, situating the net variation in employment[1] at 29 people. The net variation in employment by category, gender and age is broken down as follows:

	2023			2022		
Net change in employment Breakdown by age	Men	Women	TOTAL	Men	Women	TOTAL
17 - 34 years	-22	-11	-33	100	17	117
35 - 50 years	15	20	35	75	40	115
More than 50 years	21	6	27	-4	6	2
TOTAL	15	15	29	171	63	234

[1] The net variation in employment is calculated as the difference between the 2022 average workforce and the 2021 average workforce.

Net change in employment Breakdown by category	2023			2022		
	Men	Women	TOTAL	Men	Women	TOTAL
Management	-6	3	-3	6	4	10.
Technicians and Department Heads	12	3	14	36	16	52
Administrative personnel	0	9	9	-3	2	-1
Specialised personnel	-7	-6	-13	29	1	30
Workers	16	6	22	103	40	143
TOTAL	15	15	29	171	63	234

The importance of these stakeholders - the employees - can be seen in the generated and distributed value table. In 2023, employees received €231 million of the total value generated by the Group (€236 million in 2022).

The necessary training in the production process, the strategies for creating long-term value, and the high level of commitment of the people who make up our team are reflected in the voluntary redundancy rate of the average workforce for 2023, which stands at 3.13% (3.5% in 2022).

The Group's business activity requires adapting to various market needs in the different locations, under criteria of competitiveness and efficiency, which in some cases, requires workforce reductions.

The breakdown of average layoffs was 31% higher than in 2022. The subsidiaries that recorded the most average layoffs are: Brazil (22), USA (43), Czech Republic (12), Mexico (31) and Canada (10).

Average workforce layoffs by category	2023			2022		
	Men	Women	TOTAL	Men	Women	TOTAL
Management	1	0	1	2	0	2
Technicians and Department Heads	12	3	15	9	7	17
Administrative personnel	1	3	5	1	3	4
Specialised personnel	11	4	15	11	4	15
Workers	65	34	99	52	13	66
TOTAL	91	44	135	76	27	103

Average number of layoffs by age	2023			2022		
	Men	Women	TOTAL	Men	Women	TOTAL
17 - 34 years	49	16	66	44	11	55
35 - 50 years	27	21	48	21	11	32
More than 50 years	15	6	21	11	5	16
TOTAL	91	44	135	76	27	103

Average number of layoffs by gender	2023	2022
Men	91	76

Women	44	27
TOTAL	135	103

Remuneration

The contracting policy of the Viscofan Group is based on objectivity, equal opportunities and training, and one of its aims is to favour gender diversity, among other aspects. This implies competitive remuneration, adapted to the capacities and competences of the different profiles required according to the industrial or commercial process, and also according to the realities of the multitude of countries in which Viscofan is present.

Average annualised gross remuneration[2] expressed in euro per category and age is as follows:

Average remuneration (€)	2023	2022
Management *	147,163	219,816
Technicians and Department Heads	51,965	51,196
Administrative personnel	35,647	33,488
Specialised personnel	29,717	27,836
Workers	29,092	27,138
TOTAL	**37,002**	**36,805**

**Excludes executive directors' remuneration in 2023 and 2022*

Average remuneration (€)	2023	2022
17 - 34 years	28,490	25,848
35 - 50 years	34,019	33,999
More than 50 years	54,576	59,254
TOTAL	**37,002**	**36,805**

The average remuneration increases by 0.5% with remuneration increases in all categories due to inflation. There was an exception with directors, whose remuneration decreases by 33% due to the receipt of the three-year bonus linked to the achievement of long-term objectives in 2022.

Minimum wage paid in the country vs the legal minimum wage in the country:

Minimum wage paid in the country vs legal minimum wage in the country (% difference over minimum wage)	
Spain	107%
Czech Republic	0%
Germany	53%
Serbia	4%
Belgium	20%
United kingdom	0%
France	0%
Russia	1156%
China	5%

[2] Gross remuneration excludes remuneration to executive directors, expatriates and those who cannot be standardised in an annual remuneration because of their special nature.

Thailand	145%
Australia	3%
New Zealand	14%
Canada	0%
US	37%
Mexico	13%
Brazil	80%
Uruguay	18%
Costa Rica	56%
Japan	572%
India	1219%

Within the area of remuneration, 70% of the company's employees are covered by general collective bargaining agreements, therefore improving the minimum conditions set by the different employment legislation. Collective Bargaining Agreements regulate the remuneration received by the workers who sign them, and in particular establish criteria of equity between similar jobs, thus avoiding gender discrimination and the wage gap between equivalent jobs. The Group's average remuneration is €37,002 (€36,805 in 2022): €40,125 for men (€40,215 in 2022) and €29,545 for women (€28,525 in 2022). This difference in average remuneration corresponds to a multitude of factors, from the gender composition of the Group, to its geographical presence, the different distribution of jobs, their level of specialisation, the night shifts for a continuous production process of 24 hours, danger and seniority bonuses, etc., which are in line with the industrial context, the composition of the workforce and the history of the Viscofan Group.

In order to be able to carry out internal monitoring of possible gender-based pay differentials, the guidelines of the job evaluation project carried out in Spain in 2021 have been followed, with the aim of identifying comparable grades, i.e. those which, due to the nature of the functions or tasks effectively entrusted, the educational, professional or training conditions required for their exercise, the factors strictly related to their performance and the conditions in which these activities are carried out, are equivalent. This analysis was performed with the help of the consultant Willis Tower Watson, which enabled up to 21 equivalent degrees to be identified within Viscofan.

Based on this experience, the equivalent in degrees was analysed internally for all the companies included in the scope of consolidation. Hence, the remuneration by degrees and gender was analysed in the different towns, to identify salary gaps, understood to be the difference between the fixed salaries of men and women with respect to the fixed salary of men in each of its degrees. Based on this analysis, the Sustainability Committee can monitor the performance of this indicator in the most significant degrees and therefore be able to establish the measures for its improvement.

The result of this analysis is summarised in the salary gaps per country, understood to be the weighted average of the remuneration differences between the salary of men and women with respect to all female employees of that country:

	2023	**2022**	**2021**	**2020**
Germany	14.5%	11.0%	7.3%	14.2%

Australia	8.5%	7.8%	2.7%	7.8%
Belgium	0.6%	0.0%	-1.9%	2.1%
Brazil*	17.1%	12.7%	16.3%	34.1%
Canada*	-2.3%	1.2%	12.7%	13.7%
China	12.9%	10.8%	6.8%	17.0%
Costa Rica	4.5%	-84.5%	-2.7%	-27.2%
CZ	11.3%	9.3%	11.9%	15.0%
Spain	9.7%	8.8%	11.2%	9.9%
France	3.6%	1.3%	6.0%	11.9%
Mexico*	7.3%	6.9%	15.6%	3.3%
New Zealand	-1.2%	4.8%	-2.4%	19.9%
Russia	3.1%	4.3%	5.1%	3.3%
Serbia	6.4%	5.6%	2.6%	4.2%
Thailand	-8.0%	-16.1%	25.5%	24.0%
UK	-22.9%	-9.9%	-22.9%	-35.6%
Uruguay	13.2%	6.1%	5.1%	11.1%
US	22.2%	19.4%	12.6%	13.1%
India	N/A	N/A	N/A	N/A
Japan	N/A	N/A	N/A	N/A

* Excludes workplaces with a gender representation of less than 5%.

If we compare the last two years, the most significant changes in the wage gap have occurred in Costa Rica (4.5% in 2023 vs. -84.5% in 2022), New Zealand (-1.2% in 2023 vs. 4.8% in 2022), Thailand (-8.0% in 2023 vs. -16.1% in 2022), UK (-22.9% in 2023 vs. -9.9% in 2022) and Uruguay (13.2% in 2023 vs. 6.1% in 2022), in commercial branches with small staff sizes and individualised salary conditions. In addition, in order to provide comparable information, the table presented excludes from the calculation those centres where one of the two genders is under-represented (less than 5% of the workforce), which is the case in Brazil, Canada and Mexico.

The individual remuneration of all members of the Board of Directors is detailed in the Annual Report on Remuneration in section 4 of this Management Report.

Moreover, the Group makes contributions to various different defined benefit plans. The significant information is set forth in note 14 to the consolidated financial statements.

Professional development

We promote people's personal and professional development through different initiatives that allow us to manage knowledge and take advantage of employees' abilities to achieve the group's objectives.

Likewise, the industrial nature of Viscofan requires the combination of a large number of operators with specialised staff. This is an increasingly demanding and global industry in terms of requirements, which requires greater knowledge and expertise of the workforce. To take on this

challenge, the Group constantly invests in staff capabilities, added to the continuous training effort carried out in the organisation.

Continuous training is one of Viscofan's primordial goals for its personnel, thereby boosting personal and professional development. The methodology has changed, with training through e-learning platforms, both at corporate and local level, which have allowed continuity to be given to training activities that could not be given face-to-face. Over the past year, work has been carried out on the development of Viscoacademy, with the aim of housing all the group's training on a single platform, thus promoting knowledge sharing.

As part of this continuous training, 2022 saw the start of the global roll-out of the Leadership Programme, an education and training programme aimed at establishing a common leadership model in the Group, aligned with the company's values. In 2023, this programme has continued, with more sessions being held in Spain, the USA and China, as well as at corporate level. In these sessions, training has been provided in skills such as: Viscofan DNA, constructive feedback, communication with the manager, and teamwork.

For management levels, the Operational Leadership Programme has been developed. It started in November 2023 in Spain, and is expected to be deployed in the rest of the subsidiaries during 2024. This programme addresses people management from a more day-to-day point of view: the Viscofan leadership style, performance management and communication styles, among other topics.

In 2023, the Transversal Leadership Programme, launched in 2022, continued at corporate level. This programme is aimed at people who, although they do not have a hierarchical team, need to drive and manage people in the organisation to achieve the desired objectives, mainly with regard to cross-cutting projects.

For all this commitment to human capital training, the group has invested €1.34 million (€1.35 million in 2022), of which €0.26 million (€0.26 million in 2022) correspond to training and explicit awareness in health and safety (more information in the workplace safety section).

	2023			2022		
Training	Men	Women	Total	Men	Women	Total
Number of hours	55,817	25,984	81,801	43,221	24,496	67,717
Average number of hours per employee	14.7	16.8	15.3	11.4	16.0	12.7
% of employees who have received training	93.2%	92.7%	93.0%	93.9%	95.1%	94.3%

Within the training plan, subjects related to aspects of human rights have been addressed, such as the use of non-sexist language, corporate social responsibility, gender equality and sexual harassment, for a total of 2,585 hours, compared to the 3,539 hours invested in 2022.

The number of training hours by category are broken down as follows:

	2023			2022		
Average workforce redundancies.	Men	Women	Total	Men	Women	Total

Breakdown by category						
Management	1,626	1,106	2,732	1,581	997	2,578
Technicians and Department Heads	19,136	8,978	28,114	17,664	10,160	27,825
Administrative personnel	1,064	3,955	5,019	654	3,972	4,626
Specialised personnel	11,300	6,109	17,410	6,937	4,561	11,497
Workers	22,692	5,834	28,526	16,385	4,806	21,191
TOTAL	55,818	25,983	81,801	43,221	24,496	67,718

The total number of hours dedicated to training reported in 2023 has increased by 21% compared to the previous year, highlighting the increase in training for specialised personnel and operators.

Facilitating training is one of the most effective measures to encourage professional development within the Group. The new processes and vacancies at Viscofan are notified internally so that the people that wish to can set themselves new challenges and goals at the company itself, strengthening and preserving the talent of the human team.

Looking towards promoting employment, the Group also fosters participation in the main universities of the countries in which it carries on its activities. Within the objective of attracting and developing talent, in 2022, there were an average of 40 internships (44 in 2022).

In 2023, 45% of the Group's staff was subject to a performance assessment process, compared with 44% in the previous year. The breakdown by gender and professional category is as follows:

	2023				2022			
Performance assessment	Men	Women	TOTAL	% average workforce	Men	Women	TOTAL	% average workforce
Management	100	30	130	100%	98	23	122	92%
Technicians and Department Heads	542	231	773	59%	605	218	823	64%
Administrative personnel	17	78	95	39%	28	87	115	49%
Specialised personnel	285	126	411	45%	220	102	322	35%
Workers	657	319	976	35%	660	294	954	35%
TOTAL	1,601	784	2,385	45%	1,611	724	2,335	44%

In line with the development of a high-performance culture, in 2023, Viscofan continued to work on a more digital and collaborative workspace in the whole Group, the Modern Workspace, through the implantation of innovative solutions that adapt to the different user profiles at Viscofan

(personnel at offices, at the factory or commuting), and which will enable the teams to work more effectively thanks to the adoption of new tools, platforms and work methodologies.

Occupational safety

Viscofan works with the belief that it is possible to avoid all occupational accidents. Hence, it not only ensures that its facilities are safer, but also that its staff throughout the whole Group are aware of the fundamental importance of safety issues. A reality that has also been latent in 2023, due to the urgent need to protect the teams at all locations at which Viscofan is present and to ensure strict compliance with the prevailing safety measures with respect to COVID-19.

Corporate workplace safety policies are overseen by the Operational Sustainability department, in close collaboration with the corporate and local Human Resources departments. To a large extent, this coordination has enabled the immediate application at all subsidiaries of the safety measures and protocols necessary at all times among the workforce, which has permitted Viscofan to maintain its production activities at its factories.

It has boosted measures and investments to improve the employment conditions of our workers and to obtain reliable and consistent indicators to measure and compare performance in the various countries in which the Group operates. The best health and safety practices are thereby extended to the production centres.

In 2022, several improvements were made in the field of occupational health and safety and these have continued to be made in 2023: implementation of fire protection projects in Pando (Uruguay), Weinheim (Germany) and České Budějovice (Czech Republic); renewal of pleating machines in the group, including safety improvements. In addition, the investigation of any incidents and the drawing of lessons for dissemination to the rest of the group is encouraged through monthly meetings of the corporate Operational Sustainability department with all subsidiaries.

For Viscofan, the material aspects that affect safety are essentially based on the characteristics of the position and the activities that are required. This explains the constant effort of Viscofan to standardise procedures and distribute them among the workforce with regard to the company's safety policy, providing workers in this regard with specific courses and information in their areas of work.

In order to carry out these initiatives, the Group has an Occupational Health and Safety policy which establishes the following relevant guidelines:

- Provide employees with a safe and healthy workplace.
- Identify and comply with applicable legislation and regulation in terms of Environment, Health and Safety (EHS) in each of the locations where the group does business, and any other voluntarily-acquired commitments of Viscofan to improve these areas.
- Ensure that management, employees and all staff working for the organisation (or on its behalf) are aware of this policy and are trained, according to their responsibilities, to comply with it.

Alongside this, certain specifications are determined within the collective bargaining agreements of the different locations in which the Viscofan Group is present in matters related to health and safety. In turn, the participation of employees in health and safety matters is

guaranteed at all factories through health and safety committees (in which the company's risk prevention procedures are regularly and frequently consulted), suggestion boxes, as well as other communication channels established.

The performance of the health and safety indicators of the Viscofan Group is as follows:

	2023	2022	2021
Hours lost per accident	14,924	25,014	18,278

	2023			2022		
	Men	Women	Total	Men	Women	Total
Number of accidents	85	20	105	107	30	137
Occupational diseases	5	0	5	5	0	5
Accident rate[1]	0.16%	0.10%	0.14%	0.28%	0.21%	0.26%
Severity index[2]	0.20	0.13	0.18	0.34	0.26	0.32
Occupational accidents Frequency [3]	11.3	6.6	10.	15.9	9.3	14.1.
Absenteeism rate [4]	4.19%	4.43%	4.26%	4.83%	5.14%	4.92%

1. Hours lost per accident/Hours worked
2. Number of equivalent days lost per accident per thousand hours worked
3. Number of accidents per million hours worked
4. Hours lost per illness or accident/Total hours worked

In 2022, the accident rate criteria were revised and standardised across the Group, indicating those occurring at the workplace and excluding those occurring in itinere and occupational illnesses. In 2023, the same criteria established in 2022 will be maintained.

In 2023, accidents in the group have decreased (105 in 2023 vs. 137 in 2022), as well as their severity, with a severity index of 0.18 (compared to 0.32 registered in 2022). The accident rate decreased by 0.12 p.p. compared to 2022. The number of occupational diseases remained the same as in 2022, with 5 cases.

Reducing the accident rate is one of Viscofan's priority objectives in the field of health and safety, which is why it has set itself the target of reducing the accident rate by 50% by 2030. The variations in the ratio on a baseline of 100 for 2018 are as follows:

Base 100 year 2018	2030 Commitment	2023	2022	2021	2020	2019	2018
Accident rate	50	35	62	48	63	83	100

A reduction in the accident rate has also been set as an objective within the Long-Term Variable Remuneration Plan for Viscofan's senior management and key personnel, reflecting the number of hours lost due to accidents with respect to the total number of hours worked.

Training in accident prevention and about the importance of safe behaviour patterns is one of the cornerstones of health protection of our employees. This training includes basic prevention measures that have to be adopted in the workplace, or the importance of day-to-day heart-healthy habits, the role of middle-level management and the improvement of its leadership in safety. The breakdown of the number of hours of training in this area is as follows:

	2023			2022		
Health and Safety Training	Men	Women	Total	Men	Women	Total
Number of hours	17,067	3,470	20,537	14,039.	3,306.	17,345.
Average number of hours per employee	4.5.	2.2.	3.8.	3.7.	2.2.	3.3.
% of employees who have received training	79%	70%	76%	72%	70%	71%

In order to meet the organisation's occupational health and safety commitments as set out in the Group's policy, our plants operate Health and Safety Management Systems based on the guidelines issued by the corporate department and certified according to the ISO 45001 standard, the international benchmark for occupational safety management systems. Most of our plants are currently certified or have plans for certification in the short term (2024).

The details of the Group's factories that already have these certificates is as follows:

Country	Plant	Certified	
Spain	Cáseda	ISO 45001	Yes
	Urdiain	ISO 45001	Yes
Czech Republic	České Budějovice	ISO 45001	Yes
Germany	Weinheim	ISO 45001	Yes
Serbia	Novi Sad	ISO 45001	Yes
Belgium	Hasselt	ISO 45001	Yes
China	Suzhou extrusion	ISO 45001	Yes
	Suzhou converting	ISO 45001	Yes
US	Danville	*ISO 45001*	Planned for 2024
	Montgomery	*ISO 45001*	Yes
	New Jersey	*ISO 45001*	Planned for 2024
Mexico	San Luis	ISO 45001	Yes
	Zacapu	ISO 45001	Yes
Uruguay	Pando	ISO 45001	Yes

Brazil	Itu	ISO 45001	Yes
	Ermelino	ISO 45001	Yes

2.4.2. Taking care of the supply chain

With our products and global positioning we contribute to the nutrition and well-being of millions of people, which requires responsible management of the entire supply chain. From the selection of raw materials, the cooperation with our suppliers on efficiency, social and environmental challenges, to the relationship with our customers, helping them to meet the changing needs of consumers and solve their sustainability challenges, while facilitating food safety.

Material aspects

- Sustainable supply chain management
- Human rights
- Consumer health

Our commitment to the Sustainable Development Goals. Pillars of action

SDG 2. Zero hunger	We include in our portfolio products adapted to the standards of the Islamic religion (Halal) and to the standards of the Jewish religion (Kosher), taking into account the cultural particularities of our customers. We also manufacture products of vegetable origin for vegans and vegetarians. We design sustainable products that help to avoid food waste. Through our products, we provide more efficient and sustainable cold meats manufacturing processes, contributing in the long term to meeting the growing demand for food.
SDG 8. Decent work and economic growth	Through the Supplier Code of Conduct, Viscofan establishes a series of ethical, social and environmental commitments that all its suppliers must comply with.
SDG 12. Responsible consumption and production	Viscofan is committed to sustainability in the main raw materials used. Our production policy in proximity through a production presence of up to 19 factories, contributes to reducing the impact of transportation on the environment. We have food safety and quality certifications. We promote energy efficiency throughout the value chain, developing packaging that minimises waste generation - such as gas emissions and wastewater generation, among others - during manufacturing and the subsequent processing.

2023 highlights

- In a context of more moderate demand, caused by a decrease in inventories in the industry, Viscofan's strategy has been to adapt production in its plants to this market environment.
- In January 2022 the Board of Directors of Viscofan S.A. approved the Viscofan Code of Conduct for Suppliers and Intermediaries.
- In the Multi-Year Incentive Plan for the 2022-2024 period established for Viscofan's executive directors, managers and other key personnel, a target has been included for audits of compliance with Viscofan's Supplier Code of Conduct in the volume equivalent to 50% of purchases from suppliers of cellulose, collagen skins, cellulose paper and polyamide suppliers.
- 100% of our production plants are certified by the Global Food Safety Initiative (GFSI). In addition, 76% of the production plants have obtained the maximum mark (AA) on the BRCGS food safety certificate.

Supplier relations

Viscofan expects suppliers to comply with applicable laws and to follow recognised environmental, social and governance standards. The Group also makes a global commitment to its suppliers and establishes relationships with them based on respect and trust, and on the quality of products and services,

As a result of this objective and commitment, Viscofan has implemented outstanding elements in supplier management:

Codes and policies:

Supplier Code of Conduct: approved in 2022 by the Board of Directors, seeks to extend Viscofan's culture to suppliers of goods or services in terms of compliance with applicable laws and generally accepted standards, ethical behaviour, labour practices, the environment, the legality of goods and raw materials, and respect for the communities in which they operate.

Implicit acceptance of the code is included in the Group's general purchasing conditions, which are sent with each purchase order and invoice.

Sustainability Policy: this establishes commitments and actions for the responsible management of the supply chain from the point of view of human rights, respect for the environment and the fight against climate change.

Code of Conduct and Human Rights Policy: Viscofan rejects any type of child labour and, in accordance with this, a commitment similar to that included in our code of ethics is requested from suppliers.

Anti-Corruption Policy: which includes the company's commitment to fight against bribery and corruption, and establishes the dealings and commercial relationship with third parties.

Ethical channel Integrity line: the Internal Information System policy and the Information Management Procedure, which regulate how the Ethical Channel Integrity Line operates, have been approved in accordance with the highest standards of whistleblower protection and current legislation. It allows complaints to be the lodged anonymously and is open to third parties so that any supplier or potential supplier can report facts or situations that may be contrary to the code

of conduct or current legislation through the channel enabled for this purpose on the corporate website, on its home page, in a separate and easily identifiable section.

Selection and approval

Viscofan has established a supplier approval system that ensures non-discriminatory treatment in the selection processes of suppliers and contractors, while seeking to ensure their compliance with quality, safety and cost criteria.

In particular, the system for suppliers of raw materials and packaging includes a declaration of conformity with their performance commitments, in accordance with internationally accepted ethical principles and human rights.

Moreover, all suppliers of raw materials, packaging and maintenance must approve an internal approval procedure consisting of a verification, either in person or through the completion of a questionnaire. In both cases, among other matters, the following systems are assessed: quality management (ISO 9001, IFS), food safety management in the case of raw material suppliers (FSSC 22000, BRCGS Food Safety, BRCGS Packaging Materials), occupational health and safety management (OHSAS 18001/ISO 45001), environmental management (ISO 14001), energy management (ISO 50001) and human rights management (UN Global Compact, BSCI). In the specific instance of collagen, the acquisition of animal hide (mainly cows) is required. In Europe this must comply with the European regulations of welfare of animals at the time of slaughter.

Commitment to verification and compliance with the Supplier Code of Conduct

As part of the new 2022-2025 Sustainability Action Plan and on the basis of the Supplier Code of Conduct, a commitment has been made to conduct audits of compliance with the Code.

In this respect, within the multi-year incentive plan for the 2022-2024 period for Viscofan's executive directors, managers and other key personnel, the objective has been set to carry out audits on compliance with Viscofan's Supplier Code of Conduct in 2024 on a volume equivalent to 50% of purchases from suppliers of cellulose, collagen skins, cellulose paper and polyamide suppliers. This target has been extended to 100% by 2030.

Value creation and local suppliers

In addition, the Viscofan Group's activities in the countries in which it operates are geared towards value creation for all stakeholders, including suppliers. Thus, in 2022, the company allocated €745.1 million to reflect the distribution of value to suppliers of goods and services, and 53% of raw materials were purchased from local suppliers[3] (52% in 2022), which favours the economic development of the communities in which Viscofan is present.

Average Payment Period - Reporting Requirements in Spain

The payment period for the Viscofan Group during 2023 was 21 days (2022: 24 days), which is lower than the maximum established by payment arrears regulations.

Likewise, the monetary volume and number of invoices paid in a period lower than the maximum established in the late payment regulations and the percentage that they represent of

[3] *Local suppliers are understood as those with a tax domicile in the same country where Viscofan makes the purchase.*

the total number of invoices and of the total monetary payments to suppliers is detailed in note 15 of the Consolidated Annual Report.

Helping our customers grow

Our casings facilitate access to basic food to the world's population, achieve greater efficiency in production, following strict quality and food safety controls, and clarity in labelling. Listening to the customer is key to meeting these demands in order to offer them the most suitable product and to promote them in order to achieve a more sustainable industry.

Product safety and food hygiene

In order to guarantee the excellence of products and services for both customers and for the end consumer at all times, Viscofan has a food safety system that covers all of these aspects: production facilities are built to comply with food safety regulations, employees are trained in food hygiene and product safety, raw materials are tested for compliance with specifications previously agreed with certified suppliers, systems are in place to detect defective materials in the production system, and action protocols in the event of a food safety crisis, pest control, control of hazardous substances, personal hygiene and visitor policies are all in place.

These protocols configuring our product food safety and quality system are based on the following core principles:

Hazard analysis and critical control point. Viscofan has a hazard analysis and critical control point (HACCP) system in place. Hence, an inter-disciplinary team assesses every step of the production process to detect possible hazards (physical, chemical and microbiological pollution, including allergens), identify critical control points, establish relevant controls and take any required corrective action. The system is annually updated in line with any changes in the production process.

Compliance with applicable legislation. The production of casings is increasingly regulated in the area of food safety by countries and supranational institutions, creating a growing and constantly changing battery of rules. This regulatory framework directly affects the activity of different production plants due to laws in the country of origin and requirements in the receiving countries, and internationally recognised standards. For this work it has a specific department of Patents and Regulatory Affairs.

Product traceability and certification. Viscofan operates a product traceability system that enables us to identify, at any time and in full detail, the history of every unit and even sub-unit sold, from receipt of raw materials to product use by our customers. In Europe, Viscofan fully implements a food traceability system under Regulation (CE) 178/2002.

Audit and certification. To ensure that our product safety and food hygiene systems comply with requirements, our production processes are audited internally on a regular basis. Our production facilities are also continuously audited by the health authorities, numerous customers and certification authorities. In this regard, all the Group's plants are Global Food Safety Initiative (GFSI) certified, which is an initiative of key food industry partners working together to drive continuous improvement in food safety management systems around the world.

Viscofan also has internationally recognised certifications for meat processors to approve their suppliers and market their products in the world's main distribution chains, and as part of its commitment to food safety and hygiene, it seeks to improve on the marks obtained with these certificates. This effort and commitment has paid off in 2023, with 76% of the plants obtaining the

maximum (AA) rating in the BRCGS food safety certificate, a considerable improvement compared to 45% five years ago.

Certificates that prove the organisation's commitment to product safety, health and quality at its work centres as well as in all the activities carried out around the world are shown below:

Country	Plant	Certifications Food safety	Quality
Spain	Cáseda	BRCGS Packaging Materials BRCGS Food Safety	ISO 9001
	Urdiain	BRCGS Packaging Materials	
Czech Republic	České Budějovice	BRCGS Packaging Materials BRCGS Food Safety	ISO 9001
Germany	Weinheim	BRCGS Food Safety	ISO 9001 ISO13485
	Alfhausen	BRCGS Packaging Materials	ISO 9001
Serbia	Novi Sad	BRCGS Packaging Materials BRCGS Food Safety	ISO 9001
Belgium	Hasselt	BRCGS Packaging Materials	ISO 9001
China	Suzhou	BRCGS Packaging Materials BRCGS Food Safety	ISO 9001
Canada	Montreal Moncton	BRCGS Packaging Materials BRCGS Food Safety	
US	Danville	BRCGS Packaging Materials	ISO 9001
	Montgomery	BRCGS Packaging Materials BRCGS Food Safety	ISO 9001
	New Jersey	FSSC 22000	ISO 9001
Mexico	San Luis	BRCGS Packaging Materials	ISO 9001
	Zacapu	BRCGS Packaging Materials	ISO 9001
Uruguay	Pando	BRCGS Food Safety	ISO 9001
Brazil	Itu	BRCGS Packaging Materials BRCGS Food Safety	ISO 9001
	Ermelino	BRCGS Packaging Materials	
Australia	Sidney	FSSC 22000	ISO 9001

The Viscofan Group is also Halal and Kosher certified. These certifications, referring to food products, are based on regulations that are key to servicing different markets and exploring new growth opportunities. The Halal certification is specifically designed for products sold in Muslim countries and Islamic communities, while the Kosher certification is a requirement for food consumption by the Jewish community.

In addition, within the New Business division, the Weinheim (Germany) plant has a Bioengineering unit with DIN ISO 9001 quality control certificates for the industrial production of collagen-based biomaterials and EN ISO 13485 for medical grade collagen products.

Customer satisfaction

In 2023, Viscofan has maintained its excellence in customer service and care, supported by an ample geographical positioning that enables greater proximity and an extensive product portfolio. Customer satisfaction is, along with service quality and product safety, a fundamental objective for Viscofan. A commitment backed by what is reflected in an estimated 22% market share that has placed their trust in our products in 2023.

In this regard, the sales team has a satisfaction evaluation system that allows it to directly obtain customers' opinions by measuring mainly four parameters (product quality, delivery service, economic competitiveness and technical assistance). In the latest global customer satisfaction survey, conducted in 2023 with 2022 sales data, a total of 322 questionnaires were sent and the result gave a satisfaction rate of 80%.

Likewise, Viscofan has a very comprehensive integrated complaints and claims system that facilitates dialogue and communication to record, identify, follow up and analyse any notification of dissatisfaction with the product or service provided by the Viscofan Group to its customers. It is a system of cross-sectional, continuous improvement in which the departments involved must analyse the cause of the dissatisfaction and provide the corrective actions that will be established in the organisation to avoid its repetition. Any dissatisfaction is analysed, making it possible to control both the material that is returned as a result of the complaints and compensations paid to customers.

In 2023, a total of 3,903 complaints[4] were registered in our systems, including both service and administrative or product complaints, compared to 3,927 complaints in the previous year, and none were registered regarding customer data protection.

In addition, the Code of Conduct of the Viscofan Group establishes that “relationships with customers will be based on respect and transparency”. Therefore, commercial messages fall within principles of transparency and veracity where no subjective comparisons are made nor is information given when it conflicts with third-party rights. These procedural policies extend to all geographical areas where the Viscofan Group has a commercial presence.

In 2023, no penalties or complaints were filed for breaches relating to marketing notices or to the labelling of products and services, nor were there any incidents related to violations of customer privacy or the loss of data.

Sales team and technical assistance service

Viscofan has the largest commercial network in the industry and the level of service of its technicians is widely recognised throughout the market. As experts in artificial casings, we are the only company in the sector that has its own technology in the main families of casings and therefore offers a global and integrated service to customers, providing the casing option that best suits their needs.

Viscofan offers customers a Technical Support service, which is a competitive advantage and of great help to customers when deciding, from the wide range of casings, which one is adequate for the needs of each product. This work is of growing importance because our customers are not divided by technology, but rather they use various technologies for different products, depending on the degree of sophistication of the meat processor.

[4] *Does not include those third-party products converted and distributed by Viscofan Globus Australia and New Zealand*

2.4.3. Local communities

In its Sustainability policy, the Viscofan Group has a firm commitment to Human Rights, undertaking to carry out its activities in a responsible manner and to generate positive impacts on the communities in which it operates. In this regard, in 2023, Viscofan implemented different social initiatives through the help of different bodies and institutions in the communities in which it is present, while collaborating with institutions or research centres.

Material aspects
• Human rights • Local communities

Our commitment to Sustainable Development Goals. Pillars of action	
SDG 2. Zero hunger	Donations to NGOs to fight hunger, especially in the context of the crisis generated by COVID-19 Development of specific products to combat malnutrition.
SDG 3. Good health and well-being	Grants for the improvement of health facilities and equipment in hospitals, senior citizens' centres, paediatric centres and centres for the care of people with functional diversity. R&D&i seeking solutions based on our knowledge for the development of Advanced Therapies in our Bioengineering division and food supplement products.
SDG 8. Decent work and economic growth	Working towards full, productive and decent employment for people with disabilities. Promote the formation and growth of microenterprises and SMEs for the creation of decent jobs. Support for public institutions in projects to promote local industry.

Commitment to our communities

The human rights principles and standards set out in the Agenda 2030 for Sustainable Development encompass a wide range of social, economic and environmental objectives. Our of all of these, Viscofan has identified the Sustainable Development Goals (SDGs) where the company can generate the greatest positive impact, and to do so it has taken into account both the nature of its business activity and the corporate mission and vision.

The description of Viscofan's priority SDGs can be found in section 2.1.2 Business Model of this Management Report. Viscofan also contributes to other SDGs with projects to support local communities in several countries where it is present. As a whole, the amount earmarked in 2023 was €228 thousand (€305 thousand in 2022).

Within the projects Viscofan contributes with donations to the improvement of facilities and health equipment in hospitals, senior citizen centres, paediatric centres and centres for the care of people with functional diversity in various countries. In addition, donations are made to various NGOs to support local projects and micro-projects in the fight against hunger and poverty.

Below, are some of the initiatives that most stand out, by country:

Country projects	Description	Sustainable Development Goals
Spain		
Activities for the promotion, preservation and dissemination of culture and knowledge	Support for seminars to disseminate the culture and artistic heritage of Navarre, including sponsorship of the recovery of artistic works. Contributions to the creation of a new space to promote the training of students from different faculties, multidisciplinary and applied research into biodiversity and the environment and scientific dissemination.	SDG 4. Quality education SDG 17. Partnerships to achieve goals
Support for foundations for the promotion of local development and international relations	Support to foundations aiming at local and regional development, promotion of knowledge and support of international relations for job creation and dissemination of knowledge between countries.	SDG 4. Quality education SDG 8. Decent work and economic growth SDG 9. Industry, innovation and infrastructure SDG 17. Partnerships to achieve goals
Support to non-profit organisations	Donations to different non-profit organisations: Red Cross, Caritas Diocesanas, DalecandELA Association, Alboan, Institución Futuro and Anapar.	SDG 2. Zero hunger SDG 3. Good health and well-being SDG 4. Quality education SDG 8. Decent work and economic growth
Aid to vulnerable groups	Participation in the “Elitpak Ambalaj ve Üretim Sanayi ve” campaign for humanitarian aid following the earthquake in Turkey.	SDG 2. Zero hunger SDG 10. Reducing inequalities
Germany		
Aid to vulnerable groups	Financial donations to the following groups: Weinheimer Tafel, for the distribution of food to people in need; Stadtjugendring Weinheim, for needy young people; Lebenshilfe Weinheim, for the care of sick, elderly and/or severely people with functional diversity; Save the Children, to help children affected by the earthquake that occurred in Turkey in February 2023.	SDG 2. Zero hunger SDG 3. Good health and well-being
Promotion of culture	Financial contribution to the Förderverein Partnerschaft Weinheim-Cavaillon Association to	SDG 17. Partnerships to achieve goals

	support the twinning of the cities of Weinheim and Cavaillon (France).	
Belgium		
Promoting responsible production and consumption	Donation for the installation of beehives in companies with the aim of increasing the bee population.	SDG 12. Responsible consumption and production SDG 15 Lives of terrestrial ecosystems SDG 13. Climate action
Support for disadvantaged groups	Financial donation to families with young children to purchase healthy food.	SDG 2. Zero hunger SDG 3. Good health and well-being
Serbia		
Support to non-profit organisations	Financial donation to different non-profit organisations: Diaverzum (Novi Sad), Red Cross (Novi Sad); Children Village (Sremska Kamenica).	SDG 2. Zero hunger SDG 3. Good health and well-being SDG 10. Reducing inequalities
Actions to promote education	Donation of computer equipment to the Dušan Radović School (Novi Sad) and the Mihajlo Pupin Institute (Novi Sad).	SDG 4. Quality education
United Kingdom		
Aid to vulnerable groups	Donation of school supplies and equipment to children with autism and children with learning needs at the Five Acre Wood School and Platt Primary School. Financial donation to the Barretstown Children's Charity.	SDG 2. Zero hunger SDG 3. Good health and well-being SDG 4. Quality education
Support to non-profit organisations	Financial donation to Anthony Nolan, a charity working in the areas of leukaemia and hematopoietic stem cell transplantation.	SDG 3. Good health and well-being
Czech Republic		
Aid to vulnerable groups	Donation to social services in benefit of the most vulnerable section of the population and support for the charity race “Římov's run for smile” to benefit families in need.	SDG 3. Good health and well-being SDG 10. Reducing inequalities
USA		
Support to non-profit associations	Support to several charities, including the Monogram Loves Kids Foundation,	SDG 1. End poverty

	providing resources to children in disadvantaged communities. Financial contribution to the Young Life project aimed at young people.	SDG 3. Good health and well-being SDG 4. Quality education
Canada		
Support for disadvantaged groups	Donation to Harvest Meats for people with functional diversity to enjoy a camp at Easter and to improve medical equipment. Donation to MacGregors Meat & Seafood Ltd to support the Sleeping Children Around the World organisation for the purchase of bedding. Sponsorship of a golf tournament with funds going to the SickKids charity foundation and Children's Miracle Network Hospitals for sick children.	SDG 3. Good health and well-being
Uruguay		
Support to non-profit associations	Financial donation to the NGO Los Rosales, which works to transform lives by providing children, young people and women in the Casavalle neighbourhood with access to a comprehensive, quality education, with the family as its fundamental pillar. Viscofan Uruguay also collaborated with the NGO Los Pinos, facilitating job placement for young people from the same neighbourhood.	SDG 4. Quality education SDG 8. Decent work and economic growth
Support for disadvantaged groups	Financial donation to the Schiaffino Nursing Home.	SDG 3. Good health and well-being
Brazil		
Actions for the promotion of sport and culture	Donation to the social inclusion project Football, School and Citizenship to promote sports, culture and integration into the labour market.	SDG 3. Good health and well-being SDG 4. Quality education SDG 10. Reducing inequalities
Mexico		
Support for disadvantaged groups	Provision of health material and equipment to set up a medical area in the Nuestra Sr. de Fátima nursing home.	SDG 3. Good health and well-being
Australia		

Aid to vulnerable groups	Donation to the Drug Arm association to help people with alcohol and drug dependence and their families.	SDG 3. Good health and well-being

Alliances

We have a long history of collaboration with institutions or research centres in different countries, which ratifies the historical importance of SDG 17 (Partnerships for the Goals) at the company. In particular, Viscofan is part of and promotes various associations and groups seeking to find ways of collaboration in the industry to increase its contribution to society. These institutions include:

- International Committee For Cellulose Films (CIPCEL). Based in Brussels, CIPCEL comprises the leading producers of regenerated cellulose film products.

- Collagen Casing Trade Association (CCTA). An association of leading producers of collagen casings worldwide that provides a forum for its members to discuss the development of legislation and actively promote the use of collagen casings.

- Spanish Plastics Centre (CEP). This is the Spanish association of entities relating to the manufacture and processing of plastics.

- European Association Plastic Converters (EUPC). European association that groups together national plastic converter companies and associations.

- Working group of the Gelatine and Collagen Lebensmittelvberband (Germany). An organisation of German gelatin and collagen manufacturers.

- AINIA. Food technological centre based in Spain that supports the R&D tasks of its partners, especially in the areas of quality, food safety, sustainability, environment, design and industrial production.

- ANICE. The Spanish National Association of the Meat Sector is the biggest meat association in Spain to provide advice, represent and defend the sector's interests.

- National Centre for Technology and Food Safety (CNTA). the purpose of which is to provide advanced technological services to improve competitiveness in the food sector through quality and innovation and under the principle of food safety.

- CEO for Alliance for Diversity. An alliance that aims to unite companies around a common innovative vision of diversity, equity and inclusion and to accelerate the development of strategies that contribute to: business excellence, competitive talent in Spain and the reduction of inequality and exclusion in the Spanish society.

- AIMPLAS. The Plastics Technology Centre offers integral solutions to companies within the plastics sector through the technical implementation of R&D&i projects.

- NAITEC. Multidisciplinary Technology Centre for the Industry.

- CENER (National Centre for Renewable Energy). A prestigious technology centre recognised for its activity, both in Spain and in other countries, which carries out applied research in renewable energies and provides technological support to energy companies and institutions in five areas: wind, solar thermal, solar photovoltaic and biomass energy, energy transition in cities, grid integration, and electrical and hydrogen storage.

- CEIN (European Business and Innovation Centre in Navarra). A centre committed to entrepreneurship, innovation, growth and business collaboration in Navarra.

- IndesIA. An association promoting the use of artificial intelligence and big data to make Spanish industry a global benchmark.

- The Consejo España – EE. UU Foundation. A civil society initiative that promotes dialogue and aims to strengthen the ties between Spain and the United States to heighten mutual understanding.

Viscofan also collaborates with different universities and research centres:

- University of Navarre (Spain)

- Public University of Navarre (Spain)

- CIDAUT Foundation for Research and Development in Transport and Energy (Valladolid, Spain)

- MORE Institute Research (Germany)

- Hochschule Manheim Fraunhofer Institute (Germany)

- Tübingen University (Germany)

- Sao Paulo University (Brazil)

- Suzhou University (China)

- Technological University of Uruguay (UTEC)

- University of the Basque Country (Spain)

The principal issues on which these collaborations are based are: food safety, analysis and development of new materials, process and food industry engineering, advanced physical and chemical analysis, basic research on materials and alternative uses and other packaging systems.

Moreover, Viscofan is importantly supported by the different administrations of the countries where it develops R&D activities, for example: the Centre for Technical Industrial Development (CDTI) and the Ministry of Economy and Competitiveness (MINECO) in Spain, the Federal Ministry of Education Research in Germany, the National Science and Technology Council (CONACYT) in Mexico, the Institute for Technological Research (IPT) in Brazil and the Federal, Illinois and New Jersey R&D Credit of the US Federal Government, the State of Illinois and the State of New Jersey.

In 2020, two regenerative biomedicine research consortiums were approved – ARDAT and TriAnkle - in which Viscofan BioEngineering continues to participate and lead in 2023, together with other leading bodies and public-private companies. The ARDAT consortium, backed by the Innovative Medicines Initiative (IMI), brings together 34 expert organisations throughout the whole of Europe and the USA, with the shared objective of helping to standardise and accelerate the development of Advanced Therapy Medicinal Products (ATMP) and contributing to ensuring that these transforming treatments reach patients as soon as possible. Also, the research consortium TriAnkle, led by Viscofan, will permit the 3D manufacture of personalised implants based on collagen and gelatine to regenerate injured tendons and cartilage, representing an innovative technique that will enable a greater and more rapid recovery of tissue.

2.4.4. Responsible taxation

Viscofan is aware of the social impact its activity generates: from direct or indirect employment generated by its implementations, to the financial benefit that it obtains from its activities at each of the different companies at which it operates (note 6 of Viscofan S.A.'s financial statements) for which it contributes through the corresponding taxes. In 2023, income tax payments amounted to €41 million as a result of the Group's business activities in different countries. Additional information on taxes is detailed in note 18 to the consolidated financial statements. There is information about capital grants in note 13 of the consolidated annual accounts.

As a result of the relationships described in the previous point, joint projects have arisen with which we have collaborated and for which we have received financial support through grants and loans from official bodies. In this vein, at 31 December, the financial statements included loans with the CDTI and the Ministry of Economy and Competitiveness in Spain, amounting to €13.7 million (note 16 to the consolidated financial statements).

2.5. Economic and financial pillar

2.5.1. Stock market performance

Stock markets and Viscofan's performance

In 2023, the world economy has exceeded the initial expectations[5], which predicted of a greater slowdown in growth, and is making moderate progress in the recovery after the impacts of the Covid-19 pandemic, the war in Ukraine, and the cost of living crisis.

However, despite this positive surprise, economic growth has slowed down again for another year and the outlook for 2024 points to a continuation of this trend[6] in a context marked by war and geopolitical tensions, and the impact of inflation and high interest rates on the disposable income of families and companies.

Precisely to reverse these inflationary tensions, the European Central Bank and the Fed in the USA have pursued policies aimed at reducing their balance sheets and raising interest rates.

Price change indicators, which began the 2023 financial year at very high levels, have progressively slowed their increases in this environment of contractionary monetary policies by central banks and as global supply chains have rebalanced after the strong imbalances experienced in previous years.

In terms of exchange rates, the Euro has appreciated against the US dollar after a 2022 revaluation of the North American currency due to its nature as a safe haven currency, which reached parity against the European currency.

The main stock market indices have closed the year 2023 with increases, recovering from the decreases of the previous year, driven largely by better-than-expected global economic growth, and the announcements by the Fed and the European Central Bank of the end of the increases in interest rates due to the slowdown in inflation in the last months of the year. In the United States, the S&P 500 index gained 24.2% in 2023, and in Europe the Euro Stoxx 600 gained 12.7%, the German DAX gained 20.3%, and in Spain the Ibex 35 gained 22.8%.

In particular, the food sector, of which Viscofan is a member both in Spain (Consumer Goods segment, Food subsector) and in Europe (Euro Stoxx Food and Beverage), has decreased by -3.2% and - 3.0%, respectively, impacted by the inventory reduction movement in part of the sector and uncertainty of demand due to the impact on households' disposable income of inflation and interest rate increases.

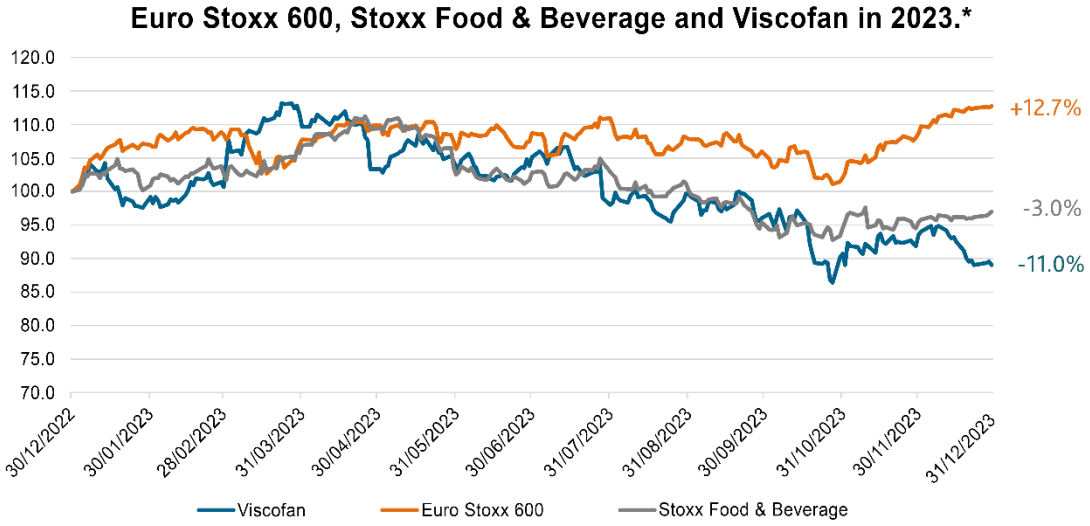
The casings industry and Viscofan have not been immune to this trend, which has resulted in a decline in market volumes, leading to Viscofan lowering its growth prospects in the publication of its third quarter results, in a year also marked by the high energy cost in the income statement. As a result of the above Viscofan's share price closed 2023 at €53.60, a decrease of 11.0%, and of 8.2% if the payment of dividends is considered.

[5] In its October 2022 report, the IMF report anticipated global GDP growth of +2.7% in 2023 compared to the +3.0% forecast in its October 2023 report.

[6] According to the IMF, global growth will moderate from 3.5% in 2022 to 3.0% in 2023 and 2.9% in 2024, well below the historical average (2000–19) of 3.8%.

The average daily market price in the year was €60.48 per share and Viscofan's market capitalisation stood at €2,492 million at the end of 2023.

In addition, nearly 11 million Viscofan shares were traded on the Spanish continuous market during the year, with cash traded of €663 million, equivalent to a daily average of €2.6 million.



**Graph on a baseline of 100 since 31 December 2021*

Viscofan shares

Viscofan's share capital consisted of 46,500,000 shares of €0.70 par value each, of the same class and fully paid-in.

Viscofan's shares are admitted to trading on the Spanish stock markets, listed on the continuous market, since the company's exit from the stock market in December 1986.

It is listed on the Madrid Stock Exchange General Index (IGBM) and forms part of the Consumer Goods segment, within the Food subsector, the Ibex Mid Cap and at European level to the Euro Stoxx Food and Beverage index and the Stoxx Europe 600 index.

Since October 2023, Viscofan has been part of the IBEX ESG, the family of indices launched by BME (Spanish Stock Exchanges and Markets) to promote sustainability.

Dividend

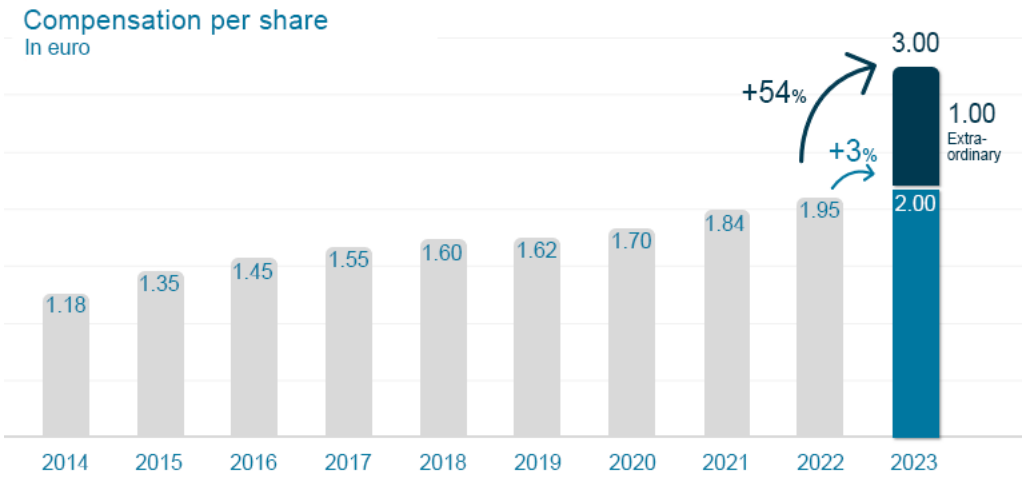
Throughout the different strategic plans, the Viscofan Group has built a sound and flexible business model. This characteristic entails the creation of cash flows that allow investment projects to be carried out in order to improve value creation, which is shared with shareholders in cash and at the same time maintaining a sound balance sheet structure. I this respect, the Board of Directors of the Viscofan Group has resolved to propose to the General Shareholders' Meeting a profit distribution equivalent to a remuneration of €3.00 per share. Of which €2.00 per share -

equivalent to the distribution of 65.6% of net profit - is of an ordinary nature, and €1.00 per share is of an extraordinary nature after completion of the first half of the Beyond25 strategic plan with higher than expected operating cash flows. Shareholder remuneration consists of:

- An interim dividend of €1.40 per share (paid on 20 December, 2023).
- The proposed ordinary final dividend of €0.59 per share and extraordinary final dividend of €1.00 per share under the optional dividend system in cash or shares "Viscofan Flexible Remuneration" in a lump sum payment expected in June 2024.
- A bonus of €0.01 per share for attending the General Shareholders' Meeting.

The proposed total and ordinary distribution are 53.8% and 2.6% higher than the previous year's remuneration of €1.95 per share, respectively.

Likewise, in terms of ordinary remuneration, over the last 10 years the dividend per share distributed in cash by Viscofan has grown by an annual average of 6% from €1.12 in 2013 to the €2.00 proposed by the Board of Directors against 2023 results. In terms of yield, the proposed ordinary dividend for 2023 represents 3.7% of the closing share price for the year.



Viscofan, its shareholders and investors

One of Viscofan's objectives, through its Department of Investor and Shareholder Relations, is to create value for the investor community by improving accessibility, the transparency of information and providing shareholders with relevant information of a financial and non-financial nature, on its strategy and on its operations to gain a better understanding of the company.

To ensure this information flow and to grant certainty to shareholders, markets and other stakeholders on the transparency and access to information, Viscofan has a Communication policy with shareholders, institutional investors, advisors on voting and economic-financial, non-financial and corporate information, defined in conformity with the good governance practices and recommendations applicable to listed companies.

Communication channels

Viscofan provides the investment community with a multitude of communication channels: presentations at seminars and events organised by the financial community, roadshows with institutional investors promoted by the company or by brokers, earnings presentations, the General Shareholders' Meeting, organised visits to Viscofan's head office, telephone calls to a dedicated investor and shareholder helpline, a special e-mail address, notifications and regular public information submitted to the CNMV (Spanish National Securities Market Commission).

Also, the information published on the website www.viscofan.com:

- In the Investor Relations section in which Viscofan makes the latest news, reports and quarterly presentations of results, annual report, share price performance and other information of interest, etc., available to the public.

- The Sustainability section details information on Viscofan's main commitments to the Sustainable Development Goals, sustainability indicators and the 2030 commitments set out in the Group's Sustainability Action Plan.

- Viscofan's Corporate Governance section publishes the information relating to the Board of Directors, committees, policies and regulations and other related information of interest.

Viscofan also maintains fluid communication with the financial markets, so that at the end of 2023 a total of 15 analysis companies, both national and international, are covering the company.

At the same time, Viscofan encourages direct or remote contact through face-to-face meetings with investors, both shareholders and non-shareholders interested in the company. In 2023, Viscofan held a total of 183 face-to-face or video-call meetings with investors – shareholders or otherwise – in the framework of seminars and events held by the financial community. In 2022, there were 253 meetings of this type.

The communication effort carried out throughout all these years has been recognised by the investment community. In 2023, Viscofan was recognised by Institutional Investor, in its Developed Europe Executive Team awards, as Best Investor Relations Professional and Best Investor Relations (IR) Team, within the Small/Mid Cap category of the Paper & Packaging sector. It was also mentioned in the top 3 for Best IR and ESG Programmes. In the All Caps category of the same sector, Viscofan came second in the awards for Best IR Professional and Best IR Team and came third in the awards for Best IR Programme.

Bidirectional communication is important, since the questions and concerns of the financial community are taken into account and transmitted within the company, such as financial, strategy, sustainability and corporate governance matters.

In 2023, the most frequently asked questions have been related to the impact of inventory reduction by customers, energy cost inflation, the evolution of New Businesses, sustainability projects at Viscofan, and shareholder remuneration, among others.

Key stock market data developments

	Period Beyond25	Period MORE TO BE					
Share price €	**2022**	**2021**	**2020**	**2019**	**2018**	**2017**	**2016**
Year-end	60.20	56.90	58.05	47.10	48.12	55.01	46.85
Maximum in the year	63.65	61.45	64.35	56.55	66.20	56.33	56.06
Minimum in the year	48.92	53.25	43.28	40.12	46.20	46.75	41.84

Viscofan's performance on the continuous market	**Year-end 2022**	**Year-end 2021**	**Year-end 2020**	**Year-end 2019**	**Year-end 2018**	**Year-end 2017**	**Year-end 2016**
% ann. change Viscofan	5.8%	-2.0%	23.2%	-2.1%	-12.5%	17.4%	-15.8%
% annual change IGBM	-4.8%	7.1%	-15.4%	10.2%	-15.0%	7.6%	-2.2%
% annual change IBEX 35	-5.6%	7.9%	-15.5%	11.8%	-15.0%	7.4%	-2.0%
% Annual Change Euro STOXX 600	-12.9%	22.2%	-4.0%	23.2%	-13.2%	7.7%	-1.2%
% Annual change IBEX Medium Cap	-7.4%	8.6%	-9.7%	8.4%	-13.7%	4.0%	-6.6%
% annual change Sub-Sector Food and Beverages IGBM	-0.7%	-1.6%	10.6%	1.8%	-8.4%	5.2%	-5.4%

Stock exchange trading data	**2022**	**2021**	**2020**	**2019**	**2018**	**2017**	**2016**
Capitalisation at year-end (Mn €)	2,799.3	2,645.9	2,699.3	2,190.2	2,242.6	2,563.7	2,183.4
Continuous market traded cash (Mn €)	763.3	1,135.8	1,561.8	1,230.5	1,669.1	1,995.2	2,707.1
Average per session (€Mn)	3.0	4.4	6.1	4.8	6.5	7.8	10.5
Traded shares	13,893,544	19,626,412	28,338,888	25,815,115	29,807,220	38,658,041	54,701,597
Daily average of traded shares	54,060	76,666	110,268	101,236	116,891	151,600	212,022

Ratios per share	**Year-end 2022**	**Year-end 2021**	**Year-end 2020**	**Year-end 2019**	**Year-end 2018**	**Year-end 2017**	**Year-end 2016**
Shares admitted to trading	46,500,000	46,500,000	46,500,000	46,500,000	46,603,682	46,603,682	46,603,682
Basic earnings per share (1)	3.02	2.87	2.63	2.27	2.66	2.62	2.68
Proposed ordinary remuneration per share (2)	1.95	1.84	1.70	1.62	1.60	1.55	1.45

(1) Net earnings per share calculated by dividing net profit by the weighted average of ordinary shares in circulation in the year, excluding treasury shares

(2) Includes interim dividend, final dividend, refund of share premium, refund of capital contributions and premium for attendance at the General Meeting.

2.5.2. Economic and management results

Business performance

Market

In 2023, the estimated volume size of the casings market has shown a decrease in the region of 4%. The largest decline in the last twenty-four years caused by weak consumption in an environment of slower economic growth, significantly in emerging markets, and by the process of inventory adjustments in the sector.

Development of the Beyond25 strategic plan

In a context of rising energy costs, particularly natural gas in Spain, raw materials and labour costs, the Viscofan Group has implemented a generalised increase in selling prices to partially offset this inflation.

However, after a first few months where the market performed in line with expectations, an unprecedented adjustment process began to take place, which has resulted in a decline in volumes in absolute terms for the industry as a whole.

Viscofan has adjusted quickly to this market environment and, in the face of weak demand, has refocused its priorities on cost containment, production adjustments and inventory control, which has allowed it to improve operating margins and reduce working capital in the last quarter of the year.

This temporary market situation has not prevented the successful completion of major transformation initiatives in the United States with the implementation of new cellulosic casing technology in Danville and collagen in New Jersey. The production results of both projects were even higher than initially expected, although the expected synergies have not yet been achieved due to the lower sales volume as a result of both the market downturn and product adjustment problems during the transition, which have now been resolved.

Other strategic initiatives include the implementation of a new converting plant in Thailand, which is expected to be commissioned before the end of 2024, and sustainability investments, particularly in the area of decarbonisation in Cáseda (Navarra).

All in all, Viscofan closed the 2023 financial year with record highs in the main financial figures. Revenues grew by 2.1% year-on-year, EBITDA by 0.5% and net profit by 1.1%. Net bank debt stood at €138.0 million at year-end, 0.5 times EBITDA.

With the completion of the main organic transformation projects foreseen in the Beyond25 plan, the results have exceeded the achievement of the initially planned operating cash flows. Against this background, and taking into account the financial strength and the expected expansion of future cash flows, the Board of Directors has approved to submit to the General Shareholders' Meeting a total remuneration of €3.00 per share for the 2023 financial year, an increase of 53.8% in shareholder remuneration compared to the previous year, consisting of an extraordinary remuneration of €1.00 per share, and an ordinary remuneration of €2.00 per share, 2.6% higher than the ordinary remuneration of the previous year, and equivalent to a distribution of 65.6% of the net profit.

Therefore, in addition to the interim dividend of €1.40 paid in December 2023, there will be an ordinary final dividend of €0.59 and an extraordinary final dividend of €1.00 to be paid in June

under the optional dividend system in cash or shares “Viscofan Flexible Remuneration”, which, together with an attendance bonus of €0.01, corresponds to an expected total remuneration for the financial year 2023 of €3.00 per share.

In turn, the Board of Directors has approved submitting to the General Shareholders' Meeting the possibility of flexible remuneration with which shareholders can decide whether they prefer to obtain new shares in a paid-up capital increase or cash remuneration. Furthermore, in order to avoid dilution of shareholders who do not participate in the capital increase, the Board plans to redeem the treasury shares necessary to keep the number of outstanding shares stable.

Summary of financial results Viscofan Group. (€000's)

	Accumulated				Fourth quarter			
	Jan-Dec' 23	Jan-Dec' 22	% Change	Comp.*	Oct-Dec' 23	Oct-Dec' 22	% Change	Comp.*
Revenue	1,225,787	1,201,028	2.1%	4.2%	299,579	327,669	-8.6%	-5.5%
EBITDA	268,400	267,173	0.5%	7.9%	75,765	76,555	-1.0%	5.5%
Margin EBITDA	*21.9%*	*22.2%*	-0.3 p.p.	0.8 p.p.	*25.3%*	*23.4%*	1.9 p.p.	2.7 p.p.
Operating profit	184,686	189,026	-2.3%		54,194	56,203	-3.6%	
Net profit	140,962	139,430	1.1%		40,165	34,332	17.0%	

Breakdown of net turnover (€000's)

	Jan-Dec' 23	Jan-Dec' 22	% Change	Oct-Dec' 23	Oct-Dec' 22	% Change
Traditional Business	985,305	963,089	2.3%	238,700	260,864	-8.5%
New Businesses	151,521	144,465	4.9%	35,038	39,887	-12.2%
Other energy income	88,961	93,474	-4.8%	25,841	26,918	-4.0%
Revenue	1,225,787	1,201,028	2.1%	299,579	327,669	-8.6%

By geographic area	Jan-Dec' 23	Jan-Dec' 22	% Change	Oct-Dec' 23	Oct-Dec' 22	% Change
Europe, Middle East and Africa (EMEA)	531,317	507,404	4.7%	132,753	144,344	-8.0%
Asia Pacific (APAC)	158,467	168,837	-6.1%	44,999	47,429	-5.1%
North America	369,323	369,815	-0.1%	88,872	95,013	-6.5%
South America	166,680	154,972	7.6%	32,955	40,883	-19.4%
Revenue	1,225,787	1,201,028	2.1%	299,579	327,669	-8.6%

*Like-for-like: Like-for-like growth excludes the impact of exchange rate fluctuations in 2023 and the non-recurring operating profit expense of €1.9m due to production stoppages in the US in 3Q23 as a result of power outages caused by the utility company.

Revenue:

In the year to December 2023, net revenues amounted to €1,225.8 million, an increase of 2.1% vs. 2022 and 4.2% excluding the impact of exchange rate changes.

In the Traditional Business, revenues grew by 2.3% to €985.3 million, driven by an increase in the price mix which offset the decline in volumes.

In New Businesses, revenues grew by 4.9% to €151.5 million, with functional solutions and value-added plastic packaging performing particularly well.

Conversely, energy sales, at €89.0 million, are 4.8% lower than in 2022. This decrease is due to lower electricity sales prices in the Spanish market, and limitations on the sale to the grid of electricity from cogeneration engines in specific periods of high electricity production in the Spanish electricity system.

The geographical breakdown of[7] net turnover in the year to December 2023 was as follows:

- EMEA (43.3% of the total): Reported revenues amounted to €531.3 million, 4.7% higher than in 2022 and 5.2% higher on a like-for-like basis.
- APAC (12.9% of the total): Reported revenues are €158.5 million, down 6.1% vs 2022 and 0.9% like-for-like, impacted by lower volumes in China and South East Asia.
- North America (30.2% of the total): Revenues amounted to €369.3 million, a decrease of 0.1%, while they grew by 2.8% on a like-for-like basis.
- South America (13.6% of the total): Revenues amounted to €166.7 million, a growth of 7.6% compared to 2022 and 10.1% on a like-for-like basis.

The weakness of the market has been especially significant in the fourth quarter, also impacting the evolution of the Group, whose net turnover in the fourth quarter of the year stood at €299.6 million, 8.6% below 4Q22. In addition to weak consumption in the quarter, particularly in the emerging markets of Brazil and Asia, and inventory reduction initiatives at customers, there were quality problems associated with the assurance plan during the technological migration in the US, which, although they have been resolved, caused the loss of sales in the US.

Excluding the effect of exchange rate movements, comparable revenues fell by 5.5% compared to the same quarter the previous year

Operating expenses

The 2023 financial year was marked by high natural gas prices in Spain, high raw material prices - particularly in the first half of the year - and wage inflation. In this context, operational activity has been focused on cost control in response to lower market demand and high costs.

In the year to December, consumer spending[8] increased by 8.1% to €421.0 million with a gross margin[9] of 65.7% (67.6% in 2022). The inflationary trend in raw materials has been reversing throughout the year, with some raw materials such as caustic soda and polyamides generating savings compared to the previous year. However, consumer spending in 4Q23 fell by 5.4% to €105.2 million, leaving the gross margin at 64.9%, down from 66.1% in 4Q22.

On a cumulative basis, personnel expenses for the 2023 financial year increase by 3.0% to €270.1 million, in a period in which the cumulative average headcount rises by 0.6% to 5,346. Personnel expenses in 4Q23 fell by 2.7% to €64.6 million.

Other operating expenses in the year to December were €280.9 million, a decrease of 3.5% compared to 2022. Of this, energy supply costs fell by 1.7% and transport costs by 25.6%. The better cost evolution is visible in the fourth quarter, where other operating expenses decreased by 17.9% to €60.9 million, supported by lower energy supply costs (-11.8% vs 4Q22) and transportation (-42.2% vs. 4Q22), in addition to short-term cost control measures that were implemented in the quarter.

[7] Revenue by origin of sales: EMEA (European companies), North America (Canada, Costa Rica, Mexico and the United States), APAC (Australia, China, Japan, New Zealand, Thailand), Latin America (Brazil and Uruguay).
[8] Consumption costs = Consumables +/- Changes in inventory of finished goods and work in progress.
[9] Gross margin = (Revenue - Consumption costs)/Revenue.

Operating profit

The reported EBITDA for 4Q23 stands at €75.8 million (-1.0% vs 4Q22) and in 2023 by €268.4 million (+0.5% vs 2022). On a like-for-like basis[1], EBITDA grew 5.5% in the quarter and 7.9% in the year to December.

In the fourth quarter, the reported EBITDA margin improved by +1.9 p.p. to 25.3% and by +2.7 p.p. to 26.1% on a like-for-like basis, reflecting the strength of Viscofan's business model, flexibility and ability to adapt to the adverse environment. In this regard, the improved sales price mix, savings from technological improvements and cost containment plans have offset strong cost inflation, lower operating leverage due to lower volumes and lower revenues from cogeneration energy.

On a cumulative basis, the reported EBITDA margin in 2023 was 21.9%, -0.3 p.p. lower than in 2022, while on a like-for-like basis, it improved by 0.8 p.p. vs the previous year to 23.0%.

Amortisation expense in 2023 increased by 7.1% to €83.7 million, giving rise to an operating result (EBIT) in 2023 of €184.7 million (-2.3% vs. 2022).

Financial position

In the full year 2023, net finance loss was -€15.8 million with negative exchange rate differences of -€9.7 million and with financial expenses increasing to €6.9 million. These figures compare with a net finance loss of -€5.2 million in 2022, a period in which exchange rate differences were negative with -€5.0 million and financial expenses €1.4 million.

Net profit

Profit before tax for the year to December 2023 is €168.9 million and the corporate income tax expense is €27.9 million, bringing the effective tax rate to 16.5%, lower than the 24.1% of the previous year as a result of the special tax deductions associated with the impact of COVID19 in China and the tax change in Brazil, which provides tax benefits for exporting companies.

All in all, the reported Net Profit in the fourth quarter was €40.2 million (+17.0% vs 4Q22) bringing the cumulative Net Profit to December 2023 to €141.0 million (+1.1% vs 2022).

Investment

A total of €77.5 million was invested in 2023, significantly below the €125.6 million in 2022 in response to a slower growth environment. Projects during the year included recurring maintenance investments, progress on the construction of a new cellulosic and collagen converting plant in Thailand, and investments in the converting phase in the Czech Republic.

The breakdown by type of investment in 2023 is as follows:

- 16% of the investment was earmarked for investments in capacity and machinery.
- 3% of the investment was earmarked for process improvements and new technology.
- 26% of the investment was earmarked for improvements in sustainability, including energy equipment and the optimisation of the installations in terms of security, hygiene, and protecting the environment.
- The remaining 55% was spent on ordinary investments.

At year-end 2023, the investment commitments are €28.9 million compared to €4.2 million at year-end 2022.

Dividends and shareholder remuneration

The Board of Directors of the Viscofan Group has resolved to propose to the General Shareholders' Meeting a profit distribution equivalent to a remuneration of €3.00 per share. Of which €2.00 per share - equivalent to the distribution of 65.6% of net profit - is of an ordinary nature, and €1.00 per share is of an extraordinary nature after completion of the first half of the Beyond25 strategic plan with higher than expected operating cash flows. Shareholder remuneration consists of:

- An interim dividend of €1.40 per share (paid on 20 December, 2023).
- The proposed ordinary final dividend of €0.59 per share and extraordinary final dividend of €1.00 per share under the optional dividend system in cash or shares "Viscofan Flexible Remuneration" in a lump sum payment expected in June 2024.

The proposed total and ordinary distribution are 53.8% and 2.6% higher than the previous year's remuneration of €1.95 per share, respectively

Equity

The Group's equity at year-end 2023 amounts to €957.8 million, 5.6% higher than at the end of the previous year, mainly due to the higher net profit for the current year and the increase in reserves due to the distribution of the net profit for the previous year.

Treasury shares

At 31 December 2023, the company had 419,095 treasury shares representing 0.90% of the voting rights valued at €21.7 thousand.

During the 2023, 15,389 treasury shares were delivered to Viscofan staff within the framework of the company's variable remuneration plans. Also in 2023, the Company acquired 112,800 treasury shares under the protection of the authorisation granted by the General Shareholders' Meeting on 27 April 2023.

At 31 December 2022, Viscofan, S.A. held a total of 321,684 treasury shares representing 0.69% of its voting rights, for a value of €16.2 million.

Financial liabilities

The net bank debt[10] at year-end 2023 was €138.0 million, higher than the €101.3 million at year-end 2022 after payment of the interim dividend of €64.6 million in December 2023, and with a cash outflow in the year of €76.9 million for investments in tangible and intangible assets, €90.6 million for working capital and €5.5 million for treasury shares.

In addition, based on IFRS 16, which requires most non-cancellable operating leases to be recorded on the balance sheet as an asset for the right of use and a liability for the future amounts payable, the breakdown of Net Financial Debt is as follows:

	Dec 2023	Dec 2022	% Change
Net Bank Debt *	137,963	101,264	36.2%
Liabilities for right-of-use assets	*11,541*	*10,490*	*10.0%*
Other net financial liabilities **	*31,157*	*29,859*	*4.3%*
Net Financial Debt	180,661	141,613	27.6%

* Net bank debt = Non-current bank debt + Current bank debt - Cash and cash equivalents.

[10] Net bank debt = Non-current bank debt + Current bank debt - Cash and cash equivalents.

** Other net financial liabilities consisting mainly of loans with an interest rate subsidised by entities like the CDTI and the Ministry of Economy, as well as debt with netted fixed asset providers for other current financial assets.

The net financial debt is the equivalent of 18.9% of the equity, with a leverage level that is sufficient to be able to attend to all Viscofan's liquidity needs.

Outlook for 2024

Viscofan expects to continue to achieve record results with growth in the main financial figures of revenues, EBITDA and net income.

In this context, Viscofan expects to grow revenues by 3% to 5%, EBITDA by 8% to 12% and Net Profit by 10% to 15% in 2024 with an investment volume of around 65.

2.6. Annexes

2.6.1. Global Reporting Initiative content index (GRI)

Declaration of use	Viscofan has presented the information in this table of contents for the period from 1 January 2023 to 31 December 2023 using the GRI standards as a reference.
GRI 1 used	GRI 1: Foundation 2021

GRI 2: General Disclosures

GRI standard	Description	Section	Omission
1. The organisation and its reporting practices			
2-1	Organisational details	- Legal name: Viscofan Group, which comprises Viscofan S.A. and its subsidiaries. - Location of its headquarters; Polígono Industrial Berroa. C/Berroa, 15 – 4ª planta. 31192 Tajonar (Navarre) – España - Countries. See Our Business Model. Competitive advantages	
2-2	Entities included in sustainability reporting	General Information - Foundation	
2-3	Period covered by the report, frequency and contact point	General Information - Foundation	
2-4	Updating of information	General Information - Foundation	
2-5	External verification	General Information - Foundation	
2. Activities and workers			
2-6	Activities, value chain and other business relationships	General Information - Business Model	
2-7	Employees	Social Pillar - People	
2-8	Workers who are not employees	Social Pillar - People	
3. Governance			
2-9	Governance structure and composition	Governance Pillar - Good governance practices	
2-10	Appointment and selection of the highest governance body	Governance Pillar - Good governance practices	
2-11	Chairman of the senior governance body and its committees	Governance Pillar - Good governance practices	

2-12	Role of the highest governance body in overseeing the management of impacts	Governance Pillar - Good governance practices and risk management
2-13	Delegation of responsibility for impact management	Governance Pillar - Risk Management
2-14	Function of the senior governance body in the preparation of sustainability reports	General Information - Foundation
2-15	Conflicts of interest	Annual Corporate Governance Report. Section D.6.
2-16	Communication of critical concerns	General Information - Foundation Governance Pillar - Governing Bodies
2-17	Collective knowledge of the highest governance body	Governance Pillar - Good governance practices
2-18	Performance assessment of the highest governance body	Annual Corporate Governance Report. Section C.1.17
2-19	Remuneration policies	Governance Pillar - Good governance practices Annual Remunerations Report
2-20	Process for determining remuneration	Annual Remunerations Report
2-21	Total annual compensation ratio	Annual Remunerations Report. Section C.2.
4. Strategy, policy and practice		
2-22	Sustainable Development Strategy Statement	Chairman's letter General Information - Business Model
2-23	Commitments and policies	General Information - Business Model Governance Pillar - Compliance System
2-24	Embedding policy commitments	General Information - Business Model and Strategy Governance Pillar - Regulatory Compliance System Environmental pillar - Governance, strategy and resources for environmental sustainability Social pillar - Labour management
2-25	Processes to remediate negative impacts	Governance Pillar - Regulatory Compliance System
2-26	Mechanisms for seeking advice and raising concerns	General Information - Foundation Governance Pillar - Regulatory Compliance System
2-27	Compliance with legislation and regulations	Governance Pillar - Regulatory Compliance System
2-28	Affiliation to associations	Social Pillar – Local communities
5. Stakeholder engagement		

2-29	Approach for the participation of stakeholders	General Information - Foundation
2-30	Collective bargaining agreements	Social Pillar – Labour management

GRI 3. Material Topics 2021

GRI standard	Description	Section	Omission
3-1	Process of determining the material topics	General Information - Foundation	
3-2	List of material topics	General Information - Foundation	
3-3	Management of material topics	General Information – Foundation The management of each material issue is dealt with in the corresponding section	

GRI 200: Economic

GRI standard	Description	Section	
GRI 201: Economic performance (2016)			
201-1	Direct generated and distributed financial value	General Information – Foundation. Generated and distributed value matrix	
201-2	Financial implications and other risks and opportunities derived from climate change	Environmental pillar - Governance, strategy and resources for environmental sustainability	
201-3	Obligations of the benefits plan and other retirement plans	Social Pillar - Labour management	
201-4	Financial assistance received from government	Social Pillar - Responsible taxation	
GRI 202: Market presence (2016)			
202-1	Ratio of standard initial category salary by gender compared to the local minimum wage	Social Pillar - Labour management	
202-2	Proportion of senior management hired from the local community	Social Pillar - Labour management	
GRI 203: Indirect economic impacts (2016)			
203-1		Chairman's letter	
		Social Pillar – Local communities	

	Investments in infrastructure and supported services	Environmental pillar - Governance, strategy and resources for environmental sustainability
203-2	Significant indirect financial impacts	Economic and financial pillar. Economic and management results
GRI 204: Procurement practices (2016)		
204-1	Proportion of expense with local suppliers.	Social Pillar – Taking care of the supply chain
GRI 205: Anti-corruption (2016)		
205-1	Transactions assessed for corruption-related risks	Governance Pillar – Regulatory compliance system and Prevention of corruption, fraud and money laundering
205-2	Communication and training about anti-corruption policies and procedures	Governance Pillar – Regulatory compliance system and Prevention of corruption, fraud and money laundering
205-3	Confirmed cases of corruption and measures taken	Governance Pillar – Regulatory compliance system and Prevention of corruption, fraud and money laundering
GRI 206: Anti Competitive Behaviour (2016)		
206-1	Legal actions related to unfair competition, monopolistic practices and against free competition	Governance Pillar – Regulatory compliance system and Prevention of corruption, fraud and money laundering
GRI 207: Tax (2019)		
207-1	Tax pillar	Governance Pillar – Good governance practices
207-2	Tax governance, Risk control and management	Governance Pillar – Good governance practices
207-2	Stakeholder engagement and management of stakeholder concerns on tax issues	General Information – Foundation.
207-4	Presentation of reports country by country	Social Pillar - Responsible taxation
GRI 300: ENVIRONMENTAL		
GRI 302: Energy (2016)		
302-1	Energy consumption within the organisation	Environment - Climate change management and energy efficiency
302-3	Energy intensity	Environment - Climate change management and energy efficiency
302-4	Reduction of energy consumption	Environment - Climate change management and energy efficiency
GRI 303: Water and effluents (2018)		
303-1	Interaction with water as a shared resource	Environmental Pillar - Responsible management of the end-to-end water cycle
303-3	Water extraction	Environmental Pillar - Responsible management of the end-to-end water cycle
303-4	Water discharges	Environmental Pillar - Responsible management of the end-to-end water cycle
303-5	Water consumption	Environmental Pillar - Responsible management of the end-to-end water cycle
GRI 305: Emissions (2016)		
305-1	Direct emissions of GHG (scope 1)	Environment - Climate change management and energy efficiency
305-2	Indirect emissions of GHG from generating energy (scope 2)	Environment - Climate change management and energy efficiency
305-4	Intensity of GHG emissions	Environment - Climate change management and energy efficiency

305-5	Reduction of GHG emissions	Environment - Climate change management and energy efficiency
305-7	Nitrogen oxides (NOX), sulphur oxides (SOX) and other significant air emissions	Environment - Climate change management and energy efficiency
GRI 306: Waste (2020)		
306-1	Waste generation and significant waste-related impacts	Environmental Pillar - Circular economy
306-2	Management of significant impacts related with waste	Environmental Pillar - Circular economy
306-3	Waste generated	Environmental Pillar - Circular economy
306-4	Waste diverted from disposal	Environmental Pillar - Circular economy
306-5	Waste directed to disposal	Environmental Pillar - Circular economy
GRI 307: Environmental compliance (2016)		
307-1	Non-compliance with environmental legislation and regulations	Environmental Pillar - Governance, strategy and resources for environmental sustainability In Brazil there is an environmental administrative file that was opened in 2010 and for which no resolution has been received. At the end of 2023, the probability that the sanction can be confirmed judicially is estimated to be remote and that is why it does not constitute or is not reflected as a contingent liability in note 14.3 of the Group's consolidated report.
GRI 308: Environmental evaluation of suppliers (2016)		
308-1	New suppliers that have passed screening filters according to environmental criteria	Environmental Pillar - Responsible supply chain management Social Pillar - Taking care of the supply chain
GRI 400: SOCIAL		
GRI 401: Employment (2016)		
401-1	New employee hiring and staff rotation	Social Pillar - Labour management
GRI 402: Worker-company relations (2016)		
402-1	Minimum warning periods for operational changes	Governance Pillar - Good governance practices
GRI 403: Occupational health and safety (2018)		
403-1	Occupational health and safety management system	Social Pillar - Labour management - Safety at work
403-2	Hazard identification, risk assessment and incident investigation	Social Pillar - Labour management - Safety at work

403-4	Participation of workers, queries and notifications on occupational health and safety	Social Pillar - Labour management - Safety at work
403-5	Worker training on occupational health and safety	Social Pillar - Labour management - Safety at work
403-8	Workers covered by an occupational health and safety management system	Social Pillar - Labour management - Safety at work
403-9	Work-related injuries	Social Pillar - Labour management - Safety at work
403-10	Professional diseases and illnesses	Social Pillar - Labour management - Safety at work
GRI 404: Training and teaching (2016)		
404-1	Average number of training hours per employee	Social Pillar - Labour management – Professional development
404-2	Programmes to improve employee skills and transition assistance programmes	Social Pillar - Labour management – Professional development
404-3	Percentage of employees who receive periodic performance and professional development assessments	Social Pillar - Labour management – Professional development
405-1	Diversity in governing bodies and employees	Governance Pillar - Good governance practices Social Pillar - Labour management Equality and work-life balance
405-2	Ratio of base salary and remuneration of women to men	Social Pillar - Labour management Employment and remuneration
GRI 406: Non-Discrimination (2016)		
406-1	Cases of discrimination and corrective actions undertaken	Governance Pillar - Regulatory Compliance System
407-1	Operations and suppliers whose right to freedom of association and collective bargaining could be at risk	Governance Pillar - Good governance practices Social Pillar - Taking care of the supply chain
GRI 408: Child labour (2016)		
408-1	Operations and suppliers with significant risk of cases of child labour	Governance Pillar - Good governance practices Social Pillar - Taking care of the supply chain

GRI 409: Forced or compulsory labour (2016)		
409-1	Operations and suppliers with significant risk of cases of forced or compulsory labour	Governance Pillar - Good governance practices Social Pillar - Taking care of the supply chain
GRI 412: Human rights assessment (2016)		
412-2	Training of employees in human rights policies or procedures	Social Pillar - Labour management - Professional development Governance Pillar - Good Governance Practices and Compliance System
GRI 413: Local communities (2016)		
413-1	Operations with local community participation, impact assessments and development programmes	Social Pillar – Local communities Environmental Pillar - Governance, strategy and resources for environmental sustainability
GRI 414: Supplier social assessment (2016)		
414-1	New suppliers that have passed screening filters according to social criteria	Social Pillar - Taking care of the supply chain
GRI 416: Customer health and safety (2016)		
416-1	Assessment of the health and safety impacts of the categories of products or services	Social Pillar - Taking care of the supply chain
GRI 417: Marketing and labelling (2016)		
417-1	Requirements for information and labelling of products and services	Social Pillar - Taking care of the supply chain
GRI 418: Customer privacy (2016)		
418-1	Complaints based on violations of the customer's privacy and loss of the customer's data	Social Pillar - Taking care of the supply chain

2.6.2. Content index of law 11/2018 on non-financial and diversity information

Contents of Law 11/2018 on Non-financial and diversity information			Standard used
Business model	Description of the group's business model	Brief description of the Group's business model, which will include its business environment, organisation and structure, the markets in which it operates, its objectives and strategies and the main factors and tendencies that may affect its future performance.	GRI 2-6. Activities, value chain and other business relationships
			GRI 3-2. List of material topics
Information on environmental issues	Policies	Policies that apply to the Group, which include the due diligence procedures applied in the identification, assessment, prevention and reduction of significant risks and impacts, and of verification and control, together with the measures that have been adopted.	GRI 2-23 Policy commitments
			GRI 2-24 Embedding policy commitments
			GRI 2-25 Processes to remediate negative impacts
	Main risks	Main risks related with these matters linked to Group activities, among them, when they are pertinent and proportioned, their commercial relations, products or services that may have negative effects on these areas, and on how the Group manages these risks, explaining the procedures used to detect and assess them, in accordance with the benchmark national, European or international frameworks for each area. Information must be included on the impacts detected, offering a breakdown of them, in particular, on the main short-, medium- and long-term risks.	GRI 3-2. List of material topics
			GRI 3-3. Management of material topics
			GRI 201-2 Financial implications and other risks and opportunities due to climate change
	General	Current and foreseeable effects of company activities on environment issues and, where appropriate, health and safety,	GRI 3-3. Management of material topics
		Environmental assessment or certification procedures	GRI 3-3. Management of material topics
		Resources aimed at preventing environmental risks	GRI 3-3. Management of material topics
		Application of precautionary principle	GRI 2-3 Policy commitments
		Provisions and guarantees for environmental risks	GRI 307-1 Non-compliance with environmental laws and regulations (Autonomous Communities)

	Contamination	Measures to prevent, reduce or repair the carbon emissions that seriously affect the environment, taking into account any form of specific atmospheric pollution from an activity, including noise and light pollution	GRI 201-2 Financial implications and other risks and opportunities due to climate change
			GRI 302-4 Reduction of energy consumption
			GRI 305-5 Reduction of GHG emissions
			GRI 305-7 NOx, SOx and other significant atmospheric emissions
	Circular economy and prevention and waste management	Measures of prevention, recycling, reuse and other forms of recovery and elimination of waste. Action to combat food waste	GRI 3-3. Management of material topics GRI 303 Water and effluents GRI 306-1. Waste generation and significant waste-related impacts GRI 306-2. Management of significant impacts related with waste GRI 306-3. Waste generated GRI 306-4. Waste diverted from disposal
	Sustainable use of resources	Water consumption and water supply in accordance with local limitations	GRI 303-1 Interactions with water as a shared resource
			GRI 303-3 Water withdrawal
			GRI 303-5 Water consumption
		Consumption of raw materials and the measures adopted to improve efficiency of use	Confidential
		Energy: Direct and indirect consumption; Measures taken to improve energy efficiency. Use of renewable energy	GRI 3-3. Management of material topics
			GRI 302-1 Energy consumption within the organisation
			GRI 302-3 Energy intensity
			GRI 302-4 Reduction of energy consumption
	Climate Change	Greenhouse gas emissions	GRI 305-1 Direct emissions of GHG (scope 1)
			GRI 305-2 Indirect emissions of GHG from generating energy (scope 2)
			GRI 305-4 GHG emissions intensity
		The measures adopted to adapt to the consequences of climate change	GRI 201-2 Financial implications and other risks and opportunities due to climate change
			GRI 3-3. Management of material topics
			GRI 305-5 Reduction of GHG emissions
		Reduction goals established voluntarily at medium and long term to reduce *GHG* emissions and means implemented for this purpose.	GRI 3-3. Management of material topics
	Protection of biodiversity	Measures taken to preserve or restore biodiversity	Non material

		Impacts caused by activities or operations in protected areas	Non material
Information on social and staff-related issues	Policies	Policies that apply to the Group, which include the due diligence procedures applied in the identification, assessment, prevention and reduction of significant risks and impacts, and of verification and control, together with the measures that have been adopted.	GRI 3-3. Management of material topics
	Main risks	Main risks related with these matters linked to Group activities, among them, when they are pertinent and proportioned, their commercial relations, products or services that may have negative effects on these areas, and on how the Group manages these risks, explaining the procedures used to detect and assess them, in accordance with the benchmark national, European or international frameworks for each area. Information must be included on the impacts detected, offering a breakdown of them, in particular, on the main short-, medium- and long-term risks.	GRI 3-3. List of material topics
			GRI 3-3. Management of material topics
	Employment	Total number and distribution of employees by gender, age, country and professional classification	GRI 2-7 Employees GRI 405.1.b) The percentage of employees by employee category for each of the following diversity categories: gender and age group.
		Total number and distribution of employment contract types	GRI 2-7 Employees
		Annual average of permanent, temporary and part-time contracts by gender, age and professional classification	GRI 2-7 Employees
		Number of dismissals by gender, age and professional classification	GRI 401-1.b) Total number and turnover rate of personnel during the reporting period, by age group, gender and region (in relation to dismissals)
		Average remuneration and its tendency broken down by gender, age and professional classification or equal value	GRI 405-2: Ratio of base salary and remuneration of women to men for each job category
		Salary gap	GRI 405-2: Ratio of base salary and remuneration of women to men for each job category.

		Remuneration of equal or average work posts of the company	GRI 405-2 Ratios of standard entry level wage by gender compared to local minimum wage
		The average remuneration of directors and executives, including variable remuneration, attendance fees, indemnity payments, payments to long-term savings insurance schemes and any other benefit broken down by gender	GRI 2-19 Remuneration policies
			GRI 2-20 Process for determining remuneration
		Implementation of employment disconnection measures	GRI 3-3. Management of material topics
		Employees with functional diversity	GRI 405-1. b) Percentage of employees by employment category for each of the following diversity categories (iii. Vulnerable groups).
	Work organisation	Organisation of working time	GRI 2-7 Employees
			GRI 3-3. Management of material topics
		Number of hours of absenteeism	GRI 403-2 Types of accidents and ratios of occupational accidents, occupational diseases, lost days, and absenteeism, and number of related deaths (section a)
		Measures aimed at facilitating a work-life balance and promoting co-responsible care by both parents.	GRI 3-3. Management of material topics
	Health and safety	Occupational health and safety conditions	GRI 3-3. Management of material topics GRI 403-1 Occupational health and safety management system GRI 403-2 Hazard identification, risk assessment and incident investigation GRI 403-5 Worker training on occupational health and safety
		Occupational accidents (frequency and seriousness) broken down by gender	GRI 403-9 a) Work-related injuries
		Occupational accidents (frequency and seriousness) broken down by gender	GRI 403-10 a) Work-related ill health
	Social relations	Organisation of social dialogue, including the procedures to inform on and consult employees and negotiate with them	GRI 2-29. Approach for the participation of stakeholders
			GRI 402-1 Minimum warning periods for operational changes GRI 403-4 Participation of workers, queries and notifications on occupational health and safety
		Mechanisms and procedures in place the company has in place to promote the involvement of workers in the workers in the	GRI 3-3 Management of material materials

		management of the company, in terms of information, with	
		Percentage of employees covered by a collective bargaining agreement by country	GRI 2-30 Collective bargaining agreements
		Balance of collective bargaining agreements, especially in the area of occupational health and safety	GRI 403-8 Occupational health and safety management system coverage
	Training	Policies implemented in the training area	GRI 3-3. Management of material topics
		Total number of training hours by professional category	GRI 404-1 Average training hours per employee per year
	Accessibility	Universal accessibility of the people with functional diversity.	GRI 3-3. Management of material topics (Diversity and equal opportunities and non-discrimination)
	Equality	Measures adopted to promote equal treatment and opportunities between men and women	GRI 3-3. Management of material topics (Diversity and equal opportunities)
		Equality plans	GRI 3-3. Management of material topics (Diversity and equal opportunities and non-discrimination)
		Measures adopted to promote employment	GRI 3-3. Management of material topics (Employment)
		Protocols to counter sexual harassment due to gender	GRI 3-3. Management of material topics (Diversity and equal opportunities and non-discrimination)
		Universal integration and accessibility of the people with functional diversity	GRI 3-3. Management of material topics (Diversity and equal opportunities and non-discrimination)
		Policy against all type of discrimination and, where appropriate, to manage diversity	GRI 3-3. Management of material topics (Diversity and equal opportunities and non-discrimination)
			GRI 406-1 Cases of discrimination and corrective actions undertaken
Information on respect for human rights	Policies	Policies that apply to the Group, which include the due diligence procedures applied in the identification, assessment, prevention and reduction of significant risks and impacts, and of verification and control, together with the measures that have been adopted.	GRI 3-3. Management of material topics
			GRI 412-2 Training of employees in human rights policies or procedures
	Main risks	Main risks related with these matters linked to Group activities, among them, when they are pertinent and proportioned, their commercial relations, products or services that may have negative effects on these areas, and on how the Group manages these risks, explaining the procedures used to detect and assess them, in accordance with the benchmark national, European or international frameworks for each area. Information must be included on the impacts detected, offering a breakdown of them, in particular, on the	GRI 3-2. List of material topics
			GRI 3-3. Management of material topics

		main short-, medium- and long-term risks.	
	Human rights	Application of due diligence procedures to human rights	GRI 3-3. Management of material topics (Human Rights evaluation)
		Prevention of the risks of breaching human rights and, where appropriate, measures to reduce, manage and repair possible abuse committed	GRI 3-3. Management of material topics (Human Rights evaluation)
			GRI 412-1 Operations subject to impact assessments or reviews on human rights
		Complaints regarding human rights breaches	GRI 2-16 Communication of critical concerns
			GRI 3-3. Management of material topics (Human Rights evaluation)
			GRI 419-1 Non-compliance with laws and regulations in the social and economic fields
		Promotion of and compliance with the provisions of the ILO's fundamental agreements related with respect for freedom of association and the right to collective bargaining, the elimination of employment discrimination and occupation, the elimination of forced and obligatory labour and the effective abolition of child labour	GRI 3-3. Management of material topics (non-discrimination; freedom of association and collective bargaining; child labour; forced or compulsory labour and human rights)
Information related to the fight against corruption and bribery	Policies	Policies that apply to the Group, which include the due diligence procedures applied in the identification, assessment, prevention and reduction of significant risks and impacts, and of verification and control, together with the measures that have been adopted.	GRI 2-23. Commitments and policies
			GRI 3-3. Management of material topics
	Main risks	Main risks related with these matters linked to Group activities, among them, when they are pertinent and proportioned, their commercial relations, products or services that may have negative effects on these areas, and on how the Group manages these risks, explaining the procedures used to detect and assess them, in accordance with the benchmark national, European or international frameworks for each area. Information must be included on the impacts detected, offering a breakdown of them, in particular, on the main short-, medium- and long-term risks.	GRI 3-3. Management of material topics
			GRI 3-3. Management of material topics

	Corruption and bribery	Measures adopted to prevent corruption and bribery	GRI 3-3. Management of material topics
		Measures to combat money laundering	GRI 3-3. Management of material topics (anti-corruption)
		Contributions to foundations and non-profit organisations	GRI 3-3. Management of material topics (anti-corruption)
			GRI 201-1 Direct economic value generated and distributed (Investments in the Community)
			GRI 203-2 Significant indirect financial impacts
Company information	Policies	Policies that apply to the Group, which include the due diligence procedures applied in the identification, assessment, prevention and reduction of significant risks and impacts, and of verification and control, together with the measures that have been adopted.	GRI 3-3. Management of material topics
	Main risks	Main risks related with these matters linked to Group activities, among them, when they are pertinent and proportioned, their commercial relations, products or services that may have negative effects on these areas, and on how the Group manages these risks, explaining the procedures used to detect and assess them, in accordance with the benchmark national, European or international frameworks for each area. Information must be included on the impacts detected, offering a breakdown of them, in particular, on the main short-, medium- and long-term risks.	GRI 3-2. List of material topics
			GRI 3-3. Management of material topics
	Commitment of the company to sustainable development	Impact of the company's activity on employment and local development	GRI 203-2 Significant indirect financial impacts
			GRI 204-1 Proportion of expense with local suppliers.
			GRI 413-1 Operations with local community participation, impact assessments and development programmes
		Impact of the company's activity on local towns and on territory	GRI 203-2 Significant indirect financial impacts
			GRI 413-1 Operations with local community participation, impact assessments and development programmes
		Relationships with local community players and dialogue systems with them	GRI 3-3. Management of material topics (relating to community)
			GRI 413-1 Operations with local community participation, impact assessments and development programmes
		Association or sponsorship actions	GRI 2-28 Affiliation to associations

			GRI 201-1 Direct economic value generated and distributed (Investments in the Community)
	Outsourcing and suppliers	Inclusion in the purchasing policy of social, gender equality and environmental issues	GRI 3-3. Management of material topics (Environmental and social assessment of suppliers)
		Consideration in relationships with suppliers and subcontractors in their social and environmental responsibility	GRI 3-3. Management of material topics (Environmental and social assessment of suppliers)
			GRI 308-1 New suppliers that have passed assessment and screening filters according to environmental criteria
			GRI 407-1 Operations and suppliers whose right to freedom of association and collective bargaining could be at risk
			GRI 409-1 Operations and suppliers with significant risk of cases of forced or compulsory labour
			GRI 414-1 New suppliers that were screened using social criteria
		Supervision and audit systems and their outcome	GRI308-1 New suppliers that have been assessed according to environmental criteria
	Consumers	Measures for the health and safety of consumers	GRI 3-3. Management of material topics (health and safety of customers)
			GRI 416-1 Assessment of the health and safety impacts of the categories of products or services
			GRI 417-1 Requirements for information and labelling of products and services
		Systems to process claims, complaints received and their resolution	GRI 2-26 Mechanisms for seeking advice and raising concerns
			GRI 3-3. Management of material topics (health and safety of customers)
			GRI 418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data.
	Tax information	Profits obtained by country	GRI 207-4 Country-by-country reporting
		Income tax paid	GRI 207-4 Country-by-country reporting
		Public grants received	GRI 201-4 Financial aid received from the government

Scope	Reporting Framework
Taxonomy	EU 2020/852 regulation

2.6.3. Alternative Performance Measures

The Viscofan Group has included in this report various Alternative Performance Measures (hereinafter APMs), as established in APM Guidelines published by the European Securities and Markets Authority on 5 October 2015 (ESMA/2015/1415es) and adopted by the National Securities Market Commission (the CNMV).

This involves a series of measures designed using the financial information of Viscofan, S.A. and its subsidiary companies, and they are complementary to the financial information drawn up in agreement with International Financial Reporting Standards (IFRS). Under no circumstance should they be assessed separately or considered a substitute.

They are measures used internally in decision-making processes and which the Board of Directors decides to report externally if it believes they provide additional information that is useful in the analysis and assessment of the Viscofan Group's results and its financial situation.

The APMs included in this report are as follows:

- The EBITDA, or operating income before depreciation and amortisation, is calculated excluding depreciation and amortisation costs from the operating profit. The EBITDA is a measure commonly reported and widespread among analysts, investors and other stakeholders in the casing industry. The Viscofan Group uses this measure to monitor the business' development and to establish operational and strategic objectives in Group companies. However, it is not a defined indicator in IFRS and, therefore, it may not be compared with other similar indicators employed by other companies in their reports.

- Consumption costs: This is calculated as the net amount of supplies plus the change in finished and unfinished products. Management monitors consumption costs as one of the main cost components for Viscofan. The weight of this cost component on income or gross margin is also analysed to study the operating margin's development. However, it is not a defined indicator in IFRS and consumption costs must not be considered a substitute for the different items in the profit and loss account that comprise them. Furthermore, it may not be compared with other similar indicators employed by other companies in their reports.

- Net bank debt: This is calculated as non-current borrowings plus current borrowings netted from cash and cash equivalents. Management considers net bank debt to be relevant to shareholders and other stakeholders as it provides an analysis of the Group's solvency. However, net bank debt should not be considered a substitute for gross bank debt in the consolidated balance sheet, nor other liability or asset items that may affect the Group's solvency.

- Like-for-like income and EBITDA: This measure excludes the impact of exchange rate fluctuations compared to the previous comparable period to present a like-for-like comparison of the Viscofan Group's performance. However, like-for-like income and EBITDA are not defined indicators in IFRS and, therefore, they may not be compared with other similar indicators employed by other companies in their reports, nor may they be considered a substitute for the business development indicators defined in IFRS.

ANNUAL CORPORATE GOVERNANCE REPORT OF LISTED CORPORATIONS

(Free translation from the original in Spanish, in event of discrepancy, the Spanish-language version prevails)

ISSUER IDENTIFICATION DETAILS

Financial year end:	31/12/2023
COMPANY TAX ID:	A-31065501

Registered Name:

VISCOFAN, S.A.

Registered address:

CALLE BERROA N.15, 4 PLANTA, POLÍGONO INDUSTRIAL BERROA, 31192 (TAJONAR) NAVARRA

A. OWNERSHIP STRUCTURE OF THE COMPANY

A.1. Complete the following table on share capital and attributed voting rights. Include, where appropriate, loyalty shares, as at the close of the financial year:

Indicate whether the company by-laws provide for double votes originating from loyalty shares:

[ ] Yes
[√] No

Date of last change	Share capital (euros)	Number of indirect	Number of total voting rights
25/01/2019	32.550.000,00	46.500.000	46.500.000

Indicate if there are different classes of shares with different rights associated with them:

[ ] Yes
[√] No

A.2. Detail the direct and indirect owners of significant holdings at year-end, including directors that have a significant shareholding:

Name or corporate name of the shareholder	% voting rights attributed to the shares		% voting rights via financial instruments		% total voting rights
	Direct	Indirect	Direct	Indirect	
CORPORACIÓN FINANCIERA ALBA S.A.	14,25	0,00	0,00	0,00	14,25
APG ASSET MANAGEMENT N.V.	9,99	0,00	0,00	0,00	9,99
MR SANTIAGO DOMECQ BOHÓRQUEZ	0,00	5,02	0,00	0,00	5,02
SETANTA ASSET MANAGEMENT LIMITED	0,00	3,96	0,00	0,00	3,96

Details of the indirect investment:

Name (person or company) of the indirect holder	Name (person or company) of the direct holder	% voting rights attributed to the shares	% voting rights via financial instruments	% total voting rights
MR SANTIAGO DOMECQ BOHÓRQUEZ	ANGUSTIAS Y SOL S.L.	5,02	0,00	5,02
SETANTA ASSET MANAGEMENT LIMITED	OTHER COMPANY SHAREHOLDERS	3,96	0,00	3,96

Indicate the most significant movements in the shareholding structure during the year:

A.3. Regardless of the percentage, indicate as at the end of the financial year the shareholdings of the members of the board of directors with voting rights attributed to shares of the company or through financial instruments, excluding those directors identified in section A.2.

Name of director (person or company)	% voting rights attributed to shares (including loyalty votes)		% of voting rights from financial instruments		% total voting rights	Of the total % of voting rights attached to the shares, indicate, if applicable, the % of additional votes attached to loyalty voting shares	
	Direct	Indirect	Direct	Indirect		Direct	Indirect
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	0,16	0,00	0,00	0,00	0,16	0,00	0,00
MR JOSÉ ANTONIO CANALES GARCÍA	0,08	0,02	0,00	0,00	0,10	0,00	0,00
MR JAIME REAL DE ASÚA Y ARTECHE	0,00	0,00	0,00	0,00	0,00	0,00	0,00
MR JOSÉ MARÍA ALDECOA SAGASTASOLOA	0,00	0,00	0,00	0,00	0,00	0,00	0,00
MS LAURA GONZÁLEZ MOLERO	0,00	0,00	0,00	0,00	0,00	0,00	0,00

Name of director (person or company)	% voting rights attributed to shares (including loyalty votes)		% of voting rights from financial instruments		% total voting rights	Of the total % of voting rights attached to the shares, indicate, if applicable, the % of additional votes attached to loyalty voting shares	
	Direct	Indirect	Direct	Indirect		Direct	Indirect
MS AGATHA ECHEVARRÍA CANALES	0,09	0,00	0,00	0,00	0,09	0,00	0,00
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	0,00	0,00	0,00	0,00	0,00	0,00	0,00
MR ANDRÉS ARIZKORRETA GARCÍA	0,01	0,00	0,00	0,00	0,01	0,00	0,00
MR JAVIER FERNÁNDEZ ALONSO	0,00	0,00	0,00	0,00	0,00	0,00	0,00
VERÓNICA PASCUAL BOÉ	0,00	0,00	0,00	0,00	0,00	0,00	0,00

Total % of voting rights of the held by members of the board of directors:	0,36

Javier Fernández Alonso is a proprietary director representing Corporación Financiera Alba S.A.
Santiago Domecq Bohórquez is a nominee director representing Angustias y Sol S.L.

Details of the indirect investment:

Name of director (person or company)	Name or company name of the direct shareholder	% voting rights attributed to shares (including loyalty votes)	% of voting rights from financial instruments	% total voting rights	Of the total % of voting rights attached to the shares, indicate, if applicable, the % of additional votes attached to loyalty voting shares
MR JOSÉ ANTONIO CANALES GARCÍA	OTHER COMPANY SHAREHOLDERS	0,02	0,00	0,02	0,00

Indicate the total percentage of voting rights represented on the board of directors:

Total percentage of voting rights represented on the board of directors:	19,62

A.4. Describe, if applicable, the family, commercial, contractual or corporate relationships between significant shareholders, to the extent known to the Company, unless they are immaterial or result from the ordinary course of business, except those shown in the section A.6:

Related name (person or company)	Type of relationship	Short description
N/D		

A.5. Where applicable, indicate any commercial, contractual or corporate relationships between holders of significant shareholdings, and the company and/or its group, unless they are of little relevance or due to ordinary trading or exchange activities:

Related name (person or company)	Type of relationship	Short description
N/D		

A.6. Describe the relationships, unless they are scarcely relevant to the two parties, between the significant shareholders or those represented on the board, and the directors, or their representatives, in the case of legal entity administrators.

Explain, if applicable, how significant shareholders are represented. Specifically, indicate the directors who have been appointed on behalf of significant shareholders, those whose appointment would have been encouraged by significant shareholders, or those who are linked to significant shareholders and/or entities of their group, with a specification of the nature of such associating relationships. Especially and where applicable, details will be given of the identity and position of members of the board or representatives of directors of the listed company who are also members of the administrative body, or their representatives, in companies that have a significant shareholding in the listed company or in group entities of these significant shareholders:

Name of director (person or company) or representative associated	Name or company name of the significant shareholder associated	Name of the Group Company of the significant shareholder	Relationship/position description
MR SANTIAGO DOMECQ BOHÓRQUEZ	ANGUSTIAS Y SOL S.L.	ANGUSTIAS Y SOL S.L.	Corporate. Santiago Domecq holds 100% of the share capital of Angustias y Sol S.L.
MR JAVIER FERNÁNDEZ ALONSO	CORPORACIÓN FINANCIERA ALBA S.A.	CORPORACIÓN FINANCIERA ALBA S.A.	Professional. Mr Javier Fernández Alonso is Managing Director of

Name of director (person or company) or representative associated	Name or company name of the significant shareholder associated	Name of the Group Company of the significant shareholder	Relationship/position description
			Corporación Financiera Alba, S.A.

A.7. Indicate whether the company has been informed of any shareholder agreements that may affect it as set out under articles 530 and 531 of the Corporate Enterprises Act. Where applicable, briefly describe them and list the shareholders bound by such agreement:

[ ] Yes
[√] No

Indicate whether the company is aware of the existence of concerted actions amongst its shareholders. If so, describe them briefly:

[ ] Yes
[√] No

Expressly indicate whether any of such agreements, arrangements or concerted actions have been modified or terminated during the fiscal year:

A.8. Indicate whether any person or organisation exercises or may exercise control over the company pursuant to article 5 of the Securities Exchange Act. If so, identify names:

[ ] Yes
[√] No

A.9. Fill in the following tables about the Company's treasury stock: At

year-end:

Number of direct shares	Number of indirect shares (*)	% of total share capital
419.095		0,90

(*) Via:

name or company name of the direct shareholder	Number of direct shares
N/D	

Explain the significant changes that occurred during the year:

Explain the significant changes

During the 2023, 15,389 treasury shares were delivered to Viscofan staff within the framework of the company's variable remuneration plans.

Also in 2023, the Company acquired 112,800 treasury shares under the protection of the authorisation granted by the General Shareholders' Meeting on 27 April 2023.

Thus, as of 31 December 2023, the company held 419,095 treasury shares representing 0.90% of the voting rights.

A.10. Describe the conditions and term of the current mandate from the general shareholders' meeting to the Board of Directors to issue, buy back and transfer treasury shares.

Extract of the Minutes of the General Shareholders Meeting held on 27 April 2023 on second call, the following resolution was adopted by majority:

To authorise the Board of Directors, with express power of substitution, for the derivative acquisition of shares in the Company, directly or through Viscofan Group companies, in accordance with articles 146, 509 and concordant articles of the Capital Companies Act and, if appropriate, to reduce the share capital to redeem treasury stock and consequent amendment of article 5 of the Articles of Association. Delegation of necessary powers to the Board of Directors so it can implement resolutions.

The conditions were as follows:

(a) Purchases may be made directly by the Company or by any of its subsidiaries under the same terms as this resolution.
(b) Purchases will be made in one or more times through purchase, exchange or any other transactions permitted by law.
(c) Purchases may be made at any time up to the maximum amount allowed by law.
(d) Purchases may not be made at a price lower than the share's par value and 15% higher than the listed price of the share in the Spanish Stock Exchange Interconnection System at the time the purchase order is entered.
(e) The authorisation is granted for a period of five years from the date this resolution is passed.
(f) As a result of the purchase of shares, including those that the Company or the person acting in its own name but on behalf of the Company had previously acquired and had in its portfolio, the resulting equity may not be reduced below the amount of the share capital plus reserves that are legally or statutorily restricted, in accordance with the provisions of article 146.1(b) of the Corporate Enterprises Act.

It is expressly resolved that the own shares purchased as a result of this authorization, as well as those previously purchased by virtue of the previous authorisation granted on 25 May 2018, may be used either for disposal or redemption, or application of the remuneration systems referred to in the third paragraph article 146(a) of the Corporate Enterprises Act and especially be used, in whole or in part, for delivery to the beneficiaries of any remuneration plan(s) for directors, managers and employees of the Company that, as the case may be, are approved.

In order to be able to redeem any treasury shares of Viscofan S.A. held on its balance sheet, charged to profits or unrestricted reserves and for the amount that is convenient or necessary at any given time, reduce the share capital to the maximum of treasury shares at any given time, it delegates to the Board of Directors the execution of the previous capital reduction resolution. The Board may carry out such execution one or more times within a maximum period of five years, from the date of this resolution and carry out all processes, procedures and authorisations that are necessary or required by the Corporate Enterprises Act and any other provisions that are applicable. In particular,

it is delegated so that, within the term and limits indicated for such execution, it may fix the date or dates of the specific capital reduction or reductions, their timeliness and advisability, taking into account market conditions, the share price, the economic and financial situation
of the Company, its cash flow, reserves and development of the company and any other aspect that may influence such decision; specify the amount of the capital reduction; determine whether the reduction is to be made either from a restricted reserve or from unrestricted reserves, providing, where appropriate, the guarantees and complying with the legally required conditions; adapt article 5 of the Articles of Association to the new figure for the share capital; request the delisting of the redeemed securities and, in general, adopt such resolutions as may be necessary for the purposes of such redemption and consequent capital reduction, designating the persons who may intervene in its formalisation.

This resolution revokes and nullifies, in the amount not used, the authorisation granted at the General Shareholders' Meeting held on 25 May 2018 in its fifth item on the agenda.

A.11. Estimated floating capital:

	%
Estimated floating capital	65,52

A.12. Indicate whether there is any restriction (statutory, legislative or of any other nature) on the transferability of securities and/or any restriction on voting rights. In particular, report the existence of any type of restrictions that may make it difficult to take control of the company through the acquisition of its shares in the market, as well as authorisation or prior notice systems that are applicable to the acquisitions or transfers of the company's financial instruments by sectoral regulations.

[ ] Yes
[√] No

A.13. Indicate whether the General Meeting has agreed to adopt measures to neutralise a public takeover bid, pursuant to Act 6/2007.

[ ] Yes
[√] No

If so, explain the measures approved and the terms and conditions under which the restrictions would become inefficient:

A.14. Indicate whether the company has issued securities that are not traded on a regulated market in the EU.

[ ] Yes
[√] No

Where applicable, indicate the different types of shares, and what rights and obligations each share class confers.

B. GENERAL SHAREHOLDER'S MEETING

B.1. Indicate and, if applicable, explain whether there are differences with the minimum requirements set out in the Corporate Enterprises Act ("CEA") in connection with the quorum needed to hold a valid General Shareholders' Meeting.

[ ] Yes
[√] No

B.2. Indicate, and where applicable give details, whether there are any differences from the minimum standards established under the Corporate Enterprises Act (CEA) for the adoption of corporate resolutions:

[ ] Yes
[√] No

B.3. Indicate the rules applicable to amendments to the company by-laws. In particular, report the majorities established for amending the Bylaws, and, if applicable, the rules established to safeguard member rights when amending the Bylaws.

There is no specific regulation for the amendment of articles of association other than that provided for by the applicable regulations themselves, relating to the requirements established by art. 194 of the Capital Companies Act for the quorum of constitution reinforced in special cases and by the other provisions of Title VIII "The amendment of the articles of association" of the aforementioned regulation.

The requirements for passing resolutions to modify company bylaws set forth in article 20 of the Bylaws and articles 18 and 22 of the Regulations of the General Shareholders' Meeting match those stated above.

B.4. Indicate the data on attendance at the general shareholders' meetings held the year to which this report refers and the previous two years:

	Attendance information				
General Shareholders Meeting Date	% shareholders present	% Attending by proxy	% voting remote		Total
			Electronic vote	Other	
23/04/2021	19,30	62,20	0,00	0,60	82,10
Of floating capital	0,38	51,84	0,00	0,60	52,82
29/04/2022	19,90	62,20	0,00	0,60	82,70
Of floating capital	0,04	51,83	0,00	0,60	52,47
27/04/2023	20,10	63,70	0,00	2,30	86,10
Of floating capital	0,55	55,52	0,00	2,30	58,37

B.5. Indicate whether there have been any items on the agenda at the general meetings held during the year that, for any reason, have not been approved by the shareholders.

[ ] Yes
[√] No

B.6. Indicate if there is a statutory restriction that establishes a minimum number of shares necessary to attend the general shareholders' meeting, or to vote remotely.

[√] Yes
[ ] No

Number of shares necessary to attend the General Shareholders' meeting:	100
Number of shares necessary to vote remotely	1

B.7. Indicate whether it has been established that certain decisions, other than those established by law, involving an acquisition, transfer, contribution of essential assets to another company or other similar corporate operations must be submitted for the approval of the general shareholders' meeting.

[ ] Yes
[√] No

B.8. Indicate the address and means of access through the company website to the information on corporate governance and other information on the general meetings that must be made available to shareholders on the company's website.

The information is published on Viscofan's website whose address is: www.viscofan.com

The information relating to Corporate Governance is available on the Corporate Governance tab, which can be found at the top of the website homepage.

The information relating to the General Shareholders Meetings is available on the Investor Relations tab, located at the top of the website homepage. Once inside the tab, the information can be accessed by selecting the General Shareholders' Meeting section. Moreover, as of the date of publication of the notice to hold a new General Meeting, a direct link is enabled on the company's Home Page where the notice of meeting is found and in accordance with the shareholders' right to information, there is also access to legally-required documentation and other documentation for information purposes.

C. CORPORATE GOVERNANCE STRUCTURE

C.1. Board of directors

C.1.1 Maximum and minimum number of directors established in the bylaws and the number set by the general meeting:

Maximum number of Directors	12
Minimum number of Directors	5
Total number of Directors set by the board	11

C.1.2 Fill in the following table on the Board members:

Name of director (person or company)	Representative	Type of directorship	Position on the board	Date first elected	Date of last election	Election procedure
MR JOSÉ DOMINGO DE AMPUERO Y OSMA		Executive	CHAIRMAN	27/02/2009	27/04/2023	VOTE AT THE GENERAL SHAREHOLDERS ' MEETING
MR JOSÉ ANTONIO CANALES GARCÍA		Executive	DIRECTOR	11/04/2014	29/04/2022	VOTE AT THE GENERAL SHAREHOLDERS ' MEETING
MR JAIME REAL DE ASÚA Y ARTECHE		Independent	VICE-CHAIRMAN	11/04/2014	29/04/2022	VOTE AT THE GENERAL SHAREHOLDERS ' MEETING
MR JOSÉ MARÍA ALDECOA SAGASTASOLOA		Independent	INDEPENDENT LEAD DIRECTOR	23/05/2012	29/04/2022	VOTE AT THE GENERAL SHAREHOLDERS ' MEETING
MS LAURA GONZÁLEZ MOLERO		Independent	DIRECTOR	25/05/2018	29/04/2022	VOTE AT THE GENERAL SHAREHOLDERS ' MEETING
MS AGATHA ECHEVARRÍA CANALES		Other External	DIRECTOR	24/06/1998	29/04/2022	VOTE AT THE GENERAL SHAREHOLDERS ' MEETING
SANTIAGO	ANGUSTIAS Y SOL S.L.	Nominee	DIRECTOR	21/04/2016	24/04/2020	BOARD AGREEMENT

Name of director (person or company)	Representative	Type of directorship	Position on the board	Date first elected	Date of last election	Election procedure
DOMECQ BOHÓRQUEZ						GENERAL SHAREHOLDERS' MEETING
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI		Independent	DIRECTOR	29/04/2022	29/04/2022	VOTE AT THE GENERAL SHAREHOLDERS ' MEETING
MR ANDRÉS ARIZKORRETA GARCÍA		Independent	DIRECTOR	29/04/2022	29/04/2022	VOTE AT THE GENERAL SHAREHOLDERS ' MEETING
MR JAVIER FERNÁNDEZ ALONSO	CORPORACIÓN FINANCIERA ALBA S.A.	Nominee	DIRECTOR	23/06/2022	27/04/2023	VOTE AT THE GENERAL SHAREHOLDERS ' MEETING
VERÓNICA PASCUAL BOÉ		Independent	DIRECTOR	20/12/2023	20/12/2023	COOPERATION

Total number of Directors	11

Indicate any dismissals that have occurred on the Board of Directors as a result of resignation or by agreement at the General Shareholders' Meeting during the reporting period.

Name of director (person or company)	Condition of director at time of severance	Date of last election	Date of leaving	Specialised committees of which he/she was a member	Indicate whether the dismissal occurred before the end of their term
MS CARMEN DE PABLO REDONDO	Independent	24/04/2020	20/12/2023	AUDIT COMMITTEE	YES

Cause of removal, if before the end of the term of office and other remarks; information on whether the director has sent a letter to the other members of the board and, in the case of removals of non-executive directors, explanation or opinion of the director who has been removed by the general meeting

Carmen de Pablo Redondo, independent external director, whose term of office was due to expire on 24 April 2024, resigned with effect on 20 December 2023 as a member of the Company's Board of Directors and its Audit Committee. This resignation was preceded by a letter addressed to all directors in which she explained that her increased professional responsibilities as Chief Financial
Officer, Strategy, Sustainability, M&A and Systems Director at her company make it difficult for her at the present time to adequately combine her duties as a director of Viscofan.

C.1.3 Fill in the following tables on the Board members and their different kinds of directorship:

EXECUTIVE BOARD MEMBERS		
Name of director (person or company)	Position within company organisation	Profile
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	EXECUTIVE CHAIRMAN	Industrial Engineer from Bilbao's Higher School of Industrial Engineers and Master of Business Administration from the University of Southern California. Los Angeles. USA. His extensive career has led him to hold various important positions, such as Vice-Chairman of Naviera Vizcaína, Chairman of S.A. de Alimentación, Vice-Chairman of BBVA Bancomer (México), Chairman of Bodegas y Bebidas, Vice-Chairman of Banco Bilbao Vizcaya Argentaria S.A., Vice-Chairman of Iberdrola, Chairman of Cementos Lemona S.A., Director of Tubacex S.A., Director Corporación Financiera Alba and member of the Board of Directors of the Asociación para el Progreso de la Dirección. He is Chairman of Autopista Vasco-Aragonesa S.A. and with effect from 6 February 2024, he has been appointed Chairman of Autovía del Camino S.A. Among other activities, he is also a member of the Basque Business Circle, of which he is the former chairman, and a member of the Board of Caridad de la Santa y Real Casa de Misericordia of Bilbao, of which he is also the former chairman. He was Executive Chairman of the Viscofan Group from 27 February 2009 until 31 December 2023, contributing to the enhancement of the Group's leadership and its growth and geographic expansion. Since 1 January 2024, he has been Non-Executive Chairman of Viscofan S.A.
MR JOSÉ ANTONIO CANALES GARCÍA	GENERAL MANAGING DIRECTOR	Degree in Economics and Business from Deusto Business School, Advanced course of studies in International Transport & Distribution at the London School of Foreign Trade. He has in-depth knowledge of the casings business, thanks to his experience within the Viscofan Group, which he joined in 1996 as Managing Director of Viscofan do Brasil, where he led the expansion of the Viscofan Group in South America until his appointment in 2006 as Managing Director of Viscofan, S.A. and the Group of companies of which it is the parent company, a position from which he has significantly contributed to strengthening Viscofan's leadership and its international expansion. Since January 2024, he has held the position of Chief Executive Officer. He is a member of the advisory board of ABE capital partners and of the Board of Trustees representing the Viscofan Group at Fundación Cetena (CEMITEC) and until 2019 he was a director of Maxam Corporation Holding, S.L. He is also a member of the Board of Directors of ACERMAS, Asociación Centro Rafaela María de Acción Social, for the integration of people with mental disabilities.

Total number of Executive Directors	2
% of total directors	18,18

EXTERNAL PROPRIETARY DIRECTORS		
Name of director (person or company)	Name or company name of the significant shareholder he/she represents or who proposed his/her appointment	Profile
MR SANTIAGO DOMECQ BOHÓRQUEZ	ANGUSTIAS Y SOL S.L.	He studied at the School of Economic and Business Sciences of the Universidad Pontificia Comillas-ICADE (Madrid) and at the School of Economic and Business Sciences of the University of Cádiz (UCA). Specialisation course in Managing Agrifood Companies (DEA) at the International Institute San Telmo (Seville). In his broad professional experience as an entrepreneur, his appointments include Director of Coca-Cola Iberian Partners, S.L. until 2015, and prior to that, from 1997 Director of Refrescos Envasados del Sur, S.A. (RENDELSUR), a company that joined Coca-Cola Iberian Partners S.L. in 2013. He was also a Director of Algar Aguas de Cádiz, S.A. He is currently a Member of the Provincial Board of Cádiz, a member of the Los Alcornocales Nature Reserve and Member of the Provincial Environment Council. He is the Sole Director of Angustias y Sol, S.L and of its group of subsidiary companies operating in the financial, agriculture and livestock sectors, among others. Proprietary Director of Viscofan representing Angustias y Sol S.L., and member of its Appointments, Remuneration and Sustainability Committee.
MR JAVIER FERNÁNDEZ ALONSO	CORPORACIÓN FINANCIERA ALBA S.A.	Degree in Business Administration and Management from the University of Deusto, with honours, specialising in Finance. He has extensive experience in business management and administration. He is currently the Managing Director of Corporación Financiera Alba, S.A. In 2000, he started his career in investment banking (mergers and acquisitions) at Goldman Sachs in London and subsequently joined ABN AMRO in Madrid in 2002. In 2006, he joined the Investment Department of Corporación Financiera Alba, S.A. and was appointed Deputy Chief Investment Officer in 2007, Chief Investment Officer in 2012 and Chief Executive Officer from 2020. On behalf of Alba, he is currently a member of the Board of Directors of CIE Automotive S.A, Ebro Food S.A., Profand Fishing Holding S.L and the vehicles Rioja y Rioja Acquisition S.à r.l. (Naturgy). Previously, he was Director, among others, of Acerinox, ACS, Dragados, ACS Servicios y Concesiones, Euskaltel, Parques Reunidos and Clínica Baviera. In addition, he is a member of the Investment Committee of two funds managed by Artá Capital SGEIC, S.A. and of several of the group's private equity vehicles. Since June 2022, he has been a proprietary director of Viscofan, S.A. on behalf of Corporación Financiera Alba and a member of its Audit Committee.

Total number of nominee directors	2
% of total directors	18,18

EXTERNAL INDEPENDENT DIRECTORS	
Name of director (person or company)	Profile
MS LAURA GONZÁLEZ MOLERO	Ms González Molero holds a Degree in Pharmacy, specialising in industry, from the Universidad Complutense de Madrid, an Executive MBA from the IE Business School awarded in 1999 and has taken advanced courses in prestigious international academic institutions such as Insead, IMD and Harvard. She has held senior executive positions in major international corporations in the Healthcare and Chemical sectors in Europe and America. She was Chairwoman for Latin America at Merck Serono Biopharmaceuticals and Bayer Healthcare, having resided in Brazil and the United States, where she was responsible for more than two thousand five hundred employees and managed business figures in excess of one billion dollars, which has made her an international benchmark in these sectors. Her work as an executive has been rewarded on numerous occasions. She has also been an independent director of Bankia SA until its merger with Caixabank in March 2021 and of Ezentis SA until June 2022. Between 2010 and 2016 She was an independent director of Viscofan, and a member of its Appointments and Remuneration Committee, where she carried out an important job promoting and consolidating the functions of this Committee, as well as contributing diversity to the Board's decision-making through her participation in the various debates and deliberations where her criteria and opinion have contributed to the development of the Viscofan Group until the end of her mandate as an independent Director in 2016, when her professional commitments prevented her from considering her renewal as a Director. She is currently an independent director of Acerinox SA, Banco Sabadell, President of the Asociación para el Progreso de la Dirección (ApD), member of the Advisory Board of ISS in Spain. She is member of the Board of Directors of Viscofan S.A. and a member of the Audit Committee of which she chairs.
MR JAIME REAL DE ASÚA Y ARTECHE	Industrial engineer, specialising in industrial organisation from the ETSII (Bilbao). Mr Real de Asúa y Arteche is currently Non-executive Chairman of the Board of Directors of Elecnor S.A., Chairman of the Executive Committee and member and secretary of the Appointments, Remuneration and Sustainability Committee. He is also Chairman of the Committee of Elecnor Servicios y Proyectos and Director of Enerfín Sociedad de Energía, S.L., belonging to the Elecnor Group, Vice-Chairman of Cantiles XXI, S.L, and Director of Onchena, S.L. In addition, he is a member of the BBVA Advisory Board of the Northern Zone and of the Business Circle, and member of the Board of Trustees of the Adey Foundation. He has also been Chairman and Director of Adhorna Prefabricación S.A. until its takeover merger by Elecnor in 2015, and director of Celeo Concesiones e Inversiones, S.L.U., as well as the Elecnor Group. From 1987 to 2012, he was director of Internacional de Desarrollo Energético, S.A. (IDDE) and until May 2023 has been Director of Tasdey S.A. At the same time, from 1981 until 2011 he was linked to Grupo Cementos Portland Valderrivas, where he held different management positions and was a member of the Board of Directors of various companies of this Group. He is Vice-Chairman of the Board of Directors of Viscofan, S.A, and Chairman of the Appointments, Remuneration and Sustainability Committee.
MR JOSÉ MARÍA ALDECOA SAGASTASOLOA	Technical Engineer in Electronics from the University of Mondragón and Senior Business Management Programme from IESE. Throughout his long professional career, he has held various posts at COPRECI (1971-1982). He was Managing Director of Fagor Electrónica and a member of the Board of Directors of Fagor, S. Coop (1982-1991). Between 1984 and 1991, he was Vice-Chairman of ANIEL (National Association of Electronic Industries) and Board member of Asociación Europea de Componentes Electrónicos (EECA). From 1992 he continued his professional activities

EXTERNAL INDEPENDENT DIRECTORS	
Name of director (person or company)	Profile
	at MONDRAGON CORPORACION as Vice Chairman (1992-2006), managing the Components Division (1992-1999) and the Automotive Division (1999-2006). In 2007 he was appointed Chairman, a position he held until July 2012. He has a wealth of experience in the international industrial world, especially in Asia, including the creation of Fagor Electrónica in Hong Kong and Thailand and the integration of the production plants in the Kunshan industrial park, China. He has been a Director of several component and automotive companies (Copreci in the Czech Republic and Mexico), Fagor Ederlan in Brazil and Slovakia, Paranoa-Cicautxo in Brazil, FPK, Chairman of Vitorio Luzuriaga) and the position of board member (1992-2006) and Chairman (2007-2012) at MONDRAGON INVERSIONES. He was an independent director and member of the Executive Committee of Gamesa Corporación Tecnológica, S.A. from 2012 to 2017. He is a member of the Board of Directors of Viscofan S.A., and of the Appointments, Remuneration and Sustainability Committee and has been a member of the Audit Committee until November 2022. In 2014 he was appointed Coordinating Director.
MR ANDRÉS ARIZKORRETA GARCÍA	Degree in Economics from the University of Deusto. He has extensive experience in General Management as CEO of a listed company with a wide projection in the Spanish industrial business environment. Accustomed to international business development, he has been able to successfully implement his company in all global markets. He has spent his entire professional career at CAF. He started in the economic area in 1980 in an internal control post and progressed until 1982, when he became responsible for accounting, administration and people in the areas related to manufacturing. This experience gave him in-depth knowledge of CAF factory environments and the understanding of operations. In 1987, he was appointed Personnel Director of the Company and in 1989 he became Director of the Beasain and Irún plants. In 1992, he became a member of the Board of Directors and has been appointed Managing Director of the company. In 2006, he was appointed as CEO of the CAF Group until 2015, the year in which he was appointed as the Company's Executive Chairman, holding the post of Non-Executive Chairman since 2021. He is also linked with Deusto Business School as a Director with the Management Knowledge Cluster as Chairman, and with the Technical Research Centre of Guipúzcoa as a member of the Board of Trustees. His current responsibilities in addition to his current roles at CAF include at Orkestra Basque Institute of Competitiveness, where he is a member of the Board. He is also the Chairman of the Circle of Basque Businessmen, member of the Academy of Sciences, Arts and Letters (Jakiunde), and of the Board of Trustees of the Donostia International Physics Center Foundation. He has been a member of the Board of Directors of Viscofan, S.A. since April 2022, and of its Appointments, Remuneration and Sustainability Committee, and its Audit Committee.
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	Ms Henríquez de Luna Basagoiti holds a degree in Business Administration from Universidad Pontificia Comillas (ICADE E2). She has in-depth experience and financial knowledge of multinational best practices in various sectors and extensive international experience in both developed and developing markets and has worked in Spain, Germany, Peru, Mexico, Switzerland and the UK. Between 1989 and 2010, she spent her career at Procter & Gamble, where she joined as a Financial Analyst (1989-1991), then coupling posts of varying responsibility: Finance Manager, Cosmetics and Fragrances, (1991-1994), Director of Finance and Accounting for Peru, Ecuador and Bolivia (1994-2001), Treasurer Latam (2001-2004), Chief Financial and Accounting Officer, Latam North (2004-2006) and Vice President of Finance and

EXTERNAL INDEPENDENT DIRECTORS	
Name of director (person or company)	Profile
	Accounting for Western Europe (2006-2010) where she led an financial organisation for an $18-billion revenue region. In 2010, she joined GSK as Senior Vice President Finance for Pharma Europe and, two years later, also assumed financial responsibility for the Global Franchises. In 2014, she was appointed President and CEO in Spain, with responsibility for Iberia and Israel. In May 2023, as a result of a strategic reorganisation of GSK in Europe, she left her responsibilities as head of Portugal and Israel, and is currently Chairwoman and CEO of GSK in Spain. She is also currently a Director and member of the Audit and Compliance Committee of the companies Meliá Hotels International, S.A. and Applus Services, S.A. She is the Vice Chairwoman of the Health Sciences Foundation, the Vice Chairwoman of the Spain Health Foundation, and the Vice Chairwoman of Farmaindustria and member of its Governing Council and Board of Directors. She is a member of the Executive Committee and Trustee of the SERES Foundation, Society and Responsible Business, as well as Trustee of the Cotec Foundation. Since 2022, she has been an Independent Director of Viscofan, S.A. and a member of its Audit Committee.
MS VERÓNICA PASCUAL BOÉ	Ms Pascual Boé holds a degree in Aeronautical Engineering from the Polytechnic University of Madrid, a Master in Business Administration (MBA) from the Collège des Ingénieurs de Paris and an Executive Master in Positive Leadership and Strategy (EXMPLS) from IE Business School. She also holds several postgraduate degrees from INSEAD, Stanford, and Harvard Business School. She is an entrepreneur who has led a group of companies linked to digital transformation for 18 years, headed by ASTI Mobile Robotics Group, a company based in Spain, France, Germany and the United States, engaged in supplying autonomous vehicle systems for the automation of industrial processes in sectors such as automotive, food, cosmetics, pharmaceuticals and retail. As of August 2021, ASTI Mobile Robotics was integrated into ABB Robotics and Ms Pascual became Global Manager of Autonomous Mobile Robotics until January 2023. She currently leads her family office, ALBP Corp, one of whose main objectives is to invest in technology-based projects. Ms Pascual also chairs the ASTI Technology and Talent Foundation, a foundation created for the development of STEM talent for young people from an early age. She is also Vice-Chairman of Endeavor España, member of the Advisory Board of Telefónica Tech, and Director of the companies Telefónica S.A., General de Alquiler de Maquinaria, S.A. (GAM), Telefónica Audiovisual Digital, Marsi Bionics and Viscofan. She began her international career in the Strategic Human Resources Management Department of the multinational industrial group Bouygues. In 2004, she joined the family company ASTI, having held different positions in the company's management (Technical and Commercial Management). At the end of 2006, she took over as CEO and, in 2008, opted for the acquisition of the company. Previously, she has held various positions, including, among others, the following: Promoter and Founder of the Digital Innovation Hub of Burgos, through ASTI of DIHBU (2018); Chair of the Industry 4.0 Working Group of the Junta de Castilla y León (2016 - 2018); Chair of the Industry Committee 4.0 and Vice-President for Talent Development at AMETIC (2016-2018); Member of the Advisory Board of the University System Quality Agency (2015-2016); Member of the Advisory Board of EAE Business School (2015 - 2016); Member of the Governing Council of APD Castilla y León (2014 - 2015); Member of the Board of Directors of Empresa Familiar Castilla y León (2001 - 2013) She is an Independent Director of Viscofan SA.

Total number of Independent Directors	6
% of total directors	54,55

Indicate whether any director considered an independent director is receiving from the company or from its group any amount or benefit under any item that is not the remuneration for his/her directorship, or maintains or has maintained over the last year a business relationship with the company or any company in its group, whether in his/her own name or as a significant shareholder, director or senior manager of an entity that maintains or has maintained such a relationship.

Where applicable, include a reasoned statement from the Board with the reasons why it deems that this director can perform his/her duties as an independent director.

Name of director (person or company)	Description of the relationship	Motivated declaration
N/D		

OTHER EXTERNAL DIRECTORS			
Identify all other external Directors and explain why these cannot be considered proprietary or independent Directors and detail their relationships with the company, its executives or its shareholders:			
Name of director (person or company)	Reasons	Company, senior manager or shareholder to which Director has ties	Profile
MS AGATHA ECHEVARRÍA CANALES	For having remained on the Board of Directors for more than 12 years	-----	Degree in Law and a graduate in Business Studies from the Universidad Pontificia de Comillas (ICADE). She has had broad professional experience in a number of multinationals, such as the audit firm Touche and Ross, S.A., British Petroleum España, S.A. and in the investment bank Charterhouse Limited where she held the position of Managing Director and Director of its Spanish subsidiary, and founder and director of D+A Documentación y Análisis S.A. She has acted as a business strategy adviser to family firms and is currently Director of Papelera Guipuzcoana de Zicuñaga, SA and Banca March being part of its Audit

OTHER EXTERNAL DIRECTORS			
Identify all other external Directors and explain why these cannot be considered proprietary or independent Directors and detail their relationships with the company, its executives or its shareholders:			
Name of director (person or company)	Reasons	Company, senior manager or shareholder to which Director has ties	Profile
			Committee and Remuneration Committee. She is a member of the Board of Directors of Viscofan, S.A. and of its Audit Committee.

Total number of other external directors	1
% of total directors	9,09

Indicate any changes that may have occurred during the period in the type of directorship of each director:

Name of director (person or company)	Date of the change	Former category	Current category
N/D			

C.1.4 Fill in the following table with information regarding the number of female directors at year-end over the last 4 years, and the category of their directorships.

	Number of female directors				% of total female directors of each category			
	FY 2023	FY 2022	FY 2021	FY 2020	FY 2023	FY 2022	FY 2021	FY 2020
Female Executives					0,00	0,00	0,00	0,00
Female Proprietary Directors					0,00	0,00	0,00	0,00
Independent	3	3	2	2	50,00	50,00	40,00	40,00
Other external	1	1	1	1	100,00	100,00	50,00	50,00
Total	4	4	3	3	36,36	36,36	27,27	27,27

C.1.5 Indicate whether the company has diversity policies in relation to the company's board of directors with regard to issues such as age, gender, disability, or professional training and experience. As a minimum, small and medium-sized companies, in accordance with the definition contained in the Accounts Auditing Law, will have to inform of the policy they have established in relation to gender diversity.

[√] Yes
[ ] No
[ ] Partial policies

If you have ticked yes, describe these diversity policies, their objectives, the measures and the way in which they have been applied and their results during the year. The specific measures adopted by the board of directors and the appointments and remuneration committee should also be indicated to achieve a balanced and diverse presence of directors.

In case the company does not apply a diversity policy, explain the reasons why.

Description of the policies, objectives, measures and manner in which they have been applied, as well as the results obtained

The Viscofan Group has a specific policy on the Selection of Directors and Diversity of the Board of Directors approved by the Board itself.

In accordance with the principles of good corporate governance and following the amendment of the Code of Good Governance by the Spanish National Securities Market Commission (CNMV) of June 2020, this policy for director selection and public, specific and verifiable diversity was updated in 2020. The objective of the policy is to ensure that proposals for the appointment or re-election of directors are based on a prior analysis of the skills required by the Board of Directors and to encourage the diversity of knowledge, experience, age and gender required on the Board at all times, taking into account the vacancies to be covered and the structure and composition of the Board.

This policy therefore establishes and promotes the principle of diversity. Based on this, the selection of directors should be guided by the aim of achieving a diverse and balanced composition of the Board of Directors which would contribute different points of view to the discussions it holds, thus enriching the decision-making process. With this in mind, in the selection of candidates for board members, consideration will be given to candidates whose appointment contributes to increasing the diversity of knowledge, skills, experience, origins, nationalities, age and gender.

Article 8 of the Regulations of the Board of Directors was amended in 2021 to incorporate into the director selection procedure the diversity criteria under the terms introduced by the Code of Good Governance in the reform of June 2020.

This article states that the Board of Directors must ensure that the selection procedures for their members favour diversity, respect matters regarding age, gender, disability or professional knowledge and experience and do not have an implicit bias that may imply any discrimination and, in particular, that facilitates the selection of female directors to allow for a balanced presence of men and women.

In this aspect the Regulations includes the need for establishing an objective regarding representation for the least represented sex on the Board of Directors and the drafting of recommendations to reach this objective, for which the Appointments, Remuneration and Sustainability Committee was made responsible.

In relation to the measures and the manner in which they are applied and their results in the exercise of the aforementioned regulations and policy, when the Appointments, Remuneration and Sustainability Committee or the Board itself, as the case may be, has to propose the appointment or re-election of directors, without prejudice to respect for the competence matrix, the inclusion in the process of candidates who contribute to incorporating directors of the least represented gender is actively sought, and when faced with two similar professional profiles, the female candidate will be chosen.

In view of the vacancy left by Ms Carmen de Pablo Redondo, in the 2023 financial year, the Appointments, Remuneration and Sustainability Committee conducted a search for the most suitable candidates to join the Board of Directors on the basis of the provisions of said Policy, and finally proposed the appointment of Ms Verónica Pascual Boé as new director, maintaining the number of directors of the least represented gender on the board at 36%.

C.1.6 Explain the measures, if any, agreed by the Appointments Committee to ensure that selection procedures do not suffer from implicit biases that may hinder the selection of female directors, and that the company deliberately seeks and includes potential female candidates, who meet the professional profile sought and that would enable a balanced presence of women and men to be reached. Also indicate whether these measures include promoting the presence of a significant number of women in the company's senior management:

Explanation of measures

Based on the Director Selection and Diversity policy explained in the previous point, the Appointments, Remuneration and Sustainability Committee must ensure that consideration is given to persons of both sexes who have the necessary qualifications for the position of director.

As described in section C.1.5 above, in view of the vacancy left by Ms Carmen de Pablo Redondo, in the 2023 financial year, the Appointments, Remuneration and Sustainability Committee conducted a search for the most suitable candidates to join the Board of Directors on the basis of the provisions of said Policy, and finally proposed the appointment of Ms Verónica Pascual Boé as new director, maintaining the number of directors of the least represented gender on the board at 36%.

Likewise, the Appointments, Remuneration and Sustainability Committee in compliance with Recommendation 14 of the Good Governance Code of Listed Companies ("CBG") and the Selection and Diversity Policy, in relation to the prior analysis of the needs of the Company and the competencies required by the Board of Directors regarding the proposals on the composition of the Board of Directors for the General Shareholders' Meeting of 2024, issued a report on 15 February 2024, which will be made available to
the shareholders, proposing a reduction of the number of members of the Board of Directors from eleven (11) to ten (10) members, considering that this maintains a balanced and diverse composition, and particularly that the percentage of women out of the total number of members of the Board of Directors will reach 40% (compared to 36% as at 31 December 2023), reaching the target for female representation set out in Recommendation 15 of the CBG.

Furthermore, the director selection and diversity policy determines that the Company shall also promote diversity policies that encourage the Company to have a significant number of senior managers through effective equal opportunities, measures to reconcile personal and family life and including candidates of the least represented gender in all internal processes for filling management positions.

In its development, within the Sustainability Action Plan approved by the Board of Directors, the objective has been set to increase the percentage of women in management positions from 15.6% in 2018 to 30% in 2030. With this objective, the Group is working to identify and promote female talent, which is reflected in the increase in the percentage of women in management positions, which has risen to 22.4% in 2023 compared to 19.5% in 2022.

When, despite any measures that might have been adopted, the number of female directors or in senior management is low or zero, explain the reasons:

Explanation of reasons

See previous point.

C.1.7 Explain the conclusions of the Appointments Committee regarding verification of compliance with the policy aimed at establishing an appropriate composition of the Board of Directors.

The Appointments, Remuneration and Sustainability Committee considers that the director selection and diversity policy has been suitably complied with. In particular, in application of the policy, the Committee has concluded that the composition of the Board of Directors satisfies the recommendations of the CBG and best practices and standards of corporate governance:

(i) the number of members of the Board of Directors is within the limits laid down in the Articles of Association (article 25, which sets the minimum number of members of the Board of Directors at 5 and the maximum number at 12), within the range of between five (5) and fifteen (15) members indicated in Recommendation 13 of the CGG and is a number of directors in line with that of other companies comparable to Viscofan.
(ii) non-executive directors would continue to constitute the vast majority of the Board of Directors (9 out of 10), in accordance with Recommendation 15 of the CGG.
(iii) The number of independent directors would reach 50% of the total number of members, in compliance with Recommendation 17 of the CGG.
(iv) The percentage of proprietary directors out of the total number of non-executive directors (2 out of 9) is in line with the proportion existing between the share capital of the Company represented by such directors and the rest of the share capital, in accordance with Recommendation 16 of the CGG.

(v) The percentage of women out of the total number of members of the Board of Directors of 40% is expected to be reached at the General Meeting of Shareholders in 2024, which means that the target for female representation would reach the target set out in Recommendation 15 of the GCBG.

Ultimately, as a result of the application of the policy, the Committee concludes that the members of the Board of Directors are, on the whole, of recognised solvency, competence, experience and merit: (i) in the Company itself, in the Group and in the global industrial sector in which it operates, (ii) in finance, accounting, auditing and risk management, both financial and non-financial, (iii) in sustainability, regulatory compliance and corporate governance, (iv) in the digital sector and new technologies, (v) in different geographic markets and (vi) in management, leadership and business strategy, as well as (vii) each of its members, a high level of honour and training, extensive and diverse international experience and the necessary availability for the dedication that the exercise of their position demands.

C.1.8 Explain, where applicable, the reasons why nominee directors have been appointed at the behest of a shareholder whose holding is less than 3% of the capital:

Name or company name of the significant	Reasons
N/D	

Indicate whether formal petitions have been ignored for presence on the Board from shareholders whose holding is equal to or higher than that of others at whose behest proprietary directors were appointed. Where applicable, explain why these petitions have been ignored:

[ ] Yes
[√] No

C.1.9 Indicate, if any, the powers and faculties delegated by the board of directors, including those relating to the possibility of issuing or buying back shares, to board members or board committees:

Name of director (person or company) or committee	Short description
JOSÉ DOMINGO DE AMPUERO Y OSMA	In his capacity as Executive Chairman of the Board, Mr Ampuero is granted powers of representation, powers relating to acquisition or disposal, powers relating to personnel, collections, payments, contracts, tenders and transactions, current accounts, credit and savings accounts, bills of exchange and promissory notes, securities and shares, bonds and guarantees, and complementary powers to the above. As of 1 January 2024, Mr Ampuero relinquished his executive functions, continuing as Chairman of the Board of Directors. Consequently, as of this date, the powers described in the preceding paragraph ceased to be vested in him.
JOSÉ ANTONIO CANALES GARCÍA	In his position as Managing Director, he has been granted powers of representation, powers relating to purchase or disposal, powers relating to personnel, collections, payments, contracts, tenders and transactions, current accounts, credit and savings accounts, bills of exchange and promissory notes, securities and shares, bonds and guarantees, and complementary powers to the above. Mr José Antonio Canales García has been appointed Chief Executive Officer of the Company, effective 1 January 2024, maintaining the powers described in the preceding paragraph, having delegated all the functions of the Board of Directors except those not delegated by law.

C.1.10 Identify any members of the Board holding positions as directors, representatives of directors or managers in other companies belonging to the listed company's group:

Name of director (person or company)	Name of the Group Company	Position	Does the director hold executive functions?
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN URUGUAY S.A.	CHAIRMAN	NO
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	SUPRALON VERPACKUNGS AG	CHAIRMAN	NO
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN DE GMBH	CHAIRMAN	NO
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN DE MEXICO S. DE R.L. DE C.V.	CHAIRMAN	NO
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN DO BRASIL SOCIEDADE COMERCIAL E INDUSTRIAL LTDA	CHAIRMAN	NO
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	VISCOFAN TECHNOLOGY SUZHOU CO. LTD.	CHAIRMAN	NO
MS AGATHA ECHEVARRÍA CANALES	SUPRALON VERPACKUNGS AG	DIRECTOR	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VECTOR PACKAGING EUROPE NV	CHAIRMAN	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VECTOR EUROPE NV	CHAIRMAN	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN DE GMBH	DIRECTOR	YES
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN CZ S.R.O.	CHAIRMAN	YES
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN DO BRASIL SOCIEDADE COMERCIAL E INDUSTRIAL LTDA	MEMBER OF THE ADVISORY BOARD	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN TECHNOLOGY SUZHOU CO. LTD.	DIRECTOR	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN URUGUAY S.A.	VICE-CHAIRMAN	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN USA INC	CHAIRMAN	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN ESPAÑA S.L.U	CHAIRMAN	NO
MR JOSÉ ANTONIO CANALES GARCÍA	ZACAPU POWER S. DE R.L. DE C.V.	CHAIRMAN	NO

Name of director (person or company)	Name of the Group Company	Position	Does the director hold executive functions?
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN UK LIMITED	DIRECTOR	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN CANADA INC	CHAIRMAN	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN CENTROAMÉRICA COMERCIAL SOCIEDAD ANÓNIMA	CHAIRMAN	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN DE MEXICO S. DE R.L. DE C.V.	VICE-CHAIRMAN	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN JAPAN GK	SHOKUMU-SHIKKOSHA (DUTY EXECUTOR)	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN (THAILAND) CO. LTD	DIRECTOR	NO
MR JOSÉ ANTONIO CANALES GARCÍA	SUPRALON VERPACKUNGS AG	DIRECTOR	NO
MR JOSÉ ANTONIO CANALES GARCÍA	SUPRALON FRANCE SARL	GÉRANT	NO
MR JOSÉ ANTONIO CANALES GARCÍA	SUPRALON PRODUKTIONS UND VERTRIEBS GMBH	DIRECTOR	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN GLOBUS AUSTRALIA PTY LTD	DIRECTOR	NO
MR JOSÉ ANTONIO CANALES GARCÍA	VISCOFAN GLOBUS NEW ZEALAND LTD	DIRECTOR	NO

With effect from 1 January 2024, Mr Jose Domingo de Ampuero y Osma ceased to hold executive office and, as a consequence, also ceased to hold the various positions he held until that date in other companies of the group.

C.1.11 Detail the positions of board member, director, general manager, or representative thereof, that the board members or representatives of members of the board of directors of the company hold in other entities, listed or not:

Identification of the director or representative	Company name of the company, listed or not	Position
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	AUTOPISTA VASCO ARAGONESA S.A.	CHAIRMAN
MR SANTIAGO DOMECQ BOHÓRQUEZ	ANGUSTIAS Y SOL S.L.	SOLE ADMINISTRADOR
MR SANTIAGO DOMECQ BOHÓRQUEZ	MODERNIZACIÓN DE CULTIVOS S.L.	SOLE ADMINISTRADOR
MR SANTIAGO DOMECQ BOHÓRQUEZ	JAIMEJUAN S.L.U.	SOLE ADMINISTRADOR

Identification of the director or representative	Company name of the company, listed or not	Position
MR SANTIAGO DOMECQ BOHÓRQUEZ	CULTIVOS VARIOS S.L.U.	SOLE ADMINISTRADOR
MR SANTIAGO DOMECQ BOHÓRQUEZ	AGRÍCOLA DE JÉDULA S.L.U.	SOLE ADMINISTRADOR
MR SANTIAGO DOMECQ BOHÓRQUEZ	CALDERETONES S.L.U.	SOLE ADMINISTRADOR
MR SANTIAGO DOMECQ BOHÓRQUEZ	PUERTO DE CORCHITO S.L.U.	SOLE ADMINISTRADOR
MR SANTIAGO DOMECQ BOHÓRQUEZ	PUERTO DE GÁLIS S.L.U.	SOLE ADMINISTRADOR
MR SANTIAGO DOMECQ BOHÓRQUEZ	ARRAIJANOSA S.L.U.	SOLE ADMINISTRADOR
MR SANTIAGO DOMECQ BOHÓRQUEZ	INMOBILIARIO LEBRERO S.A.	CHAIRMAN-CHIEF EXECUTIVE OFFICER
MR JAIME REAL DE ASÚA Y ARTECHE	ELECNOR S.A.	CHAIRMAN
MR JAIME REAL DE ASÚA Y ARTECHE	ELECNOR SERVICIOS Y PROYECTOS S.A.	CHAIRMAN
MR JAIME REAL DE ASÚA Y ARTECHE	ENERFIN SOCIEDAD DE ENERGÍA S.L.	DIRECTOR
MR JAIME REAL DE ASÚA Y ARTECHE	CANTILES XXI S.L.	VICE-CHAIRMAN
MR JAIME REAL DE ASÚA Y ARTECHE	TASDEY S.A. (UNTIL MAY 2023)	DIRECTOR
MR JAIME REAL DE ASÚA Y ARTECHE	RACAZ SEIS S.L.	JOINT AND SEVERAL DIRECTOR
MR JAIME REAL DE ASÚA Y ARTECHE	ONCHENA S.L. (FROM MARCH 2023)	DIRECTOR
MR ANDRÉS ARIZKORRETA GARCÍA	CONSTRUCCIONES Y AUXILIAR DE FERROCARRILES, S.A.	CHAIRMAN
MS AGATHA ECHEVARRÍA CANALES	PAPELERA GUIPUZCOANA DE ZICUÑAGA S.A.	DIRECTOR
MS AGATHA ECHEVARRÍA CANALES	BANCA MARCH S.A.	DIRECTOR
MS AGATHA ECHEVARRÍA CANALES	MERINECHEA S.L.	JOINT AND SEVERAL DIRECTOR
MS LAURA GONZÁLEZ MOLERO	ACERINOX S.A.	DIRECTOR
MS LAURA GONZÁLEZ MOLERO	BANCO DE SABADELL, S.A.	DIRECTOR

Identification of the director or representative	Company name of the company, listed or not	Position
MS LAURA GONZÁLEZ MOLERO	APD, Asociación para el Progreso de la Dirección	CHAIRMAN
MR JAVIER FERNÁNDEZ ALONSO	CIE AUTOMOTIVE, S.A.	DIRECTOR
MR JAVIER FERNÁNDEZ ALONSO	EBRO FOODS, S.A.	DIRECTOR
MR JAVIER FERNÁNDEZ ALONSO	PROFAND FISHING HOLDING, S.L.	DIRECTOR
MR JAVIER FERNÁNDEZ ALONSO	DEYA CAPITAL IV, SCR, S.A.	DIRECTOR
MR JAVIER FERNÁNDEZ ALONSO	RIOJA, S.A.R.L.	DIRECTOR
MR JAVIER FERNÁNDEZ ALONSO	RIOJA ACQUISITION, S.A.R.L.	DIRECTOR
MR JAVIER FERNÁNDEZ ALONSO	ARTA CAPITAL, SGEIC, S.A. (UNTIL MARCH 2023)	DIRECTOR
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	MELIA HOTELS INTERNATIONAL, S.A.	DIRECTOR
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	APPLUS SERVICES, S.A.	DIRECTOR
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	GLAXO, S.A.	CHAIRMAN-CHIEF EXECUTIVE OFFICER
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	SMITHKLINE BEECHAM FARMA, S.A.	CHAIRMAN-CHIEF EXECUTIVE OFFICER
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	DESARROLLO ENERGÍA SOLAR ALTERNATIVA, S.L.	JOINT AND SEVERAL DIRECTOR
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	FUNDACIÓN DE CIENCIAS DE LA SALUD	VICE-CHAIRMAN
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	FUNDACIÓN ESPAÑA SALUD	VICE-CHAIRMAN
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	FARMAINDUSTRIA	VICE-CHAIRMAN
VERÓNICA PASCUAL BOÉ	GENERAL DEL ALQUILER DE MAQUINARIA, S.A. (GAM)	DIRECTOR
VERÓNICA PASCUAL BOÉ	TELEFONICA, S.A	DIRECTOR
VERÓNICA PASCUAL BOÉ	ALBP. CORP, S.L.U.	SOLE ADMINISTRADOR
VERÓNICA PASCUAL BOÉ	ALBP SCR	SOLE ADMINISTRADOR
VERÓNICA PASCUAL BOÉ	ALBP REAL ESTATE	SOLE ADMINISTRADOR
VERÓNICA PASCUAL BOÉ	TELEFONICA AUDIOVISUAL DIGITAL, S.L.U.	DIRECTOR
VERÓNICA PASCUAL BOÉ	ASMV TECHNOLOGIES DISTRIBUTION, S.L.U. (UNTIL 16 FEBRUARY 2023)	SOLE ADMINISTRADOR
VERÓNICA PASCUAL BOÉ	MANCO PARTNERS, S.L.	SOLE ADMINISTRADOR

Identification of the director or representative	Company name of the company, listed or not	Position
VERÓNICA PASCUAL BOÉ	ASTI TALENT AND TECHNOLOGY FOUNDATION	CHAIRMAN
VERÓNICA PASCUAL BOÉ	ENDEAVOR FOUNDATION	VICE-CHAIRMAN
VERÓNICA PASCUAL BOÉ	MARSI BIONICS	DIRECTOR
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	GLAXOSMITHKLINE, S.A.	CHAIRMAN-CHIEF EXECUTIVE OFFICER
MR SANTIAGO DOMECQ BOHÓRQUEZ	RODIN, S.A.	DIRECTOR

Of the above list, the related positions are as follows:
- MR JOSÉ DOMINGO AMPUERO: AUTOPISTA VASCO ARAGONESA S.A.
- MR SANTIAGO DOMECQ BOHÓRQUEZ: ANGUSTIAS Y SOL S.L.
- MR JAIME REAL DE ASÚA Y ARTECHE: ELECNOR, S.A.
- MR JAIME REAL DE ASÚA Y ARTECHE: ELECNOR SERVICIOS Y PROYECTOS, S.A.
- MR JAIME REAL DE ASÚA Y ARTECHE: ENERFIN SOCIEDAD DE ENERGÍA, S.L.
- MR JAIME REAL DE ASÚA Y ARTECHE: CANTILES XXI, S.L.
- MR JAIME REAL DE ASÚA Y ARTECHE: TASDEY, S.A. (until May 2023)
- MR JAIME REAL DE ASÚA Y ARTECHE: ONCHENA, S.L. (from March 2023)
- MR ANDRÉS ARIZKORRETA: CONSTRUCCIONES Y AUXILIAR DE FERROCARRILES, S.A.
- MS AGATHA ECHEVARRÍA CANALES: PAPELERA GUIPUZCOANA DE ZICUÑAGA, S.A.
- MS AGATHA ECHEVARRÍA CANALES: BANCA MARCH, S.A.
- MS LAURA GONZÁLEZ MOLERO: ACERINOX, S.A.
- MS LAURA GONZÁLEZ MOLERO: BANCO SABADELL, S.A.
- MR JAVIER FERNANDEZ ALONSO: EBRO FOODS, S.A.
- MR JAVIER FERNANDEZ ALONSO: PROFAND FISHING HOLDING, S.L.
- MR CRISTINA HENRIQUEZ DE LUNA BASAGOITI: APPLUS SERVICES, S.A.
- MR CRISTINA HENRIQUEZ DE LUNA BASAGOITI: MELIA HOTELS INTERNATIONAL, S.A.
- VERONICA PASCUAL BOÉ: GENERAL DE ALQUILER DE MAQUINARIA, S.A. (GAM)
- VERONICA PASCUAL BOÉ: TELEFONICA, S.A
- VERONICA PASCUAL BOÉ: TELEFONICA AUDIOVISUAL DIGITAL, S.L.U.

Subsequent to the close of the fiscal year, with effect from 6 February 2024, Mr Jose Domingo de Ampuero y Osma was appointed Chairman of the Board of Directors of Autovía del Camino S.A.

Indicate, where relevant, other remunerated activities of the board members or representatives of the board members, whatever their nature, other than those indicated in the above table.

Identification of the director or representative	Other remunerated activities
MR JOSÉ ANTONIO CANALES GARCÍA	MEMBER OF THE ADVISORY BOARD OF ABE CAPITAL PARTNERS
MR JAVIER FERNÁNDEZ ALONSO	MANAGING DIRECTOR OF CORPORACIÓN FINANCIERA ALBA, S.A.
MS LAURA GONZÁLEZ MOLERO	ISS ESPAÑA - MEMBER OF THE ADVISORY BOARD
VERÓNICA PASCUAL BOÉ	MEMBER OF THE TELEFÓNICA TECH ADVISORY BOARD.
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	GENERAL DIRECTOR OF GLAXOSMITHKLINE, S.A

C.1.12 Indicate and, if applicable, explain whether the Company has established rules regarding the maximum number of boards of directors of which its directors may be members, identifying, if applicable, where this is regulated:

[√] Yes
[ ] No

Explanation of the rules and identification of the document where it is regulated
According to that established in article 23 of the Board of Directors Regulations the directors of the Company may not form part of more than three Board of Directors of listed companies, in addition to that of Viscofan, S.A.

C.1.13 Indicate the amounts of the following items relating to the overall remuneration of the board of directors:

Remuneration accrued during the year in favour of the Board of Directors (thousands of euros)	3,114
Cumulative amount of funds of current directors in long-term savings schemes with consolidated economic rights (thousands of euros)	
Cumulative amount of funds of current directors in long-term savings schemes with unconsolidated economic rights (thousands of euros)	
Cumulative amount of funds of former directors in long-term savings schemes (thousands of euros)	

C.1.14 Identify members of senior management that are not in turn executive directors, and indicate the total remuneration accruing to them during the year:

Name (person or company)	Position(s)
MR ANDRES DÍAZ	MANAGING DIRECTOR EUROPE, MIDDLE EAST AND AFRICA
MR GABRIEL LARREA	MANAGING DIRECTOR NORTH AMERICA
MR JUAN NEGRI	MANAGING DIRECTOR PACIFIC ASIA
MR LUIS BERTOLI	MANAGING DIRECTOR SOUTH AMERICA
MR ÓSCAR PONZ	MANAGING DIRECTOR NEW BUSINESS
MS MARÍA DEL CARMEN PEÑA	CHIEF FINANCIAL OFFICER VISCOFAN GROUP
MR JESÚS CALAVIA	HEAD OF OPERATIONS OF THE VISCOFAN GROUP
MR IGNACIO GOÑI	HEAD OF SALES OF VISCOFAN GROUP
MR JOSÉ ÁNGEL ARRARÁS	MANAGING DIRECTOR R&D AND QUALITY OF THE VISCOFAN GROUP
MR JOSE ANTONIO CORTAJARENA	SECRETARY OF THE BOARD OF DIRECTORS AND LEGAL DIRECTOR VISCOFAN GROUP
MR ARMANDO ARES	HEAD OF INVESTOR RELATIONS AND COMMUNICATIONS OF THE VISCOFAN GROUP
MR CÉSAR ARRAIZA	HEAD OF STRATEGY, ORGANISATION AND SYSTEMS OF THE VISCOFAN GROUP
MS BEATRIZ SESMA	HEAD OF HUMAN RESOURCES OF THE VISCOFAN GROUP
MR JOSÉ IGNACIO RECALDE	HEAD OF DIVERSIFICATION AND TECHNOLOGY OF THE VISCOFAN GROUP

Name (person or company)	Position(s)
MR ALEJANDRO BERGAZ	VISCOFAN GROUP INTERNAL AUDIT MANAGER

Number of women in senior management	2
Percentage over total members of senior management	13.33

Total senior management remuneration (thousands of euros)	4,021

C.1.15 Indicate whether there has been any change in the Board regulations during the year:

[ ] Yes
[√] No

C.1.16 Indicate procedures for selection, appointment, re-election and removal of directors. List the competent bodies, the procedures to be followed and the criteria to be employed in each procedure.

This point has been answered in section H - OTHER INFORMATION OF INTEREST as the maximum size allowed by the electronic format of the CNMV has been exceeded.

C.1.17 Explain to what degree the self-assessment has led to significant changes in its internal organisation and the procedures applicable to its activities:

Description of amendments

During 2023, the transition to a non-executive chair model and the appointment of a CEO have been carried out. This change became effective on 1 January 2024. Furthermore, as a consequence of the 2023 annual evaluation of the Board, Committees and Chief Executive Officer, it is expected that, by the time of the 2024 General Shareholders' Meeting, the objective will have been reached of women representing 40% of the Board of Directors and that the number of members of the Appointments, Remuneration and Sustainability Committee and its composition will be reviewed to incorporate members of the less represented gender.

Describe the assessment process and the areas assessed by the board of directors, assisted, where applicable, by an external consultant, regarding the operation and composition of the board and its committees and any other area or aspect that has been subject to assessment.

Description of the assessment process and assessed areas

Pursuant to Article 18 of Board of Director Regulations, each year the Board of Directors will evaluate:

a) the quality and efficiency of the Board's operations, based on a report drawn up by the Appointments Committee;
b) the diversity of board membership and responsibilities;
c) the performance of their duties by the Chairman of the Board and the company's Chief Executive Officer, based on a report drawn up by the Appointments Committee. If the Chair is an executive director, the Lead Director shall conduct the regular assessment of the Chair of the Board of Directors.
d) the performance and contribution of individual directors, with particular attention to the Chairpersons of the committees.
e) the functioning and composition of the Board's committees, based on a report drawn up by each Committee.

Based on the results of this evaluation, the Board should propose an action plan to correct any shortcomings detected.

The performance evaluation for the 2023 financial year has been carried out internally on the basis of a questionnaire which is updated annually and divided into eight sections:

1. Size, structure and composition of the Board.
2. The Board's Mandate
3. Functioning and dynamics of the Board
4. Fulfilment of mandate
5. Assessment of the Executive Chairman
6. Evaluation of the secretary of the Board
7. Operation of committees
a) Functioning of the Audit Committee
b) Functioning of the Appointments, Remuneration and Sustainability Committee
8. Fulfilment of the 2023 Action Plan

At the end of each section, the advisors can expand on their answers with additional explanations and add any other comments they deem appropriate.

During the year, the evaluation process was led by the Appointments, Remuneration and Sustainability Committee. The evaluation of the Executive Chairman has been led by the Lead Director and the Audit Committee has also conducted its own self-assessment.

The results are anonymised and presented on a consolidated basis and are discussed by the Board of Directors, after which it approves the action plan to correct the areas of improvement detected.

C.1.18 For the years in which the assessment has been assisted by an external consultant, explain the business relationships that the consultant or any company of its group maintains with the company or any company of its group.

Not applicable.

C.1.19 Indicate the circumstances under which Directors are obliged to resign.

In accordance with the provisions of Art. 26 of the Rules and Regulations of the Board, the directors shall adopt the measures required to avoid situations of conflict with the company interest and with their duties towards the company and its group of companies, and they shall be obliged to inform the Board, prior to occurrence or as soon as they are aware of the existence thereof, with the obligation to immediately resign should the said conflict persist or should their presence on the board be contrary to the company's interests.

Furthermore, according to article 30 of the Board of Director Regulations, Directors serve at the pleasure of the Board of Directors and if the Board considers it appropriate, they will tender their resignation under the following circumstances:

a) When they become subject to any of the disqualifications or prohibitions set down in law.
b) When their remaining on the Board could undermine the Company's interests or when the reasons for which they were elected no longer apply.
c) Nominee directors representing a controlling shareholder will tender their resignations when the shareholder they represent sells a substantial part of its stake.

C.1.20 Are reinforced qualified majorities required, other than the legal majorities, for some type of resolution?

[ ] Yes
[√] No

If applicable, describe the differences.

C.1.21 Explain whether there are specific requirements, other than those regarding directors, to be appointed Chairman of the Board of Directors.

[ ] Yes
[√] No

C.1.22 Indicate whether the bylaws or the Board Regulations establish an age limit for directors:

[ ] Yes
[√] No

C.1.23 Indicate whether the bylaws or the Board Regulations establish a limited term of office or other stricter requirements in addition to those legally provided for independent directors, other than that established by law:

[ ] Yes
[√] No

C.1.24 Indicate whether the bylaws or the Board of Directors Regulations establish specific rules for proxy voting in the Board of Directors in favour of other directors, the way this is done and, in particular, the maximum number of proxies a director may have, and whether it has established any limit regarding the categories that may be delegated beyond the limits stipulated by legislation. If so, briefly give details on such standards.

The Rules and Regulations of the Board of Directors on its Article 7 – Functioning of the Board, establishes the following:

"The Directors must personally attend the sessions that are held, either in person or remotely in accordance with the provisions laid out in the Law and in these Regulations. Notwithstanding the foregoing, the directors may grant a proxy to another director. Non-executive directors may only grant a proxy to another non-executive director.

The Board of Directors shall be quorate when its meetings are attended in person or by proxy by the majority of its members."

Furthermore, article 14 of the Regulations establishes the following with regard to Board Committees:

"Directors must attend the meetings in person, either in person or online. However, the directors may grant a proxy to another director. Non-executive directors may only grant a proxy to another non-executive director."

C.1.25 Indicate the number of meetings the Board of Directors has held during the year. Where applicable, indicate how many times the Board has met without the Chairman in attendance. In calculating this number, proxies given with specific instructions will be counted as attendance.

Number of Board Meetings	11
Number of Board Meetings not attended by the Chairman	0

Indicate the number of meetings held by the coordinating director with the other directors that have not been attended or without representation by any executive directors:

Number Meetings	3

Indicate the number of meetings of the Board's different committees have held during the year:

Number of meetings of the APPOINTMENTS, REMUNERATION AND SUSTAINABILITY COMMITTEE	9

Number of Audit Committee Meetings	12

C.1.26 Indicate the number of meetings held by the Board of Directors during the year and provide information about member attendance:

Number of meetings attended by at least 80% of the directors in person	11
% of meetings attended in person of the total votes during the year	98,34
Number of meetings attended by all the directors in person, or by proxy with specific instructions	11
% of votes issued, attended by all the directors in person and proxies with specific instructions, out of all votes during the year	100,00

C.1.27 Indicate whether the individual and consolidated financial statements presented for Board authorisation for issue are certified beforehand:

[√] Yes
[ ] No

Where applicable, identify the person(s) who has (have) certified the Company's individual and consolidated financial statements to be filed by the Board:

Name	Position
MR JOSÉ DOMINGO DE AMPUERO Y OSMA	CHAIRMAN
MR JOSÉ ANTONIO CANALES GARCÍA	GENERAL MANAGING DIRECTOR *
MS MARÍA DEL CARMEN PEÑA	CHIEF FINANCIAL OFFICER VISCOFAN GROUP

* From 1 January 2024, Chief Executive Officer.

C.1.28 Explain the mechanisms, if any, established by the Board of Directors to ensure that the final accounts that the Board of Directors present to the general shareholders' meeting are drawn up in accordance with accounting regulations.

In order to ensure that the annual accounts submitted to the general meeting of shareholders are drawn up in accordance with accounting regulations, the Board of Directors has entrusted this function to the Audit Committee as stipulated in article 15 of the Board Regulations:

"C) In relation to information systems and internal control:
Supervise and assess the process of preparation and presentation of the mandatory financial and non-financial information relating to the Company and the Group, reviewing the correct design of the ICFR, compliance with regulatory requirements, the appropriate delimitation of the scope of consolidation, considering, among other aspects, the possible existence of complex corporate structures, the correct application of accounting regulations, and submitting recommendations or proposals to the Board of Directors aimed at safeguarding its integrity"

"D) In relation to the external auditor:
(b) Ensure that the financial statements finally prepared by the Board are presented to the General Shareholders' Meeting without limitations or qualifications in the auditor's report and in the event that the auditor has included any qualifications in its audit report, issue its opinion on the content and scope of such audits or qualifications, which will be explained by the Chairman of the Committee during the General Shareholders' Meeting.
(d) Monitoring the decisions of the senior management team regarding any adjustments recommended by the external auditor, and to hear and, where applicable, mediate any disagreements between both parties.
(e) (iv) It shall ensure that the external auditor has a yearly meeting with the Board of Directors in a plenary session, to inform it of the work undertaken and developments in the Company's risk and accounting positions"

In addition, Article 6 of the Regulations of the Audit Committee, Functions relating to auditing, states the following:

"g) Supervise the content of the audit reports before issuance and, where appropriate, of the limited review reports of intermediate accounts ensuring that said content and the opinion on the annual accounts are drafted clearly, precisely and without limitations or exceptions by the auditor, explaining them to the shareholders (if any). In this regard, together with the auditor, the Committee must oversee the significant findings derived from its work and, where appropriate, propose to the Board of Directors the measures it deems appropriate to address the shortfalls found by the auditor."

For practical purposes, the Audit Committee will ensure compliance with the necessary mechanisms established to perform continuous control over the preparation of financial information at every level, from its start to its consolidation in the Viscofan Group companies.

Both the corporate financial department and the internal audit department have collaborated closely with the Audit Committee to establish, put in place and monitor the most appropriate controls for guaranteeing the truthfulness of the financial information to ensure that it gives a true and fair view of the Group's financial situation.

The internal audit department has also included the continuous review of said controls in its annual plan for various subsidiaries, where said review will apply to the financial departments and areas that also take part in preparing the information: operations, human resources, purchasing and commercial, etc.

Likewise, the Audit Committee, the internal audit management and corporate finance management hold informative and follow-up meetings with the external auditors throughout the year, both to inform them of the characteristics of the internal control system and its implementation in all the companies of the Group, as well as to involve them in its compliance and to maintain two-way communication that allows for better monitoring of the improvements implemented. All with the aim of continuing to guarantee the operation of the Group's financial information with greater control at all levels.

Furthermore, the company has maintained a policy of pre-closing the year on 31 October in order to anticipate and correct any incidents that may have arisen during the year.

C.1.29 Is the company Secretary a director?

[ ] Yes
[√] No

Complete if the Secretary is not also a Director:

Name or corporate name of Secretary	Representative
MR JOSE ANTONIO CORTAJARENA	

C.1.30 Indicate the specific mechanisms established by the company to preserve the independence of the external auditors, as well as, if any, mechanisms to preserve the independence of financial analysts, investment banks and rating agencies, including how the legal provisions have been implemented in practice.

- INDEPENDENCE OF THE EXTERNAL AUDITORS

Article 15 of the Board of Directors Regulations, confers upon the Audit Committee the following duties relating to the external auditor:

D) In relation to the external auditor:

(e) Safeguarding the independence of the auditor, paying particular attention to any circumstances or issues that could jeopardise such independence, including that their remuneration does not compromise their quality or independence, and any others relating to the process of auditing the accounts:

(i) For this purpose, it shall be ensured that the Company publicly discloses to the National Securities Market Commission (CNMV), as a relevant event, any replacement of the auditor and includes a statement regarding any possible disagreement with the outgoing auditor and the details thereof. If the auditor resigns, then it shall explore the underlying causes.
(ii) The Audit Committee shall likewise ensure that the company and the auditor adhere to current regulations safeguarding the independence of the auditors, and those governing the provision of non-audit services and the limits on the concentration of the auditor's business.
(iii) It shall establish a suitable relationship with the auditor to receive information on matters that may jeopardise the auditor's independence, so that it may be examined by the Committee, and any other matters related to the process of performing the audit, and, where necessary, authorise services that are not forbidden by the provisions of the current regulations.

v) Annually receiving from the auditors their statement of independence in relation to the related party or parties, in addition to a statement concerning additional services provided and the fees received by the external auditor or by the persons and entities related thereto, in accordance with the audit provisions set out in the regulations.
(vi) It shall annually issue, prior to the report on the auditing of the accounts, a report expressing its opinion on the independence of the auditor, containing the valuation of any additional services provided, considered on an individual basis and as a whole, in relation to the status of independence or to the rules governing the audit.

- INDEPENDENCE OF FINANCIAL ANALYSTS, INVESTMENT BANKS AND RATING AGENCIES

Article 5 of the Regulations of the Board of Directors includes the following powers among those reserved exclusively for the Board of Directors sitting in full session, in addition to those reserved for the Board by law:

g) Determining the policy on information to shareholders, markets and public opinion.

With regard to analysts and investment banks, the mechanisms envisaged under Article 37 of the Regulations of the Board of Directors - Shareholder and Securities Markets Communications, coupled with the company's commitment to monitoring applicable law, ensure that independence is upheld and that the information is made available to everyone at the same time and under the same conditions, thus ensuring equal access to such information.

Likewise, the policy on communication with shareholders, institutional investors, proxy advisors and economic-financial, non-financial and corporate information establishes that the Board of Directors of Viscofan is competent to manage and supervise the information provided to shareholders and the markets and relations with shareholders, institutional investors and proxy advisors, as well as the communication of economic-financial, non-financial and corporate information through the channels it deems appropriate in such a way as to contribute to maximising the dissemination and quality of the information available to the market, investors and other stakeholders, adopting the appropriate measures to protect the exercise of their rights within the framework of the defence of the corporate interest.

C.1.31 Indicate whether the company has changed its external auditor during the year. If so, identify the incoming and outgoing auditors:

[ ] Yes
[√] No

If there has been any disagreement with the outgoing auditor, describe the content thereof:

Yes
[ ] No
[√]

C.1.32 Indicate whether the audit firm does other work for the company and/or its group other than the audit. If so, declare the amount of fees received for such work and the percentage that the previous amount represents over the total fees charged for auditing work to the company and/or its group:

[√] Yes
[ ] No

	Company	Group companies	Total
Amount of non-audit work (thousands euros)	4	49	53
Amount of non-audit work / Amount of audit work (in %)	3,10	6,60	6,10

C.1.33 Indicate whether the audit report on the annual financial statements for the previous year contained any qualifications. If so, indicate the reasons given to the shareholders at the General Shareholders' Meeting by the chairman of the audit committee to explain the content and scope of these qualifications.

[ ] Yes
[√] No

C.1.34 Indicate the number of consecutive years during which the current audit firm has been auditing the individual and/or consolidated financial statements for the company. Indicate the percentage of the number of years audited by the current audit firm to the total number of years in which the annual financial statements have been audited:

	Individual	Consolidated
Number of consecutive years	7	7

	Individual	Consolidated
Number of years audited by current audit firm / number of years the company or its group have been audited (%)	21,21	23,33

C.1.35 Indicate and, where applicable, give details on the existence of a procedure for directors to obtain the information they need to prepare the meetings of the governing bodies with sufficient time:

[√] Yes
[ ] No

Description of procedure

This aspect is regulated by Article 19 of the Board of Directors Regulations. Right to Information

The Board members will receive the information required to carry out their work in due time and detail with respect to the matters in question. They may obtain additional information should they see fit; such information shall be channelled through the Secretary of the Board of Directors, unless there are urgent reasons for calling a meeting or under exceptional circumstances.

The call to meeting shall indicate the items on the agenda upon which the directors must arrive at a decision or resolution or, in urgent cases, the prior consent of the majority of those present shall be required.

The directors may gather additional information when considered advisable. The request shall

be channelled through the Secretary of the Board."

C.1.36 Indicate, and where appropriate detail, if the company has established rules that oblige directors to report and, if applicable, to resign where situations arise that may affect them, whether or not they are related to their actions in the company itself and that may harm the credit or reputation of the company:

[√] Yes
[ ] No

If so, describe such rules:

It has been reported in point C.1.19 above

C.1.37 Indicate, unless special circumstances apply that have been entered into the minutes, whether the Board has been informed or in any way discovered circumstances affecting a director, whether or not they are related to their actions in the company itself and that may harm the credit or reputation of the company:

[ ] Yes
[√] No

C.1.38 Detail significant agreements reached by the Company that come into force, are amended or concluded in the event of a change in the control of the company stemming from a public takeover bid, and its effects.

No significant agreements have been made with these characteristics.

C.1.39 Identify individually with regard to directors and in aggregate terms in the remaining cases, and indicate in detail any agreements between the company and its directors, managers or employees that have guarantee or ring-fencing severance clauses for when such persons resign or are wrongfully dismissed or if the contractual relationship comes to an end due to a public takeover bid or other kinds of transactions.

Number of beneficiaries	2
Beneficiary type	Description of the agreement
MR JOSÉ DOMINGO DE AMPUERO Y OSMA - CHAIRMAN. MR JOSÉ ANTONIO CANALES GARCÍA - MANAGING DIRECTOR	MR JOSÉ DOMINGO DE AMPUERO Y OSMA: Indemnity of two years' fixed salary for cases provided for in the remuneration policy, with two years of non-competition MR JOSE ANTONIO CANALES GARCÍA: Indemnity of two years' fixed salary for cases provided for in the remuneration policy, with two years of non-competition.

Indicate whether, apart from the events provided for by the regulations, these contracts should be disclosed to and/or approved by the company or group governance bodies: If so, specify the procedures, foreseen assumptions and the nature of the bodies responsible for their approval or communication:

	Board of directors	General shareholders' meeting
Body that authorises the provisions	√	√

	Yes	No
Is the General Meeting informed of the clauses?	√	

C.2. Board of Directors Committees

C.2.1 Detail all the Board Committees, their members and the proportion of executive, nominee, independent and other external directors sitting on them:

APPOINTMENTS, REMUNERATION AND SUSTAINABILITY COMMITTEE		
Name	Position	Category
MR JAIME REAL DE ASÚA Y ARTECHE	CHAIRMAN	Independent
MR JOSÉ MARÍA ALDECOA SAGASTASOLOA	DIRECTOR	Independent
MR SANTIAGO DOMECQ BOHÓRQUEZ	DIRECTOR	Nominee
MR ANDRÉS ARIZKORRETA GARCÍA	DIRECTOR	Independent

% Executive Directors	0,00
% Nominee Directors	25,00
% Independent Directors	75,00
% of other external directors	0,00

Explain the committee's duties including, if applicable, those in addition to the duties provided by law, and describe the procedure and organisational and operational rules and summarise the main actions taken during the year. Indicate the most important actions taken during the financial year for each of the duties, and how these duties (attributed by law, the bylaws or other corporate resolutions) were put into practice.

This point has been answered in section H - OTHER INFORMATION OF INTEREST as the maximum size allowed by the electronic format of the CNMV has been exceeded.

AUDIT COMMITTEE		
Name	Position	Category
MS LAURA GONZÁLEZ MOLERO	CHAIRMAN	Independent
MS AGATHA ECHEVARRÍA CANALES	DIRECTOR	Other External
MR JAVIER FERNÁNDEZ ALONSO	DIRECTOR	Nominee
MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	DIRECTOR	Independent
MR ANDRÉS ARIZKORRETA GARCÍA	DIRECTOR	Independent

% Executive Directors	0,00
% Proprietary Directors	20,00
% Independent Directors	60,00
% of other external directors	20,00

Explain the committee's duties including, if applicable, those in addition to the duties provided by law, and describe the procedure and organisational and operational rules and summarise the main actions taken during the year. Indicate the most important actions taken during the financial year for each of the duties, and how these duties (attributed by law, the bylaws or other corporate resolutions) were put into practice.

This point has been answered in section H - OTHER INFORMATION OF INTEREST as the maximum size allowed by the electronic format of the CNMV has been exceeded.

Identify the Directors who has been appointed on the basis of knowledge and experience of accounting or auditing, or both and state the date on which they were appointed as Chairman.

Names of directors with experience	MS LAURA GONZÁLEZ MOLERO/MS AGATHA ECHEVARRÍA CANALES/MR JAVIER FERNÁNDEZ ALONSO/MS MARIA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI/MR ANDRÉS ARIZKORRETA GARCÍA
Date that the chairman was appointed to post	24/04/2020

C.2.2 Fill in the following table with information on the number of female directors sitting on Board Committees at the end of the last four years:

	Number of female directors							
	FY 2023		FY 2022		FY 2021		FY 2020	
	Number	%	Number	%	Number	%	Number	%
APPOINTMENTS, REMUNERATION AND SUSTAINABILITY COMMITTEE	0	0,00	0	0,00	0	0,00	0	0,00
AUDIT COMMITTEE	3	60,00	4	80,00	3	50,00	3	50,00

C.2.3 Indicate, where applicable, the existence of regulations for the Board Committees, where they can be consulted and any amendments made to them during the year. Indicate whether an annual report on the activities of each committee has been drawn up voluntarily.

The Audit Committee and the Appointments, Remuneration and Sustainability Committee are regulated under article 33 of the Company By-Laws, registered in the Commercial Register and published on the company's website (www.viscofan.com).

The Audit Committee is governed by Article 15 of the Board of Directors Regulations and the Appointments, Remuneration and Sustainability Committee by Articles 16 and 17 of the same regulation, as posted on the company's website, duly filed with the Spanish CNMV and registered in the Commercial Register.

The Audit Committee and the Appointments, Remuneration and Sustainability Committee are governed by their own regulations that are published on the corporate website, in the Corporate Governance section under Regulations and Policies.

Both Committees, within the framework of the annual process for assessing their performance, prepared and presented a report to the Board of Directors detailing the activity undertaken by each committee during the 2023 financial year in compliance with their duties, and which is explained in greater detail in the above section C.2.1. A summary of the annual activity report for both Committees was presented to the General Shareholders' Meeting by their respective Chairpersons.

The Audit Committee also drafted an annual report on auditor independence and a report on related transactions, both of which were made available to the shareholders.

During the year there have been no changes to the regulation of the Board of Directors' Committees.

D. RELATED-PARTY TRANSACTIONS AND INTRA-GROUP TRANSACTIONS

D.1. Explain, if applicable, the procedure and competent bodies for the approval of related-party and intragroup transactions, indicating the criteria and general internal rules of the entity that regulate the abstention obligations of the directors or shareholders affected and detailing the internal reporting and periodic control procedures established by the company in relation to those related-party transactions whose approval has been delegated by the board of directors.

Approval corresponds to the Board of Directors as one of the matters reserved exclusively for the Board by virtue of Article 5 of the Board Regulations:

"f) The approval of the related transactions under the terms provided for by law, except when their approval falls within the remit of the General Shareholders' Meeting.

The Board shall approve related-party transactions following a favourable report from the Audit Committee, and without prejudice to the cases for delegation provided for by law. The directors who are directly or indirectly affected, due to the performing the operation with a person related to them, must abstain from participating in the deliberation and voting of the agreement in question."

In parallel, the Audit Committee Regulations establish the following in article 11):

The Committee will also have the following functions:
"In relation to related transactions, ensure that rigorous and transparent processes are established to ensure that the transactions comply with the corporate interest, strictly complying with the applicable legality and the corporate governance regulations of the Company. To this end, it will inform the General Shareholders' Meeting or the Board of Directors prior to the latter adopting any of the corresponding resolutions and will supervise the internal procedure established by the Company for those whose approval has already been delegated."

Likewise, Article 22 of the Regulations of the General Meeting of Shareholders stipulates the following in Article 22. Point C. Conflict of interest:

"The shareholder may not exercise the voting right that pertains to their shares when the matter being addressed aims to: d) the approval of related transactions, when envisaged legally".

D.2. Individually detail any transactions that are considered significant due to their amount or nature performed between the company or its subsidiaries and shareholders holding more than 10% more of the voting rights or represented on the board of directors of the company, indicating the competent body for their approval and whether any affected shareholder or director abstained. In the case that the competent body was the General Meeting, indicate whether the proposed resolution was approved by the Board without the vote against by the majority of the independent directors:

Name or company name of the shareholder or of any of its subsidiaries	% Stake	Name or company name of the company or subsidiary	Amount (in thousands of Euros)	Approving body	Identification of the significant shareholder or director that abstained	The proposal before the General Meeting, where appropriate, was approved by the board without a vote against by the majority of the independent directors
N/D						

	Name or company name of the shareholder or of any of its subsidiaries	Nature of relationship	Type of operation and other information necessary for its evaluation
N/D			

Pursuant to article 231 of the Corporate Enterprises Act, none of the companies forming part of the Viscofan Group have performed transactions with related parties. In addition, during 2023 the Group has contracted a credit line for 10 million euros for working capital and has closed gas hedges with Banca March S.A., a financial institution linked to Corporación Financiera Alba, S.A., which holds 14.25% of the Company's shares at 31 December 2023 (14.25% at 31 December 2022). No additional services have been received by companies related to this shareholder in 2023 or 2022. All transactions are carried out at arm's length and under normal market conditions.

D.3. Individually detail any transactions that are considered significant due to their amount or nature performed by the company or its subsidiaries with the directors or senior managers of the company, including those transactions carried out with entities that the director or senior manager controls or jointly controls, and also indicating the competent body for their approval and whether any affected shareholder or director abstained. In the case that the competent body was the General Meeting, indicate whether the proposed resolution was approved by the Board without the vote against by the majority of the independent directors:

	Name or corporate name of directors or senior managers or there entities controlled or under joint control	Name or company name of the company or subsidiary	Relationship	Amount (in thousands of Euros)	Approving body	Identification of the significant shareholder or director that abstained	The proposal before the General Meeting, where appropriate, was approved by the board without a vote against by the majority of the independent directors
N/D							

	Name or corporate name of directors or senior managers or there entities controlled or under joint control	Nature of the transaction and other information necessary for its evaluation
N/D		

D.4. Individual report on the significant intragroup transactions that are considered significant due to their amount or nature carried out by the company with its parent company or other entities belonging to the parent's group, including subsidiaries of the listed company, except
when no other related party of the listed company has interests in these subsidiaries or these are wholly owned, either directly or indirectly by the listed company.

In any event, provide information on any intragroup transaction with companies established in countries or territories considered tax havens:

Corporate name of the group company	Brief description of the transaction and other information necessary for its evaluation	Amount (in thousands of Euros)
N/D		

D.5. Individually detail the transactions that are considered significant due to their amount or nature performed by the company or its subsidiaries with other related parties which are done so in accordance with the International Accounting Standards adopted by the EU, which have not been reported in previous headings.

Corporate name of the related party	Brief description of the transaction and other information necessary for its evaluation	Amount (in thousands of Euros)
N/D		

D.6. Detail the mechanisms established to detect, determine and resolve any possible conflicts of interest between the company and/or its group, and its directors, managers and/or significant shareholders or other related parties.

This point has been answered in section H - OTHER INFORMATION OF INTEREST as the maximum size allowed by the electronic format of the CNMV has been exceeded.

D.7. Indicate whether the company is controlled by another entity in accordance with Article 42 of the Commercial Code, listed or not, and whether it has a direct business relationship with this company or any of its subsidiaries (other than the listed company) or undertakes any activity relating to any of them.

[ ] Yes
[√] No

E. RISK CONTROL SYSTEMS

E.1. Explain the scope of the company's financial and non-financial Risk Control and Management System, including those of a tax-related nature.

The Viscofan Group risk management system is governed by the Risk Control and Management Policy, whose purpose is to establish the basic principles and general action framework to identify, measure, prevent and mitigate risks of all types that may affect the creation of value that is sustainable and shared but its stakeholders.

This policy establishes that the Viscofan Group's integral risk control and management system will be applied to all its companies, it will be mandatory for all administrators, directors and employees and will be followed in accordance with the basic principles of integration into management, adaptation to changes, transparency, ongoing improvement and the application of best international practices for good governance. It should include at least the following activities:

a. Identifying the main risks taking into account their impact on the creation of sustainable and shared value for the Viscofan Group's stakeholders within the Strategic Plan in force at any given time and assessing their probability of occurrence and impact in order to prioritise them accordingly.
b. Determining risk appetite by establishing tolerances and suitably monitoring their development with key risk indicators.
c. Implementing a control system integrated into the internal rules and regulations of the Viscofan Group, including the identification and assessment of the controls and contingency plans necessary to mitigate the impact in case the risks materialise.
d. Assessing the effectiveness of the control system and its application, as well as its compliance by all Viscofan Group employees.
e. Establishing action plans in the event that the occurrence of one of the main risks negatively affects the creation of long-term sustainable value, taking residual risk to an acceptable risk level. As a direct consequence of this reduction in the level of risk, it will be necessary and appropriate to reassess and prioritise these risks, forming a continuous process of risk management.
f. Auditing of the system by the Internal Audit Division.

Within the framework of the integral risk control and management system, the Viscofan Group has drawn up risk maps which represent the key risks, based on their impact and probability. This will serve as a management tool which enables informed decision making, defined in Risk Records which identify the key risk indicators together with their corresponding tolerances, the associated controls and management measures and, where appropriate, the action plans to be implemented. These records enable the Company to assess and monitor its risks and determine the most appropriate response to them, and they are periodically reviewed and updated.

The Global Risk Committee met four times in 2023 to update the risk map, monitor the main risks through monographs and monitor key risk indicators.

The organisation's risk map was defined in accordance with the code of conduct, internal regulations and the current Strategic Plan, which includes different types of risks (market, business, operational, credit, social, environmental, climate change, technological, legal and regulatory), and is presented adopting the COSO methodology, grouping the existing risks in four categories in accordance with type of objective they affect: strategic, operational, information and compliance.

E.2. Identify the corporate bodies responsible for drawing up and enforcing the financial and non-financial Risk Control and Management System, including tax-related risks.

BOARD OF DIRECTORS
In accordance with Art. 5 of the Company Board of Directors Regulations, relating to "Exclusive Powers", the financial and non-financial risk control and management policy, including tax risks, and the regular monitoring of internal information and control systems constitute one of the issues that may only be heard and addressed by the Board of Directors in full session.

AUDIT COMMITTEE
A specific duty of the Audit Committee is to oversee the suitability of the control procedures and policies implemented and to review the internal control systems and financial and non-financial risk management, in order to ensure that the main risks are identified, managed and effectively disseminated. The Audit Committee will establish monitoring mechanisms, including appearances by executives in relation to risk management and periodic reporting to the Board on the situation and implementation of the integral risk control and management system.

INTERNAL AUDIT
Their purpose is to promote the application of Risk Management in all activities and supervise to ensure that significant risks are suitably identified, assessed, managed and controlled. They have a broad presence on specific risk Committees.

ETHICS AND REGULATORY COMPLIANCE COMMITTEE
It is the body responsible for supervising the risks specific to the Group with regard to criminal liability or any other non-compliance, and for assessing, implementing and monitoring the Compliance System. It is responsible for periodically reporting on the implementation and monitoring of the Group's compliance system to the Audit Committee, as well as proposing its revision and/or updating. In particular, with regard to the Ethics Channel/Integrity Line, it is the body responsible for opening, on its own account or at the request of a third party, the investigation of any situation that may involve a breach of rules and regulations in the Viscofan Group.

GLOBAL RISK COMMITTEE
The purpose of the Global Risk Committee is to identify and assess the main risks threatening the Viscofan Group, going into depth in the exposure of the organisation thereto to prepare the recommendations and actions required to manage the risks within the established margins.

CREDIT RISK COMMITTEE
It is established as a supervisory and control body for those risks related to customer payment management. The objective of this Committee is to delve into the prevention, monitoring and solution of the risk, via the creation and implementation of the instruments considered most appropriate at the time.

INVESTMENTS COMMITTEE
Its main purpose is to control and supervise compliance with the Investment Plan approved by the Board of Directors. To achieve this, it meets on a quarterly basis for the purposes of performing periodic follow-up checks on the correct application of approved investments and controlling the efficient use of Group resources and investments.

CYBERSECURITY COMMITTEE
It is in charge of defining the strategic objectives of the Group's Cybersecurity, ensuring the secure management of information and assuring the state of protection, as well as periodically monitoring compliance with regulations, risk projects and situations and incidents.

SUSTAINABILITY COMMITTEE
This is the body responsible for coordinating and supervising the Sustainability Action Plan, the initiatives, work plans and long-term objectives for the same. The committee reports to the Appointments, Remuneration and Sustainability Committee, the Board of Directors' internal body responsible for the supervision, development and improvement of the Company's sustainability policies. In particular, the Sustainability Committee has carried out the identification and assessment of climate change risks and opportunities in accordance with the Task Force on Climate related Financial Disclosure (TCFD).

SENIOR MANAGEMENT
It is responsible for identifying and assessing the risks faced by the Group in the course of its activity and taking appropriate measures to prevent these risks from occurring or, if they do occur, to reduce or eliminate their impact. Therefore, it plays a fundamental role in designing and implementing control mechanisms and ensuring their fulfilment across the organisation.

E.3. Indicate the main financial and non-financial risks, including tax risks, and to the extent that those derived from corruption (the latter being within the scope of Royal Decree Law 18/2017) that could affect the attainment of business objectives, are significant.

The management and control activities enable the risks to be anticipated and detected and the threats to be examined and measured that may prevent the Viscofan Group from attaining its objectives, as well as the creation of value that is sustainable and shared with the stakeholders. During the 2023 financial year, the comprehensive risk management and control system assessed these risks and identified those that were most critical (by expected impact and probability of occurring), as well as considering new risks and evaluating their development.

The main sources of risks that may affect the Viscofan Group's activities in the coming financial years are the following:

- The competitive environment within the sector, both with regard to competitors and the appearance of substitute products.
- Cybersecurity due to exposure as a result of leadership in the sector and greater mobility and connectivity.
- Rising energy prices, and the shortage of natural gas in Europe
- Environmental risks and those resulting from climate change. In particular, the increase in the price of CO2 emission allowances.
- The lack of raw materials and the general increase in prices.
- Risk of loss of own know-how, associated with technology, innovation and experience accumulated over the years.
- Work-related accidents that could affect people's physical integrity.
- Risk that technologies and technical infrastructures associated with production processes could be disrupted.
- Variations in the rate of exchange, especially the appreciation of the Euro against the USD.
- The fiscal environment, that affects commercial and financial transactions and is subject to tax regulations and norms in different countries.
- Meeting expectations with regard to the group's stakeholders and Viscofan's reputation.
- Risk of loss of human capital, so attracting and developing talent to avoid their departure is essential.
- Material damages resulting from impairment or a sudden loss of value due to extraordinary circumstances.
- Internationalization in both purchases and sales involves risks derived from the economic and/or political situation of the countries.
- The pandemic and its repercussions on the value chain and the business environment.
- The integrity of financial and non-financial information.
- Customer satisfaction linked to product quality, customer service and services provided.

All these risks are included in the Viscofan Group's risk control and management system, and this includes the methodology required for the identification and ongoing inclusion of new risks.

E.4. Identify if the company has risk tolerance levels, including tax risk.

The Viscofan Group's risk control and management system includes establishing the levels of tolerance to the risk, including tax risks, both at an individual and a joint level for each risk. Their management falls within the framework of the risk control and management policy, the specific policies approved by the Board of Directors and the resulting risk management procedures. It includes the Fiscal Policy that enables the Board of Directors to establish fiscal strategy with a view to guaranteeing the application of action principles that will enable fiscal risk to be minimised.

In the 2023 financial year, low tolerance levels for risk continued to be established resulting in proactive management of the main risk indicators.

Risks are prioritised in terms of their impact and probability based on quantitative and qualitative criteria, and this makes it possible to create a risk map for the Viscofan Group based on the establishment of risk appetite. Furthermore, the main risk indicators are identified for each risk and these are instruments for establishing tolerance to risk by setting threshold or reference values.

The Viscofan Group has also monitored during the financial year the values of the risk indicators and the defined thresholds, so where these thresholds were exceeded the required management measures were taken to redirect the risks to the defined tolerance level. This management applies to the materialised risks and the response plans described in sections E.5 and E.6 below.

E.5. State what financial and non-financial risks, including tax-related risks, have occurred during the financial year.

This point has been answered in section H - OTHER INFORMATION OF INTEREST as the maximum size allowed by the electronic format of the CNMV has been exceeded

E.6. Explain the response and supervision plans for the main risks of the company, including tax risks, and the procedures followed by the company to ensure that the board of directors responds to the new challenges that arise.

The different committees have met monthly and quarterly and their results have been supervised by the Audit Committee, which at its meetings is informed by the Internal Audit Department and at least quarterly reviews the reports of the Global Risk Committee and informs the Board of directors.

Viscofan Group's integral risk control and management system described in sections E.1 (scope) and E.2 (responsible bodies) was applied in response to and to supervise the main risks that materialised in the 2023 financial year. These risks and the plan to respond to and supervise them is detailed in section E.5 above.

With regard to the remaining risks, the main plans and actions taken during the 2023 financial year were as follows:

- Projects to improve the levels of service, quality and productivity have continued to be promoted in order to better protect market share and the pricing strategy has been adapted to the market situation and the development of production costs.
- The sustainability strategy and action plan, together with the related policies approved by the Board of Directors, have been monitored and a committee for sustainability risk management has been set up.
- The required insurance policies were taken out in all the Viscofan Group's areas of risk (personal, assets, third-party and environmental liability).
- The development of a Master Plan for Information Systems and the implementation and planning of actions in matters of cybersecurity.
- Innovation and diversification as a source of competitive advantage and growth.
- The development of people and cohesion plans to maintain and promote the Viscofan Group's culture and values adapted to the specific circumstances prevalent in each of the countries in which it operates.
- In order to prevent the risk of accidents, specific awareness campaigns are being carried out, safety training is being promoted and investments are being made .

F. SYSTEMS OF INTERNAL RISK MANAGEMENT AND INTERNAL CONTROL OVER FINANCIAL REPORTING (ICFR)

Describe the mechanisms comprising the risk management and control systems for financial reporting (ICFR) in the entity.

F.1. The entity's control environment.

Give information, describing the key features of at least:

F.1.1 Which bodies and/or functions are responsible for: (i) the existence and maintenance of an adequate and effective ICFR; (ii) its implementation; and (iii) its supervision.

The Board of Directors of the Viscofan Group has the exclusive power to review the risk control and management policy, as well as the periodic monitoring of the internal information and control systems. The Corporate Finance area is responsible for the implementation and supervision of the ICFR. In addition, all other Group Departments are to cooperate in the dissemination of the ICFR within their area of responsibility. As such, each Department shall be responsible for applying the controls corresponding to their area and for coordinating with the other departments in applying the ICFR.

In accordance with Article 15.C. of the Regulations of the Board of Directors, the Audit Committee's duties include supervising the effectiveness of the company's internal control, internal audit and risk management systems. This point mentions that the Committee's powers include supervising the process of preparing and presenting the mandatory financial information on the Company and the Group.

F.1.2 Whether, especially in the process of drawing up the financial information, the following elements exist:

- Departments and/or mechanisms responsible for: (i) the design and review of the organisational structure; (ii) the clear definition of lines of responsibility and authority, with an adequate distribution of tasks and functions; and (iii) ensuring that sufficient procedures exist for their correct dissemination within the entity.

In the first instance, the Board of Directors, as established in its own Regulations, is responsible for approving the definition of the corporate structure. In addition, at the proposal of the chief executive, the Board decides on the appointment and removal of senior executives. The General Management and the Corporate Human Resources Division are responsible for the design and review of the organisational structure and for the definition of the lines of responsibility and authority, and the appropriate distribution of tasks and roles.

The Corporate Human Resources Division has procedures for updating corporate-level organisational structures and those of each of the Group subsidiaries. Dissemination is made via the corporate Human Resources Management platform and the corporate intranet, with the current organisation charts of each company and any major changes being managed and published on the latter.

The Corporate Finance Division has organisational structure charts with the composition of the financial departments of each subsidiary company, as well as information about the tasks performed by different members of these departments. Each team has a person responsible for the ICFR at local level, responsible for disseminating it to the rest of the departments involved, checking that each one of them carries out the checks allocated and regularly reporting on the operation of the system.

- Code of conduct, approval body, degree of dissemination and instruction, principles and values included (indicating whether specific mention is made of recording the transactions and drawing up of the financial information), body in charge of analysing non-compliance and proposing corrective measures and sanctions.

The body responsible for approving the Code of Conduct is the Board of Directors, subject to a report by the Audit Committee and that the recommendation of the Ethics and Regulatory Compliance Committee. The code affects the Boards of Directors, Senior Management and the rest of the Group's employees in their daily professional performance, regarding the relations and interactions they have with all their stakeholders.

The Code of Conduct in force in the Viscofan Group was approved by the Board of Directors in January 2022. This Code has been communicated and made available on the website, www.viscofan.com in the Corporate Governance, Regulations and Policies section.

At the recommendation of the Ethics and Regulatory Compliance Committee and subject to a report by the Audit Committee, the Board of Directors approves the Group's Compliance Plan, which contains action plans in different areas: improved internal regulations, annual update of the procedural compliance risk map, training plans, internal control improvement plans. In relation to the training plans, the company works on a cross-cutting basis with the Department of Human Resources which, aside from guaranteeing the publication of the Code of Conduct, participates in the implementation of annual Compliance Training Plans.

Additionally, each of the Group companies has a Local Compliance Head, who is the person appointed by the Ethics and Compliance Committee to monitor the Group's Regulatory Compliance System and responsible for ensuring that all local employees, technicians and managers receive ongoing training.

This Ethics and Compliance system, including the Internal Control of the Financial and Non-Financial Information policy, has been widely disseminated and is available to employees on the Group Intranet.

In addition to the Code of Conduct, Viscofan has an Internal Code of Conduct for the Securities Markets (ICC), which ensures, among other aspects, compliance with the legislation on market abuse. Thus, under the responsibility of the Secretary to the Board of Directors, all people affected by it (members of the Board of Directors, senior management and personnel who on a recurring basis may have access to information classified as inside information), repeatedly receive notifications concerning the presentation of results with the prohibition of trading with Company shares, monitoring the register of transactions and finally, when the information may be considered as inside information, the opening of the corresponding transaction and list of insiders. The Compliance Training Plan includes training activities relating to the ICC.

Lastly, the Viscofan Compliance System has a reporting process in place by virtue which the Ethics and Compliance Committee report to the Audit Committee at least twice a year regarding the implementation of the Compliance Plan for the year, which includes the correct functioning of the Whistleblowing Channel and the management of claims received through this channel. The Committee then reports to the Board of Directors regarding the functioning of the System and the Improvement plans to increase its efficiency.

- • Whistle-blowing channel, to allow financial and accounting irregularities to be communicated to the Audit Committee, as well as possible non-compliance with the code of conduct and irregular activities in the organization, reporting where applicable if this is confidential in nature And if permitted, perform anonymous communications regarding the rights of the accuser and the accused.

As established in the Code of Conduct, all members of the Viscofan Group must behave with full respect for local laws and regulations and all of them have a duty to report and cooperate to prevent breaches of this duty to respect the applicable regulations in each case. For this purpose, since 2011, Viscofan has had a Whistleblower Channel, as an internal reporting channel, available to employees and other stakeholders, through which they can raise issues related to non-compliance with the law and the Code of Conduct.

In this context, based on Directive 2019/1937 of the European Parliament and of the Council of 23 October 2019 on the protection of persons who report breaches of Union law ("Whistleblowing Directive"), Law 2/2023 of 20 February on the protection of persons who report breaches of Union law and the fight against corruption ("Law 2/2023") introduced new developments in this area during 2023.

To address these developments the Board of Directors has approved the General Policy that sets out the general principles of the Viscofan Group's Internal Reporting and Whistleblower Protection System, which guarantees the right of employees and third parties to communicate information on the breaches provided for therein through an internal reporting channel and determines the obligation to process the communication in accordance with a procedure that meets the due guarantees for whistleblowers and other affected parties.

The Policy provides for the need to establish an information management procedure (the "Information Management Procedure"). The Viscofan Ethics and Regulatory Compliance Committee, as the Body Responsible for the Internal Reporting System, is responsible for the diligent management of such procedure. The purpose of the Information Management Procedure is to develop the minimum content and principles set forth in the Policy in relation to the Information Management Procedure.

The Policy, the general principles of the Internal Reporting System, the Ethics Channel/Integrity Line and the Information Management Procedure are public on the corporate www.viscofan.com, website, on its home page, in a separate and easily identifiable section, as well as on the corporate intranet, which may be linked to the website.

- Periodic training and refresher courses for employees involved in preparing and revising the financial information, and in ICFR assessment, covering at least accounting standards, audit, internal control and risk management.

The aim of the Viscofan Group Training Policy is to guarantee that Group employees have all the knowledge and skills necessary for optimum execution of the duties assigned to them, improving or updating their performance.

Concerning one of the principles of this Policy, namely, planning, and in accordance with the responsibilities described therein, each year the Annual Training Plan is prepared, in which the managers of each department take part. Together with Human Resources Management, they identify training opportunities and the programmes to be carried out during the year.

In the case of the personnel involved in the preparation and review of the financial information, the external training actions for the review of standards and accounting procedures are combined with internal training, mainly concentrated on the dissemination of policies and procedures and on the execution of the internal controls included in the ICFR.

The employees of the Internal Audit department follow the guidelines laid down the Spanish Institute of Internal Auditors of which Viscofan is a member, and undertake any training required to comply with their functions and best practices.

F.2. **Financial reporting risk assessment.**

Provide information on, at least, the following:

F.2.1 The key features of the risk identification process, including error and fraud risks, with respect to:

- Whether the process exists and is documented:

The two areas most directly involved in the identification of risks that could affect the drafting of financial information are the Corporate Finance Division and the Internal Audit Division. In their daily activities, permanent communication is encouraged between these two departments to analyse how the ICFR is working and identify risk areas for which additional controls should be incorporated into the system.

Every month, the Corporate Finance Department monitors compliance in the execution of controls of each subsidiary.
The Internal Audit Division also informs the Audit Committee on a quarterly basis of the main incidents identified in the period, together with a risk assessment based on qualitative criteria and the monitoring carried out on the corrective actions established in previous periods.

- Whether the process covers all the objectives of financial reporting (existence and occurrence; completeness; valuation; presentation, breakdown and comparability; and rights and obligations), whether the information is updated and with what frequency.

In each process and sub-process that affects the preparation of financial information, the Group identifies the risks that may materialise taking the following information into account:

- Description of the existing control objectives to meet the business targets defined by the Company and guarantee the reliability of the financial information.

- Possibility of the occurrence of an error risk, according to its impact on the financial statements, being categorised as follows:

a) Validity: All transactions generated in the period are valid.
b) Integrity: All transactions have been recorded correctly.
c) Registry: All transactions have been accurately entered into the accounts.
d) Cut-off: All transactions recorded represent economic events that occurred during the period in question; transactions are recorded in the corresponding period.
e) Assessment: Assets and liabilities are correctly valued (they appropriately reflect the existing circumstances of the business and its financial conditions).
f) Presentation: The financial statements are appropriately presented and disclosed.

At the meetings discussed in the previous point, a conclusion may be reached as to the need or not to modify the existing list of risks for each process (affecting the preparation of financial information), following an analysis of the information complied.

- The existence of a process for identifying the consolidation perimeter, taking into account aspects including the possible existence of complex corporate structures, instrumental or special purpose vehicles.

In accordance with the Board of Directors Regulations, the Board shall be exclusively responsible for defining the structure of the corporate group. In turn, the Audit Committee shall oversee the appropriate scope of consolidation, taking into account, among other aspects, the possible existence of complex corporate structures and special purpose vehicles.

The Viscofan Group Accounting Policy Manual determines that the responsibility of keeping the scope of consolidation duly updated lies with the Consolidation Area, which forms part of the Corporate Finance Division. Corporate operations that could affect the scope are reported appropriately by the General Management and Legal Divisions.

The Audit Committee is informed about structural and corporative modification operations that are planned for its analysis and report to the Board of Directors regarding its economic conditions and accounting impact.

Independently of the fact the Group can grow either via acquisitions or organic growth, the Group's corporate strategy is to maintain as simple a structure as possible, in order to facilitate control of the business, from both an operational and a financial and accounting perspective.

In addition, it is the exclusive knowledge of the Board of Directors in full to create or acquire interests in special purpose vehicles or institutions registered in countries or territories regarded as tax havens, as well as any other transactions or operations of a similar nature whose complexity might impair the transparency of the group.

According to article 15 of these same Regulations, the Audit Committee is responsible for informing the Board, prior to it making the corresponding decisions in this area.

- Whether the process takes into account the effects of other types of risks (operational, technological, financial, legal, tax-related, reputational, environmental, etc.) insofar as they impact the financial statements.

The process of identification of risks of error or fraud in financial information takes into account the effects of other types of risks insofar as they affect the financial statements, risks that are assessed and managed as described in Section E of this report.

- Which of the entity's governance bodies supervises the process:

Article 15 of the Viscofan Board of Directors Regulations assigns the Audit Committee the role of monitoring the risk management carried out by the Group:

"Reviewing the internal control and financial and non-financial risk management systems, including tax risks, so that the main risks may be correctly identified, managed and suitably reported."

In addition, as described in section E of this report, all departments of the organisation, including the Internal Audit Division, collaborate with the Audit Committee through the Global Risk Committee, continuously identifying and assessing the risks faced by the organisation.

F.3. **Control activities.**

Provide information, indicating the main characteristics, about the existence of at least the following:

F.3.1 Procedures for reviewing and authorising financial information and the description of the ICFR, to be published in the stock markets, indicating those in charge, as well as descriptive documentation of the activity and control flows (including those related to fraud risk) of the various types of transactions that may materially affect the financial statements, including the procedure for closing the accounts and the specific review of key judgments, estimates, valuations and projections

The procedures existing in the Viscofan Group define the activities and controls to be carried out in the process of drafting the financial information, distinguishing the following stages until its dissemination:

- Recording of daily operations by each local department involved, including the book closing for each subsidiary.
- Carryover of financial information for consolidation.
- Consolidation of the information.
- Validation and approval of the financial information.
- Publication and dissemination of the information.

In accordance with what is set forth in the Policy on the Internal Control of Financial Reporting, the Corporate Finance Division is responsible for the design, start-up and dissemination of the ICFR, and for the accounting policies and procedures to be applied, the definition of the process of preparation of the financial information and the control activities for mitigating possible risk. To do this, it receives support from the Internal Audit Division, which in its task of overseeing the comprehensive nature of the accounting and management information issued, both internally and externally, cooperates in assessing the ICFR.

To do so, based on the documentation describing the flows that affect the different departments (purchasing, billing, salaries, banks and cash, etc.), the risk areas are identified and the internal controls to be carried out are proposed.

On the other hand, based on the balance sheets and profit and loss accounts, the most significant accounts are identified, analysing, by means of the controls implemented or establishing new controls if considered necessary, the coverage percentage, in order to guarantee the reliability of the information published. In this way, adding the two approximations by process and by items in the balance sheets and profit and loss account, the aim is to guarantee that the controls in place cover the most significant risk areas.

In order to have a more robust and effective internal control, the internal control model has been migrated and unified in 2023 in the SAP GRC tool, which adds to the possibility of executing and supervising control activities (master data management of controls by subsidiary, implementation and monitoring flows, evidence storage and review by Corporate Finance and supervision by Internal Audit) the potential to integrate automatic controls, and controls associated with other regulations (non-financial information internal control system, ITGC, COMPLIANCE) gaining in robustness and efficiency in the control environment as a whole.

In the course of 2023, further progress was made in the improvement and standardisation of evidence provided by the companies within the Group and the streamlining of the controls jointly undertaken by the Internal Audit and Corporate Finance departments, and with the collaboration of those responsible at a corporate level. Progress has also been made on the project to automate ICFR controls, in collaboration with the Internal Audit and IT Directorate and within the framework of the continuous audit project. In particular, those ICFR controls that could be automated have been identified and some of them have been designed, parameterised and implemented.

The document "The Internal Control and Risk Management Systems for Financial Information" implemented in Viscofan explains the set of measures and controls that allow the assurance of the financial statements, as well as narratives and flow charts related to the local procedure for closing accounts, with the corporate ICFR review process and the operations of the various existing committees.

When the local financial information has been generated, in accordance with the Reporting Validation and Analysis Procedure, each company should carry out the additional controls established in this Procedure, with the participation of at least two people: firstly, the person responsible for book closing at local level and, secondly, the person responsible for validating this closing, who is usually the Company finance manager or the person responsible for the commercial subsidiary.

The procedure for validation of the financial information reported by each subsidiary makes it possible to check that the data received for consolidation is consistent with that existing in the local systems and is standardised in accordance with the corporate accounting plan in force. The computer application used for consolidation has basic controls incorporated to flag any inconsistency in the information reported.

Those responsible for the accounting inform about changes to the financial statements of their subsidiary, transmitting the most relevant accounts with details of the calculations made.

The consolidated information is reviewed by the General Management, the Corporate Finance Division and the Investor Relations and Communication Division. This review takes place before the information is sent to the Board of Directors for final approval. The different Regional Directorates receive the consolidation of their respective areas for follow-up.

The Audit Committee intervenes in the supervision of the Company's regular financial information, filling the roles assigned to it in the Board of Directors Regulations.

"Overseeing the process devised by the senior management for instituting lawsuits, making assessments and reaching significant estimates, and the impact thereof on the financial statements. Reviewing, analysing and discussing the financial statements and other relevant financial information with the senior management team and the internal and external auditors so as to ensure that the information is reliable, understandable and relevant, and that the accounting standards used for the preceding year have been duly followed."

This involvement from the Audit Committee extends to permanently monitoring account auditing, holding regular meetings with the external auditor to directly supervise the result of the process after both pre-closing and definitive closing of the annual accounts.

The Committee pays special attention to proposals for improving internal control, the quality of the opinions and estimates and the accounting criteria applied in the Group.

F.3.2 Internal control procedures and policies for information systems (among others, access security, change control, their operation, operational continuity and segregation of functions) that support the relevant processes in the entity with respect to the drawing up and publication of the financial information.

The main standards and procedures existing in the Viscofan Group in relation to the control of computer systems are contained in the following manuals and policies, available on the Group intranet, which regulate the use of computer systems and networks and their control and management:

- Authorisation policy on computer access and profiles
- Password policy
- Computer systems and networks management policy
- IT Security Policy
- Confidentiality policy

These policies develop the following aspects:

- The control systems should record and limit access to all Group computer systems and networks, establishing at least the creation of a username for each authorised user and the need for a password associated with it in accordance with the Password Policy.
- Management of access to any computer system or network shall comply with the provisions of the IT Profile Access Authorisation Policy. Thus, the person responsible for managing profiles and access should keep a record that justifies the authorisation of each action or modification of profiles and each access made.
- Maintenance of the computer systems and networks should include periodic measures that guarantee the copying and the possibility of backup and recovery of the data and information contained in the different Viscofan Group computer systems and networks in each case. Access to these copying and backup resources or mechanisms should be limited, protecting their content in all cases and establishing mechanisms for safekeeping and custody that guarantee their security.
- Any development or modification made by the computer departments to the Viscofan Group computer systems and networks shall be carried out with as much coordination as possible, requesting the authorisations necessary for its implementation or for performing any test process and, in any case, establishing at least the same measures in terms of security and limitation of access to the data.
- The security policy, management of changes, maintenance and handling of incidents should guarantee rapid recovery of the Viscofan Group computer systems and networks in the event of any contingency that could have an impact on their availability.
- All personnel, and from this moment all employees, without prejudice to the commitment established in their contract or not, having access to confidential information in the Viscofan Group must sign a confidentiality agreement that explicitly and unequivocally Details the obligation of restrictive use of the confidential information and the obligation to keep it secret, restricting its access and disclosure.

The main infrastructure of the Group is located in a main Data Processing Centre (CPD). In a second CPD the secondary infrastructure is housed to ensure the continuity of the service in case of disaster.

The Viscofan Group has a Disaster Recovery Plan, coming within the framework of processes and procedures, and which will serve to guide and support the teams during an incident. This will enable the teams to respond in a way which is as most efficient and controlled as possible, minimising the impact on users, in order to return to operational service as soon as possible.

F.3.3 Internal control procedures and policies designed to supervise the management of activities subcontracted to third parties, and those aspects of the evaluation, calculation and assessment outsourced to independent experts, which may materially impact the financial statements.

The Viscofan Group assigns to independent expert third parties the actuarial calculations on labour liabilities and the calculation of the Corporate Tax of some of the Group companies, as well as the performing of PPA (Purchase Price Allocation) processes in the purchases of new businesses and the valuations of the share-based plans.

In any case, the criterion is maintained of working only with prestigious institutions, and the valuations received are reviewed by the financial departments involved.

In line with the evolution of technology, housing and maintenance services are contracted for the Group's main data centres, as well as plans that ensure business continuity in the event of computer incidents. Outsourced services are periodically monitored by checking the critical management indicators. A validation service has been implemented for cloud services offered by software companies for the access and use of their applications.

F.4. **Information and communication.**

Provide information, indicating the main characteristics, about the existence of at least the following:

F.4.1 A specific function in charge of defining and keeping the accounting policies updated (accounting policy department or area) and dealing with queries or conflicts stemming from their interpretation, ensuring smooth communication with those in charge of operations in the organization, and an up-to-date manual of accounting policies, communicated to the units through which the entity operates.

The responsibility for defining, updating and disseminating the accounting policies and procedures to be applied to guarantee standardisation of processes and accounting information lies with the Corporate Finance Division, in accordance with the Policy on the Internal Control of Financial Reporting.

The accounting manuals are disseminated through the document libraries on the corporate Intranet and are available to the financial teams. Contact between corporate and local levels is continuous, and lines of communication are maintained for resolving any queries and conflicts derived from their interpretation.

The manuals are reviewed by the person responsible for Consolidation, at least annually, generally during the months of November and/or December. The perimeter is updated and new legal regulations applicable to the Group are incorporated. The documents are issued in Spanish and English.

In addition, regular account coordination meetings are held to transmit accounting policies, provide training in the performance of the controls included in the ICFR and check standardisation in the preparation of the information reported by each subsidiary.

F.4.2 Mechanisms to capture and prepare the financial reporting in standardised formats, for application and use by all the units of the entity or the group, that support the main financial statements and the notes, and the information detailed on ICFR.

In accordance with the Policy on the Internal Control of the Financial Information, the Group Financial Department is responsible for supervising the appropriate design and use of the financial computer systems.

For these purposes, the Corporate Finance Division has organised selection, set-up, implementation and training into a single reporting tool for consolidation for all Viscofan Group companies.

The data from the local applications are integrated into the consolidation system following a single corporate accounting procedure, the Corporate Accounting Plan. The Corporate Finance Division is responsible for reviewing the equivalence between the accounting plans from each subsidiary and the Corporate Accounting Plan in order to guarantee the standardisation of the information received.

As an additional control measure, the financial team ensures that at year-end, the accounting balances of the consolidation system coincide with the accounting balances of the financial modules of each subsidiary to ensure that the origin and destination information is the same.

The content of the information reported includes both the financial statements and most of the information necessary for preparing the tables and notes for the Annual Report of the company and subsidiaries, the first draft of which is prepared directly in this system.

F.5. **Supervising the system's operation.**

Provide information, indicating the main characteristics, about at least the following:

F.5.1 The ICFR supervision activities carried out by the Audit Committee and whether the entity has an internal audit function whose powers include providing support to the Audit Committee in its task of supervising the internal control system, including the ICFR. Likewise,
Likewise, information will be given on the scope of the ICFR assessment undertaken during the year and on the procedure by which the person in charge of performing the assessment communicates its results, where the entity has an
action plan listing the possible corrective measures, and whether its impact on financial reporting has been considered.

As stated in Art. 8 of the Regulations of the Audit Committee, one of its main functions is to oversee and evaluate the process of preparation, presentation and integrity of the economic and financial and non-financial information relating to the Company and its consolidated Group, reviewing the correct design of the internal control systems for financial and non-financial information, compliance with the regulatory requirements for both types of information and the correct application of generally accepted accounting principles.

Reporting directly functionally to the Audit Committee is the Internal Audit Department of the Viscofan Group, whose scope of work is to determine whether the risk management and control processes of the Viscofan Group, designed and operated by the Management, are adequate and operate in a manner that ensures, among other things, significant financial, managerial and operational information is accurate, accountable and available in a timely manner.

During the 2023 financial year, the Internal Audit Division's work plan has focused in particular on:

- The development of automatic controls (continuous auditing) consisting of the automation of detective controls (alerts) in the SAP management system environment for different Group processes, as well as their subsequent visualisation and exploitation in the Power Bi tool.
- Participation in the Investment Committee, overseeing its activity. In 2023, the Investment Committee held four meetings, coinciding with the quarterly financial closures. Investments are strictly monitored at all subsidiaries.
A report is issued by the Corporate Finance Department every month and emailed to the Committee members, making it possible to ensure that any possible deviations are quickly detected and the appropriate actions can be taken. In addition, the eight projects with the largest budget allocations have been monitored more closely this year, on a fortnightly basis.
- Participation in the Credit Risk Committee, overseeing its activity, particularly with regard to credit risk coverage levels and the principal accounts receivable.
The Credit Risk Committee met during the year on four occasions. The key objective of the Credit Risk Committee is to report on the taking out of credit insurance, compliance with established procedures and the added risk involved in selling to some countries. Furthermore, a detailed analysis is made of the total exposure of customers, particularly those with the largest amounts of matured debt. Special attention continued to be paid to customers located in countries, which, for various reasons, are experiencing geopolitical instabilities. Monitoring conducted by the Committee has made it possible to keep the amount of the debt covered compared to last year. The default rate was maintained at a level considered satisfactory by the organisation.
- Participation in the Global Risk Committee described above, re-evaluating and redefining some of the risks on the existing Risk Map, redefining all the KRIs associated with each of these risks and monitoring the values of these KRIs.
- The quarterly assessment of the ICFR, reviewing the controls made and the quality of the evidence provided, establishing appropriate corrective measures. Specifically, every quarterly closure is accompanied by a review of the most important controls, submitting the findings report to the Audit Committee prior to the approval of the financial information to be published.
- The review of different processes in various national and international subsidiaries in compliance with the annual Audit Plan approved for 2023.
- The monitoring of the implementation of the recommendations arising from the reviews of the different processes audited in the past. For this purpose there is a tool to monitor Internal Audit's recommendations, with the creation of reports for Senior Management.

The Internal Audit Department continuously carries out an independent review of the effectiveness of the different controls implemented in the SCIIF platform, through both the quarterly reviews it carries out of the SCIIF controls, as well as the work approved within the annual performance plan. audit that allow you to analyze the controls implemented to mitigate the risks that are being audited. Subsequently, these conclusions are discussed with the Corporate Finance Department as responsible for the System, agreeing on action plans to correct the possible incidents found. Subsequently, said conclusions reached are transferred to the Audit Committee prior to the approval of the financial information to be published, for its consideration. The Internal Audit activity is considered satisfactory, thanks mainly to the high rate of application of the improvements and recommendations made to solve the incidents detected.

F.5.2 Whether there is a discussion procedure by which the auditor (in accordance with the technical auditing notes), the internal audit function and other experts can inform senior management and the audit committee or the directors of the entity of significant weaknesses in the internal control encountered during the review processes for the annual accounts or any others within their remit. Likewise, give information on whether there is an action plan to try to correct or mitigate the weaknesses observed.

The Audit Committee has its own Regulations in accordance with the law and internal corporate governance regulations, which develop and complement the rules of the Articles of Association and the Regulations of the Board of Directors applicable to the Committee.

Art. 6 of these Regulations describes the different functions of the Committee regarding the external auditors, and among others the following functions are indicated;

- Supervise the results of each audit and the management team's responses to its recommendations.
- Supervise the content of the audit reports before issuance and, where appropriate, of the limited review reports of intermediate accounts ensuring that said content and the opinion on the annual accounts are drafted clearly, precisely and without limitations or exceptions by the auditor, explaining them to the shareholders (if any). In this regard, together with the auditor, the Committee must oversee the significant findings derived from its work and, where appropriate, propose to the Board of Directors the measures it deems appropriate to address the shortfalls found by the auditor.
- Assess whether the relationships and collaboration of senior management and the financial department with the auditor has been suitable for the performance of the audit functions.

Art. 7 of these Regulations describes the different functions of the Committee regarding the internal auditors, and among others the following functions are indicated;

- Receive regular information on the activities carried out by the Internal Audit Department of Viscofan and the companies of its Group, and specifically on the execution of the annual work plan, the incidents found and the annual report containing a summary of the activities.
- Ensure that senior managers take into account the conclusions and recommendations of the reports of the Internal Audit Department.

F.6. **Other significant information.**

We do not consider it necessary to disclose any other information that has not been already described in the above sections.

F.7. **External audit report.**

Provide information about the following:

F.7.1 Whether the ICFR information disclosed to the markets has been submitted by the external auditor, in which case the entity must attach the corresponding report as an annexe. Otherwise, explain the reasons why it was not.

The ICFR information was subjected to review by our external auditors, PwC in accordance with the Professional Action Guidelines and the Audit Report model concerning SCIIF-related information on listed companies as laid down in Circular No. 5/2013 of 12 June by the National Securities Market Commission (CNMV), subsequently amended by Circular No. 7 2015 of the CNMV on 22 December 2015 and Circular No. 2/2018 of the CNMV on 12 June 2018.

G. DEGREE OF COMPLIANCE WITH CORPORATE GOVERNANCE RECOMMENDATIONS

Indicate the extent to which the company follows the recommendations of the Good Governance Code of listed companies.

Should any recommendation not be followed or be only partially followed, a detailed explanation should be given of the reasons so that the shareholders, investors and the market in general have sufficient information to assess the way the company works. General explanations will not be acceptable.

1. The bylaws of listed companies should not place an upper limit on the votes that can be cast by a single shareholder, or impose other obstacles to the takeover of the company by means of share purchases on the market.

   Complies [X] Explain [ ]

2. That, when the listed company is controlled in accordance with Article 42 of the Commercial Code by another entity, listed or not, and has a direct business relationship with this company or any of its subsidiaries (other than the listed company) or undertakes any activity relating to any of them, they should publicly provide precise information on:

   a) The respective areas of activity and any business relationships between the listed company or its subsidiaries on one hand, and the parent company or its subsidiaries on the other hand.

   b) The mechanisms envisaged to resolve any possible conflicts of interest that may arise.

   Complies [ ] Partially complies [ ] Explain [ ] Not applicable [X]

3. During the annual general meeting the chairman of the board should verbally inform shareholders in sufficient detail of the most relevant aspects of the company's corporate governance, supplementing the written information circulated in the annual corporate governance report. In particular:

   a) Changes taking place since the previous General Shareholders' Meeting.

   b) The specific reasons for the company not following a given Code Good Governance recommendation and any alternative procedures followed in its stead.

   Complies [X] Partially complies [ ] Explain [ ]

4. The company should define and promote a policy relating to communication and contacts with shareholders and institutional investors within the framework of their involvement with the company, as well as with proxy advisors that complies in full with market abuse regulations and accords equitable treatment to shareholders in the same position. This policy should be published on the company's website, complete with details of how it has been put into practice and the identities of the relevant spokespersons or those responsible for its implementation.

   And that, notwithstanding the legal obligations for the dissemination of inside information and other types of regulated information, the Company also has a general policy regarding the communication of economic-financial, non-financial and corporate information through the channels it deems appropriate (the media, social networks and other channels), which contributes to maximising the dissemination and quality of the information available to the market, investors and other stakeholders.

   Complies [X] Partially complies [ ] Explain [ ]

5. The board of directors should not make a proposal to the general meeting for the delegation of powers to issue shares or convertible securities without pre-emptive subscription rights for an amount exceeding 20% of capital at the time of such delegation.

   When a board approves the issuance of shares or convertible securities without pre-emptive subscription rights, the company should immediately post a report on its website explaining the exclusion as envisaged in company legislation.

   Complies [X] Partially complies [ ] Explain [ ]

6. Listed companies drawing up the following reports on a voluntary or compulsory basis should publish them on their website well in advance of the annual general meeting, even if their distribution is not obligatory:

   a) Report on auditor independence.

   b) Reviews of the operation of the audit committee and the nomination and remuneration committee.

   c) Audit committee report on third-party transactions.

   Complies [X] Partially complies [ ] Explain [ ]

7. The company should broadcast its general meetings live on the corporate website.

   And that the company has mechanisms the enable the delegation and exercise of voting by means of telematics and, in the case of large cap companies and as far as is commensurate, attendance and active participation in the General Shareholders' Meeting.

   Complies [X] Partially complies [ ] Explain [ ]

8. That the audit committee ensures that the annual accounts presented by the board of directors to the general shareholders' meeting are prepared in accordance with accounting regulations. And that where the accounts auditor has included any provisos in the audit report, the chairperson of the audit committee should clearly explain at the general shareholders' meeting the opinion of the audit committee of its content and scope, when the general shareholders' meeting is called, to provide the shareholders with a summary of this opinion, together with the board's other proposals and reports.

Complies [X] Partially complies [ ] Explain [ ]

9. The company should disclose its conditions and procedures for admitting share ownership, the right to attend general meetings and the exercise or delegation of voting rights, and display them permanently on its website.

Such conditions and procedures should encourage shareholders to attend and exercise their rights and be applied in a non-discriminatory manner.

Complies [X] Partially complies [ ] Explain [ ]

10. When an accredited shareholder exercises the right to supplement the agenda or submit new proposals prior to the general meeting, the company should:

a) Immediately circulate the supplementary items and new proposals.

b) Disclose the model of attendance card or proxy appointment or remote voting form duly modified so that new agenda items and alternative proposals can be voted on in the same terms as those submitted by the board of directors.

c) Put all these items or alternative proposals to the vote applying the same voting rules as for those submitted by the board of directors, with particular regard to presumptions or deductions about the direction of votes.

d) After the general meeting, disclose the breakdown of votes on such supplementary items or alternative proposals.

Complies [ ] Partially complies [ ] Explain [ ] Not applicable [X]

11. In the event that the company plans to pay for attendance at the general meeting, it should first establish a general, long-term policy in this respect.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

12. The board of Directors should perform its duties with unity of purpose and independent judgement, according the same treatment to all shareholders in the same position. It should be guided at all times by the company's best interest, understood as the creation of a profitable business that promotes its sustainable success over time, while maximising its economic value.

    In pursuing the corporate interest, it should not only abide by laws and regulations and conduct itself according to principles of good faith, ethics and respect for commonly accepted customs and good practices, but also strive to reconcile its own interests with the legitimate interests of its employees, suppliers, clients and other stakeholders, as well as with the impact of its activities on the broader community and the natural environment.

    Complies [X] Partially complies [ ] Explain [ ]

13. The Board of Directors should have an optimal size to promote its efficient functioning and maximize participation. The recommended range is accordingly between five and fifteen members.

    Complies [X] Explain [ ]

14. That the Board of Directors should approve a policy aimed at establishing a suitable composition of the Board of Directors and which:

    a) Is specific and verifiable.

    b) ensures that the appointment or re-election proposals are based on a prior analysis of the skills required by the Board of Directors; and

    c) encourages a diversity of knowledge, experience, age and gender. With regard to this, measures that promote gender diversity are those promoting the presence of a significant number of women in the company's senior management.

    That the results of the prior analysis of the skills required by the board should be included in the appointment committee's justifying report that is published when the general shareholders' meeting is convened and in which the appointment and re-election of each director will be ratified.

    The appointments committee should run an annual check on compliance with this policy and include its findings in the annual corporate governance report.

    Complies [X] Partially complies [ ] Explain [ ]

15. Nominee and independent directors should constitute an ample majority on the board of directors, while the number of executive directors should be the minimum practical bearing in mind the complexity of the corporate group and the ownership interests they control.

And that the number of female directors should represent at least 40% of the members of the Board of Directors by the end of 2022 and thereafter, and before this should never be less than 30%.

Complies [ ] Partially complies [X] Explain [ ]

In accordance with Principle 11 of the Code of Good Governance, the Board of Directors has a balanced composition, with a large majority of external directors, an appropriate proportion between nominee and independent directors, the latter being a majority on the Board of Directors. In particular, independent directors account for 6 out of a total of 11 directors (55%) and nominee directors for 2 (18%), so that the sum of both represents a broad majority on the Board of Directors (73%), while the number of executive directors accounts for 2 out of a total of 11 directors (18%).

In recent years Viscofan has increased the number of female directors from 1 to 4, currently representing 36.4% of the total number of directors, very similar to that established in this recommendation. In accordance with the Director Selection and Diversity Policy, the Appointments, Remuneration and Sustainability Committee, or the Board of Directors itself, as the case may be, actively seeks the inclusion in the process of female candidates who, responding to the needs of the skills matrix, contribute to improving the percentage of women, and in the event of two similar professional profiles, the female candidate is proposed.

In addition, the Appointments, Remuneration and Sustainability Committee in compliance with Recommendation 14 of the Good Governance Code of Listed Companies and the Selection and Diversity Policy, in relation to the previous analysis of the needs of the Company and the competencies required by the Board of Directors regarding the proposals on the composition of the Board of Directors for the General Shareholders' Meeting of 2024, issued a report on 15 February 2024, which will be made available to the shareholders, proposing the reduction of the number of members of the Board of Directors from eleven (11) to ten (10) members, considering that this maintains a balanced and diverse composition and, in particular, the percentage of women out of the total number of members of the Board of Directors will reach 40% (compared to 36% as at 31 December 2023), reaching the target of female representation set out in this recommendation.

16. The percentage of nominee directors out of all non-executive directors should be no greater than the proportion between the ownership stake of the shareholders they represent and the remainder of the company's capital.

This criterion can be relaxed:

a) In large cap companies where few or no equity stakes attain the legal threshold for significant shareholdings.

b) In companies with a plurality of shareholders represented on the board but not otherwise related.

Complies [X] Explain [ ]

17. Independent directors should be at least half of all directors.

However, when the company does not have a large market capitalisation, or when a large cap company has shareholders individually or concertedly controlling over 30% of capital, independent directors should occupy, at least, a third of the total number of directors.

Complies [X] Explain [ ]

18. Companies should disclose the following information on their directors on their websites and keep it regularly updated:

a) Background and professional experience.

b) Directorships held in other companies, listed or otherwise, and other paid activities they engage in, of whatever nature.

c) Statement of the director category to which they belong, in the case of nominee directors indicating the shareholder they represent or have links with.

d) Dates of their first appointment as a director and subsequent re-elections.

e) Shares held in the company, and any options on the same.

Complies [X] Partially complies [ ] Explain [ ]

19. Following verification by the appointments committee, the annual corporate governance report should disclose the reasons for the appointment of proprietary directors at the urging of shareholders controlling less than 3% of capital; and explain any rejection of a formal request for a place on the board from shareholders whose equity stake is equal to or greater than that of others applying successfully to be appointed a proprietary director.

Complies [ ] Partially complies [ ] Explain [ ] Not applicable [X]

20. Nominee directors should resign when the shareholders they represent dispose of their ownership interest in its entirety. If such shareholders reduce their stakes, thereby losing some of their entitlement to nominee directors, the latter's number should be reduced accordingly.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

21. The Board of Directors should not propose the removal of independent directors before the expiry of their tenure as mandated by the Bylaws, except where they find just cause, based on a proposal from the Nomination Committee. In particular, just cause will be presumed when directors take up new posts or responsibilities that prevent them allocating sufficient time to the work of a director, or are in breach of their fiduciary duties or come under one of the disqualifying grounds for classification as independent enumerated in the applicable legislation.

    The removal of independent directors may also be proposed when a takeover bid, merger or similar corporate transaction alters the company's capital structure, provided the changes in board membership ensue from the proportionality criterion set out in recommendation 16.

    Complies [X] Explain [ ]

22. That companies should establish rules obliging directors to disclose any circumstance and, where appropriate, resign when circumstances arise that affect them, whether or not they are related to their actions within the company itself, that might harm the organisation's name or reputation and, in especially, to inform the board of any criminal charges in which they may be investigated, and their involvement in any subsequent legal proceedings.

    And that, if the Board has been informed or become aware in any other way of the existence of any of the situations mentioned in the previous paragraph, the case should be examined as soon as possible, according to the specific circumstances and with a prior report to the Appointment and Remuneration Committee, to determine whether or not any measures should be taken, such as opening an internal investigation, asking the director to resign or proposing their dismissal. And that a report regarding this is included in the annual corporate governance report, unless there are special circumstances to justify this, in which case they should be confirmed in the minutes. All this notwithstanding the information that the company needs to provide, where applicable, at the time when the measures are taken.

    Complies [X] Partially complies [ ] Explain [ ]

23. Directors should express their clear opposition when they feel a proposal submitted for the board's approval might damage the corporate interest. In particular, independents and other directors not subject to potential conflicts of interest should strenuously challenge any decision that could harm the interests of shareholders lacking board representation.

    When the board makes relevant or reiterated decisions about which a director has expressed serious reservations then he or she must draw the pertinent conclusions. Directors resigning for such causes should set out their reasons in the letter referred to in the next recommendation.

    The terms of this recommendation should also apply to the secretary of the board of directors, whether a director or otherwise.

    Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

24. That directors who give up their place before their tenure expires, through resignation or agreement at the general shareholders' meeting, should clearly state their reasons for their resignation or, in the case of non-executive directors, their opinion of the for their dismissal by general meeting in a letter to be sent to all members of the board of directors.

    And that, notwithstanding including all this in the annual corporate governance report, insofar as it concerns the investors, the company should publish the dismissal as soon as possible making sufficient references to the reasons or circumstances given by the director.

    Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

25. The nomination committee should ensure that non-executive directors have sufficient time available to discharge their responsibilities effectively.

    The board of directors regulations should lay down the maximum number of company boards on which directors can serve.

    Complies [X] Partially complies [ ] Explain [ ]

26. The board should meet with the necessary frequency to properly perform its functions, eight times a year at least, in accordance with a calendar and agendas set at the start of the year, to which each director may propose the addition of initially unscheduled items.

    Complies [X] Partially complies [ ] Explain [ ]

27. Director absences should be kept to a strict minimum and quantified in the Annual Corporate Governance Report. In the event of absence, directors should delegate their powers of representation with the appropriate instructions.

    Complies [X] Partially complies [ ] Explain [ ]

28. When directors or the secretary express concerns about some proposal or, in the case of directors, about the company's performance, and such concerns are not resolved at the meeting, they should be recorded in the minute book if the person expressing them so requests.

    Complies [ ] Partially complies [ ] Explain [ ] Not applicable [X]

29. The company should provide suitable channels for directors to obtain the advice they need to carry out their duties, extending if necessary to external assistance at the company’s expense.

    Complies [X] Partially complies [ ] Explain [ ]

30. Regardless of the knowledge directors must possess to carry out their duties, they should also be offered refresher programmes when circumstances so advise.

Complies [X] Explain [ ] Not applicable [ ]

31. The agendas of board meetings should clearly indicate on which points directors must arrive at a decision, so they can study the matter beforehand or gather together the material they need.

For reasons of urgency, the chairman may wish to present decisions or resolutions for board approval that were not on the meeting agenda. In such exceptional circumstances, their inclusion will require the express prior consent, of the majority of directors present, which shall be duly shown in the minutes.

Complies [X] Partially complies [ ] Explain [ ]

32. Directors should be regularly informed of movements in share ownership and of the views of major shareholders, investors and rating agencies on the company and its group.

Complies [X] Partially complies [ ] Explain [ ]

33. That the Chairman, as the person responsible for the effective operation of the Board of Directors, in addition to attending to his/her legally and statutorily attributed functions, should prepare a programme with dates and issues to address to be submitted to the Board of Directors; he/she should organise and coordinate the regular assessment of the board, and where applicable, that of the company's chief executive; he/she should be responsible for managing the board and for the effectiveness of its performance; he/she should ensure that enough time is given to discussing strategic matters, and should agree and review the knowledge updating programmes for each director, when circumstances so advise.

Complies [X] Partially complies [ ] Explain [ ]

34. When a lead independent director has been appointed, the Bylaws or Board of Directors regulations should grant him or her the following powers over and above those conferred by law: chair the board of directors in the absence of the chairman and vice chairmen give voice to the concerns of non-executive directors; maintain contacts with investors and shareholders to hear their views and develop a balanced understanding of their concerns, especially those to do with the company's corporate governance; and coordinate the chairman's succession plan.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

35. The board secretary should strive to ensure that the board's actions and decisions are informed by the governance recommendations of the Code of Good Governance of relevance to the company.

Complies [X] Explain [ ]

36. The board in full should conduct an annual evaluation, adopting, where necessary, an action plan to correct weaknesses detected in:

a) The quality and efficiency of the board's operation.

b) The performance and membership of its committees.

c) The diversity of board membership and competences.

d) The performance of the chairman of the board of directors and the company's chief executive.

e) The performance and contribution of individual directors, with particular attention to the chairmen of board committees.

The evaluation of board committees should start from the reports they send the board of directors, while that of the board itself should start from the report of the nomination committee.

Every three years, the board of directors should engage an external facilitator to aid in the evaluation process. This facilitator's independence should be verified by the nomination committee.

Any business dealings that the facilitator or members of its corporate group maintain with the company or members of its corporate group should be detailed in the annual corporate governance report.

The process followed and areas evaluated should be detailed in the annual corporate governance report.

Complies [X] Partially complies [ ] Explain [ ]

37. That where an executive committee exists, it should include at least two non-executive directors, at least one of whom should be independent; and the secretary should be that of the board of directors.

Complies [ ] Partially complies [ ] Explain [ ] Not applicable [X]

38. The board of directors should be kept fully informed of the business transacted and decisions made by the executive committee. To this end, all board members should receive a copy of the committee's minutes.

Complies [ ] Partially complies [ ] Explain [ ] Not applicable [X]

39. That the members of the Audit Committee as a whole and, particularly, the Chairman thereof, should be appointed taking into account their background knowledge and experience in accounting, auditing and the management of financial and non-financial risks.

Complies [X] Partially complies [ ] Explain [ ]

40. Listed companies should have a unit in charge of the internal audit function, under the supervision of the audit committee, to monitor the effectiveness of reporting and control systems. This unit should report functionally to the board's non-executive chairman or the chairman of the audit committee.

Complies [X] Partially complies [ ] Explain [ ]

41. That the head of the unit responsible for internal auditing should submit their annual work plan to the Audit Committee to be approved by them or by the board, report directly to them with regard to its execution, including and possible incidents or restrictions to the scope of its actions, the results and monitoring of its recommendations and at the end of each financial year to submit an activity report.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

42. The audit committee should have the following functions over and above those legally assigned:

1. With respect to internal control and reporting systems:

   a) Supervise and assess the preparation process for and the integrity of the financial and non-financial information, the financial risk control and management systems relating to the company and, where applicable, to the Group (including operational, technological, legal, social, environmental, policy, reputational and relating to corruption) to review compliance with regulatory requirements, a suitable delimitation of the consolidation perimeter and the correct application of accounting criteria.

   b) Monitor the independence of the unit responsible for the internal audit function; propose the selection, appointment, and removal of the head of the internal audit service; propose the service's budget; approve or propose approval to the board for its priorities and the annual work for internal auditing, ensuring that it focuses primarily on the main risks the company is exposed to (including reputational); receive regular report-backs on its activities; and verify that senior management are acting on the findings and recommendations of its reports.

   c) Establish and supervise a mechanism whereby staff and others related to the company, such as directors, shareholders, suppliers, contractors and sub-contractors, can report any significant irregularities, including financial and accounting irregularities, or of any other nature, relating to the company that are observed in the heart of the company or its group. This mechanism should guarantee confidentiality and, in any case, envisage the possibility of the notifications being made anonymously, always respecting the rights of both the accuser and the accused.

   d) Generally safeguard that the established policies and systems with regard to internal control are applied effectively in practice.

2. With respect to the external auditor:

   a) Investigate the issues giving rise to the resignation of the external auditor, should this come about.

   b) Ensure that the remuneration of the external auditor does not compromise its quality or independence.

   c) Ensure that the company notifies any change of auditor through the Spanish Securities Market Commission (CNMV) and accompanies the notification with a declaration on the possible existence of disagreements with the outgoing auditor and with the contents of the audit, if any.

   d) Ensure that the external auditor has a yearly meeting with the board in full to inform it of the work undertaken and developments in the company's risk and accounting positions.

   e) Ensure that the company and the external auditor adhere to current regulations on the provision of non-audit services, limits on the concentration of the auditor's business and other requirements concerning auditor independence.

Complies [X] Partially complies [ ] Explain [ ]

43. The audit committee should be empowered to meet with any company employee or manager, even ordering their appearance without the presence of another senior officer.

Complies [X] Partially complies [ ] Explain [ ]

44. The Audit Committee should be informed of any fundamental changes or corporate transactions the company is planning, so the committee can analyse the operation and report to the board beforehand on its economic conditions and accounting impact and, when applicable, the exchange ratio proposed.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

45. That risk control and management policy should identify or conform at least the following:

a) The different types of financial and non-financial risk the company is exposed to (including operational, technological, financial, legal, social, environmental, political and reputational risks, including those related to corruption), with the inclusion under financial or economic risks of contingent liabilities and other off-balance-sheet risks.

b) A risk control and management model based on different levels and that should include a committee specialising in risks when sector norms envisage this or if the company feels it is appropriate.

c) The risk level the company feels is acceptable.

d) The measures in place to mitigate the impact of identified risk events should they occur.

e) The internal control and reporting systems to be used to control and manage the above risks, including contingent liabilities and off-balance sheet risks.

Complies [X] Partially complies [ ] Explain [ ]

46. Companies should establish a risk control and management function in the charge of one of the company's internal department or units and under the direct supervision of the audit committee or some other dedicated board committee. This function should be expressly charged with the following responsibilities:

a) Ensure that risk control and management systems are functioning correctly and, specifically, that major risks the company is exposed to are correctly identified, managed and quantified.

b) Participate actively in the preparation of risk strategies and in key decisions about their management.

c) Ensure that risk control and management systems are mitigating risks effectively in the frame of the policy drawn up by the board of directors.

Complies [X] Partially complies [ ] Explain [ ]

47. Members of the nomination and remuneration committee – or of the nomination committee and remuneration committee, if separately constituted – should have the right balance of knowledge, skills and experience for the functions they are called on to discharge. The majority of their members should be independent directors.

Complies [X] Partially complies [ ] Explain [ ]

48. Large cap companies should operate separately constituted nomination and remuneration committees.

Complies [ ] Explain [ ] Not applicable [X]

49. The Nomination Committee should consult with the company's Chairman and chief executive, especially on matters relating to executive Directors.

When there are vacancies on the board, any Director may approach the Nomination Committee to propose candidates that it might consider suitable.

Complies [X] Partially complies [ ] Explain [ ]

50. The remuneration committee should operate independently and have the following functions in addition to those assigned by law:

a) Propose to the board the standard conditions for senior officer contracts.

b) Monitor compliance with the remuneration policy set by the company.

c) Periodically review the remuneration policy for directors and senior officers, including share-based remuneration systems and their application, and ensure that their individual compensation is proportionate to the amounts paid to other directors and senior officers in the company.

d) Ensure that conflicts of interest do not undermine the independence of any external advice the committee engages.

e) Verify the information on director and senior officers' pay contained in corporate documents, including the annual directors' remuneration statement.

Complies [X] Partially complies [ ] Explain [ ]

51. The remuneration committee should consult with the company's chairman and chief executive, especially on matters relating to executive directors and senior officers.

Complies [X] Partially complies [ ] Explain [ ]

52. The terms of reference of supervision and control committees should be set out in the board of directors regulations and aligned with those governing legally mandatory board committees as specified in the preceding sets of recommendations. They should include at least the following terms:

a) Committees should be formed exclusively by non-executive directors, with a majority of independents.

b) They should be chaired by independent directors.

c) That the board of directors should appoint the members of such committees with regard to the knowledge, skills and experience of its directors and each committee's terms of reference and discuss their proposals and reports; and provide report-backs on their activities and work at the first plenary meeting of the board of Directors following each committee meeting.

d) They may engage external advice, when they feel it necessary for the discharge of their functions.

e) Meeting proceedings should be recorded in minutes and a copy made available to all directors.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

53. That the supervision of compliance with the company's rules and policies regarding environmental, social and corporate governance issues, as well as the internal code of conduct, should be attributed to one or shared between several Board of Directors' committees that could include the Audit Committee, the Appointments Committee, a committee specialising in sustainability or corporate social responsibility or any other specialist committee that the Board of Directors decides to create in accordance with its powers of self-governance. And that this committee should only consist of non-executive directors, most of whom will be independent and they should be assigned the minimum functions as detailed in the following recommendation.

Complies [X] Partially complies [ ] Explain [ ]

54. The minimum functions referred to in the above recommendation are the following:

a) Supervision of compliance with the company's corporate governance rules and internal codes of conduct, whilst ensuring that corporate culture is in line with its purpose and values.

b) Supervision of the application of the general policy regarding the notification of economic-financial, non-financial and corporate information, as well as communication with shareholders and investors, proxy advisers and other stakeholders. There will also be monitoring of how the entity communicates with and relates to small and medium-sized shareholders.

c) Regular assessment and review of the Company's corporate governance system and its policy regarding environmental and social issues, with the purpose of confirming compliance with its mission to promote social interest and where appropriate, taking into account the legitimate interests of remaining stakeholders.

d) Supervision that the company's practices regarding environmental and social issues are in accordance with the established strategy and policies.

e) Monitor and assess the company's interaction with its stakeholder groups.

Complies [X] Partially complies [ ] Explain [ ]

55. That sustainability policies regarding environmental and social issues identify and include at least the following:

a) The principles, commitments, objectives and strategy relating to shareholders, employees, customers, suppliers, social welfare issues, the environment, diversity, fiscal responsibility, respect for human rights and the prevention of corruption and other illicit behaviour

b) The methods and systems for monitoring compliance with the policies, associated risks and their management.

c) The mechanisms for supervising non-financial risk, including that relating to ethics and business conduct.

d) Channels for stakeholder communication, participation and dialogue.

e) Responsible communication practices that prevent the manipulation of information and protect the company's honour and integrity.

Complies [X] Partially complies [ ] Explain [ ]

56. Directors´ remuneration should be sufficient to attract individuals with the desired profile and compensate the commitment, abilities and responsibility that the post demands, but not so high as to compromise the independent judgement of non-executive directors.

Complies [X] Explain [ ]

57. Variable remuneration linked to the company and the director's performance, the award of shares, options or any other right to acquire shares or to be remunerated on the basis of share price movements, and membership of long-term savings schemes such as pension plans should be confined to executive directors.

The company may consider the share-based remuneration of non-executive directors provided they retain such shares until the end of their mandate. The above will not be applicable to shares that the director has to sell to satisfy costs related to their acquisition.

Complies [X] Partially complies [ ] Explain [ ]

58. In the case of variable remuneration, policies should include limits and technical safeguards to ensure they reflect the professional performance of the beneficiaries and not simply the general progress of the markets or the company's sector, or circumstances of that kind.

Specifically, variable components of remuneration should meet the following conditions:

a) Be subject to predetermined and measurable performance criteria that take into account the risk assumed to obtain a given result.

b) Promote the long-term sustainability of the company and include non-financial criteria that are relevant for the company's long-term value, such as compliance with its internal rules and procedures and its risk control and management policies.

c) They should be drafted based on a balance between meeting objectives in the short, medium and long term, that will enable remuneration to take into account ongoing performance over a period of time that is sufficient to be able to appreciate the contribution to the creation of sustainable value, so performance measurement will not be based solely on one-off, occasional or extraordinary events.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

59. That the payment of variable remuneration components should be subject to sufficient verification that performance criteria have effectively been met, or any other criteria previously established. In their annual report on remunerations to directors, entities will include the criteria with regard to the time required and the methods used for this verification in accordance with the nature and characteristics of each variable component.

That the entities should also assess the creation of a reduction clause ("malus") based on deferring for a suitable period of time the payment of part of the variable components that may involve total or partial loss where prior to payment an event may occur that makes payment inadvisable.

Complies [ ] Partially complies [X] Explain [ ] Not applicable [ ]

The components for variable remuneration are subject to the preparation of annual accounts, the control system, and supervision by the Appointments, Remuneration and Sustainability Committee in the clawback clause. However, the establishment of a malus clause, based on the deferral of the payment of part of the variable components, has not been included.

60. Remuneration linked to company earnings should bear in mind any qualifications stated in the external auditor's report that reduce their amount.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

61. A major part of executive directors' variable remuneration should be linked to the award of shares or financial instruments whose value is linked to the share price.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

62. That following the award of shares, financial options and instruments corresponding to the remuneration systems, executive directors may not transfer ownership or exercise them until at least three years have passed.

An exception is made where at the time of transfer or exercise the director maintains net economic exposure to a variation in the price of the shares for a market value equivalent to amount corresponding to at least double the annual fixed remuneration from the ownership of shares, options or other financial instruments.

The above shall not be applicable to shares that the director needs to transfer to satisfy costs relating to their acquisition or, following prior favourable assessment by the Appointments and Remuneration Committee, to address any extraordinary circumstances that may require this.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

63. Contractual arrangements should include provisions that permit the company to reclaim variable components of remuneration when payment was out of step with the Director's actual performance or based on data subsequently found to be misstated.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

64. That payment for the termination or expiry of the contract should not exceed a fixed amount equivalent to two years of the director's total annual remuneration and should not be paid until the company confirms that he/she has met the predetermined performance criteria or conditions for receiving it.

For the purposes of this recommendation, payments for the termination or expiry of a contract should include those payment whose accrual or obligation to pay arises as a result or at the time of the expiry of the contractual relationship that linked the director with the company, including amounts not previously consolidated in the savings systems in the long term and the amounts paid corresponding to post-contractual non-competition pacts.

Complies [X] Partially complies [ ] Explain [ ] Not applicable [ ]

H. OTHER INFORMATION OF INTEREST

1. If there is any other aspect relevant to the corporate government in the company or in the group entities that has not been reflected in the rest of the sections of this report, but is necessary to include to provide more comprehensive and well-grounded information on the corporate governance structure and practices in your entity or its group, detail them briefly.

2. This section may also include any other relevant information, clarification or detail related to previous sections of the report insofar as they are relevant and not reiterative.

   Specifically indicate whether the company is subject to corporate governance legislation from a country other than Spain and, if so, include the mandatory information to be provided when different from that required by this report.

3. The company may also indicate if it has voluntarily signed up to other international, industry-wide or any other codes of ethical principles or best practices. Where applicable, the code in question will be identified along with the date of signing. Where applicable, the code in question and the date of accession will be identified. In particular, it will mention whether it has adhered to the Code of Good Tax Practices of 20 July 2010:

Below you will find the content of the issues that could not be addressed in the corresponding paragraphs because they exceeded the maximum size allowed by the CNMV format:

POINT C.1.16 Indicate procedures for selection, appointment, re-election and removal of directors. List the competent bodies, the procedures to be followed and the criteria to be employed in each procedure.

The procedures for selection, appointment, re-election, assessment and removal of directors are regulated in:

- Articles of Association
- The Board of Directors Regulations
- The Policy for Director Selection and Diversity on the Board of Directors.
- Regulations of the Appointments, Remuneration and Sustainability Committee

In accordance with their respective responsibilities, the General Shareholder´s Meeting, the Board of Directors and the Appointments, Remunerations and Sustainability Committee have a role to play in the different procedures.

1. PROCEDURES FOR SELECTION, APPOINTMENT AND RE-ELECTION

The appointment of directors corresponds to the General Shareholders meeting in accordance with the regulations applicable with regard to the proportional representation system, as detailed in article 25 of the Articles of Association.

Furthermore, article 8 of the Board of Directors Regulations establishes that the appointment of Directors will be undertaken at the General Shareholders Meeting or by the Board of Directors itself where this is legally envisaged. This article grants the Board of Directors the duty to ensure that the selection procedures for their members favour diversity, respect matters regarding age, gender, disability or professional knowledge and experience and do not have an implicit bias that may imply any discrimination and, in particular, that facilitates the selection of female directors to allow for a balanced presence of men and women.

The Policy on the Selection of Directors and Diversity on the Board of Directors also establishes that any director may propose candidates for director provided that they meet the requirements laid down in this policy. Likewise, the Company can count on the collaboration of external advisors in searching for and validating candidates for board membership.

The proposals relating to the appointment or re-election of directors, within the limits established in the articles of association, shall be made by the Appointment, Remuneration and Sustainability Committee in the case of independent directors and by the Board itself, subject to a report by the Committee, in the case of the other directors. Any proposals must be accompanied, in any case, by an explanatory report from the Board, assessing the competence, experience and merits of the candidate proposed, and shall include the presence on the Board of a reasonable number of independent directors and shall tend to maintain a majority of directors who are external to management.

The preparation of proposals for the appointment or re-election of Board members shall be based on an analysis of the Company's needs, which should be carried out by the Board of Directors with the advice and reporting of the Appointments, Remunerations and Sustainability Committee. In proposals for the re-election of directors, the Appointments, Remunerations and Sustainability Committee will assess the quality of work and dedication to the post during the term of office.

This report by the Appointments, Remunerations and Sustainability Committee on the Company's requirements will be published when the General Shareholders Meeting is called to vote on the ratification, appointment or re-election of each director, either as an independent document or as part of the proposal or report concerning the corresponding candidate.

Candidates for the position of director of the Company should have independent criteria, recognised professional prestige, good character, solvency, competence and experience. In addition, efforts will be made to ensure that, in the selection of candidates, an appropriate balance is achieved in the Board as a whole, which will enrich decision-making and bring a pluralistic viewpoint to the discussion of matters within its competence. Specifically, the following principles should be taken into account when formulating proposals or reports for director candidates:

a) Principle of honorability and expertise
b) Principle of sufficient dedication
c) Principle of diversity
d) Principle of specialisation

Candidates should also comply with the requirements established in the Company's Articles of Association, in the Regulations of the Board of Directors and in the provisions on good governance, for the suitable performance of a Director's duties and, especially those relating to due diligence and loyalty, always avoiding situations of conflict of interest or incompatibility.

Article 26 of the Articles of Association also establishes that to be appointed as a director it is not necessary to be a shareholder.

The Appointments, Remuneration and Sustainability Committee plays an essential role in the selection procedures for the appointment and re-election of directors. In this regard, article 16 of the Board of Directors Regulations assigns the following functions to this Committee:

a) Evaluating the skills, knowledge and experience required by the Board and, as a result, defining the functions and abilities required from candidates who are to cover each vacant position and evaluating the amount of time and dedication required for the effective performance of their duties.

b) Setting a representation target for the least represented sex on the Board of Directors and preparing guidelines on how to achieve this target.

c) Providing the Board of Directors with proposals for appointing independent directors, for appointment by co-optation or submission for voting at the General Shareholders' Meeting. Submitting proposals for the re-election or removal of these directors.

d) Providing information on proposals for the appointment of all other Directors for appointment by co-optation or submission for voting at the General Shareholders Meeting, as well as proposals for their re-election or removal by the General Shareholders Meeting.

f) Examining and organising the succession procedure for the Chairman of the Board of Directors and the Chief Executive Officer and where applicable, to submit proposals to the Board of Directors to ensure that such succession is addressed in an orderly and planned manner.

Article 6 of the Regulations for the Appointments, Remuneration and Sustainability Committee also establishes responsibilities with regard to the composition of the Board of Directors and its committees, the selection, removal and dismissal of directors and the designation of internal responsibilities for the Board of Directors.

DURATION OF THE TERM OF OFFICE:

According to article 26 of the Articles of Association, the term of office for Directors is four years from the date they are appointed. The appointment of Directors will cease when their term of office has ended and the next General Shareholders' Meeting has been held or the period stipulated by law for holding the Shareholders' Meeting to resolve on the approval of the prior year’s accounts has passed.

Article 8 of the Board of Directors Regulations establishes that Directors shall hold their posts for the term envisaged in the Articles of Association, and may be re-elected one or more times.

Independent Directors may not be re-elected or appointed for a new term of office under the same classification when they have sat on the Company's Board for a term of twelve (12) years as from the date on which they were first appointed.

Under no circumstances shall the provisions of the foregoing paragraphs limit the power of the Company's General Shareholders' Meeting or, where applicable, the Board of Directors to re-elect or appoint a specific candidate as a director and, where applicable, it shall only affect his/her possible classification as an independent director.

DISMISSAL OF DIRECTORS

The procedure for the dismissal of directors is governed by the following articles of the Board of Directors Regulations:

Article 30 - Dismissal of directors.

Directors shall serve at the pleasure of the Board of Directors and if the Board considers it appropriate, they shall tender their resignations in the following cases:

a) When they become subject to any of the disqualifications or prohibitions set down in law.
b) When their remaining on the Board could undermine the Company's interests or when the reasons for which they were elected no longer apply.
c) Directors representing a controlling shareholder will tender their resignations when the shareholder they represent sells a substantial part of its stake.

The Board of Directors may not propose the removal of independent directors before the end of their term of office, unless the Board considers there is due cause following a report to such effect from the Appointments and Remuneration Committee.

Directors must inform the Board should situations arise that affect them, related or not with their actions for the Company and, especially, to inform the board of any criminal charges in which they may be investigated, and their involvement in any subsequent legal proceedings.

When the Board has been informed or become aware in any other way of the existence of any of the situations mentioned in the previous paragraph, the case should be examined as soon as possible, according to the specific circumstances and with a prior report to the Appointments and Remuneration Committee, to determine whether or not any measures should be taken, such as opening an internal investigation, or asking the director to resign or proposing their dismissal. The foregoing will be detailed in a reasoned manner in the Annual Corporate Governance Report, unless there are special circumstances to justify this, in which case they should be confirmed in the minutes.

When a director steps down before the end of their term of office, whether by resigning or on some other grounds, they must explain the reasons for their departure or, in the case of non-executive directors, their opinion on the reasons for the dismissal by the general meeting, in a letter to be sent to all other members of the Board, without prejudice to an account being provided in the Annual Corporate Governance Report to the extent that it is relevant for investors.

Article 31. Directors' duties after dismissal

After leaving upon completion of the period for which they were elected or for any other reason, the directors may not serve at any entity competing with the Company and its corporate group for a period of two years unless the Board of Directors grants dispensation from this requirement or shortens its term.

C.2.1. FUNCTIONS OF THE AUDIT COMMITTEE AND ITS MOST IMPORTANT ACTIONS IN THE YEAR

The Audit Committee is regulated under article 15 of the Board of Directors Regulations, under article 33, paragraph 1 of the Articles of Association, and a specific Regulation for the purpose of promoting the independence of the Committee and establishing the principles for action and operating regime.

Below is an explanation about article 15 of the Board Regulations, regulating, in the broadest sense, its composition, the appointment and dismissal of its members and their principal duties, calling meetings, and formulating and adopting resolutions.

Article 15 - Audit Committee

There shall be an Audit Committee within the Board of Directors, which shall be composed of a minimum of three and a maximum of six members.

The Audit Committee shall be composed solely of non-executive directors appointed by the Board of Directors, the majority of whom must be independent directors, and its members shall be appointed by the Board of Directors, subject to the legal requirements and a report from the Appointments and Remuneration Committee, with due consideration given to the knowledge, skills and experience in accounting, auditing or both, internal control and risk management, both financial and non-financial, of its directors and, above all, its Chairman, and overall, the members of the Committee shall have relevant technical expertise in relation to the sector to which the audited entity belongs.

The members of the Committee shall automatically cease to sit on the Committee when they cease to sit as directors of the Company or at the discretion of the Board of Directors.

Audit Committee members shall appoint a Chairman, selected from the independent directors that form the Committee, who shall be replaced every four years; the Chairman may be re-elected one year after they cease to serve as Chairman.

The Audit Committee will meet whenever convened by its Chairman, by decision of the Board of Directors, or upon the request of the majority of its members.

The Audit Committee shall be quorate with the attendance in person or by proxy of the majority of its members.

Resolutions will be adopted by simple majority vote of the members attending the meeting and the Chairman will have the casting vote.

The Audit Committee shall have the power to request the presence of any member of the management team or any member of the Company's staff at its meetings, as well as the presence of the Company's independent auditors or any Company advisor whose presence is deemed advisable. All the aforementioned persons will be bound to cooperate and provide access to any information they may have.

The Audit Committee shall report to the Board on the business it addresses and on all resolutions adopted at the Board meetings convened for such purpose, and shall provide to all directors with the minutes of its meetings.

Notwithstanding other functions set out in the governing legislation, company by-laws or assigned to it by the Board of Directors, the Audit Committee's mission will include the following:

A) Reporting to the General Shareholders' Meeting regarding matters that fall within its remit and, in particular, regarding the result of the audit, explaining how this has helped to ensure the integrity of the financial and non-financial information and the function that the Committee has performed in that process.

B) Proposing the appointment of the auditor to the Board of Directors, which shall then pass the matter on to the General Shareholders' Meeting in addition to the conditions of recruitment.

C) With respect to internal control and reporting systems

(a) Monitoring the efficiency of the Company's internal control, internal auditing and control systems and the financial and non-financial risk management.

(b) Overseeing and assessing the process of preparing and presenting the compulsory financial and non-financial information relating to the Company and its group, ensuring that the system of internal control of financial reporting (ICFR) is correctly designed and that all legal requirements have been met, and defining an appropriate consolidation perimeter, taking into account, among other aspects, possible complex corporate structures, instrumental or special purpose entities, the correct application of accounting standards and presenting recommendations or proposals to the Board of Directors, designed to safeguard their integrity.

(c) Overseeing the process devised by the senior management for instituting lawsuits, making assessments and reaching significant estimates, and the impact thereof on the financial statements.

(d) Review, analyse and discuss the financial statements and other relevant financial and non-financial information with the senior management team and the internal and external auditors so as to ensure that the information is reliable, understandable and relevant, and that the accounting standards and criteria used for the preceding year have been duly followed.

(e) Reviewing the internal control and financial and non-financial risk management systems, including tax risks, so that the main risks may be correctly identified, managed and suitably reported.

(f) Discussing with the auditor any significant shortcomings in the internal control system, detected during the audit, without undermining their independence. For such purposes, where appropriate, they may submit recommendations or proposals to the administrative body and respective period for their follow-up.

(g) Overseeing the internal auditing services, including, in particular:

(i) proposing the selection, appointment, re-election and cessation of the Internal Audit Manager;

(ii) Approving the annual internal audit work plan, ensuring that their activity focuses primarily on the main risks the Company is exposed to; and receiving periodic information on the results of the work performed, including any incidents that may arise. Likewise, receiving an annual activities report and action plan to correct any deficiencies detected;

(iii) Ensuring the independence and efficiency of the internal audit function;

(iv) Proposing the budget for the internal audit area;

(v) Receiving periodic information on its activities, and;

(vi) Verifying that senior management takes into account the conclusions and recommendations set forth in its reports.

D) With respect to the external auditor:

(a) Referring to the Board of Directors the proposals for selecting, appointing, re-electing and replacing the auditor, being responsible for the selection process, pursuant to the provisions of the current regulations and the terms of their recruitment, regularly gathering information from them about the audit plan and its implementation, and preserving their independence in the exercise of their duties.

(b) Ensure that the financial statements finally prepared by the Board are presented to the General Shareholders' Meeting without limitations or qualifications in the auditor's report and in the event that the auditor has included any qualifications in its audit report, issue its opinion on the content and scope of such audits or qualifications, which will be explained by the Chairman of the Committee during the General Shareholders' Meeting.

(c) Overseeing compliance with the audit agreement and perform an annual final assessment of the actions of the external auditor, collecting information on the audit plan and its implementation and ensuring that the opinion on the annual accounts and the main contents of the audit report are drawn up clearly and accurately.

(d) Monitoring the decisions of the senior management team regarding any adjustments recommended by the external auditor, and to hear and, where applicable, mediate any disagreements between both parties.

(e) Safeguarding the independence of the auditor, paying particular attention to any circumstances or issues that could jeopardise such independence, including that their remuneration does not compromise their quality or independence, and any others relating to the process of auditing the accounts:

(i) For this purpose, it shall be ensured that the Company publicly discloses to the National Securities Market Commission (CNMV), as a relevant event, any replacement of the auditor and includes a statement regarding any possible disagreement with the outgoing auditor and the details thereof. If the auditor resigns, then it shall explore the underlying causes.

(ii) The Audit Committee shall likewise ensure that the company and the auditor adhere to current regulations safeguarding the independence of the auditors, and those governing the provision of non-audit services and the limits on the concentration of the auditor's business.

(iii) iii) It shall establish a suitable relationship with the auditor to receive information on matters that may jeopardise the auditor's independence, so that it may be examined by the Committee, and any other matters related to the process of performing the audit, and, where necessary, authorise services that are not forbidden by the provisions of the current regulations.

(iv) Ensure that the external auditor has a yearly meeting with the Board of Directors in full to inform it of the work undertaken and developments in the company's risk and accounting positions.

(v) Annually receiving from the auditors their statement of independence in relation to the related party or parties, in addition to a statement relating to additional services provided and the fees received by the external auditor or by the persons and entities related thereto, in accordance with the audit provisions set out in the regulations.

(vi) It shall annually issue, prior to the report on the auditing of the accounts, a report expressing its opinion on the independence of the auditor, containing the valuation of any additional services provided, considered on an individual basis and as a whole, in relation to the status of independence or to the rules governing the audit.

(f) Favour that the Company's auditor assuming responsibility for the audits of the companies that form the group of which it is the parent.

E) Reporting to the Board, prior to the latter making any respective decisions provided for in current regulations, in the Bylaws and in these Regulations, particularly with regards to:

(a) The periodic financial and non-financial information that the Company must publicly disclose, ensuring that it is prepared in accordance with the same standards and practices as those used for the annual accounts and, for such purpose, weighing up the merits of conducting a limited audit of the external auditor.

(b) The creation or acquisition of interests in special purpose vehicles or those domiciled in countries or territories considered tax havens, plus any other similar transactions or operations which, owing to their complexity, might diminish the group's transparency.

(c) Any structural and corporate modification procedures that are planned by the Company and, specifically, their economic conditions and accounting impact and, where applicable, the proposed exchange ratio.

(d) Related-party transactions.

F) Address and, where appropriate, respond to any initiatives, suggestions or complaints raised by shareholders in relation to the Committee's remit.

G) Set up and supervise a mechanism enabling employees to communicate confidentially and, if deemed necessary, anonymously, their concerns regarding possible irregular and potentially significant practices within the company, particularly those relating to accounting, finances and auditing.

H) Monitoring the effectiveness and operation of the compliance system.

The duties of the Audit Committee shall be:

I) Evaluating all aspects of the non-financial risks the company is exposed to, including operational, technological, legal, social, environmental, political and reputational risks as well as those associated with corruption.

J) Coordinate non-financial and diversity reporting processes in accordance with applicable legislation and international benchmarks.

SUMMARY OF THE MAIN ACTIVITIES OF THE AUDIT COMMITTEE IN 2023:

The main issues dealt with and analysed by the Committee during the 2023 financial year and that have shaped its main areas of supervision are:

ACCOUNT AUDITING:
In connection with the performance of the audit work the Committee:
- It has supervised compliance with the audit contract, gathering information on the audit plan and ensuring that the opinion of the annual financial statements and the content of the audit report are drafted in a clear and precise manner.
- It has ensured that internal procedures are in place to guarantee that situations do not arise that could give rise to conflicts with the independence and objectivity required from the external auditor, including making sure that their remuneration does not compromise their quality or independence, that the policy to pre-approve services to be provided by the external auditor is complied with, and that the external auditor had access to all the information needed to conduct its work and that it received the greatest possible collaboration from each of the Group's subsidiaries.
- It has been informed of the result of the work performed during the preliminary phase, which involved reviewing pre-closure, and closure, to identify and plan the tasks that, given their uniqueness or impact on accounting, require special attention from the external auditor.

The Committee has verified the representations made by the external auditor as to its independence from the entity or entities related to it.

Following the process of evaluating PWC's performance, it was agreed to submit to the Board of Directors a proposal for its re-election as statutory auditor for the year ending 31 December 2024, which the Board of Directors will submit for approval at the Ordinary General Shareholders' Meeting in 2024.

VERIFICATION OF NON-FINANCIAL INFORMATION:
The Committee has monitored the work of the external auditor, Deloitte, S.L., in order to stay abreast of the work performed and to ensure that there is assurance that the information included in the individual and consolidated management reports, including the statement of non-financial information, is unqualified.

INTERNAL AUDIT:
The Internal Audit department reports functionally to the Audit Committee and, as a result of that relationship, the Committee has analysed and approved the 2023 work plan drawn up by the area, has regularly monitored execution of the same and has received direct reports on any progress and incidents in its implementation.

FINANCIAL AND NON-FINANCIAL INFORMATION:
The Committee has reviewed and analysed the financial statements of Viscofan S.A. and its Group, contained in the annual, half-yearly and quarterly reports, prior to their presentation to the Board and communication to the Comisión Nacional del Mercado de Valores (CNMV), in order to confirm that such information is reliable, understandable and relevant and that accounting criteria consistent with the previous year-end have been followed.

The corporate evolution of the Group has been supervised and the correct application of the accounting principles and practices and the valuation criteria followed in the process of preparing and presenting the mandatory financial information has been supervised, also reviewing the appropriate delimitation of the consolidation perimeter.

The Audit Committee has also monitored the process of reporting non-financial information, the content of which forms part of the Management Report submitted for approval by the General Shareholders' Meeting and its verification by Deloitte, S.L.

INTERNAL CONTROL AND RISK MANAGEMENT SYSTEMS:
The Committee has monitored:
- The quarterly reports on internal control of financial information prepared internally by Internal Audit.
- The Group's risk map, receiving information on the activity performed by the Global Risk Committee.
- The control activities carried out by the Investment Committee and the Credit Risk Committee.
- The monitoring of the tax principles and best tax practices contained in the Group's Tax Policy prior to its consideration by the Board of Directors.
- 2022–2024 Cybersecurity Master Plan risks.

TRAINING:
Four training sessions were held on "Cybersecurity", "Trends in international taxation", "geopolitical trends" and "Corporate Governance (M&A vision)", which were extended to the other members of the Board of Directors.

ETHICS AND COMPLIANCE COMMITTEE:
In this area, it is worth highlighting the supervision of communications received through the Ethics Channel - Integrity Line, which has been updated as a result of Law 2/2023, of 20 February, regulating the protection of persons who report regulatory infringements and the fight against corruption.

RELATED-PARTY TRANSACTIONS:
A report has been prepared on related-party transactions for its publication on the Company's website. In this regard, pursuant to article 231 of the Corporate Enterprises Act, none of the companies forming part of the Viscofan Group have performed transactions with related parties.

C.2.1. FUNCTIONS OF THE APPOINTMENTS, REMUNERATION AND SUSTAINABILITY COMMITTEE AND ITS MOST IMPORTANT ACTIONS DURING THE FINANCIAL YEAR

The Appointments, Remuneration and Sustainability Committee is regulated under article 33, section 2, of the Articles of Association, under article 16 and 17 of the Board of Directors Regulations, that identically regulate the composition, form of selection and dismissal of its members and its main functions, and it has its own Regulation for the purpose of favouring the independence of the Committee and establishing the principles for action and the operating regime.

We attach below the content referring to the Board of Directors Regulations as a broader and more complete draft of the duties, procedures, organisation and operational rules of the Appointments, Remuneration and Sustainability Committee.

Article 16 - Appointments and Remuneration Committee, establishes the following:

The Appointments and Remuneration Committee will be formed by a minimum of three and a maximum of six members and will be exclusively comprised of non-executive Directors appointed by the Board of Directors. At least two must be independent directors.

The members thereof shall be appointed ensuring that they have the right balance of knowledge, skills and experience for the functions they are called on to discharge and they shall automatically step down when they cease to serve as Company directors or at the discretion of the Board of Directors.

The Chairman will be selected from the independent Directors that sat on the committee.

The Appointments and Remuneration Committee will report to the Board of Directors on the business it addresses and all resolutions it adopts and will submit the minutes of its meetings to all directors.

The Appointments and Remuneration Committee will have the following functions:

a) Evaluating the skills, knowledge and experience required by the Board and, as a result, defining the functions and abilities required from candidates who are to cover each vacant position and evaluating the amount of time and dedication required for the effective performance of their duties.
b) Setting a representation target for the least represented sex on the Board of Directors and preparing guidelines on how to achieve this target.
c) Providing the Board of Directors with proposals for appointing independent directors, for appointment by co-optation or submission for voting at the General Shareholders' Meeting. Submitting proposals for the re-election or removal of these directors.
d) Providing information on proposals for the appointment of all other Directors for appointment by co-optation or submission for voting at the General Shareholders' Meeting, as well as proposals for their re-election or removal by the General Shareholders' Meeting.
e) Provide information about proposals for appointing and dismissing of senior management and principal conditions of their contracts.
f) Examining and organising the succession procedure for the Chairman of the Board of Directors and the Chief Executive Officer and where applicable, to submit proposals to the Board of Directors to ensure that such succession is addressed in an orderly and planned manner.
The Appointments and Remuneration Committee shall consult with the Chairman of the Board of Directors and the Chief Executive Officer of the Company, especially on matters relating to executive directors.
Any director may request that the Appointments and Remuneration Committee consider any potential candidates who they believe to be suitable to cover vacancies on the Board.
g) Propose to the Board of Directors the remunerations policy of the directors and senior officers, as well as the individual remuneration and the rest of the contractual conditions of the executive directors, and ensure its observance.
h) Propose to the board the standard conditions for senior officer contracts.
i) Monitor compliance with the remuneration policy set by the Company.
j) Periodically review the remuneration policy for directors and senior officers, including share-based remuneration systems and their application, and ensure that their individual compensation is proportionate to the amounts paid to other directors and senior officers in the company.
k) Ensure that conflicts of interest do not undermine the independence of any external advice the committee engages.
l) Verify the information on director and senior officers' pay contained in corporate documents, including the annual directors' remuneration statement.
m) "l) Periodically evaluating the effectiveness of the Company's corporate governance system, to confirm that it is fulfilling its mission to promote the interests of the company and catering, as appropriate, to the legitimate interests of remaining stakeholders.

The Appointments and Remuneration Committee will consult with the Company's Chairman and Chief Executive Officer, especially on matters relating to executive directors and senior managers.

The provisions of this article will apply in the event that the Board of Directors decides to establish a separate Appointments Committee and a separate Remuneration Committee.

Article 17 - Sustainability Committee, establishes the following:

The Board of Directors will be able to create a Sustainability Committee or assign the powers and functions relating to environmental, social and corporate governance matters to any of the Committees indicated in the above articles.

The Committee assuming these powers and functions will be formed by a minimum of three and a maximum of six members and must be exclusively comprised of non-executive directors, and have at least two independent directors, one of which will be appointed as Chairman. The Committee assuming these powers will include the word "Sustainability" or a similar expression in its name.

In particular, it is the responsibility of the Committee assuming these powers and functions relating to environmental, social and corporate governance matters, in addition to others set forth by the Law and in the Bylaws, as well as the following:

a) The supervision of the Company's sustainability policy, ensuring that it is geared to value creation.
b) Monitor sustainability strategy and practices and assess compliance in their respect.
c) Oversee the Economic-financial and non-financial information communication strategy and relationship with shareholders and investors, including small and medium-sized shareholders and proxy advisers.
d) Monitor and assess the company's interaction with its stakeholder groups.

SUMMARY OF THE MAIN ACTIONS TAKEN BY THE COMMITTEE IN 2023:

The main issues dealt with and analysed by the Committee during the 2023 financial year and that have shaped its main areas of supervision are:

- With the Committee's encouragement, the process of changing from an executive to a non-executive chairmanship model and the appointment of a First Executive was successfully completed during 2023. In particular:

• Firstly, the re-election of the Chairman as executive director for 2023 was supported by 97.1% of the votes at the General Meeting of Shareholders.
• Secondly, the Committee has drawn up and submitted to the Board of Directors the agreements and contracts required to implement the planned changes.

- The Committee has also promoted and carried out the procedures provided for in legal and internal regulations to fill a vacancy that arose during the year on the Board of Directors and on the Audit Committee.

- In relation to remuneration:

• In compliance with the Spanish Companies Act, the Commission completed in 2023 the proposal for a new Director Remuneration Policy for the years 2024, 2025 and 2026, which was approved by the 2023 Shareholders' Meeting. a large majority of 91.7% of the votes in favour.

• The Committee prepared and submitted to the Board of Directors the proposal for the Annual Report on Directors' Remuneration 2023, which was approved by the General Meeting of Shareholders in 2023 with 95.8% of votes in favour.

- In the area of Sustainability, the Committee has been monitoring the key indicators of the 2022-2025 Sustainability Action Plan on a recurring basis, both environmental (i.e. reduction of CO2 emissions, waste management and reduction of water use), Occupational Health and Safety (accident rate) and the promotion of diversity with the main objective of increasing the number of women in management positions. It has also promoted the setting of new targets and a roadmap for the Net 0 target to be presented during 2024. Finally, the Committee has followed up on the work of adaptation, compliance and preparation, as appropriate, of the requirements derived from the regulations in this area, in particular, with regard to the EU Taxonomy Regulations, the Climate Change and Energy Transition Act of 20 May 2021 and the preparation of the Group for the obligations linked to the new proposal for the Sustainability Directive.

POINT D.6. DETAIL THE MECHANISMS ESTABLISHED TO DETECT, DETERMINE AND RESOLVE POSSIBLE CONFLICTS OF INTEREST BETWEEN THE COMPANY AND/OR ITS GROUP, AND ITS DIRECTORS, MANAGERS AND/OR SIGNIFICANT SHAREHOLDERS OR OTHER RELATED PARTIES.

The duty to prevent conflicts of interest is governed in article 26 of the Board of Directors Regulations. It states the following:

"The directors shall adopt the measures required to avoid situations of conflict with the company interest and with their duties towards the company and its group of companies, and they shall be obliged to inform the Board, prior to occurrence or as soon as they are aware of the existence thereof, with the obligation to immediately resign should the said conflict persist or should their presence on the board be contrary to the company's interests.

Directors shall refrain from discussing and voting on matters in which they have either a direct or indirect interest, even through related parties, except in the resolutions or decisions affecting their capacity as members of the Board under the terms provided for by Law, such as their appointment for or removal from positions within the Board.

Likewise, the directors shall refrain from conducting transactions with the company, except for ordinary transactions, of little importance, made in standard conditions for customers under the terms provided for by Law.

Any conflicts of interest involving the directors shall be included in the annual corporate governance report.

Directors cannot, either personally or through an intermediary, carry out activities or hold positions of any nature in businesses or companies that are currently or potentially competitors of Viscofan and its group of companies; neither may directors act as a representative or consultant to such businesses or companies or perform any other activity that puts them in conflict with the interests of the Company."

The duty to abstain is regulated by Article 27 of the Board of Directors Regulations. It states the following:

"Directors must not use the name of the Company or its related companies, or take advantage of their position to conduct transactions for themselves or related parties.

A director's duty to abstain implies not making personal use of the company's assets, including any confidential information received while fulfilling their role as a director and not making any investments or conducting any commercial transactions related to the fulfilment of said role, for their own gain or that of related third parties.

Directors shall abstain from trading - or suggesting that anyone else trades - in the securities of the Company or its related companies, regarding which they have inside information due to the position they hold.

The directors may not take advantage of the business opportunities of the Company and its related companies, obtain advantages or remuneration from third parties, except for mere courtesy services in compliance with current internal regulations."

Moreover, both the duty of loyalty and the duty to avoid conflicts of interest extends to related persons, whose definition is established in Article 28 of the Board of Directors Regulations. Related persons.

"The director's duty of loyalty, of avoiding conflicts of interest and duty to abstain in their various facets, also covers those activities performed by related parties, based on the definition set forth in the Law."

Article 34 of the Board of Directors Regulations states the following regarding duties in relation to significant shareholders:

"Directors acting on behalf of major shareholders shall ensure that the aforesaid obligations of directors are extended to the shareholders, in addition to any legal obligations and those set out in the Articles of Incorporation.

Any transactions performed with these major shareholders shall be approved by the Board in a plenary session and must be included in the Company's annual report and in the annual corporate governance report and comply with the current legislation."

Lastly, Article 36 of the Board of Directors Regulations, regulating the use of voting by proxy, reads as follows:

"Directors who have made public requests for representation may not exercise their voting rights pertaining to the represented shares in relation to the business on the agenda in which they have a conflict of interests and, in all cases, in relation to:
a) Their appointment, ratification, removal or resignation as a director.
b) The bringing of an action for liability against him/her.
c) The approval or ratification of transactions with the company in relation to which the director has a conflict of interests."

In addition, the Viscofan Group's Code of Conduct, among its general ethical principles, establishes that the administrators, directors and employees of the Viscofan Group, as well as any person who carries out their professional activity in the Viscofan Group, must act under the principle of transparency in the face of conflicts of interest:

"It is our duty to do business in the best interest of Viscofan and not based on our personal interests. A conflict of interest arises when, in the course of our professional activity at Viscofan, our private interests may collide with those of Viscofan.

We must inform our line manager or the Human Resources Department of any private interest we may have in connection with the performance of our professional duties. Our manager or the Human Resources Department must report any conflict of interest in their area of responsibility to the Ethics and Compliance Committee. Through their identification and declaration, which will normally lead to refraining from participating in the decision-making process, independence of judgement is preserved and the risk of fraudulent or corrupt actions is avoided.

We are not permitted to use for our contracts or orders of a personal or private nature companies with which we have a business relationship as part of our Viscofan activity if this could result in a personal advantage in the contract or order. This is particularly applicable if we exercise or may exercise direct or indirect influence over whether or not that company receives contracts from Viscofan."

POINT E.5 STATE WHAT FINANCIAL AND NON-FINANCIAL RISKS, INCLUDING TAX-RELATED RISKS, HAVE OCCURRED DURING THE FINANCIAL YEAR.

Below follows the risks that have materialised with a more significant impact during the financial year and their response plan:

1) Financial risks

1.1) Exchange rate: Exchange rate fluctuations, especially the appreciation of the Euro against the US$, have a negative impact on the Group's results, which has been managed through the application of a hedging policy and commercial discipline measures.

1.2) The increase in interest rates, derived from the monetary policies implemented by the main Central Banks worldwide with the aim of combating inflation, has generated an increase in financing costs. Viscofan strategically addresses interest rate risk by managing a balanced portfolio of loans and receivables, both at fixed and floating rates. The Group´s policy is to maintain between 50% and 85% of its loans at a fixed interest rate.

2) Environmental risks and those resulting from climate change:

2.1) High cost impact associated with the price of CO2 emission allowances and increased regulatory requirements in the area of sustainability. The Response and Supervision Plan for this risk includes:
- The deployment of a sustainability strategy and plan, together with the corresponding Policies approved by the Board of Directors and the creation of a committee to manage sustainability risks that include environmental risks and those resulting from climate change.
- As part of its decarbonisation plan, Viscofan has installed energy equipment with green hydrogen capacity and has performed various tests with this renewable fuel source in the equipment installed at the Cáseda plant in Spain. Also, an energy diversification strategy beyond natural gas has been promoted that includes greater electrification of the energy supply with renewable energy.
- The Group is also evaluating the implementation of the Net Zero greenhouse gas emissions commitment based on the Science Based Target Initiative.

3) Operational risks: commodities, transport and energy.

3.1) Increase in the cost of raw materials: In the previous years, interruptions in manufacturing and consumer activity, together with transport interruptions, caused a shortage of raw materials and basic products worldwide, leading to high inflation in the main raw materials used by the Group in the production process. In 2023, this inflationary spiral has continued for some of these raw materials.

To offset the impact of the increase in operating costs Viscofan has implemented price increases to customers. In addition, the Group has taken other measures such as detailed monitoring of costs, needs and the risk of non-availability, the search for diversification of suppliers, and a plan to reduce consumption.

3.2) The cost of natural gas has increased significantly in Spain in 2023.
Against this background, Viscofan has implemented price increases to customers and energy efficiency measures to offset part of the impact of energy costs. In parallel, the Group has carried out a detailed analysis of energy needs, the examination of various scenarios, and has promoted projects aimed at energy diversification in operations.

Looking ahead to 2024, in an environment of more favourable natural gas costs, the Viscofan Group has entered into purchase contracts with a fixed price for a portion of its natural gas consumption.

3.3) Production stoppages at the Danville plant (USA) as a result of power outages caused by the electricity company with an impact of 1.9 million euros.

Measures are being planned for better energy management of the plant and investments in equipment as support alternatives for the energy supply. Likewise, a lawsuit has been filed against the electricity company claiming damages in the amount of 6 million US dollars (USD) derived from negligent maintenance of the electrical substation that has caused the plant to stop.

4) Regulatory.

The European Commission's ban of 8 April 2022 continues. The ban, in response to Russia's actions destabilising the situation in Ukraine, is justified by the fact that the use of these casings instead of the traditional alternative of animal casings improves the capacities of the industry in Russia, and resulted in the Board of Directors of Viscofan S.A. adopting the decision to discontinue the activity of exporting casings to Russia.

In this situation, work continues, within Viscofan's risk control and management system, on commercial and operational mitigation measures to offset this impact.

5) Competition and market environment. Decrease in demand.

In 2023, the market was influenced by the process of inventory adjustment in the meat industry, leading to a decrease in volumes in the casings market. Viscofan, as a market leader, has not been immune to this global trend, which resulted in declines in sales volumes during the year.

In this situation, tasks have been carried out to monitor the evolution of the main affected markets, maintaining disciplined commercial policies to prevent harm to the financial profitability goals. In parallel, the company has strengthened the specific projects aiming to improve levels of service and quality involving increased protection of the market share in adverse scenarios.

This annual corporate governance report was approved by the Board of Directors of the Company at its meeting of:

[29/02/2024]

Indicate whether any board members voted against or abstained from voting on approving the present Report.

[ ] Yes
[√] No

ANNUAL REPORT ON DIRECTORS' REMUNERATION AT LISTED LIMITED LIABILITY COMPANIES

ISSUER IDENTIFICATION DETAILS

END-OF-YEAR REFERENCE DATE 31/12/2023

Company Tax ID No.

Registered Name: VISCOFAN SA

Registered Address:

POLÍGONO INDUSTRIA BERROA 15-4ª PLANTA
31192 TAJONAR – NAVARRA
SPAIN

ANNUAL REPORT ON DIRECTORS' REMUNERATION AT LISTED LIMITED LIABILITY COMPANIES

A CORPORATE REMUNERATION POLICY FOR THE CURRENT YEAR

A.1.1 Explain the current Directors' Remuneration Policy applicable to the current year. Whenever relevant, certain information may be included by reference to the remuneration policy approved by the general meeting, so long as the inclusion is clear, specific and concrete.

Descriptions should be given for specific determinations for the year in progress regarding the remuneration of directors in their status as such and as a result of their executive functions carried out for the board pursuant to contracts signed with executive directors and the remuneration policy approved by the general meeting.

In any event, the following aspects should be reported:

a) Description of the procedures and company bodies involved in determining, approving and applying the remuneration policy and its terms and conditions.

b) Indicate and, where applicable, explain whether comparable companies were considered when establishing the company's remuneration policy.

c) Information on whether any external advisors took part in this process and, if so, their identity.

d) Procedures envisaged in the prevailing remuneration policy of the directors to apply temporary exceptions to the policy, conditions in which these exceptions can be resorted to and components that must be the object of exception in line with the policy.

The prevailing remunerations policy for the directors applicable to the period under way was approved by the Ordinary General Shareholders' Meeting on 27 April 2023 for the years 2024, 2025 and 2026. ("Remuneration Policy" or the "Policy").

In preparing the proposed Remuneration Policy, the following considerations have been taken into account:

- Internal factors, such as the Viscofan Group's Beyond25 strategy, the Sustainability Action Plan 2022-2025, and the Group's basic policies, including the Equal Opportunities and Diversity Policy.
- External factors, such as the recommendations received in the shareholder engagement process that Viscofan regularly carries out, the economic environment and market practices and recommendations on good corporate governance at national and international level. In particular, the recommendations of the Good Governance Code of Listed Companies, approved by the Spanish National Securities Market Commission ("CNMV"), on remuneration have been taken into account.

In the exercise of its powers, the Appointments, Remunerations and Sustainability Committee ("ARSC" or the "Committee") has been advised by WTW, an independent advisor specialising in the remuneration of directors and senior management, in connection with the definition and design of the Remuneration Policy.

During the process, comparable companies were taken into account and is carried out with the assistance of WTW. The remuneration of directors in their capacity as such is essentially compared with companies of similar size from the Ibex-35; the remuneration of executive directors is compared with a group of companies in the Packaged Foods & Meats sector and with a selection of listed companies from the Ibex-35 and the

continuous market, comparable in terms of size.

The Remuneration Policy establishes a remuneration system for directors based on (i) their capacity as such and (ii) specific executive or senior management functions:

1. Remuneration for directors in their capacity as such:

   - Limit. - The annual remuneration to directors in their capacity as such, for all the items, shall not exceed the limit of 1.5% of the consolidated annual net pre-tax profit (article 29 of the Articles of Association). The previous remuneration is, in any case, the maximum amount, corresponding to the Board of Directors itself, the proposed distribution of its amount between the directors. Payment is made after the General Shareholders' Meeting approves the financial statements from the previous year.

   - Items. - The Policy includes the following items:

     a) a specific fixed remuneration for the position of Chairman. Being the non-executive Chairman of the Board of Directors, compatible with the fixed annual remuneration that directors may receive in their capacity as such for being members of the Board (section b) below). In the event that the Chairman is an executive, a fixed remuneration is provided for that is incompatible with the fixed annual remuneration that directors may receive as such for being members of the Board

     b) fixed remuneration for sitting on the Board of Directors and the Committees, according to positions or functions held on those bodies

     c) attendance allowances for Board of Directors meetings.

2. Remuneration for executive or senior management duties of executive directors. - It comprises the following items:

   a) A fixed annual remuneration (interchangeably also referred to as "Salary") based on the level of responsibility and career path, aligned with that which is being met in the market for comparable companies.

   b) An annual variable remuneration (also referred to as "Annual Bonus"). -

      i. Limit. The annual variable remuneration is capped at 70% of Salary for the "Target Annual Variable Remuneration" (*target*, i.e. when achieving 100% of the targets), and may reach a maximum of 150% of the Target Annual Variable Remuneration (i.e. up to a maximum of 105% of the executive director's Salary) when exceeding the targets set.

      ii. Metrics. It is linked to achieving a combination of corporate objectives (minimum weighting of 50%; essentially economic-financial, operational and non-financial), quantifiable objectives specific to the executive directors (maximum weighting of 30%) and performance evaluation (maximum weighting of 20%), all of which are specific, predetermined and quantifiable.

   c) A long-term incentive plan (also referred to as the "Three-Year Plan"),

      i. Limit. The limit of the "Annualised Target Incentive" (annualised target) is 100% of the Executive Director's Salary (to be reached in case of 100% achievement of the targets set). and can reach a maximum of 150% of the Annualised Target Incentive. (this will apply if the targets that have been set are exceeded to a maximum level).

      ii. Metrics. With a minimum measurement period of three years, they are essentially shareholder value creation and non-financial objectives (minimum weighting of

20%) and wholly or partially equity-based

For the 2022-2024 period, the Committee prepared and the Board of Directors submitted for approval by the General Shareholders' Meeting of 29 April 2022, a new Long-Term Incentive Plan ("2022-2024 Three-Year Plan") which was approved by the aforementioned Meeting and the terms of which are explained in section A.1.6 below.

d) Other benefits: life and accident insurance, healthcare assistance policy and company vehicle; these benefits cannot exceed 20% of the employee's fixed remuneration.

As of 1 January 2024, the Chief Executive Officer, the Company's chief executive officer, is the sole executive director of the Board of Directors. In the event that directors other than the Chief Executive Officer perform executive functions, their remuneration must observe the limits and conditions set out in this Policy for each remuneration item.

The Board of Directors, upon the proposal of the Committee, may submit, to the General Shareholders' Meeting, the concession of special incentives to executive directors in light of extraordinary operations.

The Company also has civil liability insurance for directors and executives.

The Remuneration Policy does not envisage procedures to apply temporary exceptions to it.

A.1.2 Relative importance of variable remuneration items vis-à-vis fixed items (remuneration mix) and the criteria and objectives used to determine and guarantee a suitable balance between fixed and variable remuneration items. In particular, explain the actions taken by the company in connection with the remuneration system to reduce excessive risk exposure and match it to the long-term targets, values and interests of the company, which should include, whenever pertinent, measures taken in relation to those categories of staff whose professional activities have a material impact on the risk profile of the entity; clawback formulae or clauses to reclaim variable components of performance-based remuneration when such components have been paid on the basis of data that is subsequently proven to be wholly inaccurate; and measures designed to prevent conflicts of interest.

Furthermore, state whether the company has established any period for the accrual or vesting of certain variable remuneration items, in cash, shares or other financial instruments, any deferral period in the payment of amounts or the handover of accrued and vested financial instruments, or if any clause has been approved reducing the deferred remuneration not yet consolidated or that obliges the director to return remuneration received, when such remuneration has been based on certain figures that have clearly proven to be inaccurate.

The Remuneration Policy provides a reasonable balance between the different components of fixed (annual) and variable (annual and long-term) remuneration, which reflects a suitable assumption of risks combined with the achievement of defined short- and long-term objectives, linked to the creation of sustainable value.

- The fixed component is accrued in any case, so it is not an item that entails exposure to risk.

- The annual variable remuneration or Annual Bonus is linked to the fulfilment of annual business targets of a financial, operational, share performance, non-financial and sustainability nature, and are proposed by the Committee and approved by the Board of Directors. The objectives of the Annual Bonus, as they are primarily based on the annual budget and on the guidelines provided to the market, are aligned with the strategic vision and the long-term objectives in the Viscofan Group's strategic plans which, as they are recurring, avoid the assumption of excessive risks. This is reinforced by the

fact that their evaluation is carried out once the financial statements have been audited and presented.

- The long-term variable remuneration or Three-year Plan, which essentially takes the creation of value for the shareholder as a reference (for example, total shareholder return or TSR) and its sustainability with a minimum measurement period of three years, without prejudice to the moment of payment or settlement. Furthermore, it includes essentially non-financial, sustainability, environmental and social objectives.

In a scenario of standard compliance with the Target Objectives (i.e., in the case of 100% compliance with the objectives), the annual fixed remuneration would have a weight of 37% of the total, the annual variable remuneration of 26% and the long-term incentive of 37% (29% in the current Policy). The design of the remuneration policy is therefore consistent with the Company's strategy and reinforces the focus on long-term performance.

The Remuneration Policy includes an ex-post control of variable remuneration ("clawback"), both for the Annual Bonus and for the Three-year Plan, should the following circumstances arise within the 24 months after payment of said remuneration:

- Significant fall in consolidated net profit (more than 50%).

- Serious non-compliance by the beneficiary of the internal rules, including, in particular, risk-related rules.

- Material reformulation of the Group's financial statements, when considered by the external auditors, except when it is appropriate according to a modification of the accounting regulations.

Furthermore, there are risk mitigation measures:

- the Committee may propose to the Board of Directors that adjustments be made to the elements, criteria, thresholds and limits of the variable annual or pluriannual remuneration in exceptional circumstances due to extraordinary
internal or external factors or events. The detail and justification of these adjustments will be included in the corresponding Annual Report on Directors' Remuneration.

- To reinforce the commitment of the executive directors to the long-term interests of the Company and alignment with the interests of shareholders, the Policy
includes a permanent shareholding commitment whereby they must hold a number of shares equivalent to two annuities of their gross fixed remuneration for as long as they retain their status as such. To achieve this objective, a period of four years is established, calculated from the start of the effectiveness of the Policy or from the appointment in the case of new Directors. Should this limit not be reached, the net shares, if any, that are received by the executive directors deriving from any element of variable remuneration, will be subject to a retention period of at least three years. The Chief Executive Officer, the only executive director in office, currently holds shares whose value exceeds the threshold indicated.

  Regarding the measures to preclude conflicts of interest, in accordance with the Regulations of the Board of Directors, in application of the legal precepts in force regarding the matter, the directors are annually required to declare, or have the duty to do so, as soon as they become aware of any conflicts of interest, and they must immediately resign should this conflict persist or should their presence on the Board contravene the Company's interests. Directors must also refrain from discussing and voting on matters in which they have either a direct or indirect interest, even through related parties, except in the resolutions or decisions affecting their capacity as members of the Board, such as their appointment for or removal from positions within the Board. Internal company regulations on measures to prevent conflicts of interest are applicable to all Viscofan Group employees.

A.1.3 Amount and nature of fixed components that directors are expected to receive in the year for

their status as such.

The remuneration of directors in their capacity as such in 2024 is as follows:

- The Chairman of the Board of Directors (non-executive Chairman as from 1 January 2024) shall receive a remuneration of €575,000 for this position. This remuneration is in addition to the fixed annual remuneration that directors may receive in their capacity as such for their membership of the Board.

- Board members shall receive a fixed remuneration for membership thereof of €80,000 each.

- An additional fixed remuneration will be paid per office and membership on Committees of the Board of Directors:

    - Audit Committee: Chairman €45,000 and members €30,000.

    - Appointments, Remuneration and Sustainability Committee: Chairman €37,500 and members €25,000.

    - Lead Director for holding said office: €25,000.

- Allowances for attendance at Board of Directors meetings, to pay for personal and effective attendance at the meetings of the Board of Directors remain at €3,000 per meeting and director. The Chief Executive Officer shall not receive any amount in per diems. New elements included in the Remuneration Policy:

    - In the event the Deputy Chairman chairs the meeting of the Board of Directors to substitute the Chairman, they will receive twice the amount of the attendance allowance (€6,000 instead of €3,000).

    - €1,000 per meeting and director in the event of attendance via remote means of the sessions of the Board of Directors (not applicable in the event of mobility restrictions preventing attendance in person).

  Attending Committee meetings does not accrue a specific attendance allowance.

A.1.4 Amount and nature of fixed components that executive directors will receive in the year for discharging senior management duties.

- First executive (Chief Executive Officer): €775,000

- In the event that directors other than the Chief Executive Officer perform executive functions, their remuneration must observe the limits and conditions set out in the Policy for each remuneration item.

A.1.5 Amount and nature of any component of remuneration in kind that will accrue during the year, including, but not limited to, insurance premiums paid in favour of the director.

The remuneration in kind that will accrue in 2024 for the items set out in the Remuneration Policy (life and accident insurance premium, health care and vehicle) is estimated at €56,000 for the Chief Executive Officer.

The Company has arranged civil liability insurance for both executive and non-executive directors (D&O insurance), as well as for executives of the Company and the Group's subsidiaries. In this insurance, the directors will be considered as the insured parties, due to the liabilities that may arise as a consequence of the performance of their activities. The premium for the aforementioned D&O insurance for 2024 is €81,000. Due to the civil liability insurance being arranged globally, it is not possible to calculate the proportionate part for the directors as remuneration in kind.

A.1.6 Amount and nature of variable components, differentiating between those established in the short and long term. Financial and non-financial parameters, including social, environmental and climate change parameters, selected to determine the variable remuneration in the year in progress, explaining the extent to which these parameters are related to performance, both of the director and of the company, together with their risk profile, and the methodology, deadline necessary and techniques established to determine the degree of compliance with the parameters used in the design of the variable remuneration at the end of the year, detailing the criteria and factors applicable with regard to the time required and methods to effectively verify the conditions of performance or any other type to which the accrual and consolidation of each component of variable remuneration is linked.

State the range, in monetary terms, of the different variable components according to the degree of compliance with the objectives and parameters established, and whether any maximum monetary amounts exist in absolute terms.

a. Annual variable remuneration (Annual Bonus):

The Chief Executive Officer is entitled to the following Annual Bonus for 2024, proposed by the Committee and approved by the Board of Directors at its meeting of 29 February 2024:

- Amount and limits.
  - Annual Target Bonus (in case of 100% target achievement) of €542,500.
  - If the target is exceeded, it could reach a maximum of €813,750.
- Metrics and weighting. -
  - Corporate Objectives, which collectively weight 50% in the Annual Bonus:
    - Economic-financial parameters, in terms of increase in sales, improvement in EBITDA and net profit, reduction in the ratio of inventories to sales and share performance (80% of corporate objectives).
    - Non-financial and sustainability parameters in terms of accident reduction and waste over production, taking the Group's sustainability strategy as a reference (weighted at 20% of the corporate objectives).
  - The CEO's own quantifiable objectives (weighted at 30%) linked to profitability, execution of the Group's priority projects and business growth. and operational maximisation.
  - Individual performance of the Chief Executive Officer (weighted at 20%). Valuation of the qualitative factors for each Director upon the proposal of the Committee linked to commitment to the project, transformation and teamwork.
  - Exceeding targets linked to the additional profitability targets in terms of EBITDA and net profit.
- Determination procedure. –

At the end of the reporting period, the Committee, with the internal support that it deems necessary (i.e. Internal Audit, Corporate Financial Management) as well as external (audited financial statements and verified non-financial statements), will determine the proposed degree of fulfilment (establishing a specific percentage and amount) of each of the targets and the evaluation of the performance of the executive directors. This percentage will be applied to the Target Annual Bonus

to determine the specific amount of the annual variable remuneration, which will be submitted to the Board of Directors for approval at the time of preparation of the financial statements, directors' report, Annual Corporate Governance Report and the Annual Directors' Remuneration Report 2024, which usually takes place within the first two months following the close of the reporting period to which they refer.

In particular, during said period, it has been verified that the performance conditions to which the accrual and consolidation of the Annual Bonus are linked have been fulfilled, essentially through an external audit process of the financial statements and directors' report, and the verification of the non-financial information statement by an independent third party, which guarantees the verification of financial and non-financial parameters, and the verification of processes and internal reports that are collected on the remaining objectives or on the basis of public information (i.e., price of the share in line with stock market index listings).

b. Long-term incentive plan (Three-year Plan).

The General Meeting of Shareholders held on 29 April 2022 approved the "2022-2024 Three-Year Plan", which was prepared by the Committee and submitted by the Board of Directors for approval by the General Meeting of Shareholders. The 2022-2024 Three-Year Plan (which replaces the previous 2019-2021 plan) is intended for the Company's Executive Directors, senior management and other key personnel of the Viscofan Group.

The terms and conditions of the Plan approved by the Board are available on the company's website. For the purposes of this report, the relevant aspects relating to executive directors are highlighted:

- Amount and limits. -
  - Executive Chairman. - For the Target Incentive, a maximum of 17,287 shares and €413,280 in cash; in the event of the Maximum Incentive for exceeding targets, 25,931 shares and €619,920. In line with the price of €55.78 per share taken at the start of the Measurement Period, the Plan's total value for the Executive Chairman is €1,377,660 for the Target Incentive and €2,066,351 for the Maximum Incentive for exceeding targets.

    With effect from 1 January 2024, the Executive Chairman has been removed from his executive duties as decided by the Company. Consequently, as of that date, no economic rights accrue to the Chairman for the Triennial Plan and the Board of Directors, at the Committee's proposal, has recognised the right to receive the economic rights of the Chairman for amounts proportional to his permanence in the Plan, i.e: a) For the Target Incentive, a maximum of 11,524 shares and €275,520 in cash; b) For the Maximum Incentive for exceeding the targets, 17,287 shares and €413,280. The determination of the specific amount will be based on the degree of achievement of the objectives set out in the Plan, which will be assessed and determined by the Board of Directors on a proposal from the Committee

  - Director General Manager (now Chief Executive Officer). - For the Target Incentive, a maximum of 13,334 shares and €318,780 in cash; in the event of the Maximum Incentive for exceeding targets, 20,002 shares and €478,170. In line with the price of €55.78 per share taken at the start of the Measurement Period, the Plan's total value for the General Managing Director is €1,062,600 for the Target Incentive and €1,593,882 for the Maximum Incentive for exceeding targets.

- Metrics and weighting. -

  The Plan reflects the expected value creation during the Measurement Period, taking into account the Viscofan Group's strategy.

  - Three metrics blocks are established for the Target Incentive:

(i) Creating value for shareholders (75% of the Target Objective).

We propose the Total Shareholder Return ("TSR") Plan as an essential metric, which measures the return on investment for the shareholder as a sum of the variation in the share price in the Measurement Period, plus dividends and other similar items received during this period.

The average listed price of the share in December 2021, i.e., €55.78 per share, is taken as the initial reference. To calculate the performance of TSR at the end of the period, the average listed price of the share in December 2024 will also be considered.

In accordance with these benchmark values, a minimum level of compliance is established, from which the plan begins to receive 4% of the Compound Annual Growth Rate (CAGR) and 6.5% of the CAGR as a Target Objective, in line with the Company's historical average.

(ii) Creating sustainable value in environmental matters (10% of the Target Objective).

The Company approved a new 2022-2025 Sustainability Action Plan (period which therefore comprises the Plan's Measurement Period). In line with this Sustainability Action Plan, investments are included in the Viscofan Group aimed at the decarbonisation of processes. In this respect, it is proposed as a Target Objective to reduce

CO2 emissions per kilometre of packaging produced in the Viscofan Group by between 4.5% and 7.5% in the measurement period. The average range is in line with the ambitious objective of reducing, with respect to 2018 values, 30% of CO2 emissions per km produced for 2030.

(iii) Creating sustainable value in social matters (15% of the Target Objective).

The metric is subdivided into two:

a. Reduction of the accident rate.- In the materiality analysis performed by the Viscofan Group in 2021 to prepare the new 2022-2025 Sustainability Action Plan, the security of people in the workplace was once again highlighted as a priority and an especially critical area. Aligned with the objective of reducing the accident rate at the Viscofan Group by 50%, the objective is proposed of reducing the seriousness index between 3% (minimum) and 5% annually (Target Objective), calculated as the number of days lost per thousand hours worked. 10% of the Target Objective is weighted.

b. Audits to suppliers - Also, in line with the fact that the sustainability commitment is transmitted throughout the whole of the Viscofan Group's supply chain, the objective is proposed (as a unique value, which acts as a minimum and maximum) to perform, at the end of the measurement period, audits on the compliance of the Viscofan Group's Supplier Conduct Code, in a volume equivalent to 50% of the purchases from suppliers of the main raw materials, namely: cellulose, collagen skins, cellulose paper and suppliers of polyamides. The raw materials represent around 55% of raw material purchases. 5% of the Target Objective is weighted.

- Maximum Incentive for exceeding targets (up to an additional 50% of the Target Incentive).

  For the accrual and recognition of this additional 50% of the Target Objective, an exceptional performance of the TSR is demanded, obtained from the absolute viewpoint and from another, relative, that is, comparing the Company's TSR with the performance of a reference group.

  (i) Creation of historical absolute value for shareholders (35% of the

Objective)

If an absolute TSR is obtained between 6.5% (minimum value) and 10% (maximum), values that correspond to a return obtained in the exceptional periods of greater value creation for the Company.

(ii) Creation of value exceeding other companies of reference (15% of the Objective)

To measure this objective, it is proposed to use the relative TSR, in which Viscofan must perform better than the average of a reference group. This benchmark group will be composed of the seven non-financial Ibex 35 companies with a market capitalisation of less than €4 billion[1] and seven other benchmark companies in the specialty ingredients and packaging market[2]. If Viscofan's TSR is in the 50th percentile of this group, overcompliance starts to accrue, with the maximum compliance being the 100th percentile.

1 Acerinox, Cie Automotive, Almirall, Solaria, Indra, Meliá Hotels and Pharma Mar.
2 IFF, DSM, Kerry, Ingredion, Tat&Lyle, Darling Ingredients and Devro.

- Determination procedure. -

  It shall be a condition for payment of the Plan that the Board of Directors has ratified the degree of compliance with the parameters and magnitudes of the Plan, at the proposal of the Committee. Executive Directors who are beneficiaries of the Plan may not transfer the shares delivered during a period of three (3) years unless they hold, directly or indirectly, a number of shares equivalent to twice their annual fixed remuneration. The provisions of the current Directors' Remuneration Policy will apply to the ex-post control of variable remuneration ("clawback").

A.1.7 Main characteristics of the long-term savings systems. In addition to other information, state the contingencies covered by the system, whether through defined contributions or benefits, the annual contribution that needs to be made to the defined contribution system, the benefits directors are entitled to in the event of defined benefit systems, the conditions under which economic rights are vested for directors and their compatibility with any other type of payment or severance pay as a result of the early termination or dismissal of the director, or deriving from the termination of the contractual relation, on the terms provided, between the company and the director.

State if the accrual or vesting of any of the long-term savings plans is linked to achieving certain objectives or parameters related to the short- or long-term performance of the director.

The Company has no long-term savings systems for directors.

A.1.8 Any type of payment or severance pay for early termination or dismissal of the director, or deriving from the termination of the contractual relation in the terms agreed to between the company and director, whether voluntary resignation by the director, dismissal of the director by the company, or any other type of termination agreement reached such as exclusivity, post-contractual non-competition, continuance in office or loyalty, which would entitle the director to some sort of remuneration.

The following cases are envisaged in the contracts of executive directors:

The compensation of two annual payments of the annual fixed remuneration for extinguishing the contractual relationship not attributable to the director, including termination initiated by the executive director in the following cases:

- Substantial modification of the conditions of provision services that redound notoriously to the detriment of the executive director.

- There is a substantial modification of the conditions of the executive director's services as a result of a significant change in the ownership of the
  Company equal to or greater than 30% of the share capital and which has the effect of a renewal of the Company's governing bodies or in the content and approach of its main activity, provided that the termination occurs within three months following the occurrence of such changes.

There will be no compensation if the dismissal is the result of gross misconduct, wilful misconduct and culpable conduct of the executive director in the performance of duties.

Two-year non-compete agreement. The compensation for the two-year non-compete commitment is included in the compensation contemplated for the termination of the relationship. In case of noncompliance with the non-compete commitment, the executive director must return the received compensation and pay three times its amount in damages.

Under the Remuneration Policy, a notification period of 6 months is foreseen to terminate the relationship with the executive chairman and, in the case of non-compliance, the breaching party must compensate the other with the amount of remuneration corresponding to the notification period. In this regard, the Remuneration Policy establishes that the amount which, where applicable, the Company will pay for breach of the contractually established notification period, will be discounted from the two years of fixed remuneration deriving from the compensation in the event of termination of the contractual relationship.

The Chairman with effect from 1 January 2024, at the request of the Company, has ceased his executive duties and the commercial contract between the Executive Chairman and the Company has been terminated. In application of the provisions of the Policy and the aforementioned executive contract, the right to an indemnity equivalent to two annuities of the Chairman's salary has accrued on that date and will be paid in the current financial year.

A.1.9 Indicate the conditions that must be respected in the contracts of those who exercise senior management functions as executive directors. Among other aspects, give information on the duration, limits to the amounts of indemnity, tenure clauses, notice periods and payments that can replace such notice periods, and any other clauses regarding hiring bonuses, as well as severance payments or ring-fencing for early cancellation or termination of the contractual relationship between the company and the executive director. Include, inter alia, covenants or agreements regarding non-competition, exclusivity, tenure or loyalty and non-competition after termination of contract, unless already explained in the section above.

Executive director contracts adapt to the following essential conditions:

- Commercial nature
- Indefinite.
- Notice of 6 months for voluntary termination (reciprocal). In case of failure to observe the 6-month notice period (reciprocal), the compensation shall be payment of the remuneration corresponding to the unfulfilled notice
  period. The amount which, where applicable, the Company pays for the breach of the contractually established notification period, will be discounted from the two years of fixed remuneration deriving from the applicable compensation in the event of termination of the contractual relationship.
- Compensation and a post-competition covenant (refer to section above).
- The duty of confidentiality on information, data, reports or background information to which directors had access while in office shall persist even after they leave office, regardless of the reason.

To streamline the hiring of candidates, the Policy provides the Committee with the possibility of submitting a proposal to the Board of Directors for a hiring bonus to offset any loss of incentives not accrued, and the possibility of an international assignment of the application of the Company's policy for such cases (e.g. housing supplement). Such circumstances did not occur, and the Company made no premium payment in this regard.

A.1.10 The nature and estimated amount of any other supplementary remuneration that will be accrued by directors in the year in progress in consideration for services furnished other than

those inherent in the post.

No supplementary remuneration other than the remuneration explained in previous sections are expected.

A.1.11 Other remuneration items, including items deriving from the company providing advances, loans, guarantees or any other remuneration to directors.

None were or are expected to be granted.

A.1.12 The nature and estimated amount of any other planned supplementary remuneration that will be accrued by directors in the year in progress not included in the previous sections, whether payment is made by the company or another group company.

There are not and will not be any supplementary remuneration other than the remuneration explained in previous sections.

A.2 Explain any relevant change in the remuneration policy applicable to the current year arising from:

a) A new policy or amendment in the policy already approved by the General Shareholders' Meeting.

b) Significant changes in specific determinations established by the Board for the current year on the valid remuneration policy compared with those applied in the previous year.

c) Proposals that the Board of Directors may have agreed to at the General Shareholders' Meeting to which this annual report will be submitted and proposed to be applicable in the current year.

The current remuneration policy for Viscofan directors was approved by the Ordinary General Shareholders' Meeting held on 27 April 2023, following a reasoned proposal by the ARSC, and is effective for the 2024, 2025 and 2026 financial years.

In this Policy, the remuneration structure is adapted to provide for the necessary elements for the transition from the model of an Executive Chairmanship, in force until 31 December 2023, to a Board of Directors led by a non-executive Chairman, effective 1 January 2024, while appointing a Chief Executive Officer. In this regard, the following developments are worth highlighting:

1. For the CEO, as the Company's chief executive:

   - A Fixed Remuneration or Salary of €775,000 (€656,000 in 2023 for the Chief Executive), consistent with the responsibility and functions as Chief Executive and leadership within the organisation, in line with the remuneration being paid in the market by comparable companies for which WTW has been assisted. Furthermore, the possibility of reviewing the fixed remuneration for the duration of the Policy (i.e. from 2025) has been enabled, with a maximum of €850,000 for the duration of the Policy). Details would be explained, where appropriate, in the relevant Annual Report on Directors' Remuneration. In the event that directors other than the Chief Executive Officer are appointed to executive functions, their remuneration should respect the limits and conditions set out in this Policy for each element of remuneration.

- It has been proposed to increase the weight of variable elements in total remuneration, with particular weight on the long-term incentive, an element linked to the creation of shareholder value and partially share-based. Thus, for a target, annual fixed remuneration would have a weight of 37% of the total (42% in the current Policy), annual variable remuneration 26% (29% in the current Policy) and the long-term incentive 37% (29% in the current Policy). The design of the remuneration policy is therefore consistent with the Company's strategy and reinforces the focus on long-term

performance.

2. Directors in their capacity as such:

- A specific fixed remuneration of €575,000 is established for the non-executive Chairman of the Board of Directors (there is no appropriate term of comparison in the Policy in force in the 2021, 2022 and 2023 financial years, being the executive Chairmanship in that period). The ARSC has proposed this remuneration considering the intrinsic value of the person proposed for the position, the specific and additional dedication with respect to the members of the Board of Directors that this position requires, the remuneration levels and practices observed in Ibex-35 and continuous market companies in Spain. It should also be noted that the Committee has been assisted by WTW as an independent advisor. The position of non-executive Chairman of the Board of Directors shall not provide for any additional remuneration and/or compensation in addition to the above.

A.3 Identify the direct link to the document where the current company remuneration policy is posted, which must be available on the company website.

https://www.viscofan.com/es/gobierno-corporativo/reglamentos-y-politicas

A.4 Explain, taking into account the data provided in Section B.4, the outcome of voting, of a consultative nature, by shareholders at the General Shareholders' Meeting regarding the Annual Remuneration Report for the previous year.

The directors' annual remuneration report for the year ending on 31 December 2022 received the backing of the majority of shareholders, namely 95.77% of the votes cast in favour. Therefore, it is concluded from continuous contact with shareholders and investors that the Remuneration Policy and is application is aligned with the vote of shareholders.

B GLOBAL SUMMARY OF HOW THE REMUNERATION POLICY WAS APPLIED DURING THE YEAR-ENDED

B.1.1 Explain the process followed to apply the remuneration policy and determine the individual remuneration contained in Section C of this report. This information will include the role played by the Remunerations Committee, the decisions taken by the Board of Directors and, as the case may be, the identity and the role of the external advisors whose services have been used in the process to apply the remuneration policy in the year ended.

In accordance with current legislation and the Company's internal regulations, the Board of Directors is the competent body to apply the Directors' Remuneration Policy in force during the 2023 financial year (Remuneration Policy approved by the General Meeting on 23 April 2021 for the financial years 2021, 2022 and 2023), although the various decisions involving such application are adopted at the proposal of or following a report by the Committee.

The Committee, which met on nine occasions in 2023, is made up of the following members at the date of this report:

Name	Position	Type
Mr Jaime Real de Asúa Arteche	Chairman	External Independent
Mr José María Aldecoa Sagastasoloa	Member	External Independent
Mr Andrés Arizkorreta García	Member	External Independent
Mr Santiago Domecq Bohorquez	Member	External Nominee
Mr José Antonio Cortajarena Manchado	Non-member secretary	N/A

In all the processes for adopting their respective decisions, the committee and the Board of Directors have received information and advice from the company's internal services.

In this regard, it is worth noting:

(i) Regarding the remuneration of directors in their capacity as such, the Policy in force in 2023 is applied as follows:

a. Attendance fees. Each director entitled to the accrued attendance fee is paid after each meeting of the Board of Directors, subject to the secretary verifying the attendance list.

b. Fixed remuneration: Payment of the amounts accrued by each director in their capacity as such for 2023 is subject to approval of the Financial Statements and the individual and consolidated Management Report for that year at the 2024 General Shareholders' Meeting, within the first six months of the year. Once these financial statements have been approved by the General Shareholders' Meeting, the corresponding resolution must be adopted by the Board of Directors to recognise and pay each director pursuant to the remuneration policy in force in the 2023 financial year.

(ii) Regarding the remuneration of executive directors:

a. The fixed individual remuneration of each executive director for 2023. Such remuneration or salary is determined in the Remuneration Policy approved by the General Shareholders' Meeting for the 2021-2023 period. This salary is paid to the executive directors in 2023 on a monthly basis.

b. The settlement and recognition of the Annual Bonus accrued in 2023. The 2023 Annual Bonus was proposed by the Committee at its meeting of 15 February 2024 and approved by the Board of Directors at its meeting of 29 February 2024. The degree of achievement of the financial and

operational targets is based on the duly audited annual financial report as formulated and submitted for approval by the shareholders. The remaining targets are determined based on verified internal reports and public information (i.e. share price).

B.1.2 Explain any change in the procedure established to apply the remuneration policy that occurred in the year.

No changes occurred.

B.1.3 Indicate if any temporary exceptions have been applied to the remunerations policy and, if they have been applied, explain the exceptional circumstances that have led to the application of these exceptions, the specific components of the remuneration policy affected and the reasons why the company considers that these exceptions are necessary to serve the long-term interests and sustainability of the company as a whole or to ensure its viability. Also quantify the impact of the application of these exceptions on the remuneration of each director in the year.

No temporary exception was applied.

B.2 Explain the different actions taken by the company in relation to the remuneration system and how they have contributed to reducing exposure to excessive risks and adapting them to the long-term objectives, values and interests of the company, including a reference to the measures that have been adopted to guarantee that the long-term results of the company have been taken into consideration in the remuneration accrued and that a suitable balance has been reached between the fixed and variable components of the remuneration, the measures that have been adopted in relation to those categories of staff whose professional activities have a material repercussion on the company's risk profile and the measures that have been adopted to avoid conflicts of interest, if any.

The answer to this section is completed with the explanations provided in section A.1.

However, the following is highlighted:

- In relation to the remuneration of the directors in their capacity as such, the system to establish fixed remuneration and attendance fees, excluding the variable remuneration for business objectives, is an efficient instrument to reduce exposure to excessive risks and to include a long-term vision.

- With respect to executive directors, the Remuneration Policy has an appropriate remuneration mix (see Section A.1.2), with the following essential elements:

  - A fixed component which accrues in any case, so it does not represent any exposure to risk; this fixed component remains unchanged during the Policy term.

  - Annual variable remuneration, with a temporary performance period of one year, linked to specific measurable business objectives - some of which are recurring since they constitute critical elements of the supervision of performance and enable comparisons with previous years-, aligned with the management budget and the previsions or guides provided to the market, which prevents the encouragement of the assumption of excessive risks. This is reinforced by the fact that the assessment is carried out once the duly audited financial statements and directors' report are available and the non-financial information statement for the year has been verified.

  - A reasonable balance is established between annual and multi-year remuneration.

- The long-term variable component (Three-year Plan) has a measurement period of three years, which moderates the undertaking of risks and offers the creation of value over a longer term than usual.

- In particular, the clawback clause - applicable to both annual variable remuneration and long-term variable remuneration - and a term of 24 months are highlighted.

B.3 Explain how the remuneration accrued and vested over the year meets the provisions of the current remuneration policy and, in particular, how it contributes to the sustainable long-term returns of the company.

Furthermore, report on the relationship between the remuneration obtained by the directors and the results or other performance measures of the company in the short and long term, explaining, as the case may be, how the variations in the performance of the company have influenced changes in the remuneration of directors and how the latter contribute to the short- and long-term results of the company.

Remuneration accrued by directors in their capacity as such is determined in a fixed manner in the Remuneration Policy and is not determined by profit or other measures of the company's performance. Pursuant to this Policy, the total amount paid as attendance fees for these sessions of the Board of Directors and the accrual by each director of a fixed amount for membership on the Board of Directors, committees and positions, amounts to €1,537 thousand and falls within the statutory limit (article 29 of the Articles of Association and which is reproduced by the Remuneration Policy), which cannot exceed 1.5% of the annual consolidated cash profit before taxes, which totalled €168,906 thousand.

The fixed remuneration or salary of executive directors has been set in the Remuneration Policy on a fixed basis for 2021-2023, in line with the results obtained by the Company and the fixed remuneration paid by like-for-like companies in the market (section A.1.4).

As regards the annual variable remuneration earned by the executive directors, the objectives and metrics to which it is conditioned consist of magnitudes linked to the Group's consolidated results and are aimed at promoting the Group's long-term performance. The specific amount to be received by each executive director is the result of applying the percentage of achievement of each objective to the target incentive. This degree of achievement was determined by the Board of Directors at its meeting of 29 February 2024, at the proposal of the Committee, once it had the annual accounts and the duly audited individual and consolidated management report, including verification by a third party verifier of the non-financial information statement. The details of the foregoing may be verified in section B.7

Lastly, regarding remuneration in kind, the Company has paid what is set out in the Policy (for a joint total for executive directors of €81.4 thousand), without this exceeding the limit of 20% of the fixed remuneration for executive directors.

B.4 Report on the outcome of the consultative vote at the General Shareholders' Meeting on the annual remuneration report for the previous year, indicating the number of abstentions, votes in favour and against and blank votes cast:

	Number	% of total
Votes cast	40,053,890.	86.1%

	Number	% of votes cast
Votes against	584,791	1.46
Votes in favour	38,361,501	95.77
Blank votes	0	0
Abstentions	1,107,598	3

B.5 Explain how the fixed components accrued and vested during the year by the directors in their capacity as such were determined, their proportion in relation to each director and how they have changed with respect to the previous year:

The remuneration of the members of the Board of Directors in their capacity as such consisted of applying the Remuneration Policy approved by the 2021 General Shareholders' Meeting, in force in the year:

- Chairman of the Board of Directors: €160,000/year.
- Director: €80,000/year.
- Chairman of the Audit Committee: €45,000/year
- Chairman of the Appointments, Remuneration and Sustainability Committee: €37,500 /year
- Member of the Audit Committee: €30,000/year.
- Member of the Appointments, Remunerations and Sustainability Committee: €25,000 /year
- Fixed remuneration of the Lead Director: €25,000/year

Similarly, in 2023, in line with the Remuneration Policy, attendance fees were applied to remunerate the non-executive directors at the meetings of the Board of Directors: €3,000 for each face-to-face meeting and €1,000 for telematic attendance and director, with 11 meetings of the Board of Directors having been held. In one of the meetings of the Board of Directors, the Company directly assumed the travel expenses and therefore the per diem for this meeting was not paid.

B.6 Explain how the salaries accrued and vested by each one of the executive directors over the past financial year for the performance of management duties were determined, and how they have changed with respect to the previous year.

The fixed annual remuneration of the executive directors for their duties is determined in the Remuneration Policy for the whole of 2021-2023, and was set at:

- Executive Chairman: €656,000.
- General Managing Director: €506,000.

This remuneration does not represent an increase compared to the previous year.

B.7 Explain the nature and the main characteristics of the variable components of the remuneration systems accrued and vested in the year ended.

In particular:

a) Identify each one of the remuneration plans that have determined the different types of variable remuneration accrued by each of the directors in the year ended, including information on their scope, their date of approval, their date of incorporation, the periods of accrual and validity, the criteria used to evaluate performance and how this has affected the establishment of the variable amount accrued, as well as the measurement criteria used and the period necessary to be in a position to suitably measure all the conditions and criteria stipulated, duly explaining in detail the criteria and factors applicable with regard to the time required and methods to effectively verify the conditions of performance or any other type to which the accrual and vesting of each component of variable remuneration was linked.

b) In the case of share options and other financial instruments, the general characteristics of each plan will include information on both the conditions to acquire unconditional ownership (vesting) and to exercise these options or financial instruments, including the price and term to exercise them.

c) Each director and category (executive directors, proprietary external directors, independent external directors and other external directors) who are beneficiaries of remuneration systems or plans that include variable remuneration.

d) As the case may be, information is to be provided on periods for the accrual, vesting or deferment of payment of vested amounts applied and/or the periods for withholding/unavailability of shares or other financial instruments, if they should exist.

Explain the short-term variable components of the remuneration systems:

Executive directors have accrued the following annual variable remuneration (annual bonus) in 2023:

EXECUTIVE CHAIRMAN

Annual Target Bonus (100% of targets met): €459,000; maximum in case of targets being exceeded: €688,000.

- Group corporate objectives (50% weighting):
    - Economic-financial parameters, in terms of increased sales, EBITDA and net profit and share performance. Total weighting of 75% of the Group's corporate targets.
    - Sustainability objectives in terms of accident reduction in terms of severity rate and reduction in the ratio of tonnes of waste to landfill per million metres produced. Total weighting of 25% of the Group's corporate targets.

  Degree of achievement of the Group's corporate objectives: 25%

- Individual objectives (30% weighted) and performance assessment (20% weighted). The individual targets are tied to growth, integration and efficiency improvement objectives in relation to different Group subsidiaries.

  Degree of achievement of individual Objectives and evaluation: 57%

Total degree of compliance: 41%.

Amount of the 2023 Annual Bonus of the Executive Chairman: €188,200

GENERAL MANAGING DIRECTOR:

Target Annual Bonus (targets met 100%): €354,000; maximum in the event of exceeding targets: €531,000.

- Group corporate objectives (50% weighting): Degree of compliance 25%

    - Economic-financial parameters, in terms of increased sales, EBITDA and net profit and share performance. Total weighting of 75% of the Group's corporate targets.

    - Sustainability objectives in terms of accident reduction in terms of severity rate and reduction in the ratio of tonnes of waste to landfill per million metres produced. Total weighting of 25% of the Group's corporate targets.

  Degree of achievement of the Group's corporate objectives: 25%

- Individual objectives (30% weighted) and performance assessment (20% weighted). The individual targets are tied to growth, integration and efficiency improvement objectives in relation to different Group subsidiaries.

  Degree of achievement of individual Objectives and evaluation: 57%

Total degree of compliance: 41%.

Amount of the 2023 Annual Bonus of the General Managing Director: €145,100

These amounts will be paid in the first quarter of 2024.

Explain the long-term variable components of the remuneration systems

No long-term variable components have accrued by 2023.

B.8 Indicate whether certain variable components accrued were reduced or clawed back when, for the former, there were deferred payments of non-vested amounts or, for the latter, they were vested and paid, on the basis of data that were subsequently proven to be inaccurate. Describe the amounts reduced or clawed back through the application of the reduction or clawback clauses, why they were implemented and the years to which they refer.

No circumstances arose that would have entailed the reimbursement of variable remuneration.

B.9 Explain the main characteristics of the long-term savings systems in which the amount or equivalent annual cost appears in the tables in section C, including retirement and any other survivor benefit, which are financed, totally or partially, by the company, whether through internal or external contributions, indicating the type of plan, whether it is a defined contribution or benefit, the contingencies covered, the conditions for vesting economic rights for directors and their compatibility with any type of severance pay for early termination or termination of the contractual relationship between the company and the director.

Not applicable. The Remuneration Policy does not cover long-term savings systems.

B.10 Explain, where appropriate, the severance pay or any other type of payment deriving from early dismissal or early resignation, or from the termination of the contract, upon the terms provided for therein, accrued and/or received by directors during the year ended.

Not applicable. Did not occur

B.11 Indicate whether there have been any significant changes in the contracts of those exercising senior management functions, such as executive directors, and, where appropriate, explain such changes. In addition, explain the main conditions of the new contracts signed with executive directors during the year, unless these have already been explained in Section A.1.

Did not occur.

B.12 Explain any additional remuneration paid to directors for services rendered other than those inherent in their position.

Not applicable. There was no supplementary remuneration.

B.13 Explain any remuneration deriving from advance payments, loans or guarantees granted, indicating the interest rate, their key characteristics, amounts eventually returned and obligations taken on through guarantee or collateral.

Not applicable. Did not occur

B.14 Itemise the remuneration in kind accrued by the directors over the year, briefly explaining the nature of the different salary components.

The remuneration in kind accrued in 2023 for the items contemplated by the Policy (life/accident insurance premiums, healthcare and vehicles) was €26 thousand for the Executive Chairman and €55 thousand for the General Managing Director.

B.15 Explain the remuneration accrued by directors by virtue of payments made by the listed company to a third company at which the director renders services when these payments seek to remunerate the director's services to the company.

Not applicable. Did not occur

B.16 Explain and detail the amounts accrued in the year in relation to any other remuneration item other than the foregoing, whatever its nature or group company paying it, including all the benefits in all their forms, such as when they have the consideration of related party transactions or, especially, when they significantly affect the fair presentation of the total remuneration accrued by the director, having to explain the amount granted or pending payment, the type of consideration received and the reasons why it would have been considered, where appropriate, that it does not constitute remuneration to the director in their capacity as such or consideration for the performance of their executive functions, and whether it was considered appropriate or not to include them among the amounts accrued in the "Other items" heading of section C.

Not applicable. Did not occur.

C INDIVIDUAL REMUNERATION CORRESPONDING TO EACH DIRECTOR

Name	Type	2023 accrual period
JOSÉ DOMINGO AMPUERO OSMA	CHAIRMAN EXECUTIVE DIRECTOR	1 January 2023 - 31 December 2023
JOSÉ ANTONIO CANALES GARCIA	EXECUTIVE DIRECTOR	1 January 2023 - 31 December 2023
JAIME REAL DE ASÚA Y ARTECHE	INDEPENDENT DIRECTOR VICE-CHAIRMAN	1 January 2023 - 31 December 2023
JOSÉ MARÍA ALDECOA SAGASTASOLOA	LEAD DIRECTOR	1 January 2023 - 31 December 2023
AGATHA ECHEVARRIA CANALES	OTHER EXTERNAL DIRECTOR	1 January 2023 - 31 December 2023
SANTIAGO FERMIN DOMECQ BOHORQUEZ	NOMINEE DIRECTOR	1 January 2023 - 31 December 2023
LAURA GONZALEZ MOLERO	INDEPENDENT DIRECTOR	1 January 2023 - 31 December 2023
CARMEN DE PABLO REDONDO	INDEPENDENT DIRECTOR	1 January 2023 - 20 December 2023
MARIA CRISTINA HENRIQUEZ DE LUNA BASAGOITI	INDEPENDENT DIRECTOR	1 January 2023 - 31 December 2023
ANDRÉS ARIZCORRETA GARCIA	INDEPENDENT DIRECTOR	1 January 2023 - 31 December 2023
JAVIER FERNANDEZ ALONSO	NOMINEE DIRECTOR	1 January 2023 - 31 December 2023
VERONICA MARIA PASCUAL BOÉ	INDEPENDENT DIRECTOR	20 December 2023 - 31 December 2023

C.1 Complete the following tables on the individual remuneration of each of the directors (including remuneration for carrying out executive functions) accrued during the financial year.

a) Remuneration from the reporting company: **i) Remuneration in cash (in thousands of €)**

Name	**Fixed remuneration**	**Attendance fees**	**Board committee membership remuneration**	**Salary**	**Short-term variable remuneration**	**Long-term variable remuneration**	**Compensation**	**Other items**	**2023 Total**	**2022 Total**
JOSÉ DOMINGO AMPUERO OSMA	160	-	-	656	188	-	-	0	**1004**	**1180**
JOSÉ ANTONIO CANALES GARCIA	80	-	-	506	145	-	-	0	**731**	**867**
JAIME REAL DE ASÚA Y ARTECHE	80	30	38	-	-	-	-	0	**148**	**148**
JOSÉ MARÍA ALDECOA SAGASTASOLOA	80	30	25	-	-	-	-	25	**160**	**187**
AGATHA ECHEVARRIA CANALES	80	30	30	-	-	-	-	0	**140**	**140**
SANTIAGO FERMÍN DOMECQ BOHORQUEZ	80	30	25	-	-	-	-	0	**135**	**138**
LAURA GONZALEZ MOLERO	80	28	45	-	-	-	-	0	**153**	**153**
CARMEN DE PABLO REDONDO	80	27	30	-	-	-	-	0	**137**	**138**
MARÍA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	80	30	30	-	-	-	-	0	**140**	**77**
ANDRÉS ARIZCORRETA GARCIA	80	30	25	-	-	-	-	0	**135**	**91**
JAVIER FERNANDEZ ALONSO	80	30	30	-	-	-	-	0	**140**	**67**
VERONICA MARÍA PASCUAL BOÉ	7	3	0	-	-	-	-	0	**10.**	**0**

Remarks: The remuneration of the director Jose María Aldecoa Sagastasoloa for his functions as lead director, as established in the Remuneration Policy of the Board of Directors, has been indicated in Other Items.

The differences in the fixed remuneration of directors and per diems for 2023 and 2022 are determined by (i) the reduction of members agreed in both Committees and (ii) a lower accrual of per diems as the Company directly assumed the costs of travel and accommodation of the Company at a meeting of the Board of Directors held in one of the subsidiaries abroad.

ii) Table of changes in share-based remuneration schemes and gross profit from shares or consolidated financial instruments

Name	Name of Plan	Financial instruments at start of FY t		Financial instrument granted in the FY t		Financial instrument consolidated in the year				Instruments matured but not exercised	Financial instruments at end of FY t	
		No. of instruments	No. equivalent shares	No. instruments	No. equivalent shares	No. instruments	No. Equivalent/vested shares	Price of vested shares	Gross profit on vested shares or financial instruments (€ thousands)	No. instruments	No. instruments	No. equivalent shares

Remarks

iii) Long-term savings systems

	Remuneration from vesting of rights to savings
Director 1	

Name	Contribution over the year from the company (thousand €)				Amount of accumulated funds (thousand €)			
	Savings schemes with vested economic rights		Savings schemes with non-vested economic rights		FY t		FY t-1	
	FY t	FY t-1	FY t	FY t-1	Savings systems with vested economic rights	Savings systems with non-vested economic rights	Savings systems with vested economic rights	Savings systems with non-vested economic rights
Director 1								

Remarks

iv) Details of other items

Name	Concept	Amount
JOSÉ DOMINGO AMPUERO OSMA	Life and accident insurance premiums Healthcare assistance policy Company car	26
JOSÉ ANTONIO CANALES GARCIA	Life and accident insurance premiums Healthcare assistance policy Company car	55

Remarks

b) Remuneration to directors of the listed company due to their membership on the governing bodies of their subsidiaries:

i) Remuneration in cash (in thousands of €)

Name	Fixed Remuneration	Attendance fees	Board committee membership remuneration	Salary	Short-term variable remuneration	Long-term variable remuneration	Compensation	Other items	Total FY t	Total FY t-1
Director 1										
Director 2										

Remarks

ii) Table of changes in share-based remuneration schemes and gross profit from shares or consolidated financial instruments

Name	Name of Plan	Financial instruments at start of FY t		Financial instruments granted during FY t		Financial instrument consolidated in the year				Instruments matured but not exercised	Financial instruments at end of FY t	
		No. instruments	No. equivalent shares	No. instruments	No. equivalent shares	No. instruments	No. equivalent /vested shares	Price of vested shares	Gross profit from vested shares or financial instruments (thousands €)	No. instruments	No. instrument	No. equivalent shares
Director 1	Plan 1											
	Plan 2											

Remarks

iii) Long-term savings systems

	Remuneration from vesting of rights to savings
Director 1	

Name	Contribution over the year from the company (thousand €)				Amount of accumulated funds (thousand €)			
	Savings systems with vested economic rights		Savings systems with non-vested economic rights		FY t		FY t-1	
	FY t	FY t-1	FY t	FY t-1	Savings systems with vested economic rights	Savings systems with non-vested economic rights	Savings systems with vested economic rights	Savings systems with non-vested economic rights
Director 1								

Remarks

iv) Details of other items

Name	Concept	Amount
Director 1		

Remarks

C) Summary of remuneration (thousands €):

This should include a summary of the amounts corresponding to all the remuneration items included in this report that have accrued to each director, in thousands of euros.

	Remuneration accrued at the Company					Remuneration accruing to group companies					
Name	**Total Cash remuneration**	**Gross profit from vested shares or financial instruments**	**Remuneration from savings systems**	**Remuneration from other items**	**Company total FY t**	**Total Cash remuneration**	**Gross profit from vested shares or financial instruments**	**Remuneration from savings systems**	**Remuneration from other items**	**Total Group FY t**	**Total company + group FY t**
JOSÉ DOMINGO AMPUERO OSMA	1004	**0**	**0**	**26**	**1030**	**0**	**0**	**0**	**0**	**0**	**1030**
JOSÉ ANTONIO CANALES GARCIA	731	**0**	**0**	**55**	**786**	**0**	**0**	**0**	**0**	**0**	**786**
JAIME REAL DE ASÚA Y ARTECHE	148	**0**	**0**	**0**	**148**	**0**	**0**	**0**	**0**	**0**	**148**
JOSÉ MARÍA ALDECOA SAGASTASOLOA	160	**0**	**0**	**0**	**160**	**0**	**0**	**0**	**0**	**0**	**160**
AGATHA ECHEVARRIA CANALES	140	**0**	**0**	**0**	**140**	**0**	**0**	**0**	**0**	**0**	**140**
SANTIAGO FERMÍN DOMECQ BOHORQUEZ	135	**0**	**0**	**0**	**135**	**0**	**0**	**0**	**0**	**0**	**135**
LAURA GONZALEZ MOLERO	153	**0**	**0**	**0**	**153**	**0**	**0**	**0**	**0**	**0**	**153**
CARMEN DE PABLO REDONDO	137	**0**	**0**	**0**	**137**	**0**	**0**	**0**	**0**	**0**	**137**
MARÍA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	140	**0**	**0**	**0**	**140**	**0**	**0**	**0**	**0**	**0**	**140**
ANDRÉS ARIZCORRETA GARCIA	135	**0**	**0**	**0**	**135**	**0**	**0**	**0**	**0**	**0**	**135**
JAVIER FERNANDEZ ALONSO	140	**0**	**0**	**0**	**140**	**0**	**0**	**0**	**0**	**0**	**140**
VERONICA MARÍA PASCUAL BOÉ	10.	**0**	**0**	**0**	**10**	**0**	**0**	**0**	**0**	**0**	**10**
TOTALS	3033	**0**	**0**	**81**	**3114**	**0**	**0**	**0**	**0**	**0**	**3114**

Remarks

C.2 Indicate the changes in the last five years of the amount and percentage variation of the remuneration accrued by each of the directors of the listed companies with such status in the year, of the consolidated results of the company and of the average remuneration on an equivalent full-time basis of the employees of the company and its subsidiaries that are not directors of the listed company.

	Total amounts accrued and % annual change								
	FY 2023	% change 2023/2022	FY 2022	% change 2022/2021	FY 2021	% change 2021/2020	FY 2020	% change 2020/2019	FY 2019
Executive Board Members									
JOSE DOMINGO AMPUERO OSMA	**1030**	-14.31%	**1202**	-54.03%	**2615**	108.37%	**1,255**	21.61%	**1,032**
JOSE ANTONIO CANALES GARCIA	**786**	-14.84%	**923**	-53.97 %	**2005**	110.61%	**952**	21.12%	**786**
External Directors									
JAIME REAL DE ASÚA Y ARTECHE	**148**	0.00%	**148**	-1.99%	**151**	3.42%	**146**	0.00%	**146**
JOSÉ MARÍA ALDECOA SAGASTASOLOA	**160**	-14.44%	**187**	-3.11%	**193**	16.27%	**166**	0.00%	**166**
AGATHA ECHEVARRIA CANALES	**140**	0.00%	**140**	-2.10%	**143**	-2.05%	**146**	0.00%	**146**
SANTIAGO FERMÍN DOMECQ BOHORQUEZ	**135**	-2.17%	**138**	0.00%	**138**	-5.48%	**146**	2.10%	**143**
LAURA GONZALEZ MOLERO	**153**	0.00%	**153**	-3.16%	**158**	1.28%	**156**	6.85%	146
CARMEN DE PABLO REDONDO	**137**	-0.72%	**138**	-2.13%	**141**	45.36%	**97**	N/A	**0**
MARÍA CRISTINA HENRÍQUEZ DE LUNA BASAGOITI	**140**	81.82%	**77**	N/A	0	N/A	**0**	N/A	**0**
ANDRÉS ARIZCORRETA GARCIA	**135**	48.35%	**91**	N/A	0	N/A	**0**	N/A	**0**
JAVIER FERNANDEZ ALONSO	**140**	108.96%	**67**	N/A	**0**	N/A	**0**	N/A	**0**
VERONICA MARÍA PASCUAL BOE	**10**	N/A	**-**	-	**-**	-	**-**	-	**-**
Company's consolidated pre-tax results	168,906	-8.1%	183,789	4.18%	176,420	10.50%	159,656	22.75%	130,064
Average employee remuneration	**37**	**0.00%**	**37**	**12.12%**	**33**	**3.13%**	**32**	**-3.03%**	**33**

- The amounts accrued are those provided for in the remuneration policy, although a rounding of decimals may be reflected due to the requirement to present the format in thousands of euros. In the case of the executive directors, the variations in remuneration in 2023 with respect to 2022 are essentially the result of different annual variable remuneration depending on the degree of fulfilment of the objectives to which it is conditioned. Variations in the remuneration of directors in their capacity as such are exclusively due to the strict application of the Policy, i.e. due to a reduction in the number of members of Committees, or differences in the period of tenure of office from one year to the next.

D OTHER INFORMATION OF INTEREST

If there are any relevant aspects relating to directors' remuneration that you have not been able to describe in other sections of this report but that are necessary to provide more comprehensive and fully reasoned information on the remuneration structure and practices of the company with regard to its directors, list them briefly.

This Annual Remuneration Report was approved by the company's Board of Directors at its meeting held on 29/02/2024. Indicate whether any board members voted against or abstained from voting on approving the present Report.

Yes or No X

Name or company name of the members of the board of directors who voted against approving this report	Reasons (against, abstention, nonattendance)	Explain the reasons

VISCOFAN, S.A. AND SUBSIDIARIES

FINANCIAL STATEMENTS AND MANAGEMENT REPORT APPENDIX TO THE CONSOLIDATED FINANCIAL STATEMENTS

STATEMENT: The Secretary of the Board of Directors, Mr. José Antonio Cortajarena Manchado, hereby certifies that the Board of Directors, at its meeting on February 29, 2024, approved the consolidated financial statements and the consolidated management report for the year ended December 31, 2023, which have been signed by him on each page for identification purposes. The consolidated financial statements comprise the attached documents preceding this certificate and that are a faithful copy of those formulated in the Single Electronic Format established in Delegated Regulation (EU) 2019/815, of December 17, 2018.

This is ratified with their signatures by the Directors listed below, in compliance with the provisions of article 253 of the Capital Companies Law.

Mr. José Domingo de Ampuero Osma Chairman	Mr. Jaime Real de Asúa Arteche Vicechairman
Mr. José Antonio Canales García CEO	Mrs. Agatha Echevarría Canales Director
Mr. José María Aldecoa Sagastasoloa Director	Mrs Laura González Molero Director
Mr Santiago Domecq Bohórquez Director	Mrs Cristina Henríquez de Luna Basagoiti Director
Mr. Andrés Arizkorreta García Director	Mr. Javier Fernández Alonso Director
Mrs Veronica Pascual Boé Director	

It is stated by the Secretary that all the directors have signed the document.

Jose Antonio Cortajarena Manchado
Secretary of the Board of Directors

Declaration of responsibility regarding the content of the consolidated annual financial report of Viscofan, S.A., and subsidiaries, both corresponding to the year ended December 31, 2023

The members of the Board of Directors of Viscofan, S.A. declare that, to the best of their knowledge, the consolidated annual accounts of Viscofan S.A. and subsidiaries corresponding to the year ended December 31, 2023 have been prepared in accordance with the applicable accounting principles and offer a true and fair view of the assets, financial situation and results of the issuer and of the companies included in the consolidation taken as a whole, and that the management report includes a faithful analysis of the evolution and business results and of the position of the issuer and of the companies included in the consolidation taken as a whole, together with the description of the main risks and uncertainties they face.

In Madrid, on February 29 2024.

Mr. José Domingo de Ampuero Osma
Chairman

Mr. Jaime Real de Asúa Arteche
Vicechairman

Mr. José Antonio Canales García
CEO

Mrs. Agatha Echevarría Canales
Director

Mr. José María Aldecoa Sagastasoloa
Director

Mrs. Laura González Molero
Director

Mr. Santiago Domecq Bohórquez
Director

Mrs. Cristina Henríquez de Luna Basagoiti
Director

Mr. Andrés Arizkorreta García
Director

Mr. Javier Fernández Alonso
Director

Mrs. Veronica Pascual Boé
Director

DILIGENCE, issued by the Secretary of the Board of Directors to certify that at the meeting of February 29, 2024, all the directors have approved and signed this document.

Secretary of the Board of Directors
Mr. José Antonio Cortajarena Manchado